

Hand in Hand Growing Together



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We look back on a year full of challenges in which resilient performance facilitated sustained growth. Our continued efforts in being on the pulse of our stakeholders, constantly engaging with them in order to fine tune our strategies, helped us to record this resilient performance and be focused in advocating our unique banking experience across the market. The results therefore, stands witness to our relentless spirit, in expanding our reach and delivering value and rewards as promised, for another successive year.

While we grew, we did not lose sight of the bigger picture and our responsibilities as a corporate entity, to give back. We made a special effort in supporting a less privileged segment of our society through a venture that has inspired many in the process. We also engaged with the larger community in further aligning ourselves towards achieving sustainable development goals.

Hand in hand, we are growing together, inspired and engaged towards enabling growth and enriching lives.

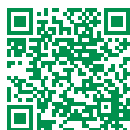
Sempervivum tectorum are members of the Sempervivum group of succulent plants. They grow well indoors and outdoors, in cool or hot temperatures. These plants are of the rosette shape and has the habit to produce numerous offshoots.

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Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.



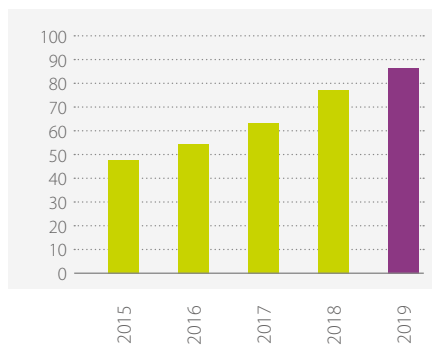
Mission

To adopt a unique and people friendly approach with a passion for continuous improvement, enabling growth and enriching lives of our customers.

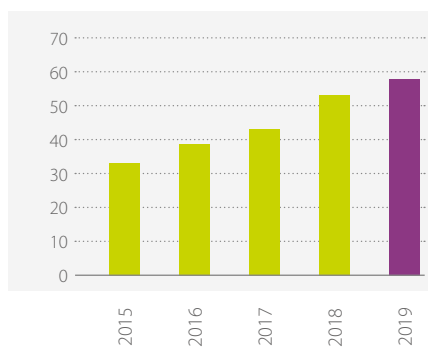
Financial Highlights

	2019	2018	Change	Change %
Operating Results for the Year - LKR '000				
Financing Income	7,709,286	6,883,222	826,064	12
Financing Expenses	4,544,371	3,522,889	1,021,482	29
Total Operating Expenses	2,591,016	2,305,652	285,363	12
Operating Profit Before VAT on Financial Services, NBT and DRL	1,376,674	1,322,237	54,437	4
Profit Before Tax	844,848	902,199	(57,351)	(6)
Tax Expenses	383,917	345,753	38,163	11
Profit for the Year	460,931	556,446	(95,514)	(17)
Assets and Liabilities - LKR '000				
Financing and Receivables to Other Customers (Advances)	57,716,961	52,853,663	4,863,298	9
Total Assets	86,579,570	77,269,767	9,309,803	12
Due to Depositors	71,614,753	61,722,683	9,892,071	16
Total Liabilities	74,726,002	65,635,667	9,090,335	14
Shareholders' Funds	11,853,568	11,634,100	219,468	2
Key Ratios - %				
Net Financing Margin	3.9	4.4		
Return on Assets (after Tax)	0.6	0.7		
Return on Equity	3.9	4.6		
Dividend Yield	3.5	2.3		
Net Non Performing Advances Ratio	1.5	0.9		
Gross Non Performing Advances Ratio	3.7	2.8		
Investor Information - LKR				
Net Asset Value Per Share	4.74	4.65		
Market Value Per Share - as at 31 December	2.30	3.10		
Earnings Per Share - Basic/Diluted	0.18	0.22		
Dividend Per Share	0.08	0.07		
Regulatory Ratios - %				
Capital Adequacy Ratios				
Common Equity Tier 1 Capital Ratio (Min Requirement 2019 - 7% ; 2018 - 6.375%)	15.4	17.6		
Tier I Capital Ratio (Min Requirement 2019 - 8.5% ; 2018 - 7.875%)	15.4	17.6		
Total Capital Ratio (Min Requirement 2019 - 12.5% ; 2018 - 11.875%)	16.9	19.0		
Leverage Ratio (Min Requirement - 3%)	9.7	N/A		
Statutory Liquid Asset Ratio				
Domestic Banking Unit (Min Requirement - 20%)	27.7	23.0		
Offshore Banking Unit (Min Requirement - 20%)	38.0	35.1		
Liquidity Coverage Ratio				
Rupee (Min Requirement 2019 - 100% ; 2018 - 90%)	142.9	141.8		
All Currency (Min Requirement 2019 - 100% ; 2018 - 90%)	110.0	117.5		
Net Stable Funding Ratio (Min Requirement - 100%)	183.8	N/A		

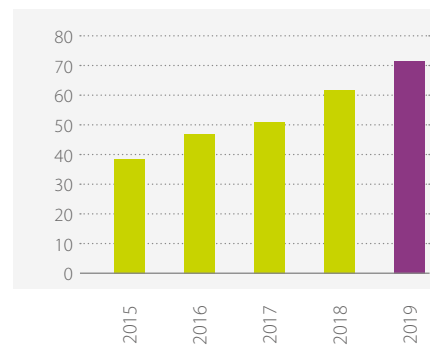
Total Assets (LKR Bn)



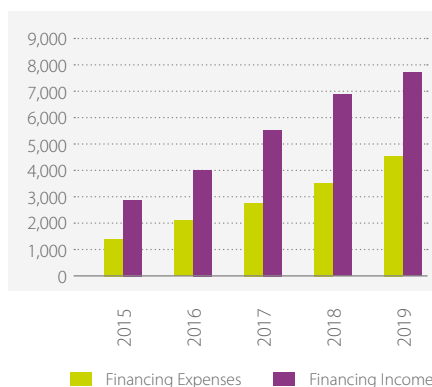
Advances (LKR Bn)



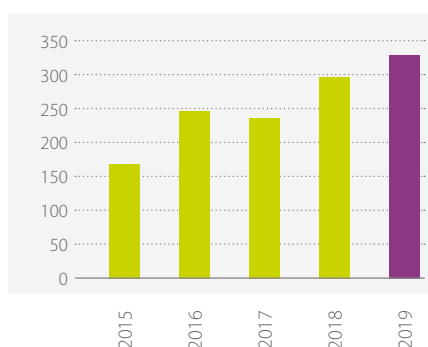
Deposits (LKR Bn)



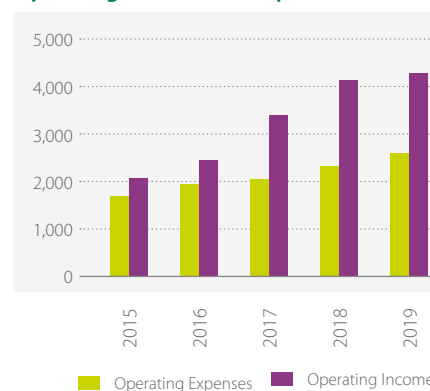
Financing Income and Financing Expenses (LKR Mn)



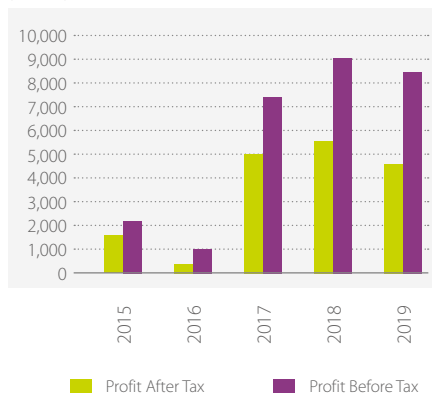
Net Fees and Commission Income (LKR Mn)



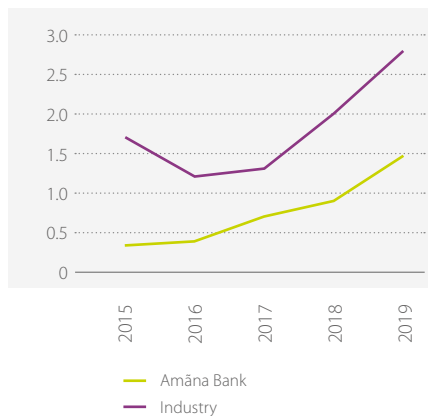
Operating Income and Expenses (LKR Mn)



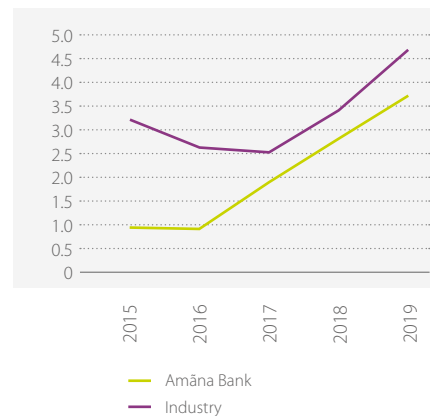
Profit Before Tax and Profit After Tax (LKR Mn)



Net NPA (%)



Gross NPA (%)



Other Highlights



No. of Customers

2019

338,636

2018 - 289,095



No. of Branches

2019

31

2018 - 29



No. of Self
Banking Centres

2019

19

2018 - 14

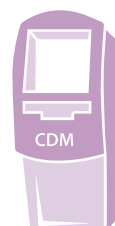


No. of Points for
Withdrawals

2019

4,870

2018 - 4,655



No. of Points for
Deposits

2019

750+

2018 - 44



No. of Gold
Safekeeping Units

2019

29

2018 - 27



External Rating

2019

BB(Ika)

2018 - BB(Ika)



LMD Top 100
Ranking

2019

91st

2018 - 95th



Brand Finance - Brand Ranking &
Brand Value

2019

85th

LKR 602Mn

2018 - 87th (LKR 385 Mn)



No. of Awards Won

2019

13

2018 - 11

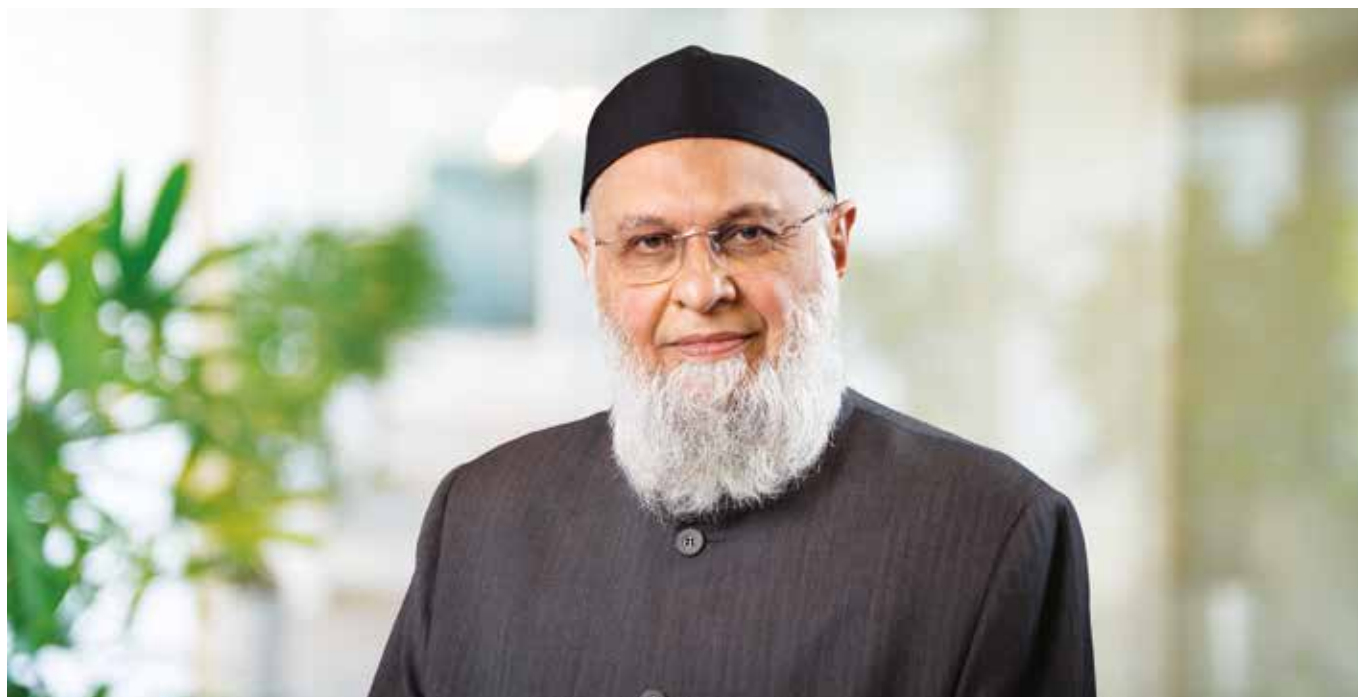


Hand in hand, we are
bringing our inclusivity to
more customers than before;
digitally and physically
ensuring our presence while
creating convenience for all



Chairman's Message

Demonstrating resilience in the face of external challenges



"I wish to inform our shareholders that the overarching vision and resilience of Amāna Bank prevailed, supported by prudent strategic planning and execution, to report a resilient financial performance during the year."

In the Name of Allah, the Most Gracious the Most Merciful

I am pleased and honoured to address you, our esteemed shareholders following the completion of a commendable year of overall performance by Amāna Bank, which included our second successive dividend payment, in a particularly challenging year for the entire country.

ECONOMIC BACKGROUND

The downward trend in global economic growth continued, forcing key monetary authorities to implement rate cuts in 2019. Global growth for 2019 was estimated at 2.4%, and is expected to marginally improve in 2020. Reduction of rates and announcements of easing packages highlight the underlying weakness in demand and level of confidence amongst businesses and consumers. US-China trade tensions, the uncertainty that surrounded Brexit and other geopolitical issues dampened the global momentum even further.

Consequent to the horrific terrorist attacks in April, the country's economic progress was challenged significantly. The banking sector, which was gradually recovering after recording a comparatively higher level of non-performing loans, had to face the ripple effects of the attacks with many businesses facing higher level of financial constraints. All of the above had a significant impact on the country's economy which went on to record a lower than anticipated level of GDP growth in the range of 2.5% - 3%.

It is in this backdrop that I wish to inform our shareholders that the overarching vision and resilience of Amāna Bank prevailed, supported by prudent strategic planning and execution, to report a resilient financial performance during the year. Furthermore, Amāna Bank's unique business model which forges a clear link between our financing assets and the real

sector activities, helped us remain buoyant in the face of external challenges.

We are convinced that, as seen in the past, the Sri Lankan economy will demonstrate required courage to withstand external shocks, and through timely reforms, which are already being implemented, will rebound to see an improvement in the overall economy in 2020 and beyond.

PERFORMANCE OVERVIEW

Amāna Bank recorded a Profit Before Tax of LKR 845 million and a Profit After Tax of LKR 461 million in the financial year 2019, which is a significant achievement aided by timely alignment of strategies in tandem with the market context, whilst ensuring that stakeholder interests are not compromised. In terms of core banking activities the Bank has made steady progress despite, dull market conditions that prevailed for most part of the year under review. The Bank comfortably surpassed industry growth rates as it grew its advance portfolio by 9% and despite tight market liquidity conditions the Bank substantially grew its deposits portfolio by 16%. Further, your Bank increased its Total Assets by 12% and is well poised to reach LKR 100 billion in the short to mid-term. The shareholders' equity grew by LKR 219.5 million to reach LKR 11.9 billion. This was after the interim dividend of over LKR 200 million to our shareholders for 2019, amounting to a pay-out ratio of approximately 43%, and a dividend yield of 3.5%, which is above the market average of 3.2%.

Whilst striving to enhance value for our shareholders, Amāna Bank contributed LKR 915.7 million as taxes to the Government in 2019. The banking sector welcomes the Government's move to have a lower tax regime which will ensure sustained industry growth while at the same time contributing positively to the economic wellbeing of all stakeholders.

"The Bank comfortably surpassed industry growth rates as it grew its advance portfolio by 9% and despite tight market liquidity conditions the Bank substantially grew its deposits portfolio by 16%."

Profit Before Tax	845
LKR Mn	

Profit After Tax	461
LKR Mn	

"As an ethical Bank, good governance and regulatory compliance is an integral aspect of our daily operations and we have continued to review our governance systems regularly to effect appropriate improvements"

Amply demonstrating our financial stability, Amāna Bank's external credit rating was reaffirmed at BB with a Positive Outlook by Fitch Ratings. Despite deteriorating market conditions, the Bank has been able to maintain the Net Non Performing Advances (Net NPA) ratio well below the industry average as a result of the asset-backed model adopted in financing activities and due to effective credit risk management, including proactive resource allocation towards effective collections. NPA management has remained a key focal point in our strategy planning process each year.

I urge our shareholders to refer the CEO's Review for a more detailed report of our business performance.

GOVERNANCE AND COMPLIANCE

As an ethical Bank, good governance and regulatory compliance is an integral aspect of our daily operations and we have continued to review our governance systems regularly to effect appropriate improvements where required, according to industry best practices and regulatory changes. Therefore, I can assure our shareholders of the highest standard of governance and risk management, being practiced, within the operations of the Bank.

Amāna Bank was fully compliant with and well above, the Central Bank stipulated capital adequacy requirements for the financial year 2019. We have also commenced taking preliminary steps to meet the latest regulatory minimum capital requirements as directed by the Central Bank, which is aimed at supporting the future expansion activities of the Bank.

CORPORATE SOCIAL RESPONSIBILITY

A landmark event close to my heart, which took place in 2019, was the launch of the Amāna Bank OrphanCare Trust, which is a unique CSR project, dedicated towards addressing the financial freedom of orphans once they reach the age of 18 and are compelled to leave institutional care.

I am indeed privileged to say that this initiative is aimed at serving a national cause, addressing all orphans in the country, who have for too long been forgotten and neglected, irrespective of their race, ethnicity or religion, thereby giving them an opportunity in making a difference in their lives.

As Amāna Bank OrphanCare functions as an independent trust, I am thankful for the trustees in extending their track record of passionate social service, to our cause.

FUTURE DIRECTION

I believe the essence of economic growth and social advancement is linked to the growth of the country's SME sector, as this sector represents between 50%-60% of the national GDP. Therefore, we will continue to focus on partnering the SME sector through the most beneficial financial services, thereby fuelling real economic growth in line with the economic plans of the country.

Amāna Bank will continue to invest in enhancing Human Capital which we believe is our strongest enabler of resilience in the face of external challenges. The Bank will continue to build and collaborate on Digital Infrastructure projects to expand reach and offer modern conveniences to customers.

I firmly believe that Amāna Bank will continue to sustain growth and meet its strategic objectives in 2020 and in years to come.

I invite you to further strengthen your affiliations with Amāna Bank and join us in our forward journey.

ACKNOWLEDGEMENTS

I would like to extend my sincere thanks to the Board of Directors, CEO and management along with the staff for their contributions towards the strong performance we have achieved in 2019. I thank the Sharia Supervisory Council for its valuable guidance during the year and also the regulatory bodies, such as the Central Bank and the Colombo Stock Exchange, for their continued support.

A handwritten signature in black ink, appearing to read 'Osman Kassim', enclosed within a large, loopy circular flourish.

Osman Kassim
Chairman

14 February 2020
Colombo

සභාපතිවරයාගේ පණිවුඩය

මහා කාරුණික පරම දයාබර වූ අල්ලාන් දෙවියන්ගේ නාමයෙන්

මුළුමහත් දේශයටම අභියෝගාත්මක වූ වසරක් වුවද, අඛණ්ඩව දෙවන වරටත් සිදුකරන ලද අපගේ ලාභාංශ ගෙවීමද ඇතුළත්ව, අමානා බැංකුව විශිෂ්ට වූ සමස්ත කාර්යසාධනයක් අත්පත් කොට ගත් තවත් සාර්ථක වූ වසරක නිමාව හමුවේ අපගේ ගෞරවනීය කොටස් හිමිකරුවන් වෙත මෙම ප්‍රකාශය නිකුත් කරනුයේ ඉමහත් වූ අභිමානයකිනි.

ආර්ථික වටපිටාව

අඛණ්ඩව පැවැති ලෝක ආර්ථික අවගමනකාරී ප්‍රවණතාවෙහි බලපෑම හමුවේ වසර 2019 දී අනුපාතිකයන් අඩුකිරීමට ප්‍රධාන මූල්‍ය අධිකාරීන්ට සිදුවිය. වසර 2019 සඳහා ලෝක ආර්ථික වර්ධනය 2.4% ක් වශයෙන් ඇස්තමේන්තුගත කෙරුණු අතර එය වසර 2020 දී සුළු වශයෙන් වර්ධනය වෙනැයි අපේක්ෂිතය. අනුපාතයන් පහත වැටීම සහ සහන පැකේජයන් ප්‍රකාශයට පත්කිරීම මගින්, ඉල්ලුම සහ ව්‍යාපාරයන් හා පාරිභෝගිකයින් අතර විශ්වාසය දුර්වල තත්ත්වයක පැවතීම පිළිබිඹු වේ. එක්සත් ජනපද - චීන වෙළඳ අර්බුදය, බ්‍රෙක්සිට් තුළින් උද්ගත වූ අස්ථාවරතාවයන් හා වෙනත් භූ දේශපාලනික සාධක හේතුවෙන් ලෝක ආර්ථික වර්ධනය තවදුරටත් මන්දගාමී ස්වභාවයක් ඉසිලීය.

අප්‍රේල් මස සිදුවූ බේදනීය ත්‍රස්ත ප්‍රහාරයන් හේතුවෙන් දේශීය ආර්ථිකය වෙත ප්‍රබල අභියෝගයක් එල්ල විය. සාපේක්ෂව ඉහළ අක්‍රීය ණය මට්ටමක සිට ක්‍රමයෙන් යථා තත්ත්වයට පැමිණෙමින් පැවති බැංකුකරණ ක්ෂේත්‍රයට, එකී ප්‍රහාර හේතුවෙන් විවිධ ව්‍යාපාරයන් කෙරෙහි බලපෑ ඉහළ මට්ටමේ මූල්‍යමය සීමාකාරී තත්ත්වයන් හමුවේ බහුවිධ අහිතකර ප්‍රතිවිපාකයන්ට මුහුණ පෑමට සිදු විය. ඉහත දක්වන ලද සියලු සාධක හේතුවෙන් මෙරට ආර්ථිකයේ දළ දේශීය නිෂ්පාදිතය ලෙස 2.5% - 3% අතර පරාසයක අගයක් ලෙස වාර්තා විය.

මෙවන් පසුබිමක් යටතේ වුවද, අමානා බැංකුවේ පැහැදිලි දෑත්ම සහ රඳපැවැත්මේ ගුණය මෙන්ම විවක්ෂණශීලී ක්‍රමෝපායක සැලසුම් ඔස්සේ, ගෙවිණු වසර තුළදී සාපේක්ෂව ප්‍රබල මූල්‍යමය කාර්යසාධනයක් වාර්තා කිරීමට බැංකුව සමත්

වූ බව අපගේ කොටස් හිමිකරුවන් වෙත දැනුම්දීමට කැමැත්තෙමි. තවද අපගේ මූල්‍යමය වත්කම් හා සැබෑ ක්ෂේත්‍ර ක්‍රියාකාරකම් අතර මනා සම්බන්ධතාවයක් පවත්වා ගෙන යනු ලබන අමානාහි සුවිශේෂී ව්‍යාපාර ආකෘතිය, විවිධ වූ බාහිර අභියෝග හමුවේ ප්‍රබල අයුරින් නැගී සිටීම සඳහා අප හට මහත් සේ උපකාරී විය.

අතීතයේ දී අත්විඳ ඇති පරිදිම, ශ්‍රී ලංකා ආර්ථිකය බාහිර අභියෝග ජයගනිමින් දැනටමත් ක්‍රියාත්මක කරනු ලැබ ඇති කාලීන වශයෙන් වැදගත් වූ ප්‍රතිසංස්කරණයන් ඔස්සේ වසර 2020 සහ ඉන් ඔබ්බට යළි සතුටුදායක මට්ටමේ ආර්ථික වර්ධනයක් අත්කර ගනු ඇති බව අප හට ප්‍රත්‍යක්ෂ කරුණකි.

කාර්යසාධන විමර්ශනය

පැවති අභියෝගාත්මක ආර්ථික වටපිටාව මධ්‍යයේ වුවද කොටස් හිමිකරුවන්ගේ අභිලාෂයන් නොබිඳීමත්, කාලීන වශයෙන් අදාළ වන පරිදි ක්‍රමෝපායන් සකසමින්, අමානා බැංකුව වසර 2019 දී කැපී පෙනෙන අයුරින් රුපියල් මිලියන 845 ක බදු වලට පෙර ලාභයක් ද රුපියල් මිලියන 461 ක බදු වලට පසු ලාභයක් ද වාර්තා කිරීමට සමත් විය. විමර්ශනයට ලක් වන වසරේ බොහෝ කාලයක් පැවති දුර්වල වෙළඳපොල තත්ත්වයන් හමුවේ වුවද, ප්‍රධාන බැංකුකරණ ක්‍රියාකාරකම් සම්බන්ධයෙන් සළකා බලන කල බැංකුව ප්‍රශංසනීය ප්‍රගතියක් අත්පත් කරගැනීමට සමත් විය. වසර 2019 බැංකු ක්ෂේත්‍රයේ විවිධ අංශයන්හි වර්ධන වේගයන් අභිබවා යෑමට අමානා බැංකුවට හැකිවිය. බැංකුවේ අත්තිකාරම් 9% ක වර්ධනයක් අත්පත් කරගත් අතර පැවති දඩ් වෙළඳපොල ද්‍රවශීල තත්ත්වයන් හමුවේ වුවද බැංකුව මගින් සිය තැන්පතු 16% ක වර්ධනයක් වාර්තා කරන ලදී. ඔබේ බැංකුව සිය සමස්ත වත්කම් 12% කින් වර්ධනය කරගනිමින් කෙටි කාලීන සිට මධ්‍ය කාලීන දක්වා වශයෙන් රුපියල් බිලියන 100 කරා ළඟා වීම කෙරෙහි සාර්ථකව පියවර තබමින් පවතී. කොටස්කරුවන්ගේ හිමිකම රුපියල් මිලියන 219.5 කින් වර්ධනය වී රුපියල් බිලියන 11.9 ක් ලෙස වාර්තා විය. මෙය වාර්තා වූයේ, වසර 2019 සඳහා දළ වශයෙන් 43% ගෙවුම්

අනුපාතයක් සහ වෙළඳපොල සාමාන්‍යය වූ 3.2% ඉක්මවූ 3.5% ක ලාභාංශ ප්‍රතිලාභයක් වාර්තා කරමින්, කොටස් හිමිකරුවන් වෙත පිරිනමන ලද රුපියල් මිලියන 200 ඉක්මවූ අන්තර්මධ්‍ය ලාභාංශ ගෙවීමකින් අනතුරුවය.

අපගේ කොටස් හිමිකරුවන් වෙත වැඩි අගයක් පිරිනැමීම උදෙසා කැපවී කටයුතු කරන අතරම බැංකුව මගින් වසර 2019 දී බදු වශයෙන් රජය වෙත රුපියල් මිලියන 915.7 ක මුදලක් ගෙවනු ලැබ ඇත. ක්ෂේත්‍රයේ තිරසාර වර්ධනයක් තහවුරු කරනු ලබන අතරම, අපගේ සියළුම පාර්ශ්වරුවන්ගේ ආර්ථික සුභ සිද්ධිය කෙරෙහි දායක වන අයුරින් රජය විසින් ක්‍රියාත්මක කරන ලද පහළ බදු පරිපාලන ක්‍රමය බැංකුකරණ ක්ෂේත්‍රයේ පැසසුමට ලක් වේ.

අපගේ මූල්‍යමය ස්ථාවරත්වය මැනවින් විදහා දක්වමින් ෆිච් රේටිං සමාගම අපගේ දිගුකාලීන ජාතික ශ්‍රේණිගත කිරීම ධනාත්මක ස්වරූපයක් සමග තව දුරටත් BB(Ika) ලෙස තහවුරු කරනලදී. අවගමනකාරී වෙළඳපොල තත්ත්වයන් හමුවේ වුවද, මූල්‍යකරණ ක්‍රියාකාරකම් වලදී ආදේශ කොටගත් වත්කම් පාදක (asset-backed) ආකෘතිය සහ ඵලදායී එක්රැස් කිරීම් සඳහා සිදුකරන ලද ක්‍රියාකාරී සම්පත් වෙන්කිරීම ඇතුළු බලාත්මක ණය අවදානම් කළමනාකරණය හේතුවෙන්, සිය ශුද්ධ අක්‍රීය අත්තිකාරම් (Net NPA) අනුපාතය ක්ෂේත්‍රයේ අනුපාතයට වඩා අතිශය පහළ මට්ටමකින් පවත්වා ගැනීමට බැංකුව සමත් විය. අක්‍රීය අත්තිකාරම් කළමනාකරණය එක් එක් වසරේදී අපගේ ක්‍රමෝපාය සැලසුම් ක්‍රියාවලියෙහි ප්‍රමුඛ අවධානාත්මක කරුණක් වශයෙන් පැවතීණි.

අපගේ ව්‍යාපාරික කාර්යසාධනය සම්බන්ධ විස්තරාත්මක වාර්තාවක් සඳහා ප්‍රධාන විධායක නිලධාරීවරයාගේ සමාලෝචනය වෙත යොමු වන මෙන් මම කොටස් හිමිකරුවන්ගෙන් උදක් ම ඉල්ලා සිටිමි.

පාලනය සහ අනුකූලතාවය

සඳාචාර සම්පන්න බැංකුවක් වශයෙන්, යහපාලනය සහ නියාමනමය අනුකූලතාවය අපගේ දෛනික මෙහෙයුම් ක්‍රියාකාරකම් වල වැදගත් ස්ථානයක් ගනු ලබන අතර නීතිපතා අපගේ පාලන පද්ධතීන් විමර්ශනයට භාජනය කිරීමටත්, අවශ්‍ය සියලු අවස්ථාවන්හිදී ක්ෂේත්‍රයේ යහ ක්‍රියාකාරකම් හා නියාමනමය වෙනස්වීම් අනුව අදාළ වැඩිදියුණු කිරීම් සිදුකිරීමටත් අපි නිරන්තරයෙන් කටයුතු කරන්නෙමු. එම නිසා, බැංකුව තුළ ප්‍රශස්ථ මට්ටමේ පාලන තත්ත්වයක් සහ අවදානම් කළමනාකරණයක් ක්‍රියාවට නැංවෙන බවට මම අපගේ කොටස් හිමිකරුවන් වෙත තහවුරු කර සිටිමි.

අමාත්‍ය බැංකුව 2019 මුල්‍ය වර්ෂය සඳහා ශ්‍රී ලංකා මහ බැංකුව විසින් නියම කරන ලද ප්‍රාග්ධන ප්‍රමාණවත්භාව අවශ්‍යතා කෙරෙහි පූර්ණ වශයෙන් අනුගත වෙමින්, අදාළ මට්ටම් වලට අතිශයින් ම ඉහළ ප්‍රමාණවත්භාව මට්ටමක් පවත්වා ගෙන යාමට කටයුතු යොදන ලදී. බැංකුවේ අනාගත ව්‍යාප්ති ක්‍රියාකාරකම් වෙත සහාය දක්වීම අරමුණු කරගනිමින්, ශ්‍රී ලංකා මහ බැංකුව නිර්දේශ කරන ලද නවතම නියාමන අවම ප්‍රාග්ධන අවශ්‍යතා සපුරා ගැනීම උදෙසා අප විසින් දැනටමත් මූලික පියවර තබමින් පවති.

ආයතනික සමාජ වගකීම

2019 වසරේදී මාගේ හඳවනට සමීප වූ සුවිශේෂී වැදගත් සිදුවීමක් වන අමාත්‍යා අනන් දරු සත්කාරක (Amāna Bank OrphanCare) භාරය එළිදැක්වීම සටහන් කළ හැකි අතර එය අද්විතීය ආයතනික සමාජ වගකීම් ව්‍යාපෘතියක් ලෙසත්, වයස 18 සම්පූර්ණ වූ අනන් දරුවන්ගේ මූල්‍යමය ස්වාධීනත්වය පිළිබඳ කැපවූ සත්කාරක භාරයක් ලෙසද දැක්විය හැක.

මෙම ව්‍යාපෘතිය මගින් ජාතික වගකීමක් ඉටුකරමින් ජාති, ආගම් හෝ ජන වර්ගයා නොසලකා හරිමින්, දිගු කලක් නිස්සේ අමතක කරන ලද සහ නොතකා හරින ලද අවධානය යොමු නොවූ මෙරට සියලු අනන් දරුවන් හට ඔවුන්ගේ ජීවිත යහපත් අයුරින් සකසා ගැනීම සඳහා විශාල අවස්ථාවක් සපයනු ලැබේ.

අමාත්‍යා බැංකු අනන් දරු සත්කාරක භාරය ස්වාධීන භාරකාර අරමුදලක් වශයෙන් ක්‍රියාත්මක වන අතර ස්වකීය පරිත්‍යාගශීලී සහයෝගය අපගේ මෙම මහඟු කර්තව්‍යය උදෙසා පිරිනැමීම වෙනුවෙන් එහි භාරකාරීත්වය වෙත මාගේ ප්‍රණාමය පුද කර සිටිමි.

ඉදිරි දක්ම

ජාතික දළ දේශීය නිෂ්පාදිතයෙන් 50% - 60% දක්වා ප්‍රතිශතයක් නියෝජනය කරනු ලබන බැවින්, මෙරට සුළු හා මධ්‍ය පරිමාණ ව්‍යවසාය ක්ෂේත්‍රයෙහි වර්ධනය සමග ආර්ථික වර්ධනයේ සහ සමාජ ප්‍රගමනයේ මූලික හරය ප්‍රබල අයුරින් බැඳී පවතින බව මාගේ විශ්වාසයයි. එම නිසා, විශාල වශයෙන් ප්‍රතිලාභ සැලසෙන්නා වූ මූල්‍ය සේවාවන් රැසක් ඔස්සේ සුළු හා මධ්‍ය පරිමාණ ව්‍යවසාය ක්ෂේත්‍රය කෙරෙහි දායක වෙමින්, මෙරට ආර්ථික සැලසුම් වලට සමගාමීව සැබෑ ආර්ථික වර්ධනයක් අත්පත් කරදීම කෙරෙහි අපගේ නිරන්තර අවධානය යොමු කෙරේ.

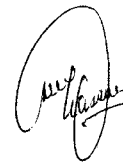
අප විසින් අඛණ්ඩව ම මානව ප්‍රාග්ධනය වර්ධනය කිරීම සඳහා කටයුතු කරනු ලබන්නේ, බාහිර අභියෝග හමුවේ නොසැලී ඉදිරියට යාමේ ශක්තිය ලබා දෙන්නා වූ ගාමක බලවේගය මානව සම්පත බව අපගේ විශ්වාසය වන බැවිනි. ව්‍යාප්තිය තවදුරටත් පුළුල් කරමින් ගනුදෙනුකාර ප්‍රජාව වෙත නවීන පහසුකම් ලබාදීමේ අරමුණින් යුතුව, බැංකුව විසින් නිරතුරුවම ඩිජිටල් යටිතල පහසුකම් ව්‍යාපෘතීන් සැකසීම සහ ඒ සම්බන්ධයෙන් සහයෝගීතාවයෙන් යුතුව කටයුතු කිරීම සිදුකෙරේ.

වසර 2020 දී මෙන්ම ඉදිරියේදී එළඹෙන වසර වල දී අමාත්‍යා බැංකුව මගින් තිරසාර වර්ධනය අඛණ්ඩවම පවත්වා ගෙන යමින් සිය ක්‍රමෝපායික අරමුණු සාක්ෂාත් කර ගනු ඇති බව මාගේ විශ්වාසයයි.

අමාත්‍යා බැංකුව සමග වන ඔබගේ සහයෝගීතාවයන් තවදුරටත් සවිමත් කරගනිමින් අපගේ ප්‍රගතියේ වාර්තාව සමග එක් වන මෙන් මම ඔබ වෙත ගෞරවයෙන් ආරාධනා කර සිටිමි.

ප්‍රණාමය

වසර 2019 දී අප විසින් අත්පත් කරගනු ලැබූ ප්‍රබල කාර්යසාධනය උදෙසා අධ්‍යක්ෂ මණ්ඩලය, ප්‍රධාන විධායක නිලධාරීවරයා ඇතුළු සමස්ත කාර්ය මණ්ඩලය වෙත මාගේ ගෞරව ප්‍රණාමය පුද කර සිටිමි. ස්වකීය නිසි මාර්ගෝපදේශනය වෙනුවෙන් ශ්‍රියා අධීක්ෂණ සාභාව වෙත ද, දක්වන ලද නිරන්තර සහයෝගය උදෙසා ශ්‍රී ලංකා මහ බැංකුව සහ කොළඹ කොටස් වෙළඳපොළ ඇතුළු සියලුම නියාමන අධිකාරි ආයතනයන් වෙත ද මාගේ හෘදයාංගම ස්තූතිය පිරිනැමීමි.



ඔස්මාන් කාසිම්
සභාපති

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தலைவரின் செய்தி

அளவற்ற அருளாளனும், நிகரற்ற அன்புடையோனுமாகிய அல்லாஹ்வின் திருநாமத்தால் ஆரம்பம் செய்கிறேன்.

முழு நாடும் சவால்களை எதிர்கொண்ட இவ்வருடத்தில், எமது வெற்றிகரமான இரண்டாவது தொடர்ச்சியான பங்கிலாபக் கொடுப்பனவையும் உள்ளடக்கிய ஒரு பாராட்டத்தக்க ஒழுங்கு செய்த செயலாற்றுகையை இவ்வருடத்தில் நிறைவு செய்த பின், எமது மதிப்புமிக்க பங்காளர்களை விளிப்பதை கௌரவமாக நான் கருதுகிறேன்.

பொருளாதாரப் பின்னணி

உலகளாவிய பொருளாதார வளர்ச்சியில் கீழ்நோக்கிய போக்கு தொடர்ந்தமையினால் முக்கியமான நாணயச் சபைகள் 2019 ஆம் ஆண்டில் விகித வெட்டுகளை அமுல்படுத்த வேண்டியிருந்தது. 2019 ஆம் ஆண்டில் உலகளாவிய வளர்ச்சி 2.4% ஆக மதிப்பிடப்பட்டதோடு, இது, 2020 ஆம் ஆண்டில் ஓரளவு அதிகரிக்கும் என எதிர்பார்க்கப்படுகின்றது. விகிதங்களின் குறைப்பு மற்றும் இலகுவடுத்திய பொதிகளின் அறிவிப்புகள் என்பன, வியாபாரங்கள் மற்றும் வாடிக்கையாளர்கள் மத்தியில் இருக்கக்கூடிய கேள்வி மற்றும் நம்பிக்கையின் மட்டத்தில் உள்ள பலவீனங்களை எடுத்துக் காட்டுகின்றன. ஐக்கிய அமெரிக்க - சீன வர்த்தகப் பதற்றங்கள், பிரெக்சிட் தொடர்பான நிச்சயமின்மை மற்றும் ஏனைய புவி அரசியல் பிரச்சினைகள் ஆகியன, உலகளாவிய உத்வேகத்தை நலிவடையச் செய்தன.

ஏப்ரல் மாதம் நாட்டில் இடம்பெற்ற கொரூமான பயங்கரவாத தாக்குதல்களைத் தொடர்ந்து, நாட்டின் பொருளாதார முன்னேற்றம் குறிப்பிடத்தக்களவு சவால்களை எதிர்நோக்கியது. வங்கித்துறை ஒப்பீட்டளவில் அதிகளவான செயற்படாக்கடன்களைப் பதிவு செய்த பின், மீட்சியடையும் நிலையில் இத்தாக்குதல்களின் பின் பல வணிக நிறுவனங்கள் கூடிய நிதி நெருக்கடிகளின் சிற்றலை விளைவுகளை முகங்கொடுக்க நேரிட்டது. மேலே குறிப்பிட்ட அனைத்தும் நாட்டின் பொருளாதாரத்தில் குறிப்பிட்ட

தாக்கத்தை ஏற்படுத்தியதால் எதிர்பார்க்கப்பட்ட GDP வளர்ச்சி மட்டத்தையும் விட குறைந்த மட்டமான 2.5% - 3% க்கு இடையே பதிவுசெய்ய எதிர்பார்க்கப்படுகிறது.

இப்பின்னணியில் அமானா வங்கியின் தூரநோக்கும், நெகிழ்திறனும் நிலவியதோடு, விவேகமான மூலோபாயத் திட்டமிடல் மற்றும் செயற்படுத்தலினால் ஆதரவளிக்கப்பட்டு, நெகிழ்ச்சியான நிதியியல் செயலாற்றுகையை இவ்வாண்டில் அறிக்கையிட முடிந்தது என்பதை எமது பங்காளர்களுக்கு தெரிவித்துக்கொள்ள விரும்புகின்றேன். மேலும், வெளிவாரியான சவால்களுக்கு, மேல் நிலையில் நிலைக்க நிதியிடும் சொத்துக்களுக்கும் மெய்துறை நடவடிக்கைகளுக்கும் இடையே தெளிவான தொடர்பைக் கட்டமைக்கும் அமானாவின் தனித்துவமான வணிக மாதிரி உதவியது.

கடந்த காலத்தைப் போல இலங்கைப் பொருளாதாரம் வெளிவாரியான அதிர்ச்சிகளைத் தாக்குப்பிடிக்கத் தேவையான துணிச்சலை நிரூபிக்கக்கூடியதெனவும், ஏற்கனவே செயல்முறைப்படுத்தப்பட்டு வரும் காலத்துக்கு அவசியமான சீதிருத்தங்களினூடாக மீளாய்வ்வடைந்து மொத்த பொருளாதாரத்தில் 2020 இலும் அதற்கப்பாலும் முன்னேற்றம் ஏற்படுமென எமக்கு உறுதிப்பாடு உண்டு.

செயலாற்றுகை நோக்கு

பங்குதாரர்களின் நலன்களை சமரசம் செய்யாது, காலத்துக்கவசியமான சந்தை சூழ்நிலைகளுக்கு உடனிகழ்வான மூலோபாய ஒழுங்கமைவு, அமானா வங்கி வரிக்கு முன் இலாபமாக ரூபா 845 மில்லியனையும், வரிக்குப் பின் இலாபமாக ரூபா 461 மில்லியனையும் 2019ம் நிதியாண்டில் குறிப்பிடத்தக்க சாதனையாக அடைய உதவியது. ஆய்வுக்குட்பட்ட வருடத்தின் பெரும்பகுதி மந்தமான சந்தை நிலைமைகள் நிலவியிருந்த போதும், அடிப்படை வங்கித் தொழிற்பாடுகளைப் பொறுத்தவரை அமானா வங்கி திடமான முன்னேற்றத்தை அடைந்துள்ளது. வங்கியின் முற்பண சொத்துப்பட்டியல் 9% வளர்ச்சியையும், இறுக்கமான சந்தைத் திரவ சூழ்நிலைகளுக்கு மத்தியில் சேமிப்புப் பட்டியல் 16%

வளர்ச்சியையும் அடைந்து, வங்கித்துறையின் வளர்ச்சி வீதத்தை மிக இலகுவாக அமானா வங்கி தாண்டியது. வங்கி அதன் சொத்துக்களை 12% ஆல் அதிகரித்ததுடன், குறுகிய இடைக்காலத்தில் ரூபா 100 பில்லியனை அடைய நன்கு செயல் இறங்கியுள்ளது. பங்காளர்களின் உரிமையாண்மை ரூபா 219.5 மில்லியனால் வளர்ச்சியடைந்து, ரூபா 11.9 பில்லியனை எட்டியது. இது, 2019ம் ஆண்டு எமது பங்காளர்களுக்கு இடைக்கால பங்கிலாபமாக சுமார் 43% செலுத்தப்பட்ட விகிதத்தில், சந்தை பங்கிலாப விளைவான 3.2% க்கு அதிகமாக 3.5% பங்கிலாப விளைவில், ரூபா 200 மில்லியனுக்கும் கூடிய பங்கிலாபம் வழங்கப்பட்டது.

எமது பங்குதாரர்களுக்கான பெறுமதியை அதிகரிக்க முயற்சிக்கின்ற அதேவேளை, அமானா வங்கி 2019 ஆம் ஆண்டு அரசாங்கத்திற்கு 915.7 மில்லியன் ரூபாவை வரிக் கட்டணமாகச் செலுத்தியுள்ளது. அரசாங்கம் அமுல்படுத்த இருக்கின்ற வரி குறைப்பு ஏற்பாட்டை வங்கித்துறை வரவேற்கின்றது. இந்த ஏற்பாடு நிலையான கைத்தொழில் துறை வளர்ச்சியை உறுதிப்படுத்துவதோடு, அனைத்து பங்குதாரர்களின் பொருளாதார நலவாழ்வுக்கு சாதகமான பங்களிப்பை செய்யும்.

எமது நிதி ஸ்திரத்தன்மையை கணிசமான அளவு வெளிப்படுத்துவதன் மூலம் அமானா வங்கியின் வெளிப்புறக் கடன் பிற்சீ ரேட்டிங்கினால் (தரப்படுத்தல்) (Fitch Ratings) BB உடன் “நேரான” நோக்கை மீள் உறுதி செய்துள்ளது. கீழ்நோக்கிச் செல்லும் சந்தை நிலவரங்கள் இருந்த போதிலும், நிதி நடவடிக்கைகளில் சொத்துக்கள் மூலமாக உந்தப்பட்ட மாதிரிகளைத் தழுவிமையினாலும், வினைத்திறனான சேகரிப்புக்களை நோக்கி முன்னோக்கிச் செல்லக்கூடிய வள ஒதுக்கீடுகளை உள்ளடக்கிய வினைத்திறனான கடன் இடர் முகாமைத்துவம் என்பனவற்றின் காரணமாகவும் வங்கியானது, தேய்நிய செயற்பாடு அற்ற (Net NPA) முன்னேற்றங்களின் விகிதத்தை கைத்தொழில் துறை சராசரியை விட மிகவும் குறைந்தளவில் பராமரிக்கக்கூடியதாக இருந்தது.

ஒவ்வொரு வருடமும் எமது உபாய நுட்ப திட்டமிடல் செயன்முறையில் செயற்படாச் சொத்துக்கள் (NPA) முகாமைத்துவம் ஒரு முக்கிய விடயமாக அமைந்துள்ளது.

எமது வர்த்தக நடவடிக்கைகள் சம்பந்தமாக பிரதம நிறைவேற்று அதிகாரியின் விரிவான அறிக்கையுடனான மீளாய்வைப் பார்க்குமாறு நான் கேட்டுக் கொள்கின்றேன்.

ஆளுகை மற்றும் ஒழுங்குமுறை இணக்கம்

ஒரு நெறிமுறையான வங்கி என்ற அடிப்படையில் எமது நாளைத் செயற்பாட்டில் நல்லாட்சி மற்றும் ஒழுங்குபடுத்தல்களுடன் இணங்கி நடத்தல் என்பன இணை பிரியாத அம்சமாக உள்ளது. நாம் கைத்தொழில்துறை சிறந்த நடைமுறைகள் மற்றும் ஒழுங்குபடுத்தல்கள் மீது ஏற்படுகின்ற மாற்றங்கள் என்பனவற்றுக்கு அமைவாக, தேவையான இடங்களில் முறையான மேம்படுத்தல்களை ஏற்படுத்தும் முகமாக, எமது ஆளுகை முறைமைகளை தொடர்ந்து மீளாய்வு செய்து வருகின்றோம். எனவே, உயர் தரத்திலான ஆளுமை மற்றும் இடப் முகாமைத்துவத்தை எமது வங்கி நடவடிக்கைகளில் பண்படுத்தி வருகின்றோம் என்பதை எமது பங்குதாரர்களுக்கு உறுதிப்படுத்த முடியும்.

அமரணா வங்கி, 2019 ஆம் நிதி ஆண்டில் மத்திய வங்கியினால் குறித்துரைக்கப்பட்ட மூலதனப் போதுமான அளவு தேவைப்பாடுகளை விட அதிகமாகக் கொண்டிருந்தது. அந்தத் தேவைப்பாட்டுடன் முழுமையாக இணங்கி நடந்தது. மத்திய வங்கியின் குறைந்ததுட்ச மூலதனத் தேவைப்பாடுகள் தொடர்பான ஒழுங்குபடுத்தலை எதிர்கொள்ள நாம் பூர்வாங்க நடைமுறைகளை ஆரம்பித்துள்ளோம். இதன் மூலம் வங்கியின் எதிர்கால விரிவாக்கல் நடவடிக்கைகள் ஆதரவளிக்கப்படும் என எதிர்பார்க்கப்படுகின்றது.

கூட்டாண்மை சமூகப் பொறுப்புடைமை

எனது இதயத்திற்கு மிக நெருங்கிய ஒரு முக்கியமான நிகழ்வு 2019 ஆம் ஆண்டில் நடைபெற்றது. இது யாதெனில், அமானா வங்கி, அனாதைகள் மீது கவனம் செலுத்தும்

அனாதைகள் காப்பு அறக்கட்டளை நிதியம் ஒன்றை ஆரம்பித்தது. இது ஒரு தனித்துவமான கூட்டுறவு சமூகப் பொறுப்புடைமைத் திட்டமாகும். இத்திட்டம் அனாதைப் பிள்ளைகள் பருவ வயதான 18 வயதை அடைந்தவுடன், அவர்களுக்கு உரிய நிதி சுதந்திரத்தை அளிக்கக்கூடியதாக உள்ளது. இதன் மூலம் அவர்கள் நிறுவன ரீதியான பராமரிப்பில் இருந்து விடுபடக்கூடியதாக இருக்கும்.

அமானா வங்கியினால் எடுக்கப்பட்ட இந்த முயற்சி இன, மத, குல, கோத்திர வேறுபாடின்றி, நீண்டகாலமாகப் புறக்கணிக்கப்பட்ட மற்றும் மறக்கப்பட்ட, நாட்டிலுள்ள அனைத்து அனாதைச் சிறுவர்களின் வாழ்க்கையில் மாற்றத்தை ஏற்படுத்தக்கூடிய சந்தர்ப்பங்களை வழங்கும் ஒரு தேசிய தேவையைப் பூர்த்தி செய்யும் ஒரு முயற்சியாக உள்ளது.

அமானா வக்தியின் அனாதைகள் பராமரிப்பு, ஒரு சுயாதீனமான நம்பிக்கை நிதியமாகச் செயற்பட்டு வருகிறது. இவ்வகையில், சமூக சேவை ஒன்றை நிறைவேற்றுவதற்கு தமது சேவைகளை வழங்கும் அனைத்து நம்பிக்கையாளர்களுக்கும் நான் நன்றியுடையவராக இருக்கின்றேன்.

எதிர்கால வழி

தேசிய GDP யில் SME துறை 50% - 60% தை பிரதிநிதித்துவம் செய்கின்ற படியால், நாட்டின் சிறிய மற்றும் நடுத்தர துறையுடன் பொருளாதார வளர்ச்சி மற்றும் சமூக முன்னேற்றத்தினுடைய முக்கியத்துவத்தை தொடர்புபடுத்துவது அவசியமாகும். ஆகவே, நாம் அதிகபடிய பலன்களைத் தருகின்ற நிதிச் சேவைகள் ஊடாக SME துறையுடன் தொடர்ந்து இணைந்து செயற்படுவதில் கவனம் செலுத்துவதன் மூலம் நாட்டின் பொருளாதாரத் திட்டங்களுடன் இணங்கி உண்மையான பொருளாதார அபிவிருத்திக்கு வலுச் சேர்க்க முற்படுவோம்.

அமானா வங்கி மனித வள முதலீட்டினை
மேம்படுத்துவதற்கு தொடர்ந்தும் முதலீடு
செய்யும். ஏனெனில், இது, வெளிப்புற
சவால்களை முறியடிப்பதற்கு மிகவும் பலம்

வாய்ந்தது எனக் கருதுகின்றோம். வங்கி, தொடர்ந்தும் டிஜிட்டல் உட்கட்டமைப்பு திட்டங்ளை வாடிக்கையாளர்களுக்கு நவீன வசதிகளை விரிவாக்கம் செய்யக்கூடிய வகையில் தொடர்ந்து கட்டியெழுப்புவதற்கு செயற்படும்.

அமானா வங்கி தொடர்ந்தும் அபவிவிருத்தியை நிலைநிறுத்துவதுடன், 2020 ஆம் ஆண்டு மற்றும் அதனைத் தொடர்ந்து வரும் ஆண்டுகளில் அதன் மூலோபாய இலக்குகளை சந்திக்கும் என நாம் உறுதியாக நம்புகின்றோன்.

உமானா வங்கியுடன் உங்களுடைய இணைப்புகளை மேலும் வலுப்படுத்த நாள் உங்களை வரவேற்பதுடன், எங்களின் முன்னோக்கிய பயணத்தில் இணைந்து கொள்ளுமாறு வேண்டுகோள் விடுக்கின்றேன்.

ஒப்புக்க

2019 ஆம் ஆண்டில் ஒரு பலமாண செயற்பாட்டை நோக்கி தமது பங்களிப்புகளை வழங்கிய பணிப்பாளர்கள் சபை, பிரதம நிறைவேற்று அதிகாரி மற்றும் முகாமைத்துவத்திற்கும், ஊழியர்களுக்கும் எனது மனமார்பந்த நன்றிகளைத் தெரிவித்துக் கொள்கின்றேன். இந்த வருட காலப்பகுதியின் போது ஷீஆ மேற்பார்வைக் குழுவின் சிறந்த வழிகாட்டலுக்கு நன்றி கூற விரும்புகின்றேன். மத்திய வங்கி மற்றும் கொழுப்பு பங்குச் சந்தை ஆகிய கட்டுப்பாட்டு நிறுவனங்களின் தொடர்ச்சியான ஆதரவுக்கு நன்றி கூறிக்கொள்ள விரும்புகின்றேன்.

W. H. H. H.

ஒஸ்மான் காசிம்

தலைவர்

2020 பெப்ரவரி 14
கொழும்பு

Chief Executive Officer's Review

Expanding people friendly banking through strategic collaborations



"Our performance has enabled us to continue our profit momentum, whilst continuing to pay dividends to our valued shareholders."

Despite a turbulent year, which challenged the country's economic progress across all sectors and the financial services sector in particular, we have showcased sound resilience in our performance. Such performance has enabled us to continue our profit momentum, whilst continuing to pay dividends to our valued shareholders. Our focused growth strategy, in alignment with country's development plans to support SMEs, and prudent risk management framework has primarily enabled us to sustain growth in deposits and advances, whilst maintaining notable asset quality in terms of net NPA ratio which is well below the industry average.

REVIEWING THE NUMBERS

In line with our strategic direction, we continue to have a strong focus on SME and Retail with a selective approach to Corporates resulting in almost 70% of our advance portfolio being aligned towards SME and Retail segments.

In spite of the slowdown in demand for credit and financial services in general during 2019, we have been able to perform well in comparison to the industry in many aspects. The Bank's overall deposits have shown a commendable growth of 16%, in comparison to the industry average of 8%, to close the year at LKR 72 billion, which is predominantly driven from the retail front. Such growth was well complimented by the growth in new customers, giving a clear indication of the growing acceptance of our unique model of people friendly banking.

Our total advances for the year grew by 9% against the industry average of 5%, whilst our net NPA ratio of 1.5% has remained well below the industry average of 2.8% for 2019. Further, it is highly noteworthy that Retail NPA has recorded a YoY reduction during the year 2019.

Having sustained a steady growth across all business segments, we closed the year with a total Financing Income of LKR 7.7 billion, a growth of 12% against 2018. Further, the Net Operating Income grew by over 9%, whilst the Operating Profits, before all taxes, also recorded a growth of 4% in comparison to the previous year. We were able to achieve a Profit After Tax of LKR 460.9 million, amidst the challenging environment the Bank operated in the year under review, which enabled us to pay a dividend of LKR 200 million to our respected shareholders.

MARKET EXPANSION

With the regulator taking the initiative to issue new directions on Agency Banking principles, Amāna Bank was able to quickly embrace this opportunity by partnering with Pay&Go, the Central Bank approved deposit/payment kiosk network operator. This partnership has expanded our market penetration exponentially, by adding over 700 customer deposit points island-wide overnight. Further, as part of the selective brick & mortar expansion plan, the Bank opened two new branches, expanding its branch network to 31, and added 5 Self Banking Centres, taking its total to 19, which resulted in the total customer deposit touch points crossing 750.

"The Bank's overall deposits have shown a commendable growth of 16%, in comparison to the industry average of 8%, to close the year at LKR 72 billion"

**Total Financing
Income** 7.7
LKR Bn

**Total customer
deposit points** 750+

"With the dawn of the new financial year, we see a sense of hope within the macro environment, where economic growth is driven by a low rate regime, in supporting financing and investments."

STRENGTHENING OUR HUMAN CAPITAL

During the year we continued to invest in our human capital base to develop a high standard of competence. The Bank's attention towards nurturing its human capital through professional development, led to the Bank investing in an e-Learning platform. This empowers staff to access a wide range of pertinent training modules, in developing their knowledge and competencies on an interactive interface.

A cross functional middle management leadership was instituted with a view to groom effective succession whilst facilitating operational decision making. Further, a comprehensive development programme aimed at fast tracking leadership development of recognised staff was initiated which has made a visibly positive impact.

CORPORATE SOCIAL RESPONSIBILITY

Amāna Bank's business model in itself is designed to promote human well-being and our Knowledge Marketing Division has been successful in showcasing the uniquely humane face of our business model among the masses.

Meanwhile, I am pleased and honoured about the launch of the Bank's flagship CSR venture OrphanCare, which is something very close to all our hearts. This unique project was launched in early 2019 with the aim of addressing a very important yet mostly unattended social need of orphan children; which is to secure the future of orphans who are compelled to

leave institutional care once they attain the age of 18. The enrollment process of orphans will be made within the framework set out in Article 2 of the UN Convention on the Rights of the Child. Such enrolled orphans would benefit from the periodic deposits made to their accounts, thereby strengthening their financial standing by the time they leave institutional care. In addition to the financial assistance provided, emphasis is given on providing qualitative support and guidance to these orphans, in collaboration with various institutions and well-wishers.

Moreover, one of the unique features of this project is our pledge that every rupee donated to the OrphanCare Trust will be directly allocated for orphan accounts, as Amāna Bank undertakes to bear all operating and administrative costs of the Trust.

The OrphanCare Trust is independently managed by a team of Trustees who have a proven track record of passionate social service. They have instituted a strong governance framework to maintain the highest standards of integrity and to ensure the long-term sustainability of the Trust. With over 14,000 registered orphans reported in Sri Lanka, the Trust has to-date enrolled over 2500 orphans represented by 75 Orphanages Island wide. The Bank has set its sights on reaching out to all orphans in the country in the near future.

Recognising this worthy initiative, the Bank was awarded the Social Responsible Bank of the Year at the internationally acclaimed IRB Awards in 2019.

OUTLOOK FOR THE NEW FINANCIAL YEAR

With the dawn of the new financial year, we see a sense of hope within the macro environment, where economic growth is driven by a low rate regime, in supporting financing and investments. This is especially evident in the context of policy decisions taken by the Government to support and revive SMEs, in a timely manner to fast track the economic revival of the country. As such, I am confident that the economic conditions and demand for financial services will enjoy an upswing during 2020, buoyed by the latest tax concessions.

I wish to extend my sincere appreciations to the Chairman and Board of Directors along with the Sharia Supervisory Council for their support and advice. I am also grateful to the Trustees of OrphanCare for their active involvement and guidance towards this noble cause. I am also thankful to the regulators, who have been of immense support throughout. Our success has been built on the mutual cooperation of the Amāna Bank team which comprises the management committee and staff and I am grateful for their commitment and dedication at all times.



Mohamed Azmeer
Chief Executive Officer

14 February 2020
Colombo

PROFILE OF CHIEF EXECUTIVE OFFICER

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman. Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd. and LankaClear, the national payment and clearing association of Sri Lanka, and is currently the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

Board of Directors



Standing from Left to Right

Tyeab Akbarally

Deputy Chairman and Non-Executive,
Non-Independent Director

Mohamed Jazri Magdon Ismail

Senior Director and Non-Executive,
Independent Director

Osman Kassim

Chairman and Non-Executive, Non-
Independent Director

Rajiv Nandlal Dvivedi

Non-Executive,
Independent Director

Aaron Russell-Davison

Non-Executive,
Independent Director

Dr. Mostafa Hassan Mohameds Hassan Ai Sabban (Not pictured)

Non-Executive,
Non-Independent Director



Standing from Left to Right

Harsha Amarasekara, PC

Non-Executive,
Non-Independent Director

Syed Muhammed Asim Raza

Non-Executive,
Non-Independent Director

Dilshan Hettiaratchi

Non-Executive,
Independent Director

**Mohammed Ataur Rahman
Chowdhury**

Non-Executive, Non-Independent Director

**Khairul Muzamel Perera Bin
Abdullah**

Non-Executive, Non-Independent Director

Samitha Dayani de Silva

Company Secretary

OSMAN KASSIM

Chairman and Non-Executive, Non-Independent Director

Osman Kassim, a well versed personality in Islamic banking and finance, was instrumental in introducing the concept of Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later on transferred to Amāna Bank PLC in 2011. He is also the Chairman of Amāna Takaful PLC, the first Islamic insurance company in Sri Lanka, and its subsidiary Amāna Takaful Life PLC. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is also the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He also sits on the boards of Aberdeen Holdings (Private) Limited, Ex-Pack Corrugated Cartons (Private) Limited, and CrescentRating (Private) Limited – Singapore.

He holds an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

TYEAB AKBARALLY

Deputy Chairman and Non-Executive, Non-Independent Director

Tyeab Akbarally is a senior Director of Akbar Brothers (Pvt) Limited and its subsidiary companies for the past 35 years. Akbar Brothers (Pvt) Limited is a diversified group of companies and is the leading Tea export company which has won many prestigious awards for their export performances.

Mr. Akbarally has served as a member of the Executive Committee and as a Committee Member at the National Chamber of Commerce, Sri Lanka and the Ceylon Chamber of Commerce. He is a past Chairman of the Spice and Allied Products Traders' Association and the Colombo Tea Traders' Association. He has considerable experience in the import and export trade and has strong business relationships with the Middle Eastern Countries.

MOHAMED JAZRI MAGDON ISMAIL

Senior Director and Non-Executive, Independent Director

Mohamed Jazri Magdon Ismail is a Financial Consultant and the current President of AAT Sri Lanka. He has served on the Directorate of Alhambra Hotels Limited, the Owners and Operators of Holiday Inn Colombo. He is a Fellow of The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and is a Member of the Institute of Certified Management Accountants, Australia. He is a Nominee of the CA Sri Lanka on the Governing Council of the Association of Accounting Technicians of Sri Lanka, of which he is also a Fellow Member.

HARSHA AMARASEKARA, PC

Non-Executive, Non-Independent Director

Resigned w.e.f. 17 February 2020

Harsha Amarasekera, President Counsel is a leading luminary in the legal profession in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts. His fields of expertise include Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Swisstek (Ceylon) PLC (Chairman) & Swisstek Aluminium Limited (Chairman) Vallibel One PLC, Royal Ceramics Lanka PLC, Expolanka Holdings PLC, Chevron Lubricants Lanka PLC, Ambeon Capital PLC, Amaya Leisure PLC, and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

RAJIV NANDLAL DVIVEDI

Non-Executive, Independent Director

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Limited, a privately owned Investments and Advisory firm based in the DIFC, Dubai, UAE. He has over 40 years of Commercial and Investment banking, Corporate Finance and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA.

In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of Candor Group of Companies (Sri Lanka), Eagle Investments Limited (UAE) and Eagle India Investments Sharia Fund I Limited (Mauritius). He holds an MBA in Finance from Long Island University, New York, USA.

PRADEEP DILSHAN RAJEEVA HETTIARATCHI

Non-Executive, Independent Director

Dilshan Hettiaratchi is a Partner/Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking and financial markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets - MENA and Pakistan for Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets.

Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company.

He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panellist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA (UK).

AARON RUSSELL-DAVISON

Non-Executive, Independent Director

Aaron Russell-Davison is a veteran banker with 25 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank, Singapore spanned over 6 years, at the most senior levels of Capital Markets, as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in prominent global institutions such as Credit Suisse, Hong Kong; Standard Bank of South Africa, Hong Kong; and Hypo-Vereins Bank, London.

He has also held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst serving in the capacity of Chairman - Group Risk Committee and as a member in the Group Audit, Remuneration and Related Party Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.

MOHAMMED ATAUR RAHMAN CHOWDHURY

Non-Executive, Non-Independent Director

Mohammed Aatur Rahman Chowdhury is a seasoned financial sector specialist, having spent more than 19 years across in the Financial Institutions domain covering multiple geographic regions across Middle-East, North Africa, West Africa, Central Asia and Southeast Asia. His diversified experience was spent mostly in senior roles in direct

financing, investment banking, commercial banking, FI equities, board representations and turning around financial institutions. Joined in 2007, at present, Mr. Chowdhury holds the position of Head of Banking Equities at the Islamic Corporation for the Development of the Private Sector (ICD); the private sector arm of the Islamic Development Bank (IsDB) Group leading establishments and formulating strategies of more than 15 Islamic banks with aggregate portfolio of nearly USD 260 million.

He is also a Board member in Maldives Islamic Bank and played pivotal roles in the recent successful IPO of the Bank in 2019. Briefly, Mr. Chowdhury also worked as Adviser, Financial Institutions for The European Bank for Reconstruction and Development (EBRD) in London, UK on secondment from ICD.

Mr. Chowdhury's professional career, preceding his ICD tenor, included 7 years in Bangladesh's financial sector, holding the roles of: Corporate Relationship Manager in Commercial Bank of Ceylon Limited (Bangladesh operation), Investment Manager in IPDC (the first Development Financial Institution in the country) and Senior Investment Analyst in BRAC-EPL (a premier investment bank in the country).

A well learned individual, Mr. Chowdhury holds an MBA in Finance from IE Business School, Spain, and another MBA in Finance & Accounting from North South University, Bangladesh. He has also earned a Diploma in Board Certification of Company Direction from the Institute of Directors, United Kingdom.

SYED MUHAMMED ASIM RAZA

Non-Executive, Non-Independent Director

Syed Muhammed Asim Raza has over thirty years of diverse experience in banking and engineering industries at senior management level. He is well versed in all aspects of public and private sectors projects and equity financing including identification, preparation, due diligence, implementation and post implementation activities. He has a vast experience in remedial asset management which involved recovery of classified portfolio through restructuring, liquidation and litigation activities.

Currently attached to Islamic Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as establishment of commercial real estate projects on idle endowment land for transforming them in to revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million. Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions.

He served as Vice President at Muslim Commercial Bank and Atlas Investment Bank Limited. He worked twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan. Mr. Raza holds a bachelor degree in Mechanical Engineering and Masters in Business Administration. He is a member of various Engineering Council and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.

KHAIRUL MUZAMEL PERERA BIN ABDULLAH

Non-Executive, Non-Independent Director

Khairul Muzamel Perera has over 30 years of banking related experience including stints at a credit rating agency and a national asset management institution. He is currently the Chief Credit Officer overseeing the Credit Management Division at Bank Islam Malaysia Berhad, which covers Credit Analysis, Credit Analytics, Valuation and the Central Financing Processing function.

He also Chairs various Financing Committees and the Underwriting & Investment Committee in the Bank and the Investment Committee at BIMB Investment Management Berhad, a wholly owned subsidiary of the Bank. Khairul joined the Risk Management Division of the Bank in April 2009, heading the Credit Risk Management unit. A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London and a Chartered member of the Chartered Institute of Islamic Finance Professionals, Malaysia.

DR. MOSTAFA HASSAN MOHAMED HASSAN AL SABBAN

Non-Executive, Non-Independent Director

Resigned w.e.f. 15 February 2020

Dr. Mostafa Hassan Mohamed Hassan Al Sabban is a senior investment banking professional who has more than 35 years transactions experience in financial services and private equity focusing on the oil & gas, hospital, automobile and infrastructure sectors. Lately Mr. Sabban has been with the Islamic Corporation for the Development of the Private Sector, focusing on corporate strategy and realignment of various business functions in the organisation. Mr. Sabban was previously the Senior Partner of DC Gulf, a Dubai-based private equity boutique launched by himself in 2010. The company provides a wide range

of corporate finance, investment & business development advisory services to a diversified client base in the MENA region. His track record includes originating and closing transactions comprising equity investments of close to \$500 million. Mr. Sabban's focus has been on intrinsic value investing and include structuring of hedged investments for a \$2.5 billion global energy and commodities private equity fund with exit returns in the 20-25% IRR range. Dr. Sabban has long established relationships with several high net worth investment groups and family offices in the MENA region which he has been able to leverage extensively throughout his career.

Before launching DC Gulf, Mr. Sabban was a Vice President at the Direct Investments Group in SEDCO Holding, a Jeddah-based investment holding company. He also has worked in the Treasury and Asset Management departments at multiple international banks including Chase Manhattan, Saudi Hollandi Bank (ABN-AMRO) and Banque Saudi Fransi (Credit Agricole).

Mr. Sabban holds a Bachelors of Commerce in Management and Accounting. He obtained his MS in Hospital Management in 1992 and MBA in 1994. Dr. Sabban obtained his PhD in IT and Business Management in 2002. He also holds multiple diplomas in the fields on risk management, private equity and performance management. He is fluent in French, English and Arabic and is currently based out of Dubai, UAE.

MRS. SAMITHA DAYANI DE SILVA

Company Secretary

Mrs. Dayani de Silva joined Amāna Bank PLC in March 2016.

Dayani, a Fellow Member of ICSA – The Chartered Governance Institute UK, was also awarded Founder Membership of the Institute of Chartered Corporate Secretaries, Sri Lanka. Her professional experience as a Chartered Governance Professional spans over 30 years. She is a Member of the Core Committee of the Chartered Governance Institutes's Branch in Sri Lanka and is actively involved in the furtherance of the professional engagements embarked into by the Branch.

Prior to joining Amāna Bank, her experience included Corporate Secretaryship in a Finance Company and thereafter in a local Multinational Group (presently owned by a conglomerate based in UAE). Her experience in this Group of Companies specifically included incorporation of a Finance & Leasing Company, an Insurance Company and also obtaining relevant regulatory licenses for the above companies. Additionally, she also has exposure to People Management.

In the recent past Dayani was invited by an Accounting Body in Sri Lanka to participate as a Guest Speaker on Corporate Practices with specific focus on Corporate Governance. She has continued to offer her expertise to such forums.

Independent Sharia Supervisory Council

ASH-SHEIKH DR. MUFTI MUHAMMAD IMRAN ASHRAF USMANI

Chairman, Sharia Supervisory Council

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an LL.B and Ph.D. in Islamic Finance. He is a member of the administration board of Jamia Darul-Uloom, Karachi.

Presently Dr. Usmani is the Resident Sharia Board Member at Meezan Bank and is responsible for Research and Product Development of Islamic Banking products, advisory for Sharia-compliant Banking and supervision of Sharia Audit & Compliance.

Dr. Usmani has served as an advisor / member of Sharia Boards of several renowned institutions since 1997 including the State Bank of Pakistan, HSBC - Amānah Finance, UBS Switzerland, Guidance Financial Group USA, Lloyds TSB Bank UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, RBS Global, Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliiji Bank Qatar, Sarasin Bank Switzerland, DCD Group Dubai, International Centre for Education in Islamic Finance (INCEIF) and other mutual and property funds, Takaful companies and international Sukuk, etc.

He is also an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Member of the Executive

Committee at Centre for Islamic Economics (CIE), Karachi.

Dr. Usmani is the author of numerous publications related to Islamic Finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA.

ASH-SHEIKH MOHD. NAZRI CHIK

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik, a Certified Sharia Adviser and Auditor (CSAA-AAOIFI) is the Group Chief Shariah Officer of BIMB Holdings PLC and General Manager, Strategic Relations of Bank Islam Malaysia. He holds a Master's Degree in Sharia from University of Malaya and Certificate in Internal Auditing for Financial Institutions (CIAFIN) from Asian Institute of Chartered Bankers (AICB). He started his career as a tutor in the University until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai in September 2009 as its Sharia Audit Manager. During this time, he had been appointed as a member of Bank Islam's Sharia Supervisory Council until he re-joined the Bank as its Head of Sharia in January 2011. He is also a Registered Sharia Advisor with the Securities Commission Malaysia, a Sharia Advisor of Malaysia Professional Accountancy Centre (MyPAC) and BIMB Securities Management LLC, Accredited Panel of Finance Accreditation Agency (FAA); Member of Professional Development Committee of Association of Sharia Advisors Malaysia (ASAS), Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM), a member of Board of Directors of Terengganu Incorporated, the investment arm of Terengganu state of Malaysia and an academic advisor to various Islamic finance programmes offered by Universities in Malaysia.

ASH-SHEIKH M.M.A. MUBARAK

Member, Sharia Supervisory Council

Ash-Sheikh M.M.A. Mubarak is the former President and present General Secretary of the All Ceylon Jamiyyathul Ulama. He is a highly-learned and respected scholar who holds a Bachelor of Islamic Law (Sharia) Degree from the Islamic University of Madina Al Munawwara, Saudi Arabia. He is a retired Principal of Sri Lanka's leading Arabic College Al-Ghaffooriya Arabic College, Maharagama and is the Deputy Chairman of Abd Azeez Bin Baaz Ladies Arabic College, Malwana, Sri Lanka.

Ash-Sheikh Mubarak is a highly respected scholar and an author to several books and publications on the topic of Sharia and other Islamic Studies. He has delivered a series of speeches related to Islamic Law on the Radio for more than ten years.

ASH-SHEIKH MUFTI M.I.M. RIZWE

Member, Sharia Supervisory Council

Ash-Sheikh Mufti M.I.M. Rizwe is a well renowned scholar locally and internationally. He currently holds the position of President of the All Ceylon Jamiyyathul Ulama (ACJU), the apex body of Muslim Theologians which was established in the year 1924. He is also Ex Officio President of various committees of the ACJU.

He gained his early education in Sri Lanka before moving to Jamia Uloomul Islaamiyya, Karachi, where he pursued for specialisation in Islamic Jurisprudence. He gained MA in Arabic & Islamic Studies, which is recognised by the Higher Education Commission of Pakistan.

He is an Executive Member of the Supreme Council of Congress of Religions - Sri Lanka. He is also a member and Advisor of the Supreme Council of Madaaris Ul Arabiyya (Federation of

the 250 Arabic Colleges in Sri Lanka which are registered at the Muslim Religious & Cultural Affairs Department). He also lectures in a number of colleges and serves in the capacity of President and an Advisor to a number of Arabic colleges locally and internationally.

Mufti Rizwe is the Founder of Mahmoud Institute, which was established for the sole purpose of developing the skills of Ulama (scholars) to face the current challenges prevailing in the community and Founder and Director of Islamic Careline Counselling (Guarantee) Limited, Colombo, which provides individuals and families with the support and service to overcome Marital & Psychological problems.

Mufti Rizwe has been a frequent traveller across the world, where he has conducted and attended several programmes in Asian, Middle Eastern, African, European and North American countries for the purpose of promoting peace and coexistence whilst encouraging spiritual growth and skills development.

He is the Chairman of the Sharia Supervisory Council of Amāna Takaful PLC and a member of Sharia Boards of several other Islamic Financial Institutions in Sri Lanka and Maldives and an Advisor to Izumi Enterprise, Japan.

Mufti M.I.M. Rizwe has also been selected among the 500 most influential Muslims worldwide. The evaluation is done annually by the Royal Islamic Strategy Study Centre based in Amman, Jordan (www.risscjo) (<http://themuslim500.com/profile/m-i-m-rizvi-mufti>).

ASH-SHEIKH MUFTI MUHAMMAD HASSAAN KALEEM

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He studied traditional Islamic studies under the guidance of eminent Islamic Scholars from a well-known Islamic Seminary Jamia Darul Uloom, Karachi. He holds vast experience of teaching various Islamic Subjects at the same Institute for the past 20 years.

Mufti Hassaan is considered as one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd- Pakistan, Hanover Re Takaful-Bahrain, and Takaful Emirate- UAE.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards and Member of Subcommittee of Sharia Standards at AAOIFI- Bahrain, Permanent faculty member of Centre for Islamic Economics Karachi, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Centre for Excellence in Islamic Finance (CEIF) - IBA. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

Currently, he works as Country Head of Sharia of Dubai Islamic Bank Pakistan Ltd as well as a teacher in Jamia Darul Uloom Karachi. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has participated in many Islamic Finance conferences and seminars around the world and delivered lectures and presentations.

Profiles of Strategic Shareholders

ISLAMIC DEVELOPMENT BANK¹

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57 member countries across four continents - touching the lives of 1 in 5 of the world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and operating assets of more than USD 16 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has major hubs in Morocco, Malaysia, Kazakhstan and Senegal, and gateway offices in Egypt, Turkey, Indonesia, Bangladesh and Nigeria. IsDB's 5 pillars of activities include: (i) building partnerships between governments, the private sector and civil society through public private partnerships; (ii) adding value to the economies and societies of developing countries through increased skills and knowledge sharing; (iii) focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals; (iv) promoting global development that is underpinned by Sharia compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance; and, (v) fostering collaboration between IsDB's members nations in a uniquely non-political environment, focusing on the betterment of humanity.

THE ISLAMIC CORPORATION FOR THE DEVELOPMENT OF THE PRIVATE SECTOR

LIMITED PARTNER OF IB GROWTH FUND (LABUAN) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral development financial institution and is part of the Islamic Development Bank (IsDB) Group. Founded in November 1999, ICD was established to support the economic development of its member countries through the extension of finance for private sector projects, promoting entrepreneurship, encouraging cross-border investments, and providing advisory services to governments and private companies. ICD's authorised capital is US\$ 4 billion, and its current shareholders are: the IsDB, fifty-four (54) Islamic countries and five (5) public financial institutions. ICD's development mandate ensures that its interventions are underpinned by factors that promote for: job creation, Islamic finance development, contribution to exports etc. As for its advisory services, ICD looks to aid governments and private sector groups on issues ranging from policy design to the advancement of private enterprises; other areas include: development of capital markets, and adoption of best management and governance practices. ICD strives to add value in its member countries by complementing the activities of IsDB and respective national financial institutions.

BANK ISLAM MALAYSIA BERHAD

Since its inception in March 1983, Bank Islam has not only become the symbol of Islamic banking in Malaysia, it has also played an integral role in setting the stage for a robust growth of the country's Islamic financial

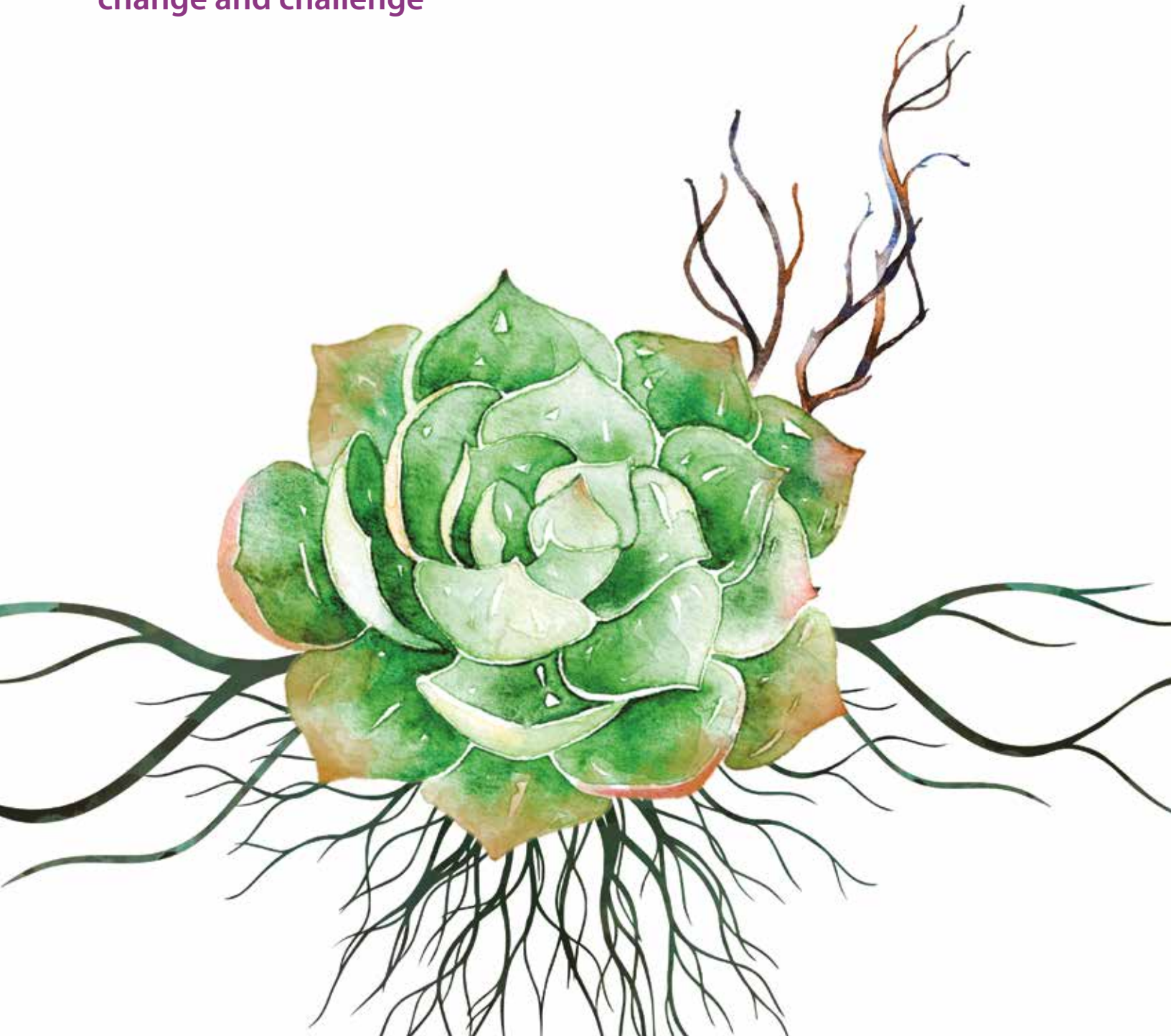
services industry. True to its pioneering and innovative heritage, Bank Islam is committed to its role as a leading vehicle in transforming Malaysia into a global Islamic financial hub. To this end, Bank Islam continuously develops and introduces trendsetting financial solutions, some of which are the first-of-its-kind in the world or at least in the region in widening the breadth of its innovative end-to-end Sharia based financial products and services, comparable to that offered by its conventional counterparts. Today, Bank Islam offers a diversified range of Islamic financial products and services through its network of 144 branches and more than 956 self-service terminals nationwide. Bank Islam's solutions are designed to realise the financial and banking needs of all people in line with its mission to deliver value for the good of the society and nation.

AKBAR BROTHERS (PVT) LIMITED

A 50 year old company, export of internationally renowned Sri Lankan Teas being their core business, Akbar Brothers has successfully diversified into a range of sectors through strategic reinvention and expansion, and today, the Group has a firm presence in the sectors of Tea Export, Power Generation, Healthcare & Pharmaceutical Manufacturing, Packaging, Property Development, Agriculture and Environmental Services. Akbar Brothers rank proudly as the largest exporter of Ceylon Tea in the country, a position held for the past 40 consecutive years, and has been the recipient of many top national and international awards over the years including the prestigious Presidential Award for Sri Lanka Exporter of the Year, for outstanding exports to over 90 countries worldwide.

¹Source: <https://www.isdb.org/who-we-are/about-isdb>

Hand in hand, we are valuing our
shareholders for the confidence
that they have placed upon us,
equipped with resilience amidst
change and challenge



Management Committee



Standing from Left to Right

Mohamed Azmeer

Chief Executive Officer

M. M. S. Quvylidh

Senior Vice President
- Corporate & SME
Banking

M. Pharis Jazeel

Senior Vice President -
Treasury and Financial
Institutions

Ajmal Naleer

Chief Risk Officer

M. Ali Wahid

Chief Financial Officer

Siddeeqe Akbar

Vice President -
Retail Banking &
Marketing



Standing from Left to Right

Rajitha Dissanayake

Chief Information
Officer

Irshad Iqbal

Chief Compliance
Officer

Fazly Marikar

Vice President - Strategy
Management & Product
Innovation

Imtiaz Iqbal

Vice President -
Operations

Numair Cassim

Chief Internal Auditor

Assistant Vice Presidents and Heads of Departments



Standing from Left to Right

Sulani Dayaratne

Head of Legal

Samitha Dayani de Silva

Company Secretary

Nista Badurdeen

Assistant Vice President
- Central Operations and
Trade Services

Farhan Refai

Head of Human Resources

Chaminda de Silva

Assistant Vice President -
Commercial Leasing

**Ash-Sheikh Nazhan
Naurooz**

In-House Sharia Advisor

Senior Managers



Tariq Mahmud

Head of Knowledge Marketing & Financial Inclusion



Azam Ameer

Head of Business - Kandy Branch



Rizah Ismail

Senior Manager - Remedial



Irshard Othman

Senior Manager - Corporate Secretarial and Investor Relations



Arshad Jamaldeen

Head of Deposits



Harindra Obeyesekere

Senior Manager - Treasury



Sujeewa Weerasinghe

Senior Manager - IT Business Systems & Support



Prince Kevitiyagala

Senior Manager - Projects



Inthikab Hanifone

Head of SME Banking - Western Region



Anver Asver

Head of Branch Operations



Ramakrishnan Kirubakaran

Head of Retail Advances



Rajendra Jayasinghe

Head of Corporate Banking / FCBU - Western Region



Mohamed Kiyasudeen

Senior Manager - Information Security



Arshad Adhnan

Head of Credit Risk



Niyaz Aboobucker

Head of Equity Trading



M. Farshad Cader

Head of Financial Institutions



Sanjeewa Fonseka

Head of Digital Banking



Azad Zaheed

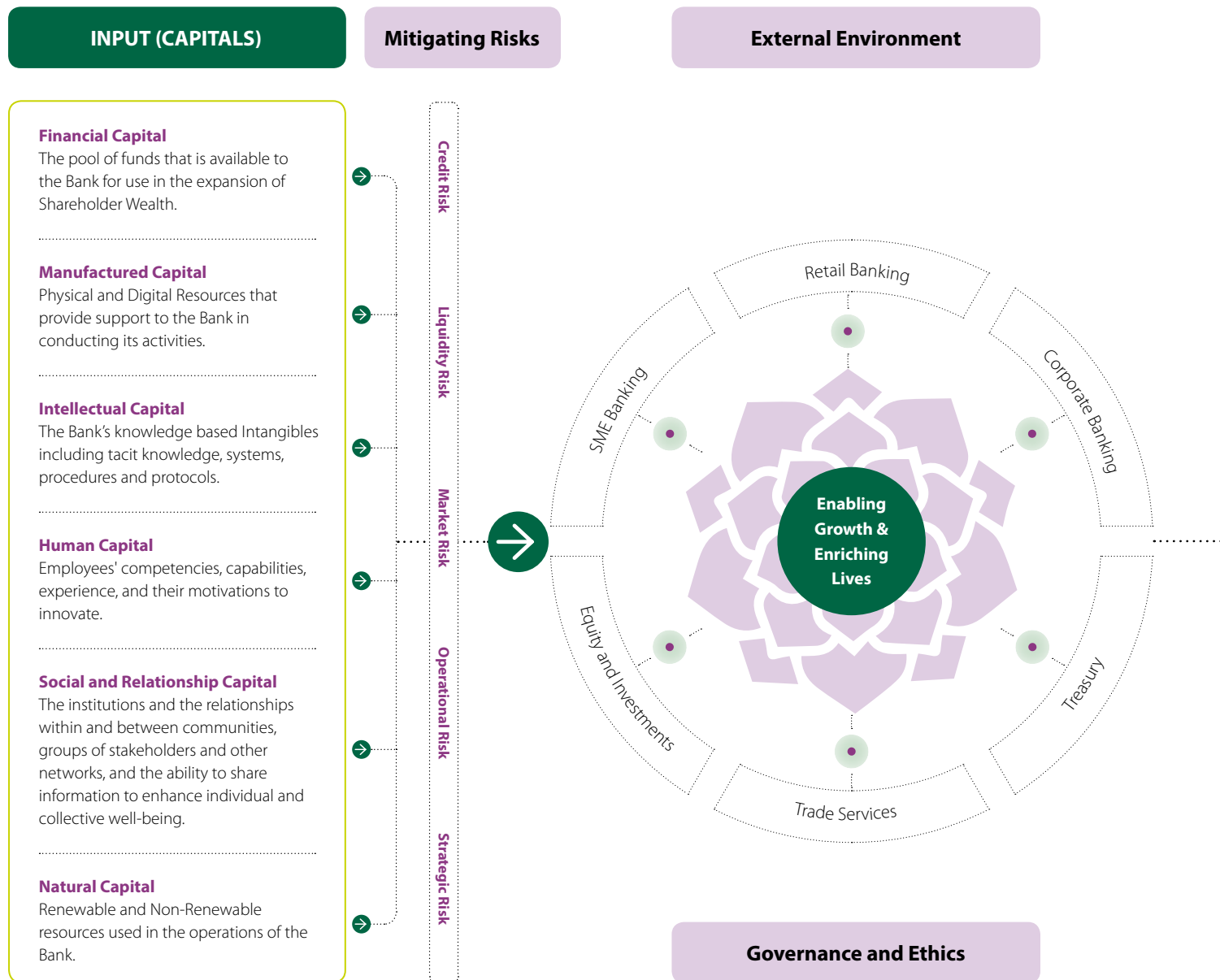
Head of OrphanCare

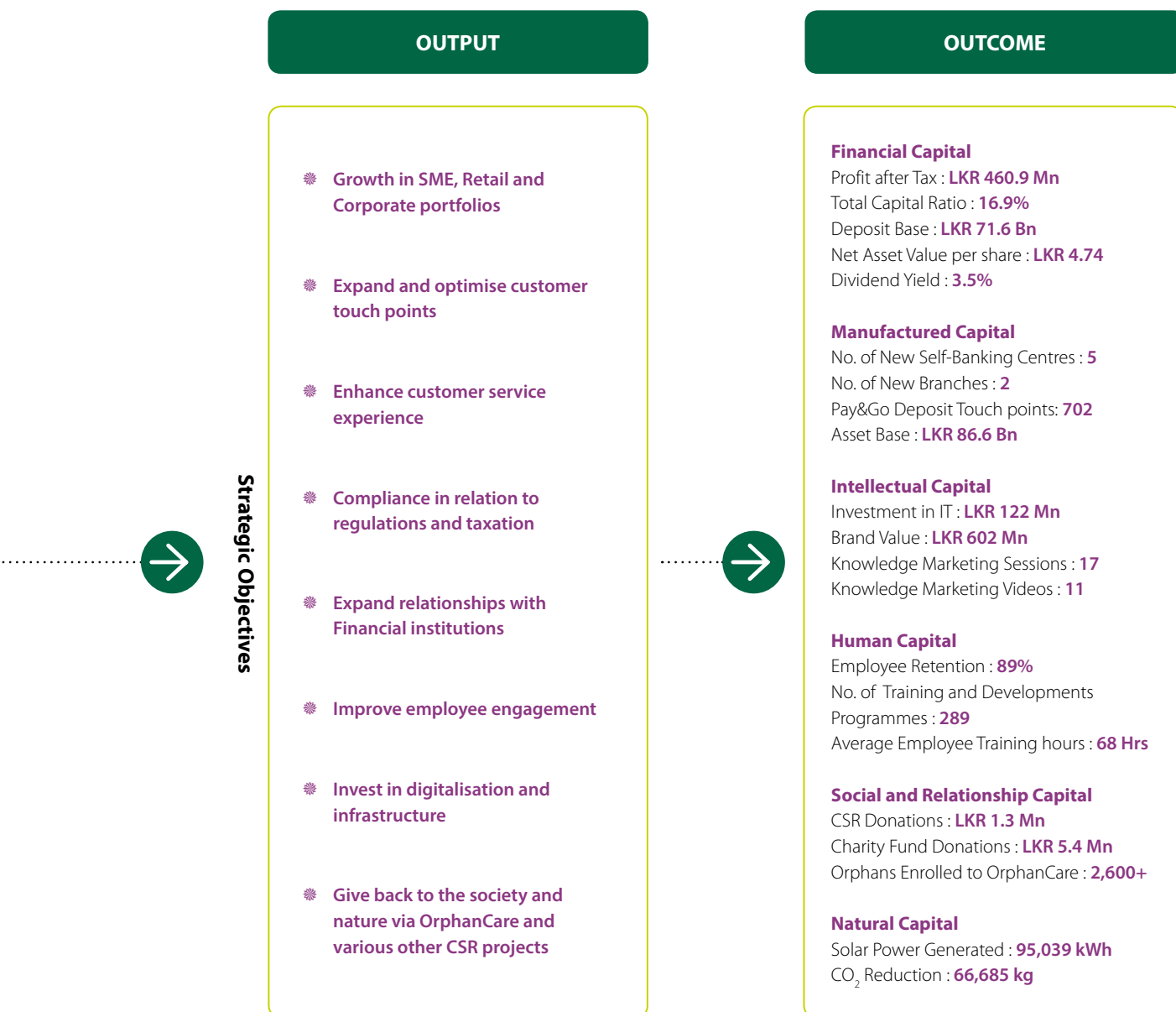
Hand in hand, we are helping the underprivileged to gain a steady footing in life through our OrphanCare programme; an initiative that is taking root in more ways than one



Our Value Creation Model

This figure shows the value created by the Bank overtime. The Capitals (Inputs) are fed to the activities and processes (improved customer products) of the Bank. This in turn generates Outputs and Outcomes. The Outputs are the value created for the Bank and its stakeholders in the short term, whilst Outcomes are the value created in medium to long term.





Management Discussion and Analysis

FINANCIAL REVIEW

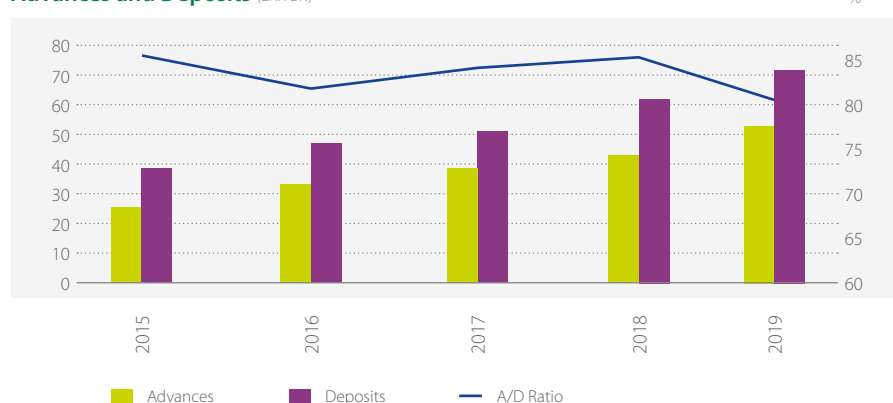
The year under review witnessed a lower rate of economic growth when compared against the recent past, which is estimated at 2.7%. This is mainly due to the setback that the country experienced after the senseless terrorist attacks in April which crippled the entire economy and dented business confidence. The banking sector felt the multiple effects that followed, as businesses went through a difficult period whilst the country tried its best to get back to restoring normalcy. Various regulatory measures were undertaken in a bid to support industries that underwent the resulting financial stress and revive economic activity in the short to mid-term. While such measures will go a long way in assisting businesses in the future, the banking sector however recorded a reduced level of profitability in 2019 due to a low growth rate in credit expansion and weakening asset quality. Your Bank, despite a challenging twelve months, displayed great perseverance to achieve the reported results. The Board and Senior Management realigned the Bank's strategies to ensure that it remained on course and sustained its financial profile. Owing to such efforts, the Bank rewarded its shareholders once again in 2019 with the second successive dividend payment of LKR 0.08 per share which translates to LKR 200.1 million.

While the banking industry recorded a modest growth in 2019, Amāna Bank continued its trend of expanding its total assets base despite unfavourable market conditions. Total Assets grew by 12% closing the year at LKR 86.6 billion from LKR 77.2 billion in 2018. Although policy measures were adopted to spur growth in credit, banking industry growth for the year registered as 5% in YoY terms. Through the collective efforts of the Bank's core segments, Corporate, SME and Retail, the advances portfolio posted a steady growth of over 9%, which is well above the industry credit growth to reach LKR 57.7 billion from LKR 52.9 billion as at 2018. As a result of the growing acceptance

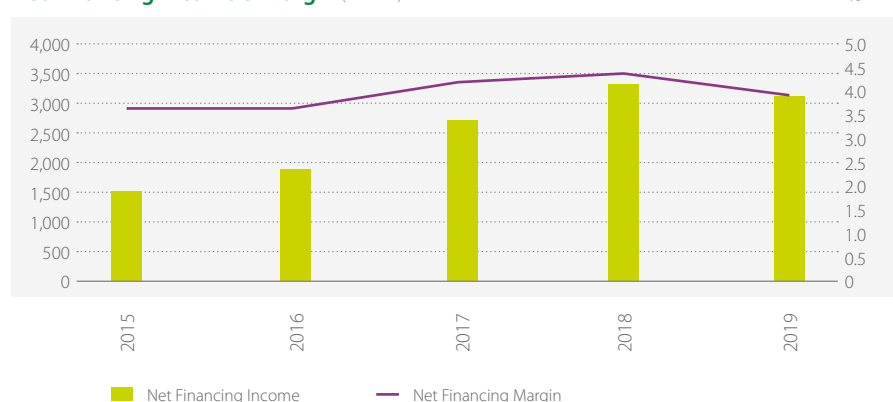
of our banking model, customer deposits grew substantially to move up to LKR 71.6 billion from LKR 61.7 billion, reflecting an increase of 16%. This achievement was amidst the monetary policy measures that were implemented during the year to maintain low market rates. The Bank strategically used its unique deposit segments (Prestige, Vantage and Expat Gold), existing and new branches & self-banking centres opened in 2019 to mobilise these funds alongside improved customer service which is a key ingredient for customer acquisition and retention. The Advance to Deposit ratio was maintained at a healthy level throughout the financial year.

Financing income recorded a reasonable growth of 12% to reach LKR 7.7 billion from LKR 6.9 billion in 2018 despite downward pressure on market financing rates especially in the last quarter. However, net financing income declined to LKR 3.2 billion from LKR 3.4 billion due to the higher growth in customer deposits and the resultant increase in financing expenses and also prompted by the market shift to more stable and better yielding deposits rather than Current Accounts and Savings Accounts (CASA) deposits. Despite this, the Bank still continues to enjoy a higher CASA ratio compared to the industry which places it at an advantageous position. The above impacted the Bank's financing margin lowering it to 3.9% from 4.4%.

Advances and Deposits (LKR Bn)



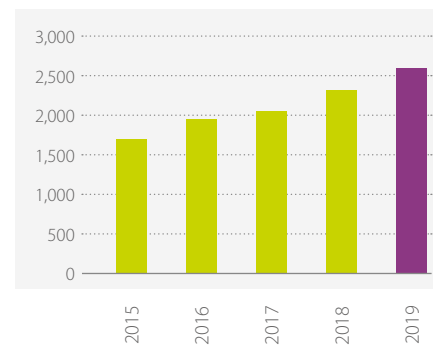
Net Financing Income & Margin (LKR Mn)



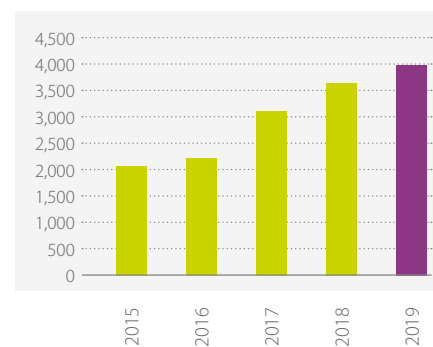
Non funds based income improved in the year under review by 10.8% to record LKR 329.0 million. The Bank remains very keen on increasing this share of income to total income but due to subdued level of economic activity in terms of the external sector this year, fee based income from international trade did not flow in as expected. Income from foreign exchange transactions and net other operating income rose, to post an aggregate of LKR 762.7 million which resulted in the total operating income reaching LKR 4.2 billion for 2019. Following the implementation of SLFRS 9 on Financial Instruments in 2018, industry impairment charges on customer advances increased drastically which had a direct impact on its profitability. However, the Bank's conscious efforts in minimising non-performing advances through timely follow up and ensuring effective collection of dues paved the way for a substantial reduction in impairment charges this year from LKR 476.8 million to LKR 288.9 million. After providing for the above, the Bank closed the year with a net operating income of LKR 3.9 billion compared to LKR 3.6 billion in 2018 which is an increase of 9.4%. Non performing advances (NPA) in the industry saw a sharp increase especially after the bombings that took place in April last year. However, the Bank, through timely customer engagements managed its NPA in an effective manner to maintain its ratios extremely well compared to the industry levels at year end, recording a net NPA ratio of 1.5% and a gross NPA ratio of 3.7%, against the industry average of 2.8% and 4.7% respectively.

With the addition of new branches, self-banking centres and digital enhancements, the operating expenses of the Bank rose by 12.4% to LKR 2.6 billion from LKR 2.3 billion. Despite rising cost structures, various cost containment strategies initiated in previous years are continuously being monitored for better results whilst alternatives are being explored where possible for meaningful reduction in costs. After considering the above, the Bank's Operating Profit, before taxes, grew by LKR 54 million or 4%, to record LKR 1.38 billion in 2019. Value Added Tax on Financial Services, Nation Building Tax and Debt Repayment Levy amounted to LKR 531.8 million leading to a Profit Before Tax of LKR 844.8 million. As income tax expenses amounted LKR 383.9 million, the Bank ended 2019 with a Profit After Tax of LKR 460.9 million. The aggregate of all taxes paid amounted to LKR 915.7 million which translates to an effective tax rate of 66.5% as the banking industry continued to incur high tax expenditure even in 2019. However, the recently announced tax reforms and resulting concessions, augurs well for the industry and its investors as these will improve the industry's outlook by significantly lowering such effective tax in the future.

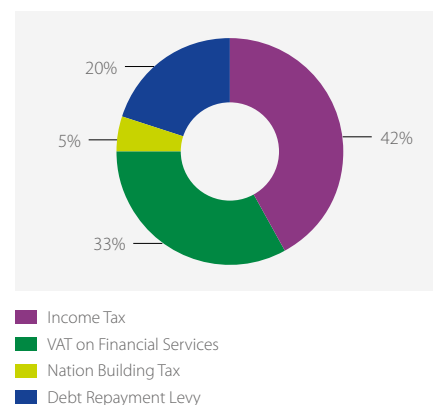
Total Operating Expenses (LKR Mn)



Net Operating Income (LKR Mn)



Taxation - 2019



RETAIL BANKING

Despite the challenging market conditions, Retail Banking continued to be a mainstream contributor towards the Bank's growth in deposits and advances ensuring the Bank maintained a healthy portfolio. Enabling such growth in Retail Banking is a result of the strategic direction established in the beginning of the year, where Retail Banking defined its competitive advantage in terms of Portrayal of Model, Customer Experience and its Digital Outreach.

Portrayal of Model

The Bank continued to invest in its knowledge marketing activities, through which the Bank is creating awareness of its people friendly banking model. Having received wide recognition and acceptance for its animated video series on the non-interest based banking model, the dedicated Knowledge Marketing Unit, continued to produce similar videos on key topics and products. The Bank also extended the video series in Tamil and Sinhala for the benefit of its multi-ethnic customer base. The Knowledge Marketing Unit also carried out multiple customer awareness programmes across the country, while also extending its training programmes to bank staff. Key learning material was also developed and uploaded on the Bank's e-learning platform.

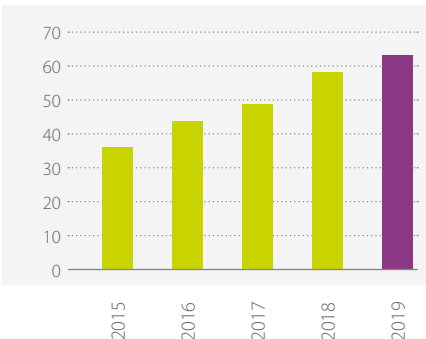
The weekly staff quiz programme saw growing interest in 2019. A similar quiz programme was also carried out in Facebook for customers, which witnessed great interest and participation.

Customer Experience

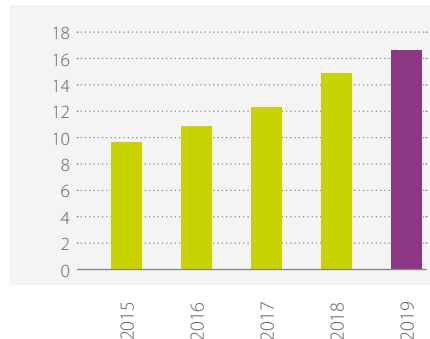
Customer Experience through superior customer engagement, service and speed continued to be a key focus area towards the success of Retail Banking. The Bank continued to invest and leverage on its exclusive banking propositions Amāna Bank Prestige, Amāna Bank Vantage, Amāna Bank Expat Gold and Amāna Bank Business Plus, which as a result saw increase in both customer base and portfolio.

The Bank continued to grow its Ladies' Savings and Children's Savings propositions during the year by carrying out novel promotional programmes while also offering added conveniences. Such growth was also assisted by strengthening the retail banking structure with improved focus on Ladies' and Children's Savings accounts. The Bank also built on its novel savings and investment offerings, Amāna Bank Savings Plan and Amāna Bank Flexi Term Investment, during the year.

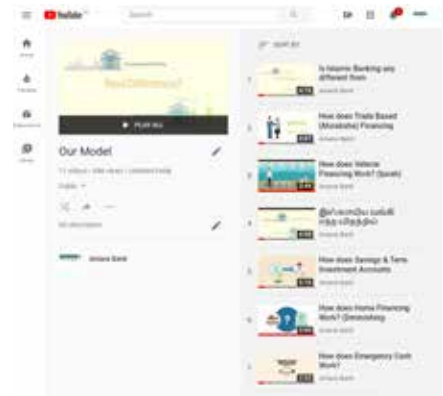
Retail Banking Deposits (LKR Bn)



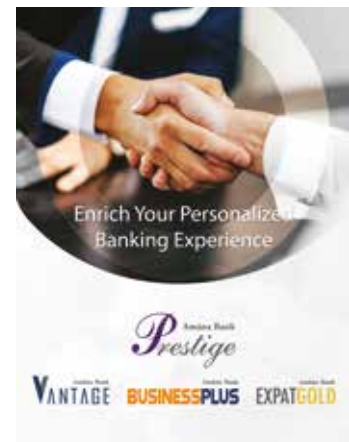
Retail Banking Advances (LKR Bn)



Knowledge Marketing Customer Awareness Program



Knowledge Marketing Playlist on YouTube

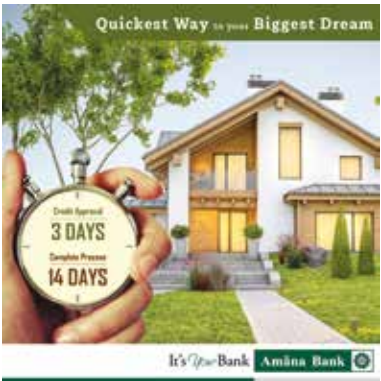


Owing to the focus on being 'Best in Speed – Best in Price', the Bank's retail advances showcased strong growth during the year. The Bank's home-financing and vehicle financing solutions continued to gain wider acceptance with the inclusion of many benefits including, best in market pricing, 14 days facility disbursement for home financing as well as 7 year repayment flexibility for vehicle financing. The Bank also revamped its Motor Bike Leasing facility with added benefits for those customers seeking to purchase their first ride. The Bank's award winning Gold Certificate Financing Solution continued to record strong growth during the year with the expansion of the service to new branches opened in Beruwala and Panadura.

Due to having an efficient collection system and process in place within retail advances, Retail Banking was a significant contributor to ensure the Bank's Non-Performing Advances(NPA) were well below industry averages, in a period which saw industry NPAs soaring.

With the Bank's Self Banking Centre concept being well received due to the convenience it offers to customers, the Bank commissioned 5 more Self Banking Centres during 2019 in Maligawatte, Wattala, Dehiwala - Hospital Road, Dehiwala – Hill Street and Siyambalgaskotuwa, thereby increasing its Self-Banking Centre network to 19.

2019 also saw the Bank's Debit Card services being optimised for customer convenience with the introduction of Visa PayWave contactless cards as well as offering cash back bill-wipe outs and a range of merchant discounts throughout the year. In addition to having the general Debit Card and Prestige Debit Card, the Bank also introduced its very own Ladies Debit Card in 2019. With a partnership with Global Payments, the Bank is now enabled to provide its customers with POS payment machine facilities.



Digital Outreach

Ensuring customer convenience and access were pivotal for the success of Retail Banking operations, for which the Bank highly focused on leveraging on digital platforms and collaborations. A key highlight was the Bank's tie up with Pay&Go, which increased the Bank's reach overnight, from 50 points to 750 points island-wide. This partnership has enabled all Amāna Bank customers across the country to directly deposit money and enjoy real-time credits to their accounts at over 700 Pay&Go kiosks. Pay&Go have transformed the way Sri Lankan's make everyday payments by taking every measure to ensure convenience, through placing kiosks in all prominent locations and customer hotspots.

During the year, greater demand and acceptance was received for the Bank's other digital conveniences introduced, such as Doorstep Banking, Online Account Opening, Internet and Mobile Banking, E-statements and SMS alerts. Having had a good response to its 'Online Account Opening' platform, the Bank extended the same convenience for customers to apply for retail financing facilities online as well.



BUSINESS BANKING

Business Banking Assets

The Bank continued its focus on Business Banking facilities which made up a healthy 71% of Financing Assets (Advances) of the Bank. As a fast growing Bank and in line with its strategic plan, one of Amāna Bank's key focus areas is partnering with Small and Medium Enterprises (SME) which constitutes 41% of the advances portfolio and emerging corporates which are considered to be the thrust sectors of the economy. It is encouraging to note that during its journey over the years, the Bank has been able to support the activities of several SMEs, enabling them to advance to the level of Emerging Corporates improving their scale and profitability.

The year commenced with the setting up of key targets that the Business Banking Division (BBD) was required to achieve and as the first quarter ended, the portfolio witnessed a significant growth, from where it closed in 2018. However, after the unfortunate incidents in April 2019, the rest of the year proved to be exceptionally challenging as the slowdown in economic activity took a toll on businesses. Despite this trend, the Bank, through effective customer engagement and a positive business approach was able to maintain a reasonable portfolio growth of 8% YoY.

Gross Advances	2019 LKR Mn	2018 LKR Mn	Growth (%)
Corporate	18,154	16,486	10.1
SME Portfolio	24,063	22,592	6.5
Total	42,217	39,078	8.0

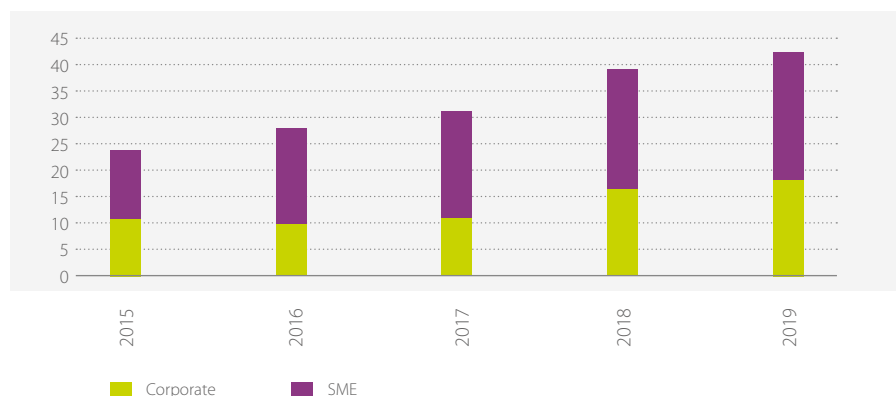
The Business Banking's share in the Asset Portfolio of the Bank has continuously made BBD a key contributor to the top line, with income from this business segment constituting to 57% of the total income, witnessing a YoY growth of 12%.

Income	2019 LKR '000	2018 LKR '000	Growth (%)
Financing Income	4,844,792	4,329,232	11.9
Net Fee and Commission Income	150,607	131,216	14.8
Total Income	4,995,399	4,460,448	12.0

Asset Quality

A lot of effort is made by BBD at pre-financing as well as at post-financing levels to ensure a quality portfolio of assets is maintained with robust credit evaluation at the business source level itself by competent credit officers and relationship managers, going beyond mere reliance on realisation of collateral. Continuous close monitoring by dedicated staff members further helped ensuring asset quality whereby enabling timely corrective actions. In this regard an SMS alert system was also introduced during the year to provide timely information to business banking customers on payments. These multi-pronged efforts have helped BBD to maintain a healthy NPA ratio well below the industry average.

Business Banking Portfolio (LKR Bn)

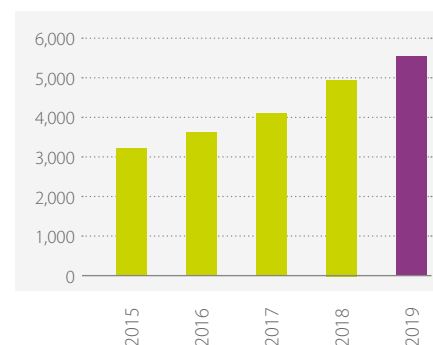


Furthering these efforts during this difficult period, BBD ensured constant engagement with customers, to obtain regular feedback on customer specific business conditions and provide necessary concessions and alternate solutions in a bid to sustain their business operations. These benefits were in line with concessions offered by the Government and the Central Bank of Sri Lanka to those sectors which were directly affected by the tragedy that took place in April. In addition, the Bank also provided concessions to other customers on a needs basis, purely following one of the core values of our banking model which is to provide relief to customers at times of genuine difficulties.

Key Sectors

The Bank continued to finance key economic sectors which include agriculture, rice milling and storing as well as fresh produce cultivation. The Bank extended its assistance to business customers dealing in traditional commercial crops such as tea, rubber and coconut whilst also supporting those involved in animal husbandry, prawn farming, dairy, poultry, leather manufacturing and fisheries.

Business Banking Income (LKR Bn)



In addition, Business Banking widely expanded its involvement in the services sector through its presence in the IT, Tourism, Healthcare, Education, Transport, Energy, Bunkering Services and Real Estate markets.

The year under review saw Business Banking venturing into new sectors such as Solar Power and Mineral Sands.

Corporate Banking

The Bank continued its focused and selective approach towards corporate clients and played a leading role in financing several large Development Projects in industries such as Construction, Marine, Engineering, Sustainable Energy, Health and Agri-related Industries such as Paddy and Aqua Culture. Corporate Banking being able to take on board several large conglomerates is an indication towards the acceptance of the Bank's business model as well as the level of service.

Leveraging on information technology during the year, the Bank extended CEFTS payment services via Internet Banking to Corporate customers, thereby increasing service offerings to this segment.

The Corporate Banking team was able to finance a customer who deals in the local value addition process, end-to-end in the mineral sand industry. This deal facilitated the entire export of the value added product from the country which was one of the largest facility disbursements that took place during the year. This has enabled the country at a macro level to retain valuable foreign exchange income, which would have been directed out of the country, had the foreign bidders been successful at the competitive international tenders called for this venture.

SME Banking

The strategic focus of the Bank is to predominantly be an SME Bank and to this effect BBD ensures proper resource allocation so that the SMEs are served seamlessly through its branch network. For this purpose, the Bank continues to adopt a regional structure in terms of SME financing which has generated the desired results.

Business Banking also strives to serve SMEs beyond the branch command areas. In this regard, the Bank's Self Banking Centres are considered a key enabler in providing SMEs access to banking beyond the branch network.

Commercial Leasing Unit

The Commercial Leasing Unit is a dedicated team formed to support Head Office and Branches on promoting and assisting leasing facilities provided to the SME category, where the main thrust sectors include Transport, Travel and Tourism, Distribution, Construction, etc. The Unit is also engaged in expanding the SME portfolio within the Bank. Motor Lorries (Light/Heavy), Motor Coaches (Light/Heavy), Machinery and other Vehicles are considered under this segment.

Ever since forming this unit in 2017, the Commercial Leasing portfolio has progressed steadily over the years. Moreover, despite many obstacles during the year under review, the Commercial Leasing portfolio grew by a healthy 20%, whilst maintaining a low NPA ratio.

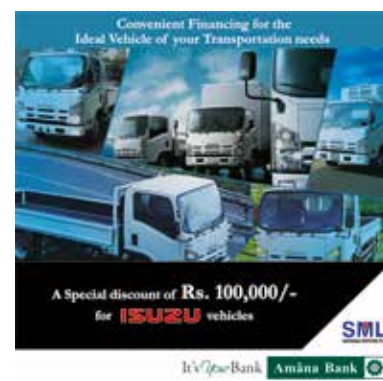
During the 2019, the Commercial Leasing Unit conducted several tie-ups and promotions with leading authorised commercial vehicle dealers in order to create awareness and offer significant benefits to the SME sector.



Mineral sand venture financed by Amāna Bank



Commercial leasing promotion



Trade Financing

Trade Financing business, both Import and Export, continues to be the main fee based income earner of the Bank. Given the market conditions, it is worthy to note that the Bank has been able to sustain Trade Financing business at a healthy level during the year. This was made possible as Business Banking worked closely with Trade Services Department and Treasury & Financial Institutions in providing business clients with a smooth banking experience. Further, the Bank has been able to provide both pre-shipment and post-shipment financing solutions to both Import and Export business clients.

Project Financing

Several project financing facilities were considered during the year on a selective basis giving due consideration to economic and climatic conditions. The Bank was able to consider facilities totalling to LKR 1.1 Bn. under the Government's "Enterprise Sri Lanka" programme, marking the Bank's inaugural participation in such a programme which aims to promote entrepreneurship.

Customer Engagements

Business Banking considers customer engagement as a pivotal aspect with regard to understanding the customer's business model, expounding the Bank's business model, structuring suitable solutions and ensuring compliance to the Bank's business model in order to establish a successful business relationship. In this regard, several Customer Engagement sessions were conducted with the participation of in-house product specialists and Sharia Scholars.

Product Offerings

The Bank is equipped to provide business customers with non-interest based financial solutions through its comprehensive suite of products & services to meet their various

financial needs such as Capex Financing, Opex Financing, Working Capital Financing, Project Financing, Import & Export Financing, Trade Financing, etc.

During the year, a new product branded "Amāna Collect" was launched on a pilot basis as an alternative solution for the conventional Bill Discounting, which would enable business customers to have access to more liquidity.

Business Support

Business Support Unit of Business Banking plays an important role in securing efficient turnaround time whilst ensuring compliance to the Bank's business model, thereby, assuring better service levels and portfolio quality. Furthermore, the functioning of this unit allows front-liners of Business Banking with more customer facing time, which in turn increases customer engagement and more effective and efficient service to the customers.

Future Outlook of Business Banking

☼ Customer Engagement

Customer engagement will be a key area that Business Banking Department would focus during the 2020, in order to ensure customers' needs are correctly identified and provided with suitable timely financial solutions.

☼ Automated Credit Approval Process

The Bank is in the final stages of implementing an Automated Credit Approval Process, which would help to streamline and improve turnaround time of facility approvals. This switch is also envisaged to result in less paper use, thereby reducing our carbon footprint.

☼ Specific focus on SMEs

In line with the Bank's strategic objectives, Business Banking would continue to enhance focus towards the SME segment during the ensuing years.

☼ Focus Sectors

Understanding the nation's commitment to the UNSDGs, BBD will focus primarily in covering the following 6 UNSDGs



✿ **Increased Focus on Branch Network and Banking Footprint**

More focus is to be made during 2020 on the branch network in increasing the Business Banking portfolio by reaching out to the under-banked and unbanked segments, with strategic moves to strengthen the Regional structure. In this regard, the Self Banking Centres are to be used as key enablers.

✿ **Catalyst in movement of Small Entrepreneurs to the Mid-Market Segment.**

The real success of a bank would be success of its customers. In this regard, the Bank would continue to strive at providing constructive support as a catalyst for movement of SMEs to the Mid-Market segment.

✿ **Increase in Fee Based Income**

In line with the Strategic Plan, Business Banking would pursue more on increasing the share of fee based income, thereby further diversifying from funded income lines and also serving broader financial needs of customers. In this regard, BBD intends to increase the dedicated Trade Services desks at key branches.

TREASURY AND FINANCIAL INSTITUTIONS

Treasury provides the Bank's customers with an array of products including Wakala Deposits, Foreign Exchange and Hedging solutions and works closely with the Business Banking and Retail Banking divisions to deliver its services to all customers.

In terms of day-to-day liquidity management, the Treasury Business ensures that all businesses have sufficient liquidity to meet their growth objectives, whilst managing payments, receipts and financial risk.

The process of managing liquidity also includes:

- ✿ maintaining a sufficient amount of unencumbered high quality liquidity buffer as a protection against any unforeseen interruption to cash flow
- ✿ managing short term and long term cash flows via maturity mismatch reports and various indicators
- ✿ monitoring depositor concentration at Bank level to avoid undue reliance on large fund providers
- ✿ diversifying funding sources to ensure a proper funding mix which is also considered as part of the Contingency Funding Plan (CFP) and testing the CFP on a regular basis

Treasury actively engages with the Bank's ALCO ensuring that funding/liquidity is maintained at reasonable costs providing the Bank opportunities to finance the growth of high yielding assets.

Treasury effectively managed the Liquidity and Foreign Exchange challenges that arose after the terrorist attacks during 2019.

As at 31 December 2019, Treasury assets comprised of 24% of the Bank's total assets. Despite market volatility, Amāna Bank's Treasury continued to display strong results with total revenue of LKR 1.3 billion, through a combination of both funds based as well as non-funds based income streams.

Treasury will continue to build on its strength to support and guide customers on exposure management in an increasingly challenging economic environment locally and globally,

whilst continuing to enhance its product portfolio and invest the Bank's proprietary funds to increase the yield on Treasury assets under its management in 2020.

The Financial Institutions (FI) Unit operates in cohesion with Trade Services, Treasury and other Business Units of the Bank. The FI unit plays a pivotal role in establishing and maintaining Correspondent Banking Relationships whilst also serving as the focal point of contact for all Financial Institutions around the globe, thereby broadening the Bank's presence and enhancing its visibility globally.

During the year under review, the FI department established 6 RMAs & opened 3 Nostro accounts namely Habib American Bank - USA, Kookmin Bank - South Korea & HDFC Bank - India. These relationships further diversify the Bank's global reach in addition to strengthening its relationship with existing financial institutions by maintaining 60 Correspondent Banking Relationships. FI aims at instituting new relationships with foreign counterparties in an effort to further enhance and develop the Bank's Trade related business, Remittances and Treasury solutions.

STRATEGY MANAGEMENT AND PRODUCT INNOVATIONS DEPARTMENT

Amāna Bank adopts a systematic and holistic approach towards strategy formulation, with a five year Strategic Plan clearly outlining strategic priorities and action plans to drive the Bank's performance. The plan is reviewed annually in view of changes in the operating environment to ensure that it remains relevant and feasible.

The 2020 review of the Strategic Plan was centred on the theme "Optimisation through Engaged People" and set out several key focus areas. The review process started with a kick-off

meeting in September 2019 with deliberations on strategic directions and initiatives at branch/ department levels and subsequently at Management Committee. In addition, a full-day off-site strategy session with Board of Directors was organised to deliberate key strategic areas with Management Committee. The finalised plan was then reviewed and approved by the Board of Directors.

In addition, the focus on execution of strategies continued throughout 2019 through systematic tracking of performance in all key areas. The Board of Directors were updated on the progress of strategic goals and key strategic focus areas on a quarterly basis. The Management Committee discussed the progress of the Bank at Monthly Performance Review meetings. Based on the review of the progress of the Bank, appropriate measures were undertaken by the respective units to be aligned with the strategic plan.

Moreover, the Product Innovations function of the Bank, in collaboration with relevant business units, focused towards providing viable alternatives to financial solutions that exist in the market. This resulted in the formulating of new innovative product offerings that catered to unbanked and under banked segments of the market. The products being implemented were subject to Sharia and regulatory approvals.



Off-site strategy session with Board of Directors & Management Committee

Joint Strategic Collaboration MoU with ICD and MIB to expand on synergies

Amāna Bank signed a Memorandum of Understanding with the Islamic Corporation for the Development of the Private Sector (ICD), the private sector arm of the Islamic Development Bank (IsDB) Group, to expand on its strategic synergies. ICD along with the IsDB group has had a long term partnership with the Bank since 2011, and currently holds a collective 29.97% shareholding in the Bank. Having recognised the growth potentials and investment opportunities in ICD member countries, both ICD and the Bank through this joint strategic collaboration intend to cooperate and work closely together in cross-selling and sourcing syndication mandates, term finance, line of financing, advisory, sukuk transactions, asset management, PPP, equity and other investment opportunities or transactions of mutual interest to both parties.

Recognising the growth potentials and investment opportunities in Sri Lanka and Maldives, the Bank signed a Memorandum of Understanding with the Maldives Islamic Bank with the intention to cooperate and work closely together in cross-selling and sourcing syndication mandates, term finance, line of financing, advisory, sukuk transactions, asset management, equity and other investment opportunities or transactions of mutual interest to both parties.



Signing of MoU with Islamic Corporation for the Development of the Private Sector (ICD)



Signing of MoU with Maldives Islamic Development Bank

BRANCH OPERATIONS

Amidst a challenging financial and operational environment, there were several noteworthy improvements at Branch Operations. Aligning itself with the Bank's strategic objectives, Branch Operations played a pivotal role in opening the two new branches in 2019. In addition, 5 Cash Deposit Machines (CDMs) were also deployed at branches and 5 new Self Banking Centres (SBC) were established during the year.

Improving Efficiency and Effectiveness

In our continued quest to enhance the range of products and services, the Bank is strategically and swiftly moving into more digital platforms. This urge has driven end-to-end process improvements including the opening of Self Banking Centres and improvements in Mobile Banking solutions, which has enhanced reach and gives customers the flexibility to carry out their banking needs anytime and anywhere.

Compliance and Regulatory Requirement

At Amāna Bank, we are committed to ensure that all our banking operations comply with regulatory requirements and Sharia principles. In line with this, we have strengthened the 'Know Your Customer' processes and further streamlined due diligence checks before customer accounts are opened.

Process Development/Improvements

The unique experience and ideas provided by the process development team immensely helped in delivering result oriented processes and formulating innovative solutions. This enabled Branch Operations to grow their functionality performance and enhance customer experience during the year. Key assignments that were implemented during the year included:

- Automation of Term Investment Renewal advise

- Phase I of Inward Clearing upgrade
- Phase II of Outward Clearing upgrade
- Simplified Personal Account Opening Mandate
- Automation of applying General Banking Tariffs
- eStatement revamp with password protection
- Automation of Withholding Tax Certificates
- Amalgamation of Account opening and Debit Card mandates

Branch Expansion and Upgrade

Beruwala and Panadura

Despite facing many challenges, the Bank extended the service of its unique banking model to the Kalutara district, by opening 2 new branches in Beruwala and Panadura. The branch in Beruwala was declared open in May 2019, whilst the Panadura branch was opened in November 2019.

Dehiwala Branch

The refurbishment of Dehiwala branch was successfully completed during the year. This refurbishment has provided the customers with a new look and improved customer service with dedicated counters for various propositions of the Bank.

With these developments, the Bank is confident that the branch will attain new heights in a rapidly growing market which has high potential enabling it to seize new opportunities and grow the market share.



Opening of Panadura Branch



Frontage of Panadura Branch



Opening of Maligawatte Self Banking Centre



Opening of Wattala Self Banking Centre



Opening of Hill Street Self Banking Centre

Customer Complaints

The Amāna Customer Engagement (ACE) system has been developed to centrally monitor and record customer complaints received within the branch network. The Bank will be able to immediately respond to customer complaints through this system and is in a position to reduce the time taken in resolving such issues.

Having completed the testing, the system is scheduled to go live in the 1st quarter of 2020, assisting customers with a faster turnaround time.

Automated Channel Expansion

As a forward looking Bank with a network of 31 branches, the Bank's aim is to expand its reach strategically and improve customer convenience by way of offering new and innovative services to suit customers' needs. In this regard, the Bank continues to improve its efficiency through process simplification and digitalisation of its services for both retail and corporate customers. As such, the recent tie-up with CBSL approved deposit/payment kiosk operator Pay&Go is a major step in our digitalisation journey which expanded our customer touch points by over 700, providing our customers with easy access and real time credit to their accounts. Amāna Bank is the first Bank to join hands with Pay&Go under the Agency Banking principles, a competitive advantage that will bring benefits to the bottom line.

Staff Training and Performance Driven Culture

Having setup training centres in the Central and Eastern regions, regular training sessions were conducted on developing the competencies of the branch operational and sales staff in relation to product knowledge

and selling skills, which contributed immensely to their performance translating to business growth. Such improvement by staff was recognised and rewarded appropriately, a culture that has been successfully promoted by the Bank. Rewards linked to performance have kept the branch staff motivated and provides the impetus to reach required milestones.

CENTRAL PROCESSING AND TRADE SERVICES

The Central Processing Unit (CPU), the hub of the Bank's operations, and the Trade Services Department continue to support the front lines with a high degree of efficiency and effectiveness.

Since the Core Banking System of the Bank was upgraded in 2018 to a web based system, we have been able to provide efficient cost-effective services to customers, whilst processing transactions and carrying out other operations within the Bank.

Despite an increase of 12% in the number of transactions, the continued automation and optimisation at the Central Processing Unit and Trade Services Department has resulted in a decrease of staff requirement.

Outsourcing the processing of transactions in the Central Operations, was a decision taken by the Bank, as a cost containment initiative. In this regard, the Account Processing



Opening of Siyambalagaskotuwa Self Banking Centre



Newlook Dehiwala Branch



Frontage of Beruwala Branch



Opening of Kalubowila Self Banking Centre



Refurbished Dehiwala Branch

Department has outsourced the data entry of the Account Opening Mandates and has since relocated to the Disaster Recovery site situated in Kottawa. However, the system authorisation of the data entered has been retained by the Bank, to exercise better control and mitigate risks in operations.

The Centralised Cash Operations has also been outsourced to the Cash Transport Service Providers including handling of physical vault cash. This has saved the Bank a considerable amount on costs associated with cash holding. However, the management of the cash operations for branches, ATMs and CDMs will continue to be handled by the Central Cash Department through instructions to the Service Providers. ATM replenishments and CDM operations will be made via SMS. This arrangement will be operative on a 24x7 basis throughout the year.

Another important move by the Central Cash Department as a cost saving initiative was made to provide local banks with the excess cash in hand thereby avoiding applicable tariffs on physical cash deposits. In addition, arrangements have been made to obtain serviceable notes for unserviceable notes which do not attract a fee. All the above has resulted in considerable savings on the operational costs.

In the Remittances Department, we have enabled the Image Based Clearing of US Dollar cheques and Drafts, drawn on local banks, using the UITS (US Dollar Image Transferring System) via Lanka Clear. This process does not require the presentation of the physical cheque for payment.

At the Trade Services Department, due to the automation of the payment of Import duty to the Sri Lanka Customs and the upload of information to the Central Bank Foreign Exchange website, the staff requirement

has been contained despite the increase in transaction volumes. The auto generation of SWIFT messages from the Trade Services Module of the core banking system for Import Collection was enabled, resulting in accuracy and efficiency of data transmissions. An in-house system was also developed with the collaboration of IT Department, to generate and email customer advices in the Documentary Collection Unit under phase 1 of this project. This development has saved processing time and provided an efficient customer service. A pilot run has also been implemented for storage of documents electronically, by developing a Document Management System at the Trade Services Department. This facility will result in saving the cost of storage and retrieving documents for Audit, Compliance and other requirements and also the cost of paper and printing for records.

The Cheque Clearing Department, after the Core Banking System was upgraded, has been able to generate a system retrieval option for reports; thereby doing away with the printing of hard copies. The upgrade in the Maryland System, which is the web based interphase Cheque Images integrated with the Core Banking system, has enabled branches to mark the fund based cheque returns at their end, by viewing the images of such cheques. In addition, they can retrieve reports and cheque images, to enhance and enable efficient customer service and enquiries. The increase in volume of cheques in clearing was nearly 20% which has been handled commendably well with the same number of staff. The risks have been mitigated by enhancing the 'Error and Omissions' insurance coverage from LKR 10,000 to LKR 25,000 value in cheques. The Cheque Clearing Department also conducted training programmes in Regional Training Centres to educate and train the staff in the new Image Clearing System.

The Lanka Financial Services Bureau (LFSB) for SWIFT Operations, is in the process of upgrading to their 'Alliance Lite 2' version. The Bank is in the process of testing the SWIFT operations in the new platform with the support of the IT Department and the SWIFT Department.

Staff training in the CPU and Trade Services Department has been very comprehensive with staff attending many in-house and external programmes delivered by Professionals and Regulators. The outsourced staff engaged for Data entry purposes has resulted in successful training of youngsters 'hands on' and provided training on Bank's back office functions and systems. Some of them have been identified and absorbed into the permanent staff cadre. The transfer of identified staff to other departments and the rotation of staff members within the CPU and Trade Services Department continue, for personal development and enhancement of their careers.

New Directions, Rules and Regulations, issued from time to time by CBSL, especially after the new Foreign Exchange Act No: 12 of 2017 was enacted, have been fully complied with by the Bank. The high standards of discipline, good governance and professionalism in the Back Office, reflects the best practices in the Banking Industry which has continued to professionally support and guide the front lines of the Bank.

Keeping in line with the strategic plan of the Bank, we witnessed accelerated growth in the customer base, increased focus on Fee Based Trade Operations and addition of two new branches and 5 self-banking centres during 2019, all of which have contributed to the increase in transaction volumes at the CPU and Trade Services Department.

OFF SHORE BANKING

The Off Shore Banking Unit (OBU) provides banking activities to Non-National individuals, Non-National entities and BOI registered companies in Sri Lanka. Under the OBU operations, accounts are only maintained in the designated foreign currencies. In adhering to the Bank's policies, accounts are opened following the completion of the KYC and AML procedures. The Off Shore Banking Unit provides a range of financial services that mainly includes:

- Operational Functions
- Financing Functions
- Trade Functions

INFORMATION TECHNOLOGY

2019 has been an important year in terms of the development and optimisation of the Bank's Information Technology (IT) infrastructure. Some of the key achievements during the year were, integration to Pay&Go for deposits, successful completion of the remittance platform, integration with real-time processing and the upgrade of the cheque clearing system for the Bank. With the upgrades, the Bank has taken significant strides towards the objective of delivering secure and cost-effective technological services to its customers. In order to accelerate the Digital transformation, the Bank decided to set up a full time dedicated function named "Amāna Digital Banking" which will serve as the initial step towards forming a fully functional Digital presence that will strive to facilitate all customer needs, including on boarding and servicing, through digital tools, while gradually removing dependency on brick and mortar branches and physical forms. The highlights of the year's efforts revolved around efficiency, convenience, reach and security.

Efficiency

Improvements were implemented to the Bank's internal processes, IT Infrastructure and employee engagement in order to cater to customers' needs more efficiently. Empowering and engaging staff is crucial in the Competitive Banking Industry where knowledge sharing was enabled throughout the Bank via the newly acquired E-Learning platform. The SWIFT upgrade has enabled us to implement secure controls and also comply with the Customer Security Programme in a cost effective manner. While improving the efficiency of business operational flow on resources, the Bank invested time in the development of many reports to track and cater to the market needs for existing and potential businesses. In addition to this, the back end IT infrastructure was upgraded which resulted in improved lead time.

Convenience

The mobile and internet banking applications were improved to enhance customer experience and meet evolving banking needs. Continuous progress has been made in the digital front from SMS alerts to Email alerts for customers while they are on the move. In addition to this SMS alerts were enhanced with services other than the traditional deposits and withdrawals. Customers' can now enjoy seamless Contactless payments via Amāna Debit Cards as the Bank joined VISA's PayWave network. Corporate customers now have the privilege of using the Common Electronic Fund Transfer (CEFTS) via Internet Banking for real time fund transfers. E-statements for customers were revamped to depict relevant customer transactions in detail.

Reach

Expansion of deposit points by 700+ is a milestone achieved not only for Amāna Bank but for the entire Banking Industry, as we became the first Bank in Sri Lanka to facilitate real-time cash deposits through the growing Pay&Go Network which has enabled customers to make their deposits with ease at a number of locations. The IT team was at the forefront of this project as the Bank successfully launched this in 2019. The Bank's expansion of the branch network and Self Banking Centres was also enabled with effective use of IT resources resulting in timely opening of such franchises.

Security

In order to ensure consistency of secure IT services, the Bank successfully obtained the certificate awarded for ISO/IEC 27001:2013 after the completion of an independent surveillance audit for the third consecutive year. This is indeed a noteworthy achievement, demonstrating the soundness of the Bank's Information Security Management System and continuous improvement. Network infrastructure upgrades were performed to secure the Bank's internal and external network, whilst physical security controls were upgraded for the Data Centres. In order to keep up with cyber threats the mail gateway and antivirus system were upgraded. Further enhancing the confidentiality and privacy of customer information, the E-statements sent to customers were protected using passwords.

Drive for 2020

The Bank's main theme for 2020 is "optimising through engaged employees". Looking ahead, Amāna Bank aims to invest in advanced technology and relevant training programmes that would position it to seize opportunities in the future by utilising the resources. Towards this, the Bank, through the dedicated team of experts will drive the digitalisation journey in the future, which will result in innovative service offerings.

MARKETING AND CORPORATE COMMUNICATIONS

The Bank continued its marketing and corporate communication activities along the lines of the Bank's strategic focus with a commitment to generate an above average Return on Marketing Investment. As part of its image strategy, the Bank emphasised on ensuring consistency and uniformity in all communication activities, reinforcing the 'open to all' image, thereby being both relevant and appealing to all Sri Lankans. Embracing a very selective media strategy, the Bank continued to reap success in its marketing communications within a scattered and intense media space. Having established a culture of measuring effectiveness of its marketing investments, the Bank has been successful in instilling a learning culture on key success factors and areas for improvement. In addition to strengthening the core brand through various corporate campaigns, the Bank carried out promotional and awareness campaigns giving prominence to the variety of products and services offered with high visibility in selected media.

Towards generating awareness and interest on the Bank's unique products such as its Flexi Term Investment and Savings Plan, the Bank instituted novel creative campaigns which created much hype in the market, which was followed by business results.

360 degree communications were also carried out for the various promotions launched for the Bank's Ladies Savings and Children's Savings Accounts, which included the Ladies Customer Get Customer promo, Ladies Shopping Bonanza as well as Children's Grow Your Balance and New Born promotions.

Supporting business to reach their targets, year-round campaigns were also carried out during 2019 to promote the Bank's high paying term investment accounts, vehicle financing and home financing solutions. Continuous communications using both traditional and digital mediums, were executed to promote the Bank's Debit Card offerings throughout the year.

Marketing and Corporate Communications activities were also done to launch and promote the Bank's flagship CSR project Amāna Bank OrphanCare.

With focus on growing its digital media presence, a significant achievement of the Bank in 2019 was the re-launch of the Bank's corporate website. With more user friendly features and mobile responsive interface, the revamped website was well received by customers.



The Bank also continued to invest heavily in digital media to grow its communication reach to a wider and new age audience. The Bank grew its presence in social media through Facebook, Twitter, Instagram, YouTube, and LinkedIn. The Bank also carried out novel engagement programmes on Social Media, including a campaign for Father's Day, Mother's Day, Children's Day, ICC Cricket World Cup 2019 and many others.

The Bank continued to partner with the Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Conference, which brought together the local Islamic banking industry to one forum to share knowledge and expertise in driving the industry forward. With an objective of promoting the growing non-interest based banking model in the South Asian region Amāna Bank also partnered the fourth edition of the Islamic Finance Forum of South Asia (IFFSA) which was held in Maldives as its Banking Partner.

The Bank once again joined hands for the 3rd consecutive year with the Sri Lanka Gem and Jewellery Association to be the Official Banking partner for FACETS 2019, Sri Lanka's largest and pinnacle International Gem and Jewellery Exhibition. Held for the 29th consecutive year, the 2018 edition of FACETS took place from 29 August 2019 to 01 September 2019 at BMICH.

Amāna Bank continued to be ranked amongst Sri Lanka's Top 100 Brands for 2019 as per the Most Valuable Brands Index published by Brand Finance along with LMD. Significantly improving its Brand Value by 56%, the Bank upped its ranking to 85th position while also securing a Brand Rating of 'A'.



Handing over of Facets Sponsorship



Amāna Bank's new look website



Amāna Bank CEO as a panellist at the IFFSA Conference



Rewarding a phone to a winner of a Facebook competition

AWARDS AND ACCOLADES

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2019

For the sixth consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri Lanka at the World's Best Islamic Financial Institutions Awards 2019 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.

Best Islamic Bank in Sri Lanka by The Banker

Amāna Bank was adjudged the Best Islamic Bank in Sri Lanka award by The Banker for the fourth consecutive year in 2019. The Banker's 2019 Islamic Bank of the Year Awards offers a snapshot of an industry brimming with confidence and one that is defining its own story. The winners of this year's global, regional and country awards have, for the most part, outlined a vision for their respective institutions – and the wider industry – that is attempting to change the financial, socio-economic and environmental terrain in which they operate.

Social Responsible Bank of the Year – IRB Awards

The Bank was adjudged the IRBA Social Responsible Bank of the Year 2019 in recognition for the Bank's flagship CSR venture Amāna Bank OrphanCare. Held in Muscat – Oman, the IRB Awards organised by Cambridge International Financial Advisory is a platform that recognises the performances and projects of non-interest based financial institutions from across the globe.

Gold Award for Finance Entity of the Year at SLIBFI Awards 2019

The Bank was bestowed the Gold Award for 'Entity of the Year' at the SLIBFI Awards 2019, cementing its leadership status in the non-Interest based banking and finance industry in Sri Lanka.

Gold Award for Marketing Campaign of the Year at SLIBFI Awards 2019

The Bank was awarded the Gold Award for 'Marketing Campaign of the Year' at the SLIBFI Awards 2019 which was adjudicated by the Chartered Institute of Marketing. The Award was given in recognition of the Bank's marketing campaign done for its Children's Savings New Born promotion.

Silver Award for Product of the Year at SLIBFI Awards 2019

The Bank was awarded the Gold Award for 'Product of the Year' at the SLIBFI Awards 2019. The Award was adjudicated for the Bank's Collect Facility.

Bronze Award for Deal of the Year at SLIBFI Awards 2019

The Bank was awarded the Gold Award for 'Deal of the Year' at the SLIBFI Awards 2019. The Award was adjudicated for the Bank's financing of a bunkering vessel for a leading bunkering operator in the country.

Silver Award for Bank of the Year in South Asia at IFFSA Awards 2019

The Bank was awarded the Silver Award for 'Bank of the Year in South Asia' at the IFFSA Awards 2019 held in Maldives.

Bronze Award for Entity of the Year at IFFSA Awards 2019

The Bank was awarded the Bronze Award for 'Entity of the Year' at the IFFSA Awards 2019 held in Maldives.

Gold Award for Product of the Year at IFFSA Awards 2019

The Bank was awarded the Gold Award for 'Product of the Year' at the IFFSA 2019 for its Collect Facility.

Gold Award for 'Best Common ATM Acquirer of the Year' at LankaPay Technnovation Awards

Amāna Bank received the Gold award for 'Best Common ATM Acquirer of the Year – Category C' at the LankaPay Technnovation Awards 2019. The Bank further went on to win a special recognition award for 'Bank of the Year for Financial Inclusivity'. LankaPay Technnovation Awards 2019 was organised by LankaClear Limited, the operator of LankaPay national payment network. The objective of the awards competition is to recognise the frontrunners of payment technology innovations in the country who have been steadfast to the cause of promoting electronic payments and constantly thriving for enhancing customer convenience.

Best Islamic Retail Bank – Global Banking & Finance Review Awards

The Bank was awarded the 'Best Islamic Retail Bank in Sri Lanka' at the Global Banking & Finance Review Awards 2019.

LMD Top 100

The LMD 100, has been ranking the Top Sri Lankan listed corporates for the last 25 years. Ranked at 91st position, Amāna Bank gained 4 positions in the ranking table for 2019.

LMD's Top 100 Most Valuable Brands

Amāna Bank continued to be ranked amongst LMD's top 100 Brands for 2019. Ranked at 85th position, the Bank managed to secure an 'A' Brand Rating. The ranking index was published in a special issue by Brands Annual magazine, which is presented by Brand Finance along with Media Services, the publishers of the renowned LMD Magazine.

LMD Most Respected

Amāna Bank was featured at 51st position in LMD's 15 edition of ranking of Sri Lanka's Most Respected Entities for 2019.



VP Retail Banking & Marketing, Siddeeqe Akbar receiving the award for Social Responsible Bank of the Year, from Professor Humayon Dar of Cambridge International Financial Advisory



Senior VP – Treasury & Financial Institutions, M Pharis Jazeel collecting the Award for Entity of the Year at the SLIBFI Awards 2019



Manager – Corporate Communications and Marketing, Azim Rali collecting the Award for Marketing Campaign of the Year at the SLIBFI Awards 2019



CFO, M Ali Wahid, collecting the Award for Product of the Year at the SLIBFI Awards 2019



VP Retail Banking & Marketing, Siddeeqe Akbar collecting the Award for Deal of the Year at the SLIBFI Awards 2019



Manager – Card Business and Value Added Services, Zacky Ahmed receiving the award along with Manager – Card Centre Mustaq Fouz and Manager – IT Projects Gayan Lokupitiya

Human Resources Management Review

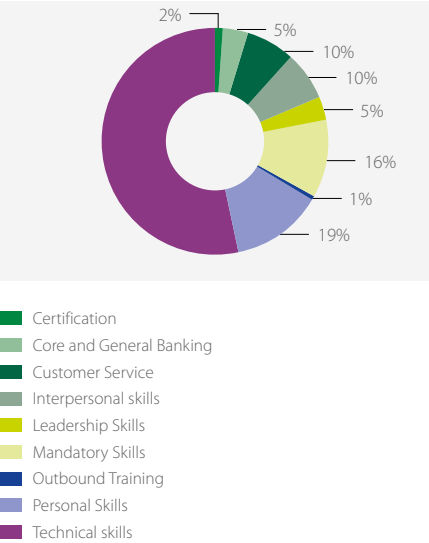
During the year, the HR Department actively engaged itself in activities that would be crucial in aligning the People Strategy with the Bank’s overall business and organisational goal. In measuring out strategies to make all activities productive, closer attention was given to improve HR processes and enhance the overall knowledge and capabilities of team members.

Integral to all HR activities was the on-going consultative and systematic support to the business through the provision of quality training and the implementation of programmes designed to enhance the leadership capabilities, knowledge and service delivery of all staff, thereby providing them with a platform on which to build their overall career progression.

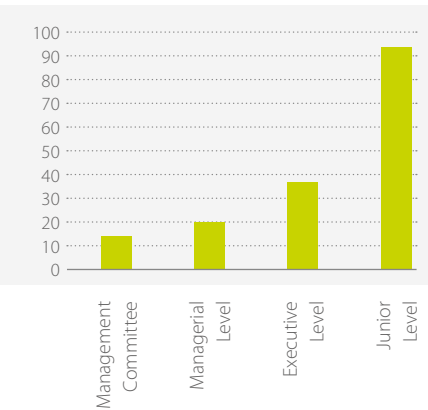
The HR Department revamped the Training Unit to a Learning & Development (L&D) model that worked closely with the Talent Management division of the Bank. This unit concentrated on improving the KSA (Knowledge, Skills & Attitude) of the Bank’s employees. Learning & Development supports the respective business units & departments by empowering employees with essential competencies & capabilities to improve their key performance indicators.

Employee Category	Average Hours of Training
Management Committee	14
Managerial Level	20
Executive Level	37
Junior Level	93

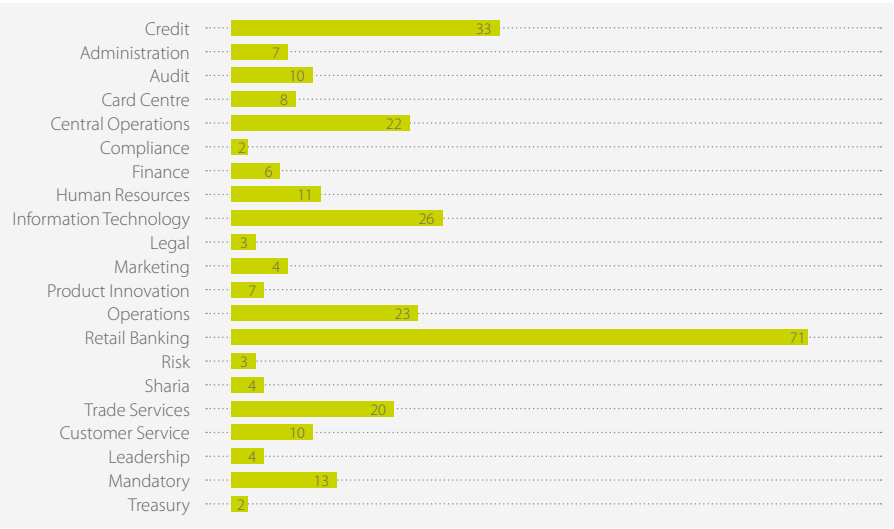
Training Skills Matrix



Average Hours of Training (Hours)



Number of Programmes



Our approach to learning and development is based on an analysis of training needs, talent pipeline development and succession planning with critical components being:

- ✿ to adopt individual career development plans for the talent pipeline
- ✿ to carry out specific training programmes based on the need analysis and focused group meetings
- ✿ to make awareness of mandatory regulatory requirements
- ✿ to carry out leadership, executive & managerial development programmes, which includes soft skills development
- ✿ to tailor retail banking training, especially at grassroots level and conduct outbound training sessions covering staff of business and support service units of the Bank.

In terms of training content, a key area of focus during the year was creating awareness for training via Amāna Digital Learning Space, which is an e-learning platform with learning activities laid out to achieve the learning plan.

In addition, the HR Department also focused on Professional & Leadership development, which is a process of enhancing skills and knowledge, including job mastery and professional development coupled with career planning activities such as:

- ✿ Professional Development and Executive Development Programme
- ✿ Leadership Development training
- ✿ Focusing on providing training through the e-learning platform

As a step towards engaging and optimising human capital, developing the next level of leadership and paving the way to achieve the aspirations of performing staff, the Bank established 'MidCom', a cross functional middle management leadership structure. The MidCom serves as a committee facilitating and expediting the decision making process and make recommendations to the Bank's Management Committee (ManCom). While paving the way for Middle Management Leadership,

this initiative entrusts the operational matters of the Bank in the safe hands of MidCom allowing the ManCom to focus more on strategic aspects of the Bank and its future direction. The MidCom, which meets on a monthly basis, consists of members, representing a cross section of business units and support units.

A robust talent assessment exercise was launched to assist in the identification of high potential staff capable of executing the current and future business strategies of the Bank. This activity was developed in support of the Bank's objective of finding internal successors able to fulfil critical leadership roles of the Bank in the years to come. Furthermore, the Bank continued to invest in the advancement of high potential individuals through in-house strategic leadership and Executive development programmes.



Recognising the Bank's Internal Trainers

Executive Development Programme (EDP)

With the objective of increasing the business skills and leadership capabilities of Executives with high potential, we launched the “Executive Development Programme (EDP)”. This involved a multidimensional approach to learning by combining lectures, small/large group discussions, case studies, role playing, networking opportunities, executive coaching and an immersive strategy simulation to provide new insights and give participants the opportunities to apply them.

The programme prepares individuals with high potential to move from mastery of one focused area to success in a broader role, priming them for greater leadership responsibility. This transformative programme enabled participants to expand their business acumen in key areas while benefiting from the expertise of cross functional participants. The felicitation of the first batch was held on 19 December 2019.



Participants who successfully completed the Executive Development Programme

Following the completion of the EDP, the Bank initiated a Leadership Development Programme in a bid to create the next strategic layer of leaders to supersede the Management positions within the Bank. This programme is to begin in Q1 of 2020.



Leadership Development Programme in progress



Think Loud staff engagement activity

Performance Management

Bank's performance management system seeks to ensure the delivery of desired business results by inter-relating business objectives with individual performance plans. The Bank pursued a performance-based, market-driven rewards strategy that included participation in annual compensation and benefits surveys in the industry that enabled the Bank to keep abreast of on-going market trends.

The Bank continued to be fully committed to optimising staff. The Bank was very selective in recruiting new employees during 2019 with the objective of maximising the usage of internal human resources to a greater extent. As a result year 2019 recorded a relatively lower number of staff recruitments. The Bank was able to identify key talents within the Bank to groom for higher positions giving them opportunities to grow within the Bank. Staff development and engagement was a key focus in 2019.

Staff Strength - By Grade

Category	No. of Employees	%
Management Committee	11	1.2
AVP	4	0.4
Senior Managers	21	2.3
Managers	119	13.2
Executive Officers	204	22.7
Junior Executive Officers	311	34.5
Banking Associates and Trainee Banking Associates	127	14.1
Business Development Officers	96	10.7
Office Assistants	8	0.9
Total	901	100.0

Staff Strength - By Age

Category	No. of Employees	%
61 and Above	11	1.2
51-60	33	3.7
41-50	101	11.2
31-40	237	26.3
21-30	493	54.7
20 and Below	26	2.9
Total	901	100.00

New Recruitments - By Region

Region	No. of Employees	%
Western	120	71.8
Eastern	18	10.8
Central	12	7.2
Other	17	10.2
Total	167	100.0

New Recruitments - By Age Group

Age group	No. of Employees	%
Over 50	5	3.0
30-50	21	12.6
Under 30	141	84.4
Total	167	100

Organisational Development

Organisational Development has been a key area of interest, focusing on changes to systems within the Bank. The focus on Organisational Development will enable to build and sustain the strategic expectations of the Bank towards optimisation of resources across all levels. Transparency and clarity on career growth and employee development was recognised, with HR playing a supportive role. A new position was created at HR to support this initiative. Improved communications, continuous improvement on processes and a systematic change in the beliefs, attitudes and values of staff, for individual development and for the growth of the Bank are expected outcomes of this initiative.



Puchi Picasso Art Competition held for employees' children

AMĀNA BANK SPORTS CLUB

Amāna Bank Sports Club continued to be a live wire in promoting and fostering team spirit, sportsmanship and improved employee relationships, through its various staff engagement and sporting activities. During 2019, Amāna Bank Sports Club's key focus was on sports & games, health & wellness and employee welfare benefits.

Sports & Games

- ✿ Participation in Mercantile Tournaments for Cricket, Football, Tennis and Table Tennis
- ✿ Futsal Tournament
- ✿ Bowling Tournament
- ✿ Karting Challenge
- ✿ Connect 4 Championship
- ✿ Netball for Ladies

Health & Wellness

- ✿ Conducted a BMI based Wellness Challenge which was coupled with a 4km run, dietician advice, fitness and workout session, and blood tests.
- ✿ Initiated the concept of 'Bike to Work' to promote a significant energy-efficient, eco-friendly mode of transport to work while improving personal health of employees at the Bank. This project was carried out with the guidance of cycling enthusiast Mr. Tuan Samsudeen who is attached to the Bank's Account Processing Unit. Mr. Tuan Samsudeen was one of the 6 finishers who participated at the 2019 'Race the Pearl' 48 hour bicycle race from Point Dondra in the south to Point Pedro in the north.



Winners of the Futsal Tournament



Winners of the Inaugural Karting Championship



Mercantile Football Knockout Tournament - 2019 Division B - RUNNERS UP, Also Mercantile Football League Tournament - 2019 Division C - CHAMPIONS

Employee Welfare Benefits

- ✿ Gym membership
- ✿ Swimming pool membership
- ✿ Staff trip allowance
- ✿ Death Benevolent Fund

Sports Club Achievements in Mercantile Tournaments in 2019

- ✿ Table Tennis – 2nd Runners Up in the Mercantile C Division Championship
- ✿ Football – Runners Up in the Mercantile 'B' Division Knockout Tournament
- ✿ Football – Mercantile League Tournament Division C Champions
- ✿ Tennis – Irshad Othman and Gazzali Ghouse emerged runners up in the Senior Over 35 and Senior Over 45 Doubles Category



Participants at the starting grid at the Karting Challenge



Amāna Bank staff riding their bikes to work

Report on Sharia Supervision

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, Amāna Bank completed another year of commercial operations which is the eighth full year.

During the year under review, the Sharia Supervisory Council (SSC) of the Bank held two Sharia Council meetings to review various products, modifications, concepts, transactions & processes including the approval of two new products. In addition to this, the members of the Executive Committee of the SSC carried out training sessions at a few branches, educating employees on product concepts and providing product-related clarifications.

NEW PRODUCTS APPROVED BY SSC DURING THE YEAR

1. Investment in Sukuks & Collateralised Commodity Murabaha
2. Silver Investments

SHARIA GUIDELINES REVIEWED DURING THE YEAR

1. Sharia Guidelines on Gold Safekeeping Facility, an alternative to Conventional Pawning
2. Sharia Guidelines on Thijara Financing
3. Sharia Guidelines on Corporate Communications and Marketing
4. Sharia Guidelines on Letters of Guarantee

SHARIA DOCUMENTATIONS/AGREEMENTS REVIEWED DURING THE YEAR

1. Sharia Documentation on Diminishing Musharaka
2. Sharia Documentation on Local Murabaha
3. Sharia Documentation on Express Cash
4. Sharia Documentation on Musharaka
5. Sharia Documentation on Wakala

SHARIA REVIEW AND COMPLIANCE PROCESS

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia documents were reviewed to ensure Sharia compliance when offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The Sharia Supervision Department focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income generated from customer advances via retail and business banking transactions that were reviewed are as follows:

Income Generated from Retail Financing (LKR '000)	2,245,667
Income Generated from Business Financing (LKR '000)	4,844,792
Number of Transactions Performed	10,295
Number of Transactions Reviewed	10,295
Total Gross Advances as at 31 December 2019 (LKR '000)	59,013,286
Gross Non-Performing Advances Ratio (%)	3.7

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences / invoices, further enhancing the controls.

All financing granted using various products and services during the year were reviewed by the Sharia Supervision Department and their alignment with the guidelines issued by SSC was also verified.

The process and the scope of the review included the following:

- ✿ invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was confirmed by visiting their premises on a sample basis.
- ✿ genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ✿ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash and Gold Safekeeping Facility.
- ✿ declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha.
- ✿ purchase deeds, certificates of registration of motor vehicles, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.

- ✿ investments made in Equity with reference to the Equity stock screening criteria.
- ✿ import finance transactions and related documentation.
- ✿ extensive reviews of customer payment, purchase cycles and periodic assessment of customers' processes.
- ✿ profit sharing ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ✿ treasury placements with other Islamic Financial Institutions and Window Operations.

ONLINE SHARIA COMPLIANCE PROCESS

The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance. Sharia Supervision Department previously carried out Sharia review of all Murabaha transactions executed on a post transaction basis, as well as sample based spot reviews.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank implemented an Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the fund disbursement and deal creation stages of all Local Murabaha, Extended Murabaha, Import Murabaha/Musawama, Ijara transactions of branches and relevant departments.

REVIEW OF MARKETING & COMMUNICATION ACTIVITIES

All Marketing & Communication activities and materials were reviewed by the Sharia Supervision Department to ensure such activities of the Bank adhere to the rules and principles of Sharia.

MURABAHA STATUS SHEET

For continuous monitoring of Murabaha transactions, a system is in place which requires branches providing Murabaha financing to submit monthly reports to the Sharia Supervision Department after a thorough review by the branch manager or head of department. This report is further reviewed and continuously monitored by the Sharia Supervision Department in order to avoid any Sharia non-compliance.

TRAINING AND DEVELOPMENT

During the year, 18 internal Sharia training sessions were held in which 382 employees participated. These programmes were conducted with the objective of enhancing the knowledge and skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year, the Sharia Supervision Department focused on increasing the level of awareness amongst the key stakeholders, on Islamic Banking and products offered by the Bank and to further inculcate the values

of Islamic banking. In this regard, 8 external programmes were conducted for Sharia scholars and students. The total participation at these programmes was 451.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Introduction to Islamic Banking - Our Model	Newly Recruited Staff	7	151
Sharia Documentations on Products of Amāna Bank	Credit Administration Department & Retail Advances Department Staff	2	12
Amāna Bank Certified Islamic Banker Level-1	Branch Frontline Staff / Business Development Officers / Retail & Business Banking Staff	9	219
Subtotal		18	382
External			
Awareness Programme on Islamic Finance	Prominent Sharia Scholars	1	26
Awareness Programme on Islamic Finance & Products of Amāna Bank	Sharia Scholars, Students	7	425
Subtotal		8	451
Total		26	833

SHARIA RISK MANAGEMENT COMMITTEE

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank's Management Committee that was established to discharge the responsibilities of management on Sharia Compliance. During the year, three SRMC meetings were held in order to take up matters relating to Sharia Review, Compliance and Risk.

REGIONAL SHARIA REVIEW UNITS

The regional Sharia units in the Central and Eastern regions continue to play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner.

SHARIA ADVISORY SERVICES

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department are tabled at the subsequent SSC meetings and ratified by the SSC.

The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	12
Number of Advisory/ Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	430
Total	442
Number of Credit Memorandums reviewed by the Sharia Supervision Department	369

External Support

The Bank continued to offer Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations in compliance with Sharia principles.

In this regard, the Bank provides Advisory Services on Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitor compliance to the requirements of Sharia.

CHARITY

During the year, a total of LKR 7,058,747.20 was transferred to the Charity Fund. As at 31 December 2019, a balance of LKR 4,379,089.92 remained in the fund.

STATEMENT OF SOURCES AND UTILISATION OF CHARITY FUND

	LKR	LKR
Opening balance as at 1 January 2019		2,744,466.54
Additions During the Year		
Reversal of Excess Income from Gold Safekeeping Transactions	2,225,096.45	
Interest Accumulated in Nostro Accounts	2,183,433.22	
Excess Cash	1,893,870.00	
Transfer of Profit on Murabaha / Diminishing Musharaka / Thijara Transactions	731,425.92	
Purification of Dividends / Disposal Gains of Equity	24,921.61	7,058,747.20
		9,803,213.74
Less: Distribution of Charity		(5,424,123.82)
Closing Balance as at 31 December 2019		4,379,089.92

SUMMARY OF CHARITY FUND DISTRIBUTION

	Medical Purposes	435,000.00
	Social Benefits	4,439,123.82
	Education	550,000.00
Total Charity Fund Distribution in 2019		5,424,123.82

The total amount of LKR 5,424,123.82 was disbursed from the Charity Fund with the approvals of Chief Executive Officer, Chief Financial Officer, In-House Sharia Advisor and was duly reported to SSC for its concurrence.

THE WAY FORWARD IN 2020

- Continue to ensure the zero tolerance culture on Sharia non-compliance.
- Strengthen the Sharia Risk Management process and mitigate Sharia violations with the involvement of the Sharia Risk Management Committee.
- Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- Advice and guide to provide the best-fit product to customers.
- Diminishing Musharaka product to be included to the Online Compliance Process.
- Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.

- Facilitate and conduct training sessions to develop Sharia competency levels and instil onus on all stakeholders as follows:
 - Introduction to Islamic Banking for new recruits
 - Continue the Amāna Bank Certified Islamic Banker programme
 - Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance
 - Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff
 - Conduct Sharia Awareness Programmes for Academics, Students, Customers, Sharia Scholars and General Public

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.



Ash-Sheikh Nazhan Naurooz
In-House Sharia Advisor and Secretary to the Sharia Supervisory Council
 19 Jumaadal Aakhirah 1441 A.H.

14 February 2020

Amāna Bank OrphanCare

Towards creating a lasting impact on society and as an initiative towards 'giving back', Amāna Bank launched its flagship CSR venture OrphanCare in 2019. Established as an independent trust, OrphanCare aims to address a very important yet mostly unattended need of orphan children; which is securing the fate of orphans once they reach the age of 18 and are compelled to leave institutional care.

From Chance to Choice

Have you ever considered what happens to an orphan once they reach the age of 18?

We have seen and responded to orphans as children calling out for our support. However, we have been blind to their problems as they reach maturity.

As vulnerable young adults, they are often flung into society without guidance or support. They remain faceless and voiceless, unseen and unheard.

We invite you to contribute and collaborate with our novel approach to empowering orphans as they reach adulthood.

It's not just about giving them a chance at life. It's about giving them a choice in their future.



← Scan to Watch



Termed by UNICEF as 'The Second Abandonment', this growing concern is the challenge faced by orphans, who initially were abandoned in childhood, and who are now forced to transit or 'age out' of institutional care. This is a need which is seldom realised and considered in society. Care leaving orphans often face significant challenges in completing higher education, securing gainful employment, and even finding stable housing. They are disproportionately vulnerable to marginalisation, discrimination, and even exploitation or abuse as they enter young adulthood.

Bereft of the family support structures, economic assistance, and life-skills training that many young adults in stable households enjoy, care-leaving orphans are often hastily ushered into society, insecure and ill-prepared for the trials of modern adult life. They have, in effect, been abandoned twice; first in childhood and then on the verge of maturity.

'ORPHANS FACE TWO ABANDONMENTS; FIRST IN CHILDHOOD, AND THEN AT THE BRINK OF MATURITY'

OUR RESPONSIBILITY

As parents, could we ever imagine abandoning our children at 18 – cutting off all sources of assistance and comfort, all love and nurturing? Or would children ever assume that on their 18th birthday, their parents would immediately cease providing all emotional and financial support, and expel them from their homes?

As every parent knows, you cannot set an arbitrary timetable for the maturity of a child. And young care-leavers have often been deprived of the advantages of a wide education, or of the mentored exposure to life experiences that help maturation.

We believe that as a society, we have a responsibility to ensure that orphans are not abandoned a second time. To assume that our task as custodians automatically ends when a child turns 18 – and to thus conclude that we need no longer remain invested in the lives of orphans – is a limited view of the responsibility we all share. We do not believe that the extent of our responsibilities to orphans can be defined by the arbitrary passing of a date on the calendar, supposedly and suddenly rendering them unworthy of our care.

If we provide support for orphans as children, but we discard and ignore them as young adults, then what have we really accomplished?

The United Nations has recognised over the last decades that there is a significant gap in the attention paid to youth – defined as young people between the ages of 14-24 – and has enshrined youth empowerment and inclusion as a priority within the framework of the Sustainable Development Agenda 2030. This emphasis on youth as a vulnerable category stems from the mission of the Sustainable Development Goals as inclusive development.

For orphans who have aged out of institutional care, this focus is all the more important. In Sri Lanka, in particular, family ties and economic support continue long into adulthood, and are often the biggest predictors of the success and the thriving of youth. Bereft of these networks or assets, young people face barriers to education, limited employment prospects, multiple forms of discrimination, and they can therefore very easily slip into poverty and despair.

By providing the necessary skills, opportunities, and support however, we can put them on the path to a successful and productive life. Orphans who have reached young adulthood aspire to fully participate in our society. It is

our collective responsibility to recognise their unmet needs and provide them a future with choices.

'WOULD YOU STOP CARING FOR YOUR CHILDREN ONCE THEY TURN 18? ORPHANS DESERVE THE SAME CONSIDERATION AND CONCERN'

OUR APPROACH

A solution to this problem required a multifaceted perspective, one that is collaborative and community-based and that involves a wide array of stakeholders, advocates and resources.

Our approach seeks to intervene in a vital and decisive aspect of the problem: funding. Just as we encourage parents to start saving for their children early, we have created a Trust for orphans to provide them with some measure of financial security when they reach maturity. The Trust makes deposits periodically into orphans' accounts until they reach the age of 18, at which point the funds will become accessible. Amāna Bank provided the seed capital for the Trust and opened the fund for contributions from donors inspired by this cause.

Two foundational principles defined the very essence and identity of the Trust.

- ✿ Every rupee donated to the OrphanCare Trust will be directly allocated for orphan accounts.
- ✿ Amāna Bank will bear all operating and administrative costs of the Trust.

In addition to these financial assets, the OrphanCare Trust will facilitate a platform for various stakeholders to provide training, guidance, and encouragement for orphans.

ORPHAN ENROLMENT

Guided by Article 2 of the United Nations Convention on the Rights of the Child, all enrolment will be irrespective of the child's or their parent's or legal guardian's race, colour, sex, language, religion, political or other opinion, national, ethnic or social origin, property, disability, birth or other status.

OUR TRUSTEES

The OrphanCare Trust is administered by a team of trustees who have a track record of passionate social service, which includes as Chairman of the Trust Mr Ruzly Hussain (founder of the Rotaract movement in Sri Lanka), Mr Osman Kassim (Chairman Amāna Bank) Mr K R Ravindran (former Rotary International President), Mr Rohan Tudawe (Chairman Tudawe Brothers), Mr Sharad Amalean (Co-founder MAS Holdings), Mr Tyeab Akbarally (Senior Director Akbar Brothers) Mr Harsha Amarasekera (President's Counsel and Chairman CIC Holdings), Mr Jazri Magdon Ismail (President AAT) and Mohamed Azmeer (CEO Amāna Bank). Guided by Amāna Bank's core values, the Trustees have instituted a strong governance framework to maintain the highest standards of integrity and to ensure the long-term sustainability of the Trust.

THE LAUNCH

The OrphanCare launch event was held on 29 March 2019 at BMICH under the distinguished patronage of Her Excellency Chandrika Bandaranaike Kumaratunga, Hon Mangala Samaraweera then Minister of Finance, Hon Chandrani Bandara, then Minister of Women and Child Affairs and Development of Dry Zones, Hon Ayman Sejiny CEO of Islamic Corporation for the Development of the Private Sector and Dr Indrajit Coomaraswamy, then Governor of the Central Bank of Sri Lanka with the presence of many diplomats, donors customers, staff and well-wishers.



Scan to Watch Highlights of the Launch Event



OUR PROGRESS THUS FAR

With over 14,000 registered orphans in the country, Amāna Bank OrphanCare has to date enrolled over 2,600 orphans to the program representing 75 orphanages with the objective of reaching out to all orphans in the country.

With the support of well-wishers and donors, the Trust has successfully made two rounds of fund distributions to the enrolled orphan accounts belonging to the following Child Care Homes and Orphanages.

No.	Orphanage
1	A C C C Child Development Centre
2	Al Ackram Balika & Boys Child Development Centre
3	Al Noor Orphanage
4	Amman Illam
5	Aroma Boys Children's Home
6	Aroma Girls Children's Home
7	Ash-Shifaa
8	Bhakthiwedantha Child Development Centre
9	Bosko Sewana
10	Boys Industrial Home
11	Buddha Boys Child Development Centre
12	Buddha Girls Child Development Centre
13	Buddhist Girl's Home
14	Canaan Harvest Children Home
15	Ceylon More Ladies Union Home for Girls
16	CIS Infants Home & Orphanage
17	Dharul Hasanath Children Home
18	Don Bosko Child Development Centre
19	Fathima Welfare Centre
20	Girls Child Development Centre Of Child Protection Association
21	Give Light Home Banadaragama

No.	Orphanage
22	Gnanodaya Padanama
23	Hindu Anbaham Child Development Centre
24	Holy Cross Children Home
25	Islamia Home for the Needy & Orphan Children
26	Isura Lama Sewana Child Development Centre
27	Jeevani Child Development Centre
28	Karunalayam Child Development Centre
29	Ladani Children's Home
30	Loris Girls Home
31	Lourdes Girls Home
32	Makola Muslim Orphanage
33	Manikavasager Boys Home
34	Maw Sewana
35	Mercy Lanka
36	Methodist Children's Home
37	Noguchi Child Development Centre
38	Pearls of Paradise
39	Peter Weerasekara Nutritional Child Sigithi Child & Balika Child Development Centre
40	Rouzl Islam
41	Salvation Army-Girls Child Development Centre
42	Sebamalai Mariyannai

No.	Orphanage
43	Serving Centre For Differently Abled
44	Shakti Girls Home
45	Shalom Children's Home
46	Share & Care Community Home
47	Sharing Orphanage
48	Shepherd's Heart
49	Shri Sanghamitta Balika Development Centre
50	Sivan Arul Illam Trust
51	Sneha Development Centre
52	SOS Children's Village
53	SOS Children's Village Galle
54	SOS Children's Village Jaffna
55	SOS Children's Village Nuwara Eliya
56	SOS Children's Village Piliyandala
57	SOS Village
58	Sri Jinananda Development Centre
59	Sri Lankadhara Child Development Centre
60	Sri Sangabo Children's Home
61	St Vincent Child Development Centre
62	St. Joseph Girls Home
63	St.Peter's Children's Home
64	Suwami Vipulananda Children Development Centre
65	The Guardian Child Development centre

No.	Orphanage
66	Thilakavadiyar Girls Home
67	Tudawe Children's Home
68	Udhaya Children's Home
69	Uhunu Children's Home
70	Vajira Sri Boys Child Development Centre
71	Wijewardhana Balika Child Development Centre
72	Yoga Sawamy Saiva Girls Home
73	Sri Agilandeshwary Arulahm
74	Sri Yasodara Devi Aramaya & Girls Home
75	Sunfor Child Development Centre

Towards increasing reach and accessibility for donations, the Trust has tied up with MegaPay (Pvt) Ltd, operators of Pay&Go payment Kiosks, to facilitate real-time donations through 700+ Pay&Go kiosks located island-wide at government institutions, hospitals, supermarkets, private institutions and many public hotspots. In addition to the Pay&Go partnership, the Trust has established other donations platforms such as customer account standing orders and till placements at branches and prominent locations.

WE INVITE YOUR CONCERN, COLLABORATION AND CONTRIBUTIONS

If you are moved and driven by our cause, please join us in making a difference in the lives of young adults who have, for too long, been forgotten and neglected. You may make your contributions by visiting any of our branches or transferring your donation to the Amāna Bank OrphanCare Trust Account.

How to Donate

Account Deposit / Transfer

Account Name : Amāna Bank OrphanCare Trust
Account Number : 037-0345503-003
Account Bank & Branch : Amāna Bank – Main Branch
SWIFT Code : AMNALKLX

Donate through any Pay&Go Kiosks

Contact Details

Azad Zaheed
Head of OrphanCare

Email:
orphancare@amana.lk

Telephone:
+94 11 775 6 775



Amāna Bank OrphanCare signing agreement with Pay&Go

Corporate Social Responsibility

The overall emphasis of the Bank's CSR strategy continued towards initiatives that support children, mainly focusing on their health, education and general well-being amongst other key needs. The Bank pursued to engage its staff in carrying out its CSR initiatives with much interest to encourage a culture of sharing and giving back to society.

AMĀNA BANK ORPHANCARE

- In line with its CSR focus on supporting less privileged children, the Bank launched its flagship CSR venture Amāna Bank OrphanCare in 2019. For more details of the venture please refer pages 66 to 71 of this report.

CHILDREN'S HEALTH AND EDUCATION

- Amāna Bank continued its benevolent work towards the Colombo South (Kalubowila) General Hospital, where the Bank undertook to colour wash the Children's Ward of the Hospital where over 10,000 square feet was painted, including the painting of beds and other amenities. The ward was handed over to the hospital authorities by the Bank's Chief Information Officer, Mr. Rajitha Dissanayake to the Deputy Directresses of the Colombo South Teaching Hospital Dr. Madubashini Karunaratne and Dr. Upuli Wijemanne with the participation of consultant doctors, nurses of the ward, and staff of the Bank. During the event the Bank employees were also engaged in handing over school bags and umbrellas to patients in the ward.
- During the year 2019 the bank donated medical equipment towards the paediatric ward of the Negombo district hospital.
- The Bank also donated medical equipment towards Divisional Hospital Thoppur, which had immensely benefited the operations of the hospital.
- The Bank extended its generous support to the Eliya Foundation to successfully conduct a blood donation camp.
- To support orphans, disabled and needy children, the Bank made a donation to the Hemmathagama Al Hikma Orphanage Children's programme.
- With a CSR focus on education, the Bank provided a donation to the Central Zonal Education Department in conducting its annual language competitions among 20 schools in the zone.
- Upon appeals and evaluation, the Bank donated funds for many needy students to continue their educational activities.
- The Bank donated school bags for needy children through a project initiated by the Colpetty Police Station.



Water Purification Plant in Medirigirya



Donation to Negombo District Hospital



Supporting the disabled children



Kalubowila Hospital Children's Ward Project



Kalubowila Hospital Children's Ward Project



Handing school bags to the needy

GENERAL WELFARE AND OTHER

- ✿ A significant contribution was made towards the renovation of the Dormitory Hall of the Meth Seva Foundation-Wellawaya to benefit under privileged children.
- ✿ The Bank made a generous contribution to those who were affected by the April tragedy in Batticaloa, thereby helping restore normalcy in their day to day lives. This was channelled through St. Andrew's Scots Kirk Church, coordinated by Mr. Shewantha Rodrigo and Mrs. S. Dayani de Silva.
- ✿ During the year the Bank extended a helping hand to ESCO Rehab Sri Lanka, an organisation committed to the welfare of the differently-abled community.
- ✿ A town beautification programme under the patronage of Amāna Bank was carried out in the Akkaraipattu Town by installing new street name boards.
- ✿ Due to many being affected by Chronic Kidney Disease, the Bank contributed to setup a water purification plant in Medirigiriya to benefit the surrounding localities, on the request of the Medirigiriya Temple.
- ✿ Understanding the difficulties in accessing clean water, the Bank initiated a Water Project in Weheragala, on the request of the Polpithigama Weheragala Primary School, for the benefit of the School and the Weheragala Rajamaha Viharasthanaya.
- ✿ On the request of the Kinniya Divisional Secretariat, the Bank donated Water Purifiers to Schools and Government Offices in the Kinniya division.
- ✿ The Bank came forward to distribute dry ration packs for families affected by the floods that hit the Puttalam district.
- ✿ Amāna Bank made a contribution towards the Blind Walk organised by Rotary Club of Colombo Mid Town, with the objective of creating awareness on reversible blindness.
- ✿ The Bank made donation towards Lions Club Wattala, which organised activities under the theme 'Service to the Needy'.



Donation to Easter attack victims



Progress of renovation of Meth Seva Foundation Dormitory Hall



Donation of flood relief items



Distribution of water purifiers to Government Institutions & Schools



Donation of flood relief items

Contribution to Sustainable Development Goals



No Poverty

The Bank's flagship CSR venture Amāna Bank OrphanCare is aimed at financially supporting orphan children who age out of orphanages, so that they can be independent in managing for themselves and not get caught to the poverty trap. Research shows that for young adults, having access to capital at a pivotal juncture in their lives is crucial and transformative. Please refer section on Amāna Bank OrphanCare in this Annual Report on pages 66 to 71 for a comprehensive review of this noble initiative.

Through the Bank's unique Gold Safekeeping solution, the Bank has reached out to customer segments that hitherto have been un-banked and under-banked. Over the years the acceptance for this people friendly solution has increased as it provides the option of convenient credit at grass root levels to help fund personal as well as other micro industries. Further, through the facilitation of an environment of privacy and security for lady customers through exclusive ladies units, this solution has helped empower women, who were hitherto deprived of financial inclusion.



Quality Education

A key focus of the Bank's CSR and Charity Fund activities continues to revolve around education. Over the years the Bank has contributed to many scholarship programmes including the Serendib Education Fund and the Lanka Relief and Development Foundation. The Bank has also generously contributed stationery items for schools and institutions including to the Makola Orphanage.

In addition to the financial support offered through its OrphanCare programme, the Bank aims to provide qualitative support by facilitating the channeling of valued qualitative resources such as Healthcare, Counseling, Education and Career Guidance to these children, aided by many Institutions and individual volunteers.

The Bank's Charity Fund has been utilised to facilitate many higher education support requests of less privileged students. Towards educating the general public on the merits of non-interest based banking model and other financial teachings, the Bank continued to carry out customer awareness programmes and roadshows. The Bank continues to provide School Bags and School Essentials for less privileged children and for this purpose the Bank partnered with EDEX Nenapahana, the CSR arm of EDEX, in supporting their underprivileged schools outreach programme.



Gender Equality

To provide greater comfort and privacy in understanding the different needs of its female customers, Amāna Bank is the only Bank in Sri Lanka to establish a dedicated banking unit catering to female customers. The Bank currently operates 7 such units at selected branches, with future plans for expansion to other branches, based on demand.

The Bank also took a conscious effort in increasing its female workforce, which includes setting up a Ladies Business Development Team and also increased female presence in functional departments. The Bank continued to maintain female presence in the Bank's senior management team.



Clean Water and Sanitation

Accessibility to drinking water continues to be a major challenge for most rural localities in the country. Understanding this predicament, Amāna Bank initiated many programmes to provide clean water including setting up a water purification plant in Medirigiriya to benefit the surrounding localities, on the request of the Medirigiriya Temple; initiating a clean water project in Weheragala, on the request of the Polpithigama Weheragala Primary School for the benefit of the school and the Weheragala Rajamaha Viharasthanaya; and donating water purifiers to schools and Government Offices in the Kinniya division.

7 AFFORDABLE AND CLEAN ENERGY



Affordable and Clean Energy

As an alternative for fossil fuel consumption, the Bank has been actively promoting its Solar Financing facility for customers switch to green energy. For this purpose the Bank also produced an infomercial video educating the public on how our day to day activities use fossil fuels causing harm to the environment and how one can harness the power of the sun to generate cleaner energy. (Link for video : <https://youtu.be/UaLhhQBz770>). Testifying the Bank's commitment to go green, the electricity to Amāna Bank's Corporate Office is also generated through Solar energy.

At a national level, the Bank has also encouraged and financed businesses that generate renewable energy to the National Grid, and some of the major project includes financing mini hydro power plants, which has not only reduced the country's dependency on fossil fuels, but also providing an affordable source of energy.

8 DECENT WORK AND ECONOMIC GROWTH



Decent Work and Economic Growth

A key deterrent for customers not having a banking relationship is reach and accessibility for financial services. For a prospective customer of Amāna Bank this was more significant as the Bank did not have the reach as the well-established counterpart Banks. Not being deterred on this prospect, the Bank worked on collaborations and partnerships to make its services available across the country. With a mix of physical branches (31) and Self-Banking Centres (19), the Bank expanded its reach; in terms of reach to deposit through 700+ Pay and Go kiosks, reach to withdraw through 4500+ LankaPay linked ATMs, reach to monitor and transact through Internet & Mobile Banking and introduced many other digital services and conveniences such as Online Account Opening, SMS Alerts, Doorstep Banking, etc.

9 INDUSTRY, INNOVATION AND INFRASTRUCTURE



Industry, Innovation and Infrastructure

The Bank's strategic focus is primarily being a Retail and SME Bank, thus it continued to support the various SME industries through financing as well as through moratoriums granted for repayments. Unlike a traditional lender and borrowing relationship where the lender dictates terms, the Bank's unique banking model fosters a healthier and mutually benefiting relationship which is favorable to SME customers on the long run. This is why the Bank recognises genuine misfortunes and doesn't believe in profiting from the likes of late payment penalties. We do not burden SME customers further during a genuine downfall with snowballing charges. We will be keen to guide them through their hardship towards prosperity. We stand by them through adversity and profit only when they prosper. Knowing such comfort and understanding is provided, SMEs have peace of mind in focusing towards the betterment of their business.

10 REDUCED INEQUALITIES



Reduced Inequalities

The Bank has been supporting low income families through its Gold Safekeeping facility, which facilitates the option of convenient credit at grass root levels. The Bank's OrphanCare programme also contributes towards inclusive development through empowering vulnerable youth.

12 RESPONSIBLE CONSUMPTION AND PRODUCTION



Responsible Consumption and Production

The Bank has undertaken many initiatives to ensure the Bank's usage of paper is limited through investing in technology. Some of the key initiatives include online account opening, e-statements and SMS alerts, voucher less deposits, one time password/PIN (OTP) via SMS instead of PIN mailers, scan based approval systems. The Bank has also encouraged its employees to foster a culture of responsible consumptions within their departments which has resulted in many adapting 'green' measures and initiatives towards reducing, reusing and recycling.

Risk Management

Risk arises from uncertainty pertaining to the Bank's future losses as well as future gains. Therefore, there is a natural trade-off between risk and return. Risk is not necessarily related to the size of the potential loss as many potential losses are large but are quite predictable and can be provided for using risk management techniques.

Risk is inherent in every level of activity carried out by a bank, but is managed through an effective process of risk management with the aid of risk limits and related controls.



The Bank's mission with respect to risk management is to enhance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and practices. This mission is to support the Bank's vision which is to be an admired leader by providing a unique banking experience, through equitable financial solutions.

The strategic focus of Amāna Bank's risk management process is to create a risk based culture that enables the Bank to take an integrated approach to Risk Management and assigning the traditional approach of independently managing risk within each Department or Unit.

The major categories of risks are credit, market, liquidity and operational risks. Banks also face other risks including but not limited to reputational, legal, regulatory, etc.

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies approved by its Board of Directors (BOD) along with supporting procedures. The purpose of these policies and procedures is to manage and optimise the risk-reward trade off. Through the IRM framework, the BOD assesses the risk profile and has oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at minimum on a quarterly basis. Integrated Risk Management is a set of practices and processes supported by a risk-aware culture and enabling technologies that improves decision making and performance through an integrated view of how well the Bank manages its unique set of risks.

The IRM framework covers identification of potential risks and sources of such risks, the mechanism of managing such information and reporting on how to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures, among other matters, address;

- i. a system to aggregate overall risk exposures for monitoring and control
- ii. measures for risk diversification with limits for various exposures based on risk appetite
- iii. risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. capital maintenance considering expected and unexpected losses
- v. capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions
- vi. disaster recovery and contingency plans.

RISK APPETITE

An effective risk governance framework includes a strong risk culture, a well-developed risk appetite articulated through the Risk Appetite Statement, and well defined responsibilities for risk management in particular and control functions in general.

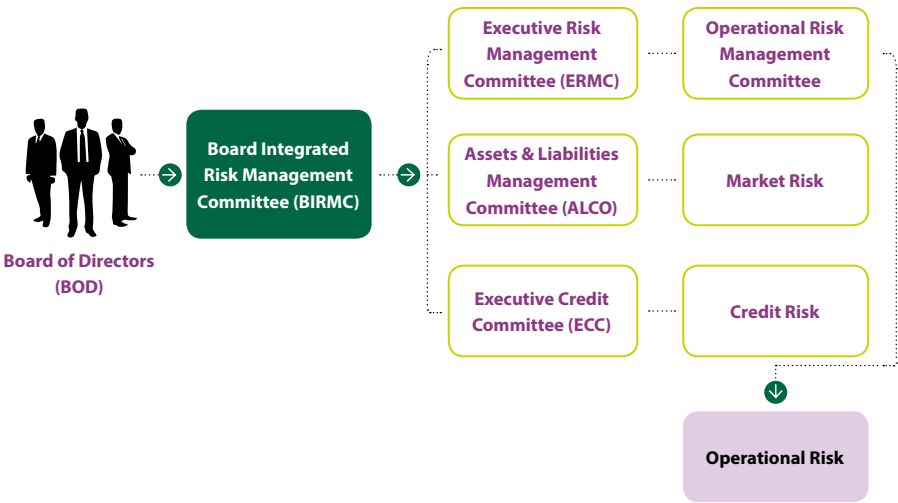
The Bank's risk appetite reflects its tolerance to accept risk. The subsequent application of the risk appetite into defined risk limits, sets boundaries to its business strategy and to its ability to exploit business opportunities.

In order to effectively apply risk appetite, the Bank has defined quantitative indicators on all risk categories (for example: capital adequacy level, risk limits, earnings growth, foreign exchange net position, single borrower limits, liquidity gap, etc.) and embedded qualitative aspects in its policies and procedures (such as assessment criteria). The Bank's risk policy and risk limits are designed to be consistent with the defined risk appetite.

RISK MANAGEMENT STRUCTURE

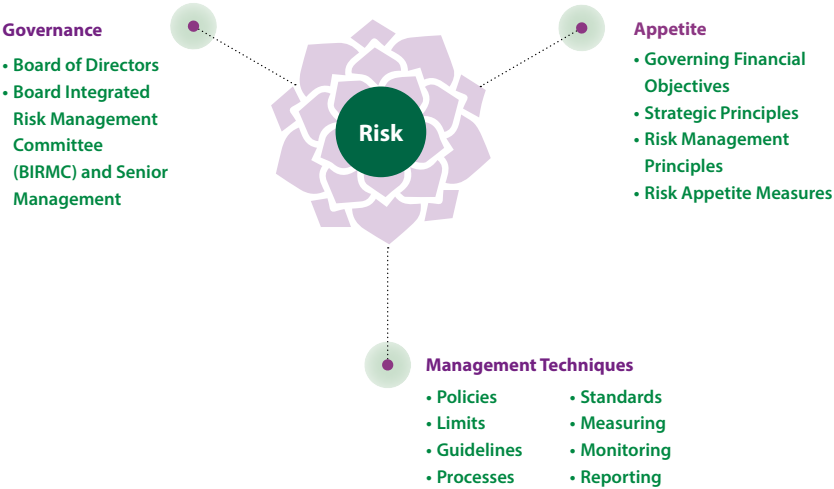
The Risk Management Department (RMD) is mandated to design and operate the Bank's integrated risk management process and is independent of business lines. The Bank has developed a risk management framework adhering to the Basel III Accord, which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the on-going development and enhancement of the Bank's integrated risk management infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk i.e. a way that people and processes ensure that business activities provide an appropriate balance of return for the risks undertaken. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Integrated Risk Management Framework document was revised by RMD, reviewed by the Board Integrated Risk Management Committee (BIRMC) and approved by the BOD during the year.



The Bank's risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:

Risk Management Framework



The Bank has in place a strong risk management framework which is based on the need, to assess the Bank's exposure to risks while minimising adverse impacts of credit risk, market risk, liquidity risk and operational risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/exposures remain aligned to the defined risk appetite and strategy whilst proactively managing risks supported by strong open-minded risk identification.

The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a sound foundation of risk management framework consistent with the bank's objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is monitored by the following Board and Management committees:

- ✿ Board Integrated Risk Management Committee (BIRMC)
- ✿ Board Audit Committee (BAC)
- ✿ Board Credit Committee (BCC)
- ✿ Assets and Liabilities Management Committee (ALCO)
- ✿ Executive Risk Management Committee (ERMC)
- ✿ Operational Risk Management Committee (ORMC)
- ✿ Management Audit Committee (MAC)

- ✿ Executive Credit Committees (ECCs)
- ✿ IT Steering Committee (ITSC)

The Board has defined the risk appetite for the Bank which is then rolled out to each business line and subsequently to the business unit. The Board is assisted by a number of Board level and Management level committees.

TYPICAL ROLES/RESPONSIBILITIES IN SETTING RISK APPETITE

Stakeholders	Roles/Responsibilities
Board of Directors	✿ Review and approve risk appetite ✿ Review strategic objectives and positioning
BIRMC	✿ Understand the risk profile of the Bank and the Bank's performance against same ✿ Set basic goals for the Bank's risk appetite and strategy, such as ratings or earnings-volatility targets with senior management and issue guidelines for senior management in implementing risk management policies and procedures throughout the Bank ✿ Ensure that the risk function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools
CEO, CRO and Senior Management	✿ Develop Business Strategy ✿ Identify availability of capital ✿ Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity ✿ Oversee monitoring and reporting around the risk appetite process ✿ Align business lines and goals within the risk parameters ✿ Communicate risk appetite ✿ Promote risk culture ✿ Communicate and integrate objectives throughout the business processes ✿ Embed risk appetite related goals in performance objectives
Business/Support Unit Heads	✿ Propose key initiatives in light of economic, risk and competitive outlook ✿ Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under the Basel III Accord, the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

1ST LINE OF DEFENCE: RISK TAKING UNITS

These are the units directly exposed to specific risks daily and must assume primary responsibility in their management. By identifying and analysing risks and shortcomings, instituting regular controls, monitoring and reporting procedures and taking appropriate action, they are in the best position to mitigate or avoid risks. The overall ownership of the risk environment and responsibility to manage the risks therefore reside with them.

2ND LINE OF DEFENCE: RISK CONTROL UNITS

This refers to the respective Risk Management Team and the Risk Control Committees, including other control and monitoring departments such as Legal, Compliance and Sharia Supervision. The RMD shall be responsible for the development and maintenance of the risk management framework and its implementation. Other controlling and monitoring departments are responsible to develop guidelines in managing risks under their purview. Both RMD and controlling/monitoring departments ensure timely receipt of reports and perform analyses before submitting them to top management and the BOD for their oversight. Where appropriate, they provide support to the risk taking units and initiate changes to policies and procedures.

3RD LINE OF DEFENCE: INDEPENDENT ASSURANCE

This refers to the Internal Audit function whose roles and responsibilities under the risk management policy are to provide independent assurance to the BOD on the effectiveness of the risk management framework, that the policy has been implemented with integrity.

The Bank has been continuously leveraging the risk management system capabilities to drive the following benefits:

- i. increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- ii. reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- iii. adhere to regulations that may come into effect in the future (i.e. by Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), etc.)
- iv. enhance strategic decision-making with foresight into risks.
- v. enhance product and services strategy by providing confidence in introducing innovative and profitable offerings.
- vi. timely detection of risks to reduce losses due to risk events.

During the year, the country witnessed unforeseen events in the form of terrorist attacks which prompted certain prudent risk management measures to be adopted in line with market conditions assisting the Bank to reach the level of growth achieved. In doing so, the Bank was further able to strengthen the risk based culture by means of a robust risk management framework throughout all branches and departments. The Bank's RMD strategically manages the risks by working closely with the business units at every stage of the process, and with the use of credit risk and operational risk management tools the Bank has successfully managed the Non Performing Advances (NPA) ratio at a level below the industry average and worked towards strengthening the Risk Control and Self-Assessment (RCSA) process.

ASSESSMENT OF CAPITAL ADEQUACY

In order to provide assurance that the Bank has sufficient capital to support all its business and risk taking activities, RMD carried out the Internal Capital Adequacy Assessment Process (ICAAP) in accordance with the Basel III guidelines, as required by CBSL.

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio risk exposures, its risk management practices towards material risks and potential capital planning buffer required in the event of stress.

CBSL directed all licensed commercial banks in Sri Lanka to formulate their ICAAP document and submit the same for regulatory evaluation within five months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document and met the said requirement.

Capital Requirement under Basel III

Minimum Requirement covered under Pillar 1 of Basel III regulations has been complied with, which required the capital buffers to be implemented. Amāna Bank is maintaining the capital to comply with the buffer requirement and maintain CAR at 12.5% by 2019, which is the rate that is applied for banks which carry an asset base of less than LKR 500 billion.

Assessment of the capital has been reviewed by the ICAAP process which assesses the risks that are not covered in the Pillar I in order to meet the capital ratio and the buffer requirement as specified by the regulator. ICAAP was prepared in line with Basel III capital and buffer requirements and the capital was assessed under various stress scenarios for smooth functioning of the Bank.

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The Bank has adopted the latest requirements of Basel III. The Liquidity Coverage Ratio (LCR), is being reported to CBSL based on existing guidelines. LCR in terms of all currencies and based on rupee have been monitored separately and reported to the relevant management committee and BIRMC on a monthly basis in order to assess the liquidity risk of the Bank. The Leverage Ratio and Net Stable Funding Ratio (NSFR) which came into effect from 1 January 2019 have also been reported to CBSL as part of Basel III reporting.

The compilation of the ICAAP report is spearheaded by the Management Committee and a cross functional team which consists of resource personnel from risk, audit and finance departments.

ICAAP report helps the Bank meet the following objectives:

- i. ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. ensure a comprehensive coverage of risks facing the Bank, covering not only the Pillar I risks but also other risks that are covered under Pillar II and Pillar III. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: residual credit risk and under-estimation of credit risk in standardised approach).
- iii. formulate a process that forms an integral part of the Bank's risk management processes so as to enable the BOD and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.
- iv. have a process for assessing the overall capital adequacy in relation to the risk profile.

- v. enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.
- vi. usage of risk management in general business decisions and budgets, day-to-day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.
- vii. embark upon a continuous process for improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

SOURCES OF CAPITAL AND CAPITAL MANAGEMENT

The growth in profitability in the ensuing years will be a source of internally generated capital whilst external sources will include equity via rights issue and private placements.

The Bank having raised equity capital in 2017 through a rights issue, satisfied the regulator's current minimum capital requirement of LKR 10 billion. This also enabled the Bank to support its current and future expansion activities whilst continuing to maintain its regulatory capital adequacy ratios at a healthy level well above minimum requirement. Supplemented by sustained growth in profits, the Bank expects its level of capital to be adequate in the short to medium term. Based on the latest regulation, the Bank is required to increase its capital up to LKR 20 billion by end 2020 and in this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the stipulated deadline.

Whilst the current level of capital is adequate to support the planned capital expenditure as well as business growth up to the mid-term, subsequent to meeting the requirement in 2020 the Bank expects to be well-positioned in terms of the desired capital level.

Further to Amāna Bank's second successive dividend payment in 2019, the Bank may, subject to the provisions of the Articles of Association, the Companies Act No. 07 of 2007 and any other applicable guidelines make dividend payments by way of interim and final dividends to its shareholders in relation to the profits made from time to time. Such dividends will be paid after taking into consideration the Bank's earnings, investment requirements and other financial conditions.

STRESS TESTING

Stress testing is an important risk management tool that enables a bank to identify the potential sources of risk, evaluate the magnitude of it, develop tolerance levels and generate strategies to mitigate the identified risks. Sound stress testing practices enables the Board and Senior Management to make a more informed forward looking assessment of risks when determining Bank's risk appetite, business strategies and contingency plans.

Moreover, Pillar 1 of the Basel Accord related to minimum capital requirements mandates that banks undertake stress testing for assessing capital adequacy if they are using the Internal Models Approach (IMA) to determine market risk or advanced or foundation internal ratings-based (IRB) approaches to determine credit risk. Pillar 2 of the Basel Accord related to the supervisory review process (SRP) mandates that banks undertake general stress tests. Compliance with Basel III requirements help banks to correctly assess risk and develop plans to reduce their actual losses. The internally developed scenarios shall include economic recession scenarios, one of which must be a prolonged recession, to assess its ability to withstand and mitigate such scenarios. These scenarios have been applied in Bank's ICAAP, annually.

Sensitivity and Scenario Analyses

The Bank uses a range of stress testing methodologies such as sensitivity and scenario analysis to ensure that its stress testing is comprehensive. Sensitivity analysis estimates the impact on the value of a portfolio of exposures arising from assumed movements in a single risk factor or several closely related risk factors.

Supervisory Review and Evaluation

As part of the Bank's risk-based supervisory framework and evaluation of ICAAP, stress testing shall be reviewed and evaluated annually. The Bank is required to take action to improve its capital or risk management processes in order to address any adverse scenario impact conducted through stress testing.

CREDIT RISK MANAGEMENT

Overview

Credit Risk is the risk of potential loss arising from failure of a customer or counterparty to perform according to its contractual obligations to the Bank. It includes failure in the repayment of capital plus the Bank's profit/mark-up on direct financing or from off balance sheet assets such as letters of credit, letters of guarantee, documents against acceptance, etc. within the agreed tenure and in the agreed currency.

Credit Risk generates the largest regulatory capital requirement for the Bank. The Bank manages the Credit Risk in the entire portfolio as well as on individual credit exposures.

The main objectives of Credit Risk Management function is to:

- ✿ ensure optimal risk-reward pay off for the Bank and to maximise returns
- ✿ maintain quality of the portfolio by minimising non-performing advances and probable losses
- ✿ maintain a well-diversified portfolio by prudently managing risk in the asset portfolio to ensure that risk of excessive concentration to any industry/sector/ individual customer is minimised
- ✿ ensure that all requirements as per regulatory guidelines are maintained and all related party transactions monitored and reported to the relevant authorities as well as ensuring clearly defined internal policies and guidelines are set and reviewed regularly to meet the current requirements of the Bank

Following are the main elements through which the Bank achieves the objectives of the Credit Risk function.

Credit Policies and Guidelines

The Bank has a well-defined Credit Risk Policy approved by the BOD and a Credit Procedure Manual which are reviewed regularly. These documents outline fundamental standards and disciplines to actively manage the credit risk across the Advance portfolio of the Bank, defines the credit culture, target markets, prohibited areas of business, set acceptable risk parameters, set standards for collateral, delegated authorities and the guide to post-disbursement monitoring of financing accommodated. The policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre/post credit risk management in line with the risk appetite of the Bank, the regulations of CBSL and Basel guidelines.

The Bank continuously strengthens its monitoring mechanism of credit risk to ensure regular and frequent review of the portfolio. This helps the Bank to understand any emerging risk trends, align its credit risk appetite to its business objective, whilst promoting risk based business decision-making.

Structured Standardised Credit

Credit proposals are prepared in pre-determined formats, and comprise of financial appraisal, independent review of financial and non-financial information such as credit ratings, collateral and covenants, and credit approval based on BOD sanctioned delegation of authority (DA).

Credit is extended only to suitable and well-identified customers on evaluating and ensuring the purpose, ensuring that the primary source of repayment for each credit is from identifiable cash flow, sources of income, their ethical standards and records. Where the source of repayment is unknown or speculative or where the purpose/destination of funds is undisclosed such requests are not accommodated, further ensuring that risk considerations shall have priority over business and profit considerations.

A pricing mechanism that reflects variation in the risk profile of various exposures to ensure that higher risks are compensated by higher returns, based on risk based pricing. The financial performance of borrowers are continuously monitored and frequently reviewed as set out in each approval and as per credit procedure guidelines. The Bank obtains collateral as a possible secondary recourse or as a fall back option. These are obtained based on exposure guidelines set by the credit risk policy and collateral guidelines, which in turn are set according to regulatory guidelines on collateral.

Collateral and Credit Enhancements

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit

enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy. To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

In terms of collateral repossessed, the Bank's policy is to sell the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

Delegation of Authority

The BIRMC has been delegated with the responsibility of managing the Bank's overall risk including credit risk. At an executive level, credit authority has been further delegated to Executive Credit Committees (ECCs) which is headed by CEO and CRO respectively. The Credit Risk Department conducts independent reviews of the credit risks lying with the relevant business units and makes recommendations on credit policies, prudential limits on sector exposures and counterparty exposures in order to make improvements.

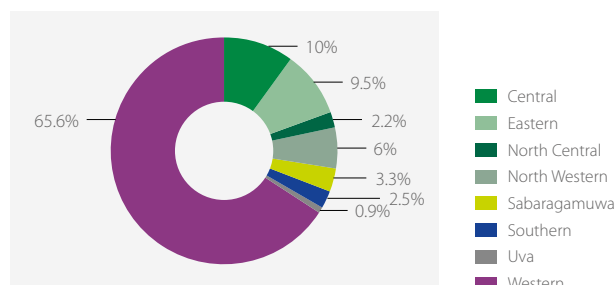
Final authority and responsibility for all activities that expose the Bank to credit risk rests with the BOD which has delegated approval authority to the CEO to re-delegate limits to Business Lines. All DAs to individual members are name specific and are based on the individual experience, judgement, ability, facility type and collateral in order to ensure accountability and mitigate any judgemental errors.

Prudential Limits

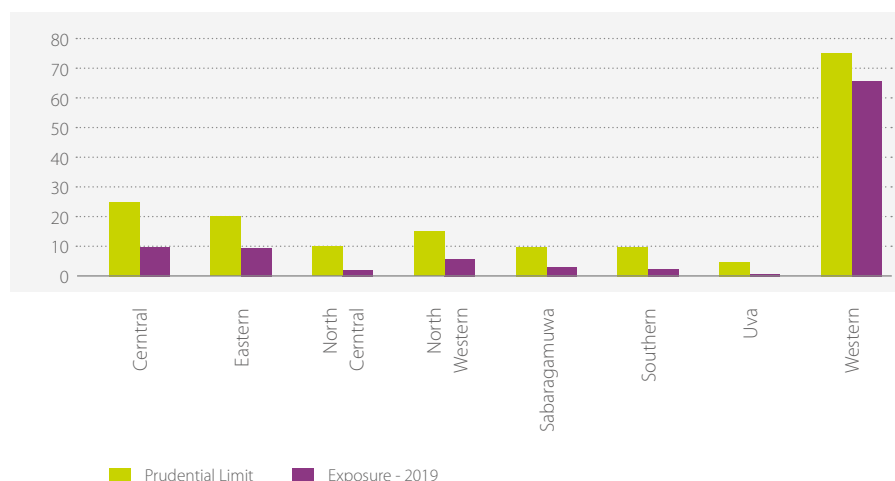
The Bank continuously strengthens its monitoring mechanism of credit risk to ensure regular and frequent review of the portfolio. This helps the Bank to understand any emerging risk trends, align its credit risk appetite to its business objective, whilst promoting risk based business decision-making. This exercise covers analysis of the portfolio based on industry sectors, products, geographies and trends in NPA.

Prudential, industry, geographic and portfolio limits are set by the BIRMC. Credit Risk Department monitors compliance with these approved limits. Desired diversification is achieved by setting maximum exposure limits on single / group obligor exposures, where the internal limits are more stringent than the limits set by the regulator, which too are monitored by RMD for compliance.

Geographical Concentration of Portfolio



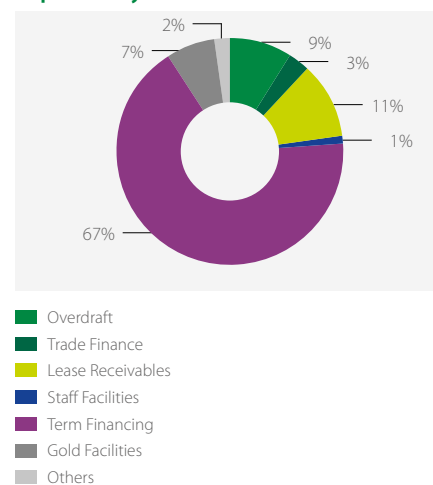
Geographical Concentration Against Prudential Limits (%)



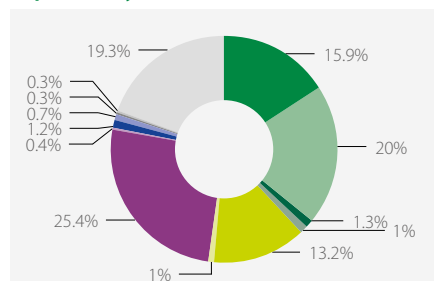
Portfolio Management

Credit portfolio management is an important function within the overall credit risk management. The need for such critical and objective portfolio management emanates from the need to optimise the benefits associated with diversification. It also helps the Bank to identify and address potential adverse impact of concentration of exposures. The Bank has a well-structured portfolio management mechanism which evaluates exposures on the basis of industry concentration, rating quality, internally established early warning indicators, apart from regulator imposed quantitative ceilings such as the single borrower and aggregate exposure. On feedback from regular reviews and interactions with business units the criteria for credit accommodation is amended to insulate portfolios from further deterioration.

Exposure by Product



Exposure by Sector



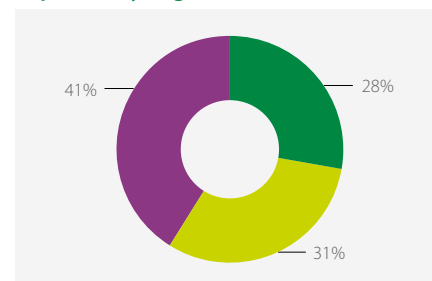
Agriculture, Forestry and Fishing
 Manufacturing
 Tourism
 Transportation and Storage
 Construction
 Infrastructure Development
 Wholesale and Retail Trade
 Information Technology and Communication Services
 Financial Services
 Professional, Scientific and Technical Activities
 Education
 Health Care, Social Services and Support Services
 Consumption

In addition, stress tests and scenario analyses are carried out to assess the impact of any material changes in the external environment with suitable recommendations to restructure the portfolio. Any deteriorating credits with emphasis on internal and external early warning signals are identified and monitored closely. Non Performing Advances are identified at an early stage through regular interactions with business units, enabling management to take action as appropriate. In addition, a post-approval hindsight review of credits approved is carried out by an independent committee which reports to BIRMC with appropriate recommendations. All monitoring reports are submitted regularly to the respective credit committees and BIRMC.

Developments in 2019

- The Bank has been using a risk scoring model from its inception for its Consumer, SME and Corporate portfolios which required an enhancement with the growth and diversified portfolio of the Bank. With this requirement in mind a robust Risk rating model was successfully selected and implemented, which runs on a sophisticated workflow based software and hosts an obligor risk rating as well as a facility risk rating option. With this the Bank expects to facilitate accurate quantification of credit risk which covers large corporates, SMEs and retail portfolios. This new model will replace the existing Risk score model which was used for facilities offered by the business segments.
- Further, with the implementation of the new risk scoring model, consumer facilities approval workflow also was automated with Housing, and Small Asset Financing (SAF) applications which are now routed through the system for efficient processing of customer files and faster turnaround time. This also helps the Bank to look at the Retail portfolio more proactively in line with the Bank's focus in terms of its Strategic Plan.
- The Credit Risk Policy of the Bank was reviewed to support the Bank's future strategies and to strengthen the Credit Risk function of the Bank in light of the changes taking place in the external environment. With this review being now completed, the Credit Procedure Manual will also be reviewed and plans are underway to draw up a separate procedure manual for Credit Administration function to further strengthen this area.

Exposure by Segment

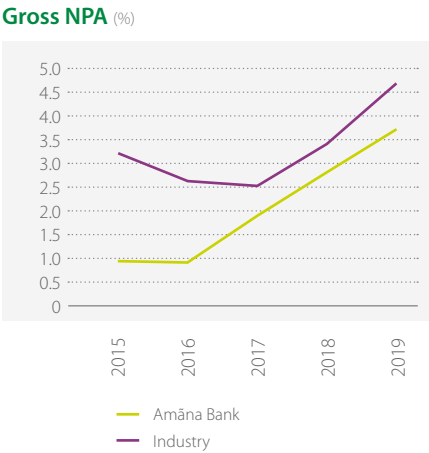
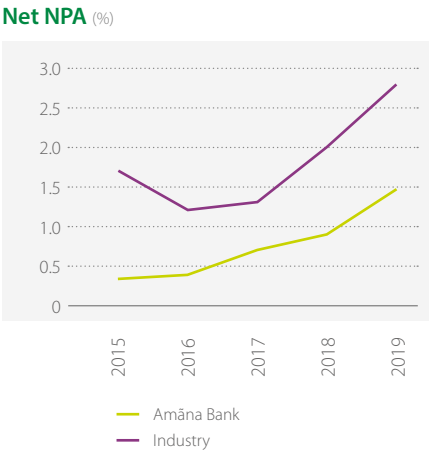


Consumer
 Corporate
 SME

The increasing trend in banking sector NPAs continued unabated due to the slowdown in economic activity which compelled the Bank to take further steps to contain NPAs inter-alia by:

- initiating and extending the SMS alert facility to SME customers as well after having initially introduced it to retail customers thereby providing all with a gentle reminder of their due date and amount.
- segregation of collection and recovery teams into collections and legal recoveries introduced in the previous year was further strengthened with the introduction of a call centre for retail collection which brought in positive results, ensuring focus through tightening up of the follow-up process.
- The legal department is now supported with a Legal Officer dedicated for recoveries and the Bank expects to further strengthen this area with added focus on early recoveries.

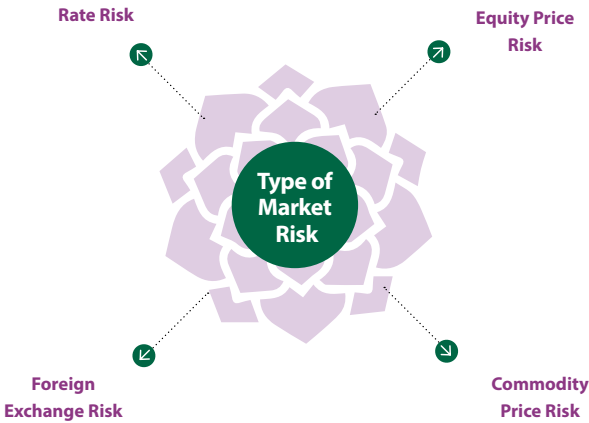
As a result of regularly engaging with the customers and implementing the above steps, the Bank's Net NPA ratio was contained at 1.5% well below the industry average of 2.8% whilst the Gross NPA also stood below industry average. These results were achieved amidst difficult market conditions which demonstrates the Bank's resilience to external challenges.



MARKET RISK MANAGEMENT

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.



Rate Risk

The risk of loss due to changes in the level, slope and curvature of the yield curve, volatility of rates and prepayments.

Foreign Exchange Rate Risk

The risk of loss due to changes in spot and forward prices and the volatility of currency exchange rates.

Equity Risk

The risk of loss due to changes in the prices and the volatility of individual equity instruments and equity indices.

Commodity Risk

The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals.

Market risk mainly arises from activities undertaken by the Bank's Treasury, Foreign Exchange, Equity, Commodity and Money Market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the BOD and the Management have ensured effective monitoring and management of market risk with the following:

- i. BIRMC reviews market risk policies and limits and approval is obtained from the BOD for any changes necessary. An annual review of treasury related policies and limits also takes place to ensure such policies and limits are in line with regulatory requirements.
- ii. BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.
- iii. Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.
- iv. Risk Middle Office conducts stress testing for foreign exchange exposures, equity investments, gold facilities and liquidity on a periodic basis. Aggregate level of stress testing is conducted on a quarterly basis.

As required by CBSL, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel regulations. The Bank maintains quoted equity exposures at fair value with changes in fair value recognised either through Profit or Loss or through Other Comprehensive Income (OCI) and manages those portfolios separately based on the requirements of Sri Lanka Accounting Standards. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

OBJECTIVES OF THE METHODOLOGIES USED TO ASSESS MARKET RISK

Value at Risk (VaR)

VaR is a method of measuring market risk based on a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data. Changes in VaR between reporting periods are generally due to changes in levels of exposure, volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back testing is also an important and necessary part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact that abnormally large swings in market factors and periods of prolonged inactivity might have on portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its equity portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity. It is applied to each of the major currencies within the Bank's operations.

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities and off balance sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

Rate Risk Analysis

Earnings perspective involves analysing the impact of changes in the profit rate on accrual or reported earnings in the near term, measured by changes in the net financing income. Economic value perspective involves analysing the changes of impact of profit on the expected cash flows on assets minus the expected cash flows on liabilities plus the net cash flows arising from off balance sheet items. The level of profit rate changes is an important factor to choose fixed/floating rate assets/liabilities, their maturities and hedging decisions.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's market risk management, VaR figures are reviewed monthly against loss limits by ALCO and at every BIRMC.

In practice, the actual trading results may differ from the VaR calculation and in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

		VaR of Foreign Exchange Exposures (LKR million)	Approved Loss Limits for FX Operations (LKR million)	VaR of Equity Portfolio (LKR million)	Approved Loss Limits for Equity Operations (LKR million)
2019	End December	1.07	7.27	3.57	35.00
	Daily Average	3.85		4.75	
	High	9.12		5.46	
	Low	0.28		3.55	
2018	End December	1.49	4.57	4.75	35.00
	Daily Average	2.07		9.47	
	High	6.48		15.80	
	Low	0.33		4.08	

Foreign Exchange Risk

Foreign Exchange Risk is a monetary loss that arises because of unhedged or not fully hedged foreign currency positions. Foreign exchange risk results from imperfect correlations in currency price movements as well as changes in international market rates. Potential large losses could reduce the extent of a bank's foreign investment and also put it at a competitive disadvantage compared to its competitors.

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for on and off balance sheet instruments.

Foreign exchange exposures in individual currencies are managed in accordance with the limits approved by the BOD. In addition, this is also managed and monitored against the regulatory limits set by CBSL.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in balance sheet positions. In addition, the Bank's activities in the trade financing business result in off balance sheet exposures. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis.

The concentration of on and off balance sheet foreign currency risk as at 31 December 2019 and 31 December 2018 are given in the tables shown below:

As at 31 December 2019

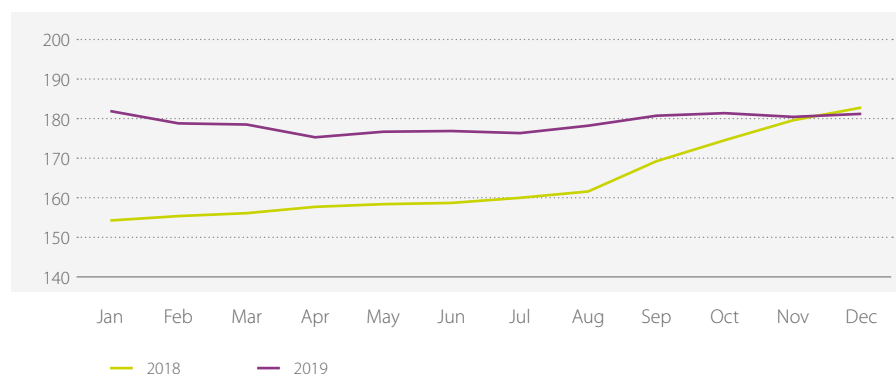
Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	105,241,879	(41,851,442)	63,390,436	75,950,000	(139,171,992)	(63,221,992)	168,445	-	168,445	33,506,405
Pound Sterling	1,336,829	(1,269,335)	67,494	60,000	-	60,000	127,494	-	127,494	29,885,343
Euro	457,480	(153,110)	304,370	-	(7,821)	(7,821)	296,549	-	296,549	60,307,702
Japanese Yen	(965,123)	(2,610,599)	(3,575,772)	6,350,000	(1,049,718)	5,300,282	1,724,560	-	1,724,560	2,879,540
Indian Rupee	-	-	-	-	-	-	-	-	-	-
Australian Dollar	337,952	(1444,00)	193,953	-	-	-	193,953	-	193,953	24,665,490
Canadian Dollar	-	-	-	-	-	-	-	-	-	-
Other Currencies										60,442,534
Total Exposure										211,687,013
Total Capital Funds as per 31.12.2019 Financial Statements										11,833,327,210
Total Exposure as a % of Total Capital Funds (should not exceed 30%)										1.79%

As at 31 December 2018

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	82,533,241	(46,690,310)	35,842,930	77,184,032	(111,831,556)	(34,647,524)	1,195,406	-	1,195,406	280,443,814
Pound Sterling	126,090	(1,817,571)	(1,691,481)	1,700,000	-	1,700,000	8,519	-	8,519	920,526
Euro	411,361	(541,436)	(130,075)	300,000	-	300,000	169,925	-	169,925	411,361
Japanese Yen	(2,547,019)	(4,510,875)	(7,057,894)	4,300,000	-	4,300,000	(2,757,894)	-	(2,757,894)	(4,582,107)
Indian Rupee	-	-	-	-	-	-	-	-	-	-
Australian Dollar	90,083	(147,121)	(57,038)	90,000	-	90,000	32,962	-	32,962	4,242,848
Canadian Dollar	200	-	200	-	-	-	200	-	200	26,876
Other Currencies										21,976,886
Total Exposure										348,056,190
Total Capital Funds as per 31.12.2018 Financial Statements										11,347,153,694
Total Exposure as a % of Total Capital Funds (should not exceed 30%)										3.07%

During the year 2019, the LKR appreciated by 0.6% against the US Dollar.

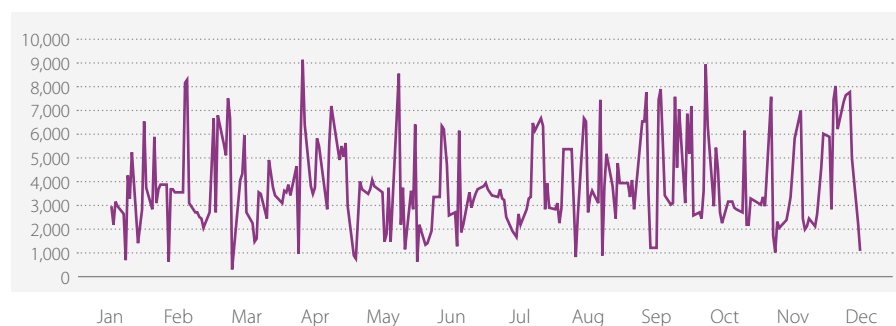
Exchange Rate - USD/LKR (LKR)



Revaluation of all foreign currency assets and liabilities is carried out daily by i-MAL core banking system according to accepted market best practices.

A graph giving daily VaR figures of the foreign currency exposure is given below.

FX VaR 2019 (LKR '000)



Equity Position Risk

The Bank holds equity portfolios for trading and investment purposes. These portfolios expose the Bank to rate risks, credit spread and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is held at fair value where such changes in fair value are recognised either through Profit or Loss or Other Comprehensive Income. The Portfolio of equity where fair value is recognised through Profit or Loss is purchased with a view to hold them in the short term and equities where fair value is recognised through OCI are purchased in order to hold them in the medium term. Recognition and measurement of these portfolios are in accordance with SLFRS 9 principles which came into effect from 1 January 2018.

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in white-listed equities.

The sectoral exposure of equity portfolio comparing with previous year is given below:

			2019
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Construction	5,640,000	8,720,000	52,000,000
Beverage & Food	6,543,300	5,002,930	52,500,000
Trading	37,452,822	38,382,705	52,500,000
Telecom	17,267,236	19,885,964	52,500,000
Sub Total	66,903,358	71,991,599	
Strategic Investments	184,685,504	143,946,055	
Total Equity Portfolio	251,588,862	215,937,654	
Total Approved Portfolio Limit			710,000,000

			2018
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	31,168,000	25,149,280	87,500,000
Construction	16,942,000	10,321,200	52,000,000
Beverage & Food	13,201,058	12,364,632	52,500,000
Trading	42,319,103	40,479,560	52,500,000
Diversified	24,062,519	18,160,392	87,500,000
Power	6,739,410	5,750,963	52,500,000
Sub Total	134,432,090	112,226,027	
Strategic Investments	244,335,790	184,685,504	
Total Equity Portfolio	378,767,880	296,911,532	
Total Approved Portfolio Limit			710,000,000

The Bank's Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

A graph indicating the daily VaR figures for Equity portfolio (excluding the strategic investment portfolio) is given below:

Equity VaR 2019 (LKR '000)



Rate Risk

Rate risk arising from the Bank's financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders' equity.

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank's exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank's rate risk is limited due to the business model adopted where customer deposits have been taken on the basis of sharing actual profits and losses earned.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

	1 to 30 Days %	1-3 Months %	3-6 Months %	6-9 Months %	9-12 Months %	1-3 Years %	3-5 Years %	5-10 Years %	10-15 Years %	Over 15 Years %	Unclassified %
Scenario I	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%
Scenario II	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%
Scenario III	-1.50%	-1.50%	-1.25%	-1.25%	-1.00%	1.00%	1.00%	1.25%	1.25%	1.50%	1.50%
Scenario IV	1.50%	1.50%	1.25%	1.25%	1.00%	-1.00%	-1.00%	-1.25%	-1.25%	-1.50%	-1.50%
Scenario V	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2019				2018		
Behavioural Basis						
Scenario	Rate Risk (LKR million)	Impact on CAR		Scenario	Rate Risk (LKR million)	Impact on CAR
Scenario I	(106.72)	-0.16%		Scenario I	(429.14)	-0.72%
Scenario II	116.93	0.18%		Scenario II	462.29	0.77%
Scenario III	(164.78)	-0.25%		Scenario III	(324.27)	-0.54%
Scenario IV	166.32	0.25%		Scenario IV	331.49	0.56%
Scenario V	(246.16)	-0.37%		Scenario V	(1,013.51)	-1.70%
Contractual Basis						
Scenario	Rate Risk (LKR million)	Impact on CAR		Scenario	Rate Risk (LKR million)	Impact on CAR
Scenario I	(280.10)	-0.42%		Scenario I	(782.39)	-1.31%
Scenario II	608.49	0.92%		Scenario II	856.27	1.43%
Scenario III	(332.50)	-0.50%		Scenario III	(451.73)	-0.76%
Scenario IV	351.96	0.53%		Scenario IV	472.57	0.79%
Scenario V	(1,259.58)	-1.89%		Scenario V	(1,832.40)	-3.07%

The details of the impact of 1% increase in market rates on Economic Value of Equity (EVE) and Earnings at Risk (EaR) calculated based on Behavioural and Contractual maturities are given in the table below:

	2019	2018
Economic Value of Equity (EVE) - (100 bps shift)		
Behavioural - % of Total Capital	0.94%	1.93%
- Value in LKR million	(106.72)	(218.64)
Contractual - % of Total Capital	2.47%	3.52%
- Value in LKR million	(280.10)	(399.98)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	0.11%	-0.12%
- Value in LKR million	12.44	(13.09)
Contractual - % of Total Capital	0.67%	0.81%
- Value in LKR million	(75.83)	(92.39)

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2019

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265	Yes
Balance with Central Bank of Sri Lanka	1,285,843,004	1,532,895,926	393,534,316	149,378,965	87,145,120	3,448,797,331	Yes
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324	Yes
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159	Yes
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973	Yes
Financial Assets Measured at Fair Value through Profit or Loss	72,789,000	-	-	-	-	72,789,000	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,324,596,976	19,355,688,572	12,493,835,619	6,245,612,310	3,297,227,522	57,716,960,999	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654	Yes
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,624	Yes
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	2,505,901,129	2,505,901,129	No
Intangible Assets	-	-	-	-	237,074,723	237,074,723	No
Other Assets - Non Financial	542,433,384	63,006,686	27,753,182	-	-	633,193,251	No
Total Assets	35,465,131,832	25,496,695,782	12,949,261,395	6,394,991,276	6,273,490,148	86,579,570,432	
Liabilities							
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822	Yes
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	19,240,120,594	34,324,196,140	9,163,750,229	4,818,657,403	4,068,029,109	71,614,753,475	Yes
Other Liabilities - Financial	543,115,237	21,190	25,298,535	-	542,102,784	1,110,537,746	Yes
Current Tax Liabilities	-	402,511,650	-	-	-	402,511,650	No
Dividend Payable	6,891,441	-	-	-	-	6,891,441	No
Deferred Tax Liability	-	-	-	-	194,314,961	194,314,961	No
Retirement Benefit Liability	-	-	-	-	144,987,628	144,987,628	No
Other Liabilities - Non Financial	92,486,021	-	-	-	-	92,486,021	No
Total Liabilities	21,018,364,310	34,750,497,442	9,189,048,764	4,818,657,403	4,949,434,482	74,726,002,401	
Maturity Gap	14,446,767,522	(9,253,801,660)	3,760,212,631	1,576,333,872	1,324,055,666	11,853,568,031	

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2019

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265	Yes
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-	3,448,797,331	Yes
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324	Yes
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159	Yes
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973	Yes
Financial Assets Measured at Fair Value through Profit or Loss	72,789,000	-	-	-	-	72,789,000	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,324,596,976	19,355,688,572	12,493,835,619	6,245,612,310	3,297,227,522	57,716,960,999	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654	Yes
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,624	Yes
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,505,901,129	2,505,901,129	No
Intangible Assets	-	-	-	-	237,074,723	237,074,723	No
Other Assets - Non Financial	542,433,383	63,006,686	27,753,182	-	-	633,193,250	No
Total Assets	37,628,086,158	23,963,799,856	12,555,727,079	6,245,612,310	6,186,345,028	86,579,570,432	
Liabilities							
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822	Yes
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	33,207,893,316	27,388,756,219	6,881,806,819	2,614,043,012	1,522,254,109	71,614,753,475	Yes
Other Liabilities - Financial	543,115,237	21,190	25,298,535	-	542,102,784	1,110,537,746	Yes
Current Tax Liabilities	-	402,511,650	-	-	-	402,511,650	No
Dividend Payable	6,891,441	-	-	-	-	6,891,441	No
Deferred Tax Liability	-	-	194,314,961	-	-	194,314,961	No
Retirement Benefit Liability	-	-	144,987,628	-	-	144,987,628	No
Other Liabilities - Non Financial	92,486,021	-	-	-	-	92,486,021	No
Total Liabilities	34,986,137,032	27,815,057,522	6,907,105,354	2,614,043,012	2,403,659,482	74,726,002,401	
Maturity Gap	2,641,949,127	(3,851,257,666)	5,648,621,725	3,631,569,299	3,782,685,546	11,853,568,031	

Maturity Gap Analysis for Local Currency Denominated Assets and Liabilities as at 31 December 2019

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 9 Months LKR	9 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR
Inflows									
Cash in Hand	2,153,117,514	-	-	-	-	-	-	-	2,153,117,514
Balance with Central Bank of Sri Lanka	1,189,413,815	356,801,348	397,314,326	302,634,054	384,110,635	565,432,882	109,197,023	159,103,249	3,464,007,331
Balances Due from Other Banks	8,759,781	-	1,000,000,000	500,000,000	2,400,000,000	-	-	-	3,908,759,781
Investments	218,930,654	-	-	-	-	-	-	-	218,930,654
Overdrafts	389,227,176	389,227,176	389,227,176	389,227,176	389,227,176	1,081,186,599	1,081,186,599	1,081,186,599	5,189,695,675
Financing and Receivables to Other Customers	5,902,631,526	5,887,968,349	3,749,761,277	2,391,836,846	2,554,585,331	9,097,607,895	5,132,208,563	10,566,078,019	45,282,677,806
Non Performing Advances	-	-	-	-	420,656,011	-	-	1,261,968,033	1,682,624,044
Inter Branch Transactions	26,415,537	-	-	-	-	-	-	-	26,415,537
Other Assets	565,645,395	154,407,716	40,176,338	26,379,078	473,029,745	159,725,972	-	2,376,168,953	3,795,533,197
Total (a)	10,454,141,397	6,788,404,588	5,576,479,117	3,610,077,154	6,621,608,899	10,903,953,348	6,322,592,184	15,444,504,852	65,721,761,538
Outflows									
Demand Deposits	1,782,318,756	881,140,907	440,570,454	183,571,022	110,142,613	-	-	367,142,045	3,764,885,798
Savings Deposits	4,233,699,922	4,029,247,735	3,252,970,158	1,652,862,897	1,051,055,641	2,449,045,448	2,407,559,512	3,498,601,563	22,575,042,876
Balance Due to other Banks	800,000,000	300,000,000	-	-	-	-	-	-	1,100,000,000
Time Deposits	1,792,672,403	3,758,840,559	5,960,035,486	5,516,688,479	8,171,566,771	11,289,319,849	245,608,767	-	36,734,732,313
Profit Payable	68,817,321	95,801,463	109,855,389	85,489,349	109,970,059	163,815,537	31,636,237	41,717,139	707,102,496
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	396,827,639	7,823,504	19,517,904	85,195,371	12,518,523	17,360,506	81,232,207	445,143,452	1,065,619,105
Other Liabilities	8,598,411,736	-	-	-	-	-	-	-	8,598,411,736
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	398,536,796	797,073,592	1,195,610,387	1,195,610,387	1,195,610,387	-	-	-	4,782,441,550
Letters of Credit/ Guarantees/Acceptances	177,387,884	378,829,623	537,976,230	360,653,780	459,098,966	496,074,498	3,681,573	-	2,413,702,553
Repo/Bills Rediscounted/ Swaps/Forward contracts	(7,762,392,278)	(195,790,196)	7,713,750,000	4,265,250,000	6,071,175,000	1,361,250,000	-	-	11,453,242,527
Others	-	-	-	-	-	-	-	11,333,902,357	11,333,902,357
Total (b)	10,486,280,178	10,052,967,187	19,230,286,009	13,345,321,287	17,181,137,960	15,776,865,838	2,769,718,296	15,686,506,556	104,529,083,312
Gap = (a) - (b)	(32,138,782)	(3,264,562,600)	(13,653,806,892)	(9,735,244,133)	(10,559,529,062)	(4,872,912,490)	3,552,873,889	(242,001,704)	(38,807,321,774)
Cumulative Gap	(32,138,782)	(3,296,701,382)	(16,950,508,273)	(26,685,752,407)	(37,245,281,469)	(42,118,193,959)	(38,565,320,070)	(38,807,321,774)	

Maturity Gap Analysis for U.S. Dollar Denominated Assets and Liabilities as at 31 December 2019

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 9 Months USD	9 - 12 Months USD	1 - 3 Years USD	3 - 5 Years USD	Over 5 Years USD	Total USD
Inflows									
Cash in Hand	873,288	-	-	-	-	-	-	-	873,288
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	-	-	-
Balances Due from Other Banks	39,845,621	36,000,000	-	-	-	-	-	-	75,845,621
Investments	-	-	-	-	-	-	-	-	-
Overdrafts	6,731	6,731	6,731	6,731	6,731	18,697	18,697	18,697	89,746
Financing and Receivables to Other Customers	6,208,996	9,145,889	5,501,985	3,148,931	4,747,435	1,314,523	52,777	2,681	30,123,217
Non Performing Advances	-	-	-	-	20,046	-	-	60,138	80,183
Inter Branch Transactions	-	-	-	-	-	-	-	-	-
Other Assets	6,302	804,656	-	-	-	-	-	-	810,957
Total (a)	46,940,937	45,957,276	5,508,716	3,155,662	4,774,212	1,333,220	71,474	81,515	107,823,013
Outflows									
Demand Deposits	830,984	-	-	-	-	-	-	-	830,984
Savings Deposits	8,544,615	2,638	5,852	1,241	3,260	31,856	17,549	98,309	8,705,321
Balance Due to other Banks	-	-	-	-	-	-	-	-	-
Time Deposits	1,777,672	15,900,253	5,029,951	4,447,696	4,396,943	114,950	-	-	31,667,465
Net Inter-Branch Transactions	145,540	-	-	-	-	-	-	-	145,540
Profit Payable	59,080	133,012	36,996	32,684	32,326	1,079	129	722	296,028
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	6,832	-	-	-	-	33,105	-	-	39,936
Other Liabilities	48,068,068	-	-	-	-	-	-	-	48,068,068
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	-	-	-	-	-	-
Letters of Credit/Guarantees/ Acceptances	9,064,220	12,560,893	748,968	59,500	140,000	90,000	130,000	-	22,793,581
Repo/Bills Rediscounted/ Swaps/Forward contracts	42,649,279	1,078,734	(42,500,000)	(23,500,000)	(33,450,000)	(7,500,000)	-	-	(63,221,987)
Others	-	-	-	-	-	-	-	3,422,217	3,422,217
Total (b)	111,146,289	29,675,529	(36,678,232)	(18,958,878)	(28,877,471)	(7,229,011)	147,678	3,521,248	52,747,152
Gap = (a) - (b)	(64,205,352)	16,281,746	42,186,949	22,114,541	33,651,683	8,562,231	(76,204)	(3,439,733)	55,075,861
Cumulative Gap	(64,205,352)	(47,923,606)	(5,736,657)	16,377,884	50,029,566	58,591,798	58,515,594	55,075,861	

Sensitivity Analysis for Local Currency Denominated Assets and Liabilities as at 31 December 2019

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 12 Months LKR	1 - 2 Years LKR	
Inflows						
Cash in Hand	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	
Balances Due from Other Banks & Financial Institutions	8,759,781	-	1,000,000,000	2,900,000,000	-	
Investments	-	-	-	-	-	
Overdrafts	5,189,695,675	-	-	-	-	
Financing and Receivables to Other Customers	5,433,128,047	6,377,710,787	4,492,860,986	7,220,447,096	6,587,402,143	
Non Performing Advances	-	-	-	-	178,428,096	
Fixed Assets	-	-	-	-	-	
Net Inter-branch Transactions	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	
Other Assets	-	-	-	-	-	
Total (a)	10,631,583,502	6,377,710,787	5,492,860,986	10,120,447,096	6,765,830,239	
Outflows						
Demand Deposits	-	-	-	-	-	
Savings Deposits	4,233,699,922	4,029,247,735	3,252,970,158	2,703,918,538	1,251,545,389	
Time Deposits	1,792,672,403	3,758,840,559	5,960,035,486	13,688,255,250	11,182,361,653	
Other Deposits	-	-	-	-	-	
Other Borrowings	800,000,000	300,000,000	-	-	-	
Profit Payable	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	
Capital	-	-	-	-	-	
Reserves	-	-	-	-	-	
Retained earnings	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	
FRAs	(7,762,392,278)	(195,790,196)	7,713,750,000	10,336,425,000	1,361,250,000	
Total (b)	(936,019,953)	7,892,298,099	16,926,755,644	26,728,598,788	13,795,157,042	
Gap = (a) - (b)	11,567,603,456	(1,514,587,312)	(11,433,894,658)	(16,608,151,692)	(7,029,326,802)	

2 - 3 Years LKR	3 - 4 Years LKR	4 - 5 Years LKR	5 - 7 Years LKR	7 - 10 Years LKR	10 - 15 Years LKR	15 - 20 Years LKR	Non Sensitive LKR	Total LKR
-	-	-	-	-	-	-	2,153,117,514	2,153,117,514
-	-	-	-	-	-	-	3,464,008,493	3,464,008,493
-	-	-	-	-	-	-	-	3,908,759,781
-	-	-	-	-	-	-	218,930,654	218,930,654
-	-	-	-	-	-	-	-	5,189,695,675
4,956,816,036	3,991,225,627	2,111,840,568	1,766,096,504	793,638,966	522,992,099	44,030,713	-	44,298,189,573
-	-	697,483,304	363,042,492	-	-	-	243,852,275	1,482,806,167
-	-	-	-	-	-	-	2,148,744,452	2,148,744,452
-	-	-	-	-	-	-	26,415,537	26,415,537
-	-	-	-	-	-	-	1,184,306,110	1,184,306,110
-	-	-	-	-	-	-	1,646,788,746	1,646,788,746
4,956,816,036	3,991,225,627	2,809,323,872	2,129,138,996	793,638,966	522,992,099	44,030,713	11,086,163,781	65,721,762,701
-	-	-	-	-	-	-	3,671,420,448	3,671,420,448
1,197,500,059	1,204,815,353	1,202,744,159	983,500,971	1,388,904,706	178,244,358	947,951,529	-	22,575,042,876
106,958,196	245,608,767	-	-	-	-	-	-	36,734,732,313
-	-	-	-	-	-	-	93,465,350	93,465,350
-	-	-	-	-	-	-	-	1,100,000,000
-	-	-	-	-	-	-	707,206,606	707,206,606
-	-	-	-	-	-	-	847,159,545	847,159,545
-	-	-	-	-	-	-	4,397,041,007	4,397,041,007
-	-	-	-	-	-	-	(5,633,624)	(5,633,624)
-	-	-	-	-	-	-	6,942,494,975	6,942,494,975
-	-	-	-	-	-	-	(8,379,952,175)	(8,379,952,175)
-	-	-	-	-	-	-	-	11,453,242,527
1,304,458,255	1,450,424,120	1,202,744,159	983,500,971	1,388,904,706	178,244,358	947,951,529	8,273,202,131	80,136,219,848
3,652,357,781	2,540,801,507	1,606,579,713	1,145,638,025	(595,265,739)	344,747,741	(903,920,816)	2,812,961,650	(14,414,457,146)

Sensitivity Analysis for U.S. Dollar Denominated Assets and Liabilities as at 31 December 2019

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 12 Months USD	1 - 2 Years USD	
Inflows						
Cash in Hand	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	
Balances Due from Other Banks & Financial Institutions	-	36,000,000	-	-	-	
Investments	-	-	-	-	-	
Overdrafts	-	-	-	-	-	
Financing and Receivables to Other Customers	3,823,510	9,146,376	5,502,715	7,897,582	2,141,914	
Non Performing Advances	-	-	-	-	167	
Fixed Assets	-	-	-	-	-	
Net Inter-Branch Transactions	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	
Other Assets	-	-	-	-	-	
Total (a)	3,823,510	45,146,376	5,502,715	7,897,582	2,142,082	
Outflows						
Demand Deposits	-	-	-	-	-	
Savings Deposits	8,544,615	2,638	5,852	4,501	9,183	
Time Deposits	1,777,672	15,900,253	5,029,951	8,844,638	114,950	
Other Deposits	-	-	-	-	-	
Other Borrowings	-	-	-	-	-	
Net Inter-branch Transactions	-	-	-	-	-	
Profit Payable	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	
Capital	-	-	-	-	-	
Reserves	-	-	-	-	-	
Retained earnings	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	
FRAs	42,649,279	1,078,734	(42,500,000)	(23,500,000)	(33,450,000)	
Total (b)	52,971,566	16,981,625	(37,464,197)	(14,650,860)	(33,325,867)	
Gap = (a) - (b)	(49,148,056)	28,164,751	42,966,912	22,548,442	35,467,949	

2 - 3 Years USD	3 - 4 Years USD	4 - 5 Years USD	5 - 7 Years USD	7 - 10 Years USD	10 - 15 Years USD	15 - 20 Years USD	Non Sensitive USD	Total USD
-	-	-	-	-	-	-	873,288	873,288
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	39,845,621	75,845,621
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
887,624	426,900	52,777	-	-	-	-	-	29,879,398
-	-	-	-	-	-	-	73,671	73,839
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	481,824	481,824
-	-	-	-	-	-	-	810,954	810,954
887,624	426,900	52,777	-	-	-	-	42,085,359	107,964,924
-	-	-	-	-	-	-	741,129	741,129
22,673	10,560	6,989	17,057	19,261	1,606	60,385	-	8,705,321
-	-	-	-	-	-	-	-	31,667,465
-	-	-	-	-	-	-	89,854	89,854
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	145,540	145,540
-	-	-	-	-	-	-	296,601	296,601
-	-	-	-	-	-	-	39,936	39,936
-	-	-	-	-	-	-	(1,770,010)	(1,770,010)
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	5,192,227	5,192,227
-	-	-	-	-	-	-	46,659,982	46,659,982
(7,500,000)	-	-	-	-	-	-	-	(63,221,987)
(7,477,327)	10,560	6,989	17,057	19,261	1,606	60,385	51,395,260	28,546,058
8,364,951	416,340	45,788	(17,057)	(19,261)	(1,606)	(60,385)	(9,309,902)	79,418,866

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business units to continue to generate revenue, even under adverse circumstances.

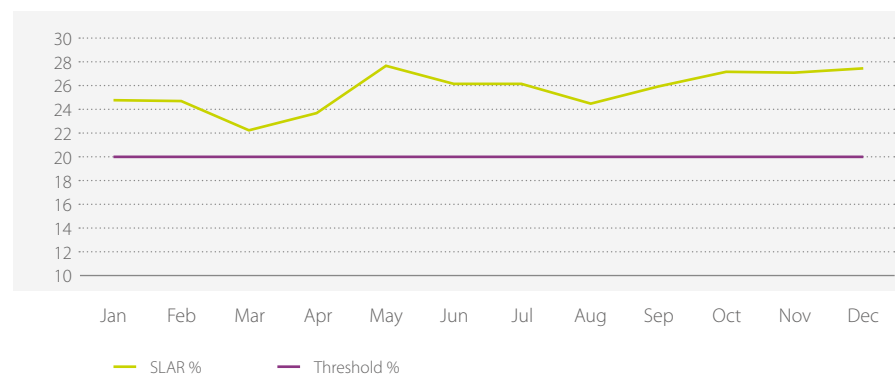
Liquidity risk is managed within the framework of policies and limits that are approved by the BOD. The BOD receives reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

Adequate liquid assets are maintained by the Bank to ensure that the Statutory Liquid Assets Ratio (SLAR) is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio mainly include cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given below:

Liquid Assets to Liabilities Ratios

	2019	2018
Year-end	27.74%	22.98%
Minimum	22.01%	20.86%
Maximum	27.98%	23.68%

SLAR 2019 (%)



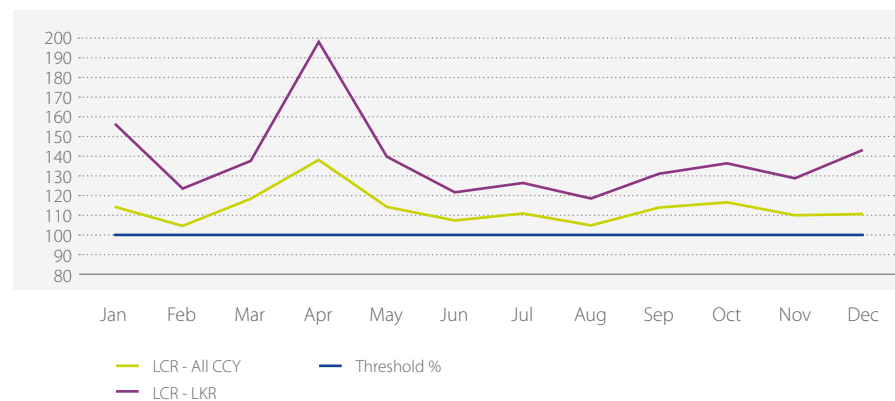
Liquidity Coverage Ratio (LCR)

Regulations require banks to maintain LCR in respect of Rupee Liquidity for local currency operations and All Currency Liquidity for overall operations. This ratio was introduced under Basel III Liquidity Standards and CBSL expects banks to maintain a minimum ratio of 100% in 2019 (2018: 90%).

During 2019, the Bank adequately maintained its LCR above the minimum requirement.

	2019		2018	
	ALL CCY	LKR	ALL CCY	LKR
Year-end	110.04%	142.92%	117.54%	141.83%
Minimum	103.65%	117.64%	94.28%	91.99%
Maximum	139.25%	199.62%	144.81%	162.64%

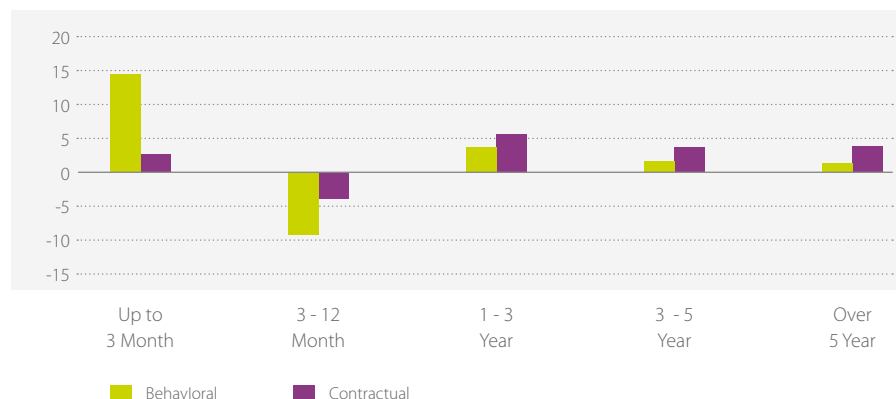
LCR 2019 (%)



Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:

Asset and Liability Maturity Gaps (LKR Bn)



Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

i. Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on LKR appreciating/depreciating by 10%, 15% and 20% respectively, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR). The stress testing results of exchange exposures as of 31 December 2019 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	15	20
Net Exposure (LKR)	176,655,728	176,655,728	176,655,728
Exchange Loss (LKR)	17,665,573	26,498,359	35,331,146
Capital Funds - Dec 2019 (LKR)	11,833,327,210	11,833,327,210	11,833,327,210
Capital Adjusted for Loss (LKR)	11,815,661,637	11,806,828,850	11,797,996,064
Risk Weighted Assets - Dec 2019 (LKR)	70,073,498,604	70,073,498,604	70,073,498,604
Adjusted Risk Weighted Assets (LKR)	70,055,833,031	70,047,000,245	70,038,167,458
Revised Capital Adequacy Ratio (%)	16.87	16.86	16.85
Capital Adequacy Ratio as at 31 December 2019 (%)	16.89	16.89	16.89
Decline in CAR (%)	0.02	0.03	0.04

ii. Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on a 10%, 20% and 30% reduction in equity prices, in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2019 is given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	215,937,654	215,937,654	215,937,654
Revaluation Loss (LKR)	21,593,765	43,187,531	64,781,296
Capital Funds - Dec 2019 (LKR)	11,833,327,210	11,833,327,210	11,833,327,210
Capital Adjusted for Loss (LKR)	11,811,733,444	11,790,139,679	11,768,545,914
Risk Weighted Assets - Dec 2019 (LKR)	70,073,498,604	70,073,498,604	70,073,498,604
Adjusted Risk Weighted Assets (LKR)	70,051,904,838	70,030,311,073	70,008,717,308
Revised Capital Adequacy Ratio (%)	16.86	16.84	16.81
Capital Adequacy Ratio as at 31 December 2019 (%)	16.89	16.89	16.89
Decline in CAR (%)	0.03	0.05	0.08

iii Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

OPERATIONAL RISK MANAGEMENT

Management of Operational Risk at Amāna Bank

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with the Basel's risk management framework and leading practices, operational risk in the Bank comprises of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance, IT manages the individual risks, which can be classified as operational risk.

Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring and control associated with the Bank's business operations as an on-going activity. Operational Risk is recognised as a

distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms part of the day to day responsibilities of management at all levels. The objectives in managing Operational Risk are to increase the efficiency and effectiveness of the Bank's resources, minimise losses and optimise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific policies and procedures. Business units implement the Bank's framework, policies and procedures but may customise these to better suit the Bank's unique model.

Business unit/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the BOD and Senior Management. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank is identified through analysis of internal factors and external factors. Risk identification takes into consideration the following:

- ✿ risks arising from control lapses
- ✿ risks identified through root cause analysis of operational events in a timely manner
- ✿ risks arising from potential infrequent but severe events
- ✿ risks arising from change initiatives (example: new products and projects)
- ✿ external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments

Risk Control and Self-Assessment (RCSA) is a structured means for a business line, supporting unit, product line or process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSA is conducted by staff of the Bank's unit being assessed (i.e., those who know the process best) with the guidance of the Operational Risk Management Unit. As a consequence, RCSA has been introduced to all Business and Supportive units of the Bank, which is regarded as an effective Operational Risk Management tool. Further, Operational Risk Management Unit continues to provide RCSA training to respective Operational Risk Coordinators of the entire Branch Network.

RCSAs will assist business and support units to self-identify and assess operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if necessary, establishing action plans to address any identified process gaps.

Since the business units have expertise in their functions and the process, Operational Risk coordinators of respective units, conduct the RCSA which is reviewed and evaluated by RMD along with the heat map for escalation to the Management and Board Sub-Committees for their comments and suggestions.

Key Risk Indicators

The function of Key Risk Indicators (KRI) is to allow the early detection of Operational Risk before actual failure occurs. It is an early warning indicator of risks and not losses.

Data collection, analysis and presentation of key risk indicators are carried out on a monthly basis along with root cause identification and follow-up on corrective actions. In the event of a threshold breach, it is escalated to ORMC to oversee and control the risk and subsequently to BIRMC for its review. New KRIs are identified on analysis based on the historical data and potential risk exposures. Further, a KRI dash board prepared monthly is circulated to the BIRMC for its review.

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which maintains a centralised database on all internal risk events and losses (both historical and current). This data is then classified into various risk categories.

Loss event database is maintained in line with Basel regulations and CBSL requires the Bank to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank are monitored as a source of potential Operational Risk.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, strategies, strategic partnerships and projects.

In line with Amāna Bank's goal towards Digitalisation of customer servicing tools, the Bank has set up a dedicated team to drive Digital Banking Projects. Thus digitalisation enables upgraded service delivery network to the customer. Since Cyber Risk and Technology Risk have emerged as significant risks in the recent past in the industry, Operational Risk Management Unit is closely working with Information Technology and Digital Banking Team to understand and minimise the vulnerability to Cyber Risk and Technology Risk.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk grading matrix. Risks are assigned risk grades (high, medium and low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: financial, reputational, regulatory, human resources and business disruption. The use of the said dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Mitigation plans are captured and progress is monitored. Risk grades are reassessed periodically to appropriately reflect changes in the environment and the progress of the mitigation plans.

There are different levels of operational controls in the Bank. The following levels of control are distinguished in this respect:

- Individual level
- Management control
- Assessments carried out by specialist units such as Internal Audit, Sharia Audit and Compliance.
- Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for the Operational Risk control system.

The Banking industry uses insurance as a highly developed operational risk management and mitigation tool. Insurance (Takaful) policies of the Bank are reviewed on a periodic basis and the same process is monitored by Operational Risk Management through RCSA as the use of insurance helps to transfer the risk on low frequency and high severity losses that might occur as a result of events such as fire, theft, damage to physical assets by natural disaster, etc.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk grades to capture changes in environment that may increase or decrease potential impact of the risks.

Risk reviews on new products, processes and external suppliers including outsourced service providers are undertaken by the Bank. Outsourced activities are carried out based on CBSL guidelines from the Direction on Outsourcing of Business Operations of Licensed Commercial Banks. A report on outsourced activities is submitted to CBSL on a periodical basis.

Details of Outsourced Activities

To be the catalyst for alternate banking industry in Sri Lanka, the Bank has focused its efforts on its strengths and therefore is constantly exploring ways to refine its operations whilst outsourcing non critical areas wherever possible. With a view to streamline the processes and activities of the Bank and to facilitate transactions that would give a competitive advantage, the Bank continued to seek outsourcing options. This process is guided by a well-defined policy on outsourcing functions and falls under the purview of Administration function of the Bank.

The implementation of the Outsourcing Policy is monitored to ensure compliance with CBSL Directive No.7 of 2010 on Outsourcing of Business Operations of Licensed Commercial Banks and related guidelines. Under the provisions of the policy, the below mentioned areas are some of the outsourced activities of the Bank.

Service	Basis of Payment
Cheque Book Printing	Per cheque book
Supply of ATM Consumables	Per card
Data Entry of Mandate Details	Per document
All Cash Sorting & Transport	Transport - Per agreed rate according to the distance & counting - Per bundle
Tax Consultancy Services	Per service transaction / Per assignment
Actuarial Services	Per assignment
Security Service	Number of shifts
Courier Service	Per courier
Vehicle Hire	Per Km
Janitorial Services	Number of shifts
Archival of Documents	Per carton
Central Mail Room Management	Number of mails processed
Secretarial Services	Monthly fee
Processing of Salaries	Monthly fee
SLFRS Consultancy Service	Assignment fee

The Bank conducts detailed KYC and due diligence tests prior to selecting a new service provider or renewing an existing contract. A comprehensive report on all such outsourced activities is annually submitted to CBSL for their review.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigates prior to launch of such products and a similar process is followed during the annual review of existing Product Programmes. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of the consumer, SME and corporate customers. These Product Programmes are approved by all stakeholders.

Information Security Risk

Information Security Risk is the Risk of exposure to a threat, which arises due to the existence of vulnerabilities in information assets. Bank has initiated the holistic "Data Protection" programme covering Data Classification, Data Leakage Prevention, Encryption, Network Access Control, Mobile Device Management, Rights Management and Database Security solutions to protect key customer data and to prevent breaches that adversely affect the business and customers. The Bank has implemented numerous risk mitigation techniques to maintain and improve its brand value and strengthen business. The Bank has also invested on Data Protection programmes in strengthening the trust of relevant stakeholders.

Business Continuity Management (BCM)

As an integral component of the risk management framework, the Bank has deployed a Business Continuity Policy which enables it to plan the Business Continuity in a desired manner while identifying the critical Business units and Support units, formulating key roles with required responsibilities in order to act upon adequately in the event of a disaster. This planning is done annually fulfilling the requirement of regulatory guidelines and the best practices in BCM. The Bank's Business Continuity Plan (BCP) is structured to ensure centralised monitoring and reporting and decentralised execution, and is supported by a robust governance process.

The BCPs developed are backed by infrastructure to support key services, Core Systems and Critical Business Functions.

The BIRMC approves the plan and its implementation is coordinated via the BCM Team of the Bank. The Bank's Executive Risk Management Committee (ERMC) acts as a BCM Steering Committee that establishes appropriate policies, standards, strategies and processes for continuity of the Bank. The BCM Working Committee is appointed by the BCM Steering Committee to implement the BCM Policy.

The Bank gives primary importance to ensuring safety of its stakeholders. In this regard, the Bank has setup the Crisis Management Team and Emergency Response Team to support affected stakeholders. The Bank's BCP is periodically reviewed to accommodate organisational changes and is subjected to regular Drills and testing as well.

BCP Testing/Activation Drills

The BCM team of the Bank identified alternative locations for selected units / functions and successfully conducted BCP / Disaster Recovery (DR) Testing in May 2019 from such locations in respect of its Critical Business Functions and adherence to the regulatory requirement.

Report on results of the BCP/DR Drill with business and support units, issues encountered, lessons learnt and risk mitigation measures adopted during the testing process were reported to the Regulator with the review and recommendations of BIRMC and approval of the BOD well within stipulated deadlines of the Regulator.

Hand in hand, we are
advancing through
collaboration, making
people friendly banking
accessible to all



Corporate Governance

CORPORATE GOVERNANCE AT THE BANK

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank as the chief regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

Amāna Bank is firmly grounded in its values to ensure optimum management of compliance risk and ensure that tacit governance is practiced. This includes the need to constantly seek new avenues in ensuring that Compliance consists of going beyond merely regulatory compliance. The Bank kept Corporate Governance at the forefront by actively and emphatically promoting Ethics training, living and demonstrating our values in action and by celebrating employees who demonstrate a commitment to live the Bank values in the most coherent and cohesive manner. This includes harnessing the different platforms available such as whistleblowing, encouraging engagement and constructive criticisms at all levels and forums including but not limited to a number of We Care initiatives as well training and awareness sessions including launching an interactive E-Learning module for Whistleblowing, which has resonated well within the staff with active involvement to complete such modules.

The Board Sub-Committees are in place to assist the Board's responsibilities with the Corporate Governance principles. The Board of Directors is fully committed to ensure that good governance is practiced and presented their report to shareholders on pages 143 to 146 in this Annual Report. The detailed report set out below on Bank's compliance with the requirements of sound governance as set out by Direction No. 11 of 2007 issued by Central Bank of Sri Lanka and subsequent amendments thereof. Accordingly, during the period under review the Bank was in compliance with all of the provisions of the above direction.

Statement of External Auditors

The External Auditors have performed audit agreed upon procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	THE RESPONSIBILITIES OF THE BOARD	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated throughout the Bank.	Complied. The strategic objective and corporate values are incorporated in the Board approved Strategic Plan. Annual Budget has been approved by the Board prepared based on the Strategic Plan. Strategies objectives and Corporate values are assessed at regular meetings with the Management Committee and cascaded down to all staff levels by each Management Committee member through regular meetings, briefing and discussions.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank's overall Strategic Plan which includes business strategy and measurable goals was approved by the Board subsequent to detailed deliberation. The financial projections have also been included. Board approved Integrated Risk Management (IRM) Framework includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. These are monitored regularly and annually reviewed to dynamically manage the risk appetite of the Bank.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. A stringent risk management process has been established in the Risk Policy and appropriate strategies have been adopted according to Bank's risk appetite. The Board Integrated Risk Management Committee (BIRMC) uses a comprehensive dashboard to monitor the IRM Framework prudently and reports to the Board through a well-structured Risk reporting system. BIRMC Chairman's report consisting of deliberation and minutes of the BIRMC are submitted to the Board periodically. The Board has a process where Board members discuss new strategies and products at length, which is to be introduced during the year.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. A comprehensive communication policy approved by the Board is in place, which covers the communication to all stakeholders, depositors, creditors, shareholders and clients.

Rule Number	Rule	Status of Compliance
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. Board Audit Committee (BAC) reviews the adequacy and the integrity of the Bank's internal control system and management information system (MIS) on a regular basis. The adequacy and the integrity of the Bank's internal control system and MIS are determined by the Internal Audit Department regularly and submits a report to the BAC. The Board and the BAC have examined the report for 2019 and have expressed their satisfaction on the adequacy and integrity of the MIS.
3 (1) (i) (f)	Identify and designate Officers Performing Executive Functions of Licensed Commercial Banks (LCB) as referred to in the Banking Act Determination No. 03 of 2010 on Assessment of Fitness and Propriety of Officers Performing Executive Functions in LCB as 'Key Management Personnel' of the Bank.	Complied. The Bank has identified and designated the CEO, CFO, SVPs, VPs, Chief Compliance Officer, Chief Legal Officer, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer as Key Management Personnel (KMP) as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Segregation of duties and authorities between the Board of Directors and Key Management Personnel (KMP) is in place, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the BNC and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are also reviewed and approved by the Board, thereby ensuring appropriate Board oversight.

Rule Number	Rule	Status of Compliance
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including (i) the selection, nomination and election of Directors and Key Management Personnel: (ii) the management of conflicts of interest and (iii) the determination of weaknesses and implementation of changes where necessary	Complied. The Board Nomination Committee (BNC) is delegated the functions of selecting, nominating and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors Article 32 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained at the Board meeting. Further, management of Conflict of interest is covered in the Board approved Policy of Related Party transactions. Bank has a self-evaluation process in place for the Board of Directors, which evaluates the Director's own governance practices. The Company Secretary submits a summary of the self-evaluation to the Board for their review and action if necessary.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A succession plan for Key Management Personnel approved by the Board is in place.
3 (1) (i) (k)	Meet regularly, on a needs basis, with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees on matters under their purview and explain matters relating to their concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are also reviewed and approved at the Board, thereby ensuring appropriate Board oversight.

Rule Number	Rule	Status of Compliance
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. The Company Secretary is statutorily responsible for communications with the Registrar of Companies and also furnishes the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance to a new Director for his/her information, on being appointed to the Board. An awareness programme was conducted to the Board on 19 January 2019 on CSE Regulations. The Chief Compliance Officer (CCO) submits quarterly Compliance report to the Board through BIRMC that assists the Board to identify the regulatory environment and requirements. Further, the CCO also updates the BIRMC with the latest regulatory changes on a quarterly basis which is escalated to the Board for their information. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. The Board has delegated this process for hiring and oversight of the External Auditors to the BAC as per the approved TOR of the BAC. Further, Article 44 of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM).
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. The functions and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5). The positions of the Chairman and CEO are separated.

Rule Number	Rule	Status of Compliance
	BOARD PROCEDURE	
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular Board meetings shall normally involve active participation in person of a majority of Directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board ensures that it meets regularly and has held twelve (12) meetings during the year. There were 03 circular resolutions passed for the year which was subsequently ratified by Board.
3 (1) (iv)	The Board shall ensure that arrangements are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. Agenda, Minutes and Board Papers are forwarded to the Directors in line with Corporate Governance directive and Board approved procedure, which enables the Directors to raise any matters related to promotion of business and the management of risk and inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice and Board Papers are circulated at least 7 days prior to the Board meeting to the Directors providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. The Board Meetings have been duly attended and the Directors have attended the required number of the meetings during the year 2019 in accordance with the Corporate Governance code. The attendances of the Directors are set out on page 136 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. All Directors have equal opportunity to access the Company Secretary to advice and services. A Board approved policy is in place in this regard.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved procedure to enable all Directors to have access to such minutes as per the Corporate Governance code.

Rule Number	Rule	Status of Compliance
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes, as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following; - A summary of data and information used by the Board in its deliberations. - The matters considered by the Board. - The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. - The testimonies and confirmations of relevant executives which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. - The Board's knowledge and understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. - The decisions and Board resolutions.	Complied. Comprehensive Minutes of the Board meetings are recorded in sufficient details and maintained by the Company Secretary to enable the assessment made of the depth of the Board deliberation, decisions, matters considered by the Board and also on approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense. The Board shall resolve to provide separate independent professional advice to Directors to assist the relevant Director or Directors to discharge his/her/their duties to the bank.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.

Rule Number	Rule	Status of Compliance
3 (1) (xii)	Directors shall avoid conflicts of interests, or the appearance of conflicts of interest in their activities with, and commitments to, other organisations or related parties. If a Director has a conflict of interest in a matter to be considered by the Board, which the Board has determined to be material, the matter should be dealt with at a Board meeting, where Independent Non-Executive Directors who have no material interest in the transaction, are present. Further, a Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern, in which a Director has substantial interest, is interested and He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. This procedure provides further evidence that the Director concern is to abstain from voting and discussion in a relationship / concern in which he has an interest. Further the Director disclosures of interest (if any) are tabled at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes. In line with the procedure, the Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest. Such Director is not counted in the quorum.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2019. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arose of the Bank prior to taking any decision or action in this regard.
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the regulatory and prudential requirements relating to Capital Adequacy Ratio as specified by the Central Bank of Sri Lanka (CBSL). Further, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 110 to 136 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has a process of self-assessment of each Director which is performed by the Directors annually and is filed with the Company Secretary.

Rule Number	Rule	Status of Compliance
3 (2)	THE BOARD'S COMPOSITION	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13.	Complied. The Board comprises of 11 Directors which is in line with the regulation.
3 (2) (ii)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years, and such period in office shall be inclusive of the total period of service served by such Director up to 1st January 2008.	Complied. There are no Directors who have served for a period more than 9 years during the year under review.
3 (2) (iii)	An employee of a Bank may be appointed, elected or nominated as a Director of the Bank (hereinafter referred to as an "Executive Director") provided that the number of Executive Directors shall not exceed one-third of the number of Directors of the Board. In such an event, one of the Executive Directors shall be the Chief Executive Officer of the Bank.	Complied. There are no Executive Directors on the Board, thus the Bank complies with the requirement.
3 (2) (iv)	The Board shall have at least three Independent Non-Executive Directors or one third of the total number of the Directors, whichever is higher. This sub-direction shall be applicable from 1st January 2010 onwards. A Non-Executive Directors shall not be considered independent if he/ she has; a) directly and indirectly shareholdings of more than 1% of the Bank. b) currently has or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10% of the regulatory capital of the Bank. c) has been employed by the Bank during the two year period immediately preceding the appointment as Director. d) has a close relation who is a Director or CEO or a member of Key Management Personnel or a material shareholder of the Bank or another bank. For this purpose, a "close relation" shall mean the spouse or a financially dependent child. e) represents a specific stakeholder of the Bank. f) is an employee or Director or a material shareholder in a company or business organisation: i) which currently has a transaction with the Bank as defined in Direction 3(7) of these Directions, exceeding 10% of the regulatory capital of the Bank, or ii) in which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or iii) in which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10% of the regulatory capital of the Bank.	Complied. The Board consists of four Independent Non-executive Directors out of a total of 11 Directors as at end December 2019, which constitute to more than one third of the total number of Directors, hence complying with the requirement.

Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No Alternative Director has been appointed to represent the Independent Directors during the year 2019.
3 (2) (vi)	Non-Executive Directors shall be persons with credible track records and/or have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Non-Executive Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (vii)	A meeting of the Board shall not be duly constituted, although the number of Directors required to constitute the quorum at such meeting is present, unless more than one half of the number of Directors present at such meeting are Non-Executive Directors. .	Complied. This concern does not arise as the Board of the Bank comprises entirely of Non-Executive Directors, hence the quorum of the meeting has been in line with the Direction.
3 (2) (viii)	The Independent Non-Executive Directors shall be expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The Bank shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Non-Executive Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on page 136 and pages 20 to 25, in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such new Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments for the year 2019 are subject to election at the next AGM.

Rule Number	Rule	Status of Compliance
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. Resignation of Mr. Adeeb Ahmad was communicated to the relevant authorities accordingly.
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. Such a situation has not arisen during the year 2019. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	CRITERIA TO ASSESS THE FITNESS AND PROPRIETY OF DIRECTORS	
	In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. None of the Directors' age exceeds 70 years, during the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.

Rule Number	Rule	Status of Compliance
3 (3) (iii)	A Director or a Chief Executive Officer of a licensed bank operating in Sri Lanka shall not be appointed as a Director or a Chief Executive Officer of another licensed bank operating in Sri Lanka before the expiry of a period of 6 months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Monetary Board. In this regard, licensed banks shall ensure to adhere to the requirement of the cooling-off period when appointing Directors or Chief Executive Officer. If a Director is appointed to the licensed bank by an appointing authority violating these Directions, the licensed bank shall take steps to prevent such appointee from exercising any powers or enjoying any privileges or benefits.	Complied. There were no appointments of a Director or a Chief Executive Officer to the Bank from another Bank in Sri Lanka in the year 2019.
3 (4)	MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall not delegate any matters to the Board Committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.
3 (5)	THE CHAIRMAN AND THE CHIEF EXECUTIVE OFFICER	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and are held by two individuals appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.

Rule Number	Rule	Status of Compliance
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director the Board has appointed an Independent Director, Mr. Jazri Magdon Ismail as the Senior Director. Designation of Senior Director is disclosed on page 22 of the Annual Report.
3 (5) (iii)	The Board shall disclose in its Corporate Governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. The Company Secretary obtains an annual declaration from all Board Members to this effect and the Directors' interest register is updated regularly. As per the declaration there are no relationships between the Directors. Further, the Bank has a process to identify relationship of the Board Members and is maintained at the Board Secretary's division.
3 (5) (iv)	The Chairman shall; - Provide leadership to the Board - Ensure that the Board works effectively and discharges its responsibilities; and - Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self – evaluation process is in place which ensures that Chairman provides leadership to the Board, the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Chairman has delegated the drawing of the agenda to the Company Secretary, which is drawn in consultation / approval with the Chairman.

Rule Number	Rule	Status of Compliance
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Board papers are forwarded to the Board members 7 days prior to the meeting and the Chairman ensures that the Board is adequately briefed and informed of all matters arising at the Board. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank based on their field of expertise.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process is evident that the Non-Executive Directors assess the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a Non-Executive Director and does not get directly involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues.
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO functions as the apex executive-in-charge of the day-to-day management of Bank's operations and business.

Rule Number	Rule	Status of Compliance
3 (6)	BOARD APPOINTED COMMITTEES	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) – Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)v) – Integrated Risk Management Committee Each Committee shall report directly to the Board Each Committee shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee. The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Complied. The Board has established the following mandatory Board Sub-Committees as per regulatory requirement: 1) Board Audit Committee (BAC) 2) Board Human Resources and Remuneration Committee (BHRRC) 3) Board Nomination Committee (BNC) 4) Board Integrated Risk Management Committee (BIRMC). In addition the Board has also appointed Board Credit Committee and Related Party Transactions Review Committee Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings. Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees. Report of each Board Committee is presented in the Annual Report. Refer pages 149 to 156 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possesses qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a Non-Executive, Independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-Executive Directors.
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and	Complied. The appointment of External Auditors for audit services is in compliance with the relevant statutes as recommended by the BAC. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and any issues raised by the External Auditors in line with CBSL guidelines have been responded accordingly. The application of the relevant accounting standards, including the requirements are in line with the SLFRS for the year 2019.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (c)	b) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	There has been no resignation or dismissal of the External Auditor or the Engagement Partner in the year 2019. The BAC reviews and recommends to the Board with regard to the audit fees.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Complied. The External Auditor's scope, objectivity and the effectiveness of the audit process carried out has been discussed by the BAC and is in accordance with the SLAuS for the year 2019. The External Auditor's independence is evidenced through the Engagement Letter and their reports presented to the BAC directly.
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services was reviewed and recommended by the BAC which has been approved by the Board of Directors on 21st December 2019.
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: i) an assessment of the Bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The BAC has discussed in detail and finalised the nature and scope of the audit with the External Auditors in accordance with the SLAuS on their presentation of the financial statement audit plan for 2019, outlining the scope and deliverable of their engagement.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; i) Major judgmental areas ii) Any changes in accounting policies and practices iii) Significant adjustments arising from the audit iv) The going concern assumption; and v) The compliance with relevant accounting standards and other legal requirements.	Complied. The BAC has a process to review, discuss and approve the quarterly financial statements, year-end audited financial statements and reports for disclosure that are presented by the CFO. Such financial statements are recommended by the BAC for approval of the Board of Directors.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of the Key Management personnel, if necessary.	Complied. The Committee has met with the External Auditors twice in the year 2019, in the absence of the executive management to discuss issues, problems and reservation arising from the financial audit.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function;	Complied. The BAC reviews and approves the Internal Audit Plan beginning of the year, which cover the scope and resource requirement relating to audit plan and satisfy itself that the Internal Audit Department (IAD) has the necessary authority to carry out its work. The BAC also monitors the IAD function and the progress of the internal audit plan. The BAC has approved internal audit plan for the year 2019. Progress reports of the audit finding are discussed and appropriate actions are taken based on the IAD recommendations which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor was carried out at the BAC meeting held on 13th February 2020. There were no appointments or termination of the Head or Senior Staff member during the year 2019.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Any resignation or retirement of senior staff members in the Internal Audit Department are appraised to the BAC. Internal Audit Department is an independent function reporting directly to the BAC. The audits are performed with impartiality, proficiency and due professional care.
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. The BAC discusses in detail the major findings of internal investigation and management's responses thereto are also discussed with suitable action points agreed upon and recorded in the minutes of the BAC meeting.
3 (6) (ii) (l)	The CFO, CIA and a representative of the External Auditors may normally attend meetings. Other Board members and the CEO may also attend meetings upon invitation of the committee. However, at least twice a year, the committee shall meet the External Auditors without the Executive Directors being present.	Complied. The CFO, CIA and a representative of the External Auditors attend meetings regularly. The CEO and other Senior Management have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2019 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.
3 (6) (ii) (m)	The committee shall have i) Explicit authority to investigate into any matter within its terms of reference; ii) The resources which it needs to do so; iii) Full access to information; and iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet at regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Complied. The BAC has had eight meetings in the year 2019 and all conclusions are recorded comprehensively in the minutes.
3 (6) (ii) (o)	The Board shall disclose in an informative way, i) Details of the activities of the audit committee; ii) The number of audit committee meetings held in the year; and iii) Details of attendance of each individual Director at such meetings.	Complied. The Board has disclosed the required information on pages 149 to 151 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee (who may be the Company Secretary or the head of Internal Audit function) shall record and keep detailed minutes of the meetings.	Complied. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly, the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action. The BAC is the key representative for overseeing the Bank's relations with the External Auditors.
3 (6) (iii)	Human Resource And Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. The Board approved benefit policy determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2019 aligned to the Strategic Plan. The BHRRC has agreed that the 2019 Business Plan be considered as the KPI for the CEO. Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has assessed the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2019.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The CEO was not present at meetings when matters relating to the CEO were being discussed. The Board approved Terms of Reference of the BHRRC addresses this rule.
3 (6) (iv)	Nomination Committee	
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. The Board has reviewed and approved the policy / procedure on selection and appointment of new members to the Board, CEO and Key Management Personnel on the recommendation of the Board Nomination Committee (BNC) on 16th November 2019. Accordingly, Board has approved the appointment of Dr. Mostafa Hassan Mohamed Hassan Al Sabban as Director on 24th August 2019 with the recommendation of the BNC.

Rule Number	Rule	Status of Compliance
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has considered the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2019.
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNC and subsequently approved at the Board.
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The Directors', CEO's and Key Management Personnel's affidavits and declarations were submitted to BNC during 2019 for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office. Further, fit and proper certificate from Central Bank of Sri Lanka has been obtained for all appointments of Directors and KMP.
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. Policy & Procedure approved by the Board is in place for the appointment of new Directors. BNC has considered the requirements for succession arrangements for Directors and KMPs during the year 2019. The Succession Plan for the Management Committee has been reviewed and recommended by the BNC and subsequently approved by the Board.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Complied. The Committee is Chaired by an Independent Director and comprises of three Independent Directors and two Non-Independent Director. The CEO is present at meetings only by invitation.
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks. The committee shall work with Key Management Personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Complied. The BIRMC consists of 3 Non-Executive Directors, CEO and CRO who satisfy the said criteria. Further, KMPs are called or present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject.

Rule Number	Rule	Status of Compliance
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Complied. BIRMC has implemented a procedure to meet on a quarterly basis to assess the risk of the Bank through the use of dashboards. These dashboards which covers the below mentioned risks are shared with BIRMC members for monitoring:- ✿ Credit Risk ✿ Market Risk ✿ Liquidity Risk ✿ Operational Risk ✿ Enterprise Risk, Strategic Risk, Legal Risk and Reputational Risk Not applicable as the Bank do not have any subsidiaries or associate companies.
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees namely ECC 1, ALCO & ERMC through the minutes and reports submitted by these committees at the subsequent BIRMC meeting. Further, the TORs of all these committees are evaluated and reviewed through the IRMF by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. Risks are monitored and reviewed by the BIRMC through the dashboard on the risk tolerance and considered all risk indicators which have gone beyond the prudent limits decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects.
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has held five meetings during the year 2019.
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank among other processes has a mechanism through which risk events such as loss event, near miss, KRI and RCSA are used to measure and identify risks proactively. These tools have been used effectively and have now been incorporated as key component of the performance evaluation of the Senior management thereby strengthening the process of accountability.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.

Rule Number	Rule	Status of Compliance
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. An independent compliance function has been established, headed by a dedicated Compliance Officer to assess and ensure the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through comprehensive quarterly compliance status reports. The Compliance function also performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function also assesses the Bank's internal controls and policies on all areas of business operations.
3 (7)	RELATED PARTY TRANSACTIONS	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as "related parties" for the purpose of this Direction; a) Any of the Bank's subsidiary companies; b) Any of the Bank's associate companies; c) Any of the Directors of the Bank; d) Any of the Bank's Key Management Personnel; e) A close relation of any of the Bank's Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank's Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflict of interest that may arise from any transactions of the Bank. The Board Related Party Transactions Review Committee meets quarterly to identify and review such transactions.
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board's Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction to avoid any conflicts of interest that may arise from any related party transactions.

Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; i) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. ii) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. The formal policy approved by the Board on Related Party Transactions enhances transparency and contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any 'favourable treatment' granted to such parties.
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. Any accommodation granted to related party is approved at the Board meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.

Rule Number	Rule	Status of Compliance
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, steps shall be taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/ or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions, as and when such transactions take place. Additionally such transactions are verified by the relevant authorities (Finance Department.). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more 'favourable treatment' other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.

Rule Number	Rule	Status of Compliance
3 (8)	DISCLOSURE	
3 (8)(i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.
3 (8)(ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report; a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above. d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Complied. Refer Statement of Directors' Responsibility, on page 159. Refer Directors' Statement on Internal Control over Financial Reporting on pages 139 and 140. Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on pages 141 and 142. Refer Profiles of Directors, on pages 20 to 25 Transactions with the Bank: a) Financing and Receivables: Nil b) Financing Income: Nil c) Deposits: LKR 72,180,428 d) Financing Expenses: LKR 6,156,396 e) Commitment and Contingencies: Nil Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on page 197.

Rule Number	Rule	Status of Compliance																		
3 (8)(ii)	e) Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>NIL</td><td>NIL</td></tr><tr><td>KMPs</td><td>171,827,015</td><td>1.6%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>605,895,094</td><td>5.5%</td></tr><tr><td>A close relation of any of the Bank's Directors or Key Management Personnel</td><td>NIL</td><td>NIL</td></tr><tr><td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	NIL	NIL	KMPs	171,827,015	1.6%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	605,895,094	5.5%	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL	Material Shareholder	NIL	NIL
	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital																	
	Directors of the Bank	NIL	NIL																	
	KMPs	171,827,015	1.6%																	
	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	605,895,094	5.5%																	
	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL																	
	Material Shareholder	NIL	NIL																	
	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	<table><tr><th>Nature of Transaction</th><th>KMPs (LKR)</th></tr><tr><td>Remuneration</td><td>192,208,078</td></tr><tr><td>Accommodation granted</td><td>171,827,015</td></tr><tr><td>Deposits</td><td>110,553,669</td></tr></table>	Nature of Transaction	KMPs (LKR)	Remuneration	192,208,078	Accommodation granted	171,827,015	Deposits	110,553,669										
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	Remuneration	192,208,078																		
Accommodation granted	171,827,015																			
Deposits	110,553,669																			
g) To obtain the External Auditor's certification of the compliance with these Corporate Governance Directions.	The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.																			
h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 137 and 138.																			
i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Director of Bank Supervision or the Monetary Board has not directed the Bank to disclose any non-compliance issues to the public.																			

Attendance of Directors During 2019

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Related Party Transactions Review Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Osman Kassim ¹	11	12	-	-	7	8	-	-	-	-	-	-	-	-
Mr. Tyeab Akbarally ²	9	12	-	-	8	8	3	3	-	-	2	2	-	-
Mr. Jazri Magdon Ismail ³	12	12	8	8	-	-	2	3	5	5	2	2	4	4
Mr. Harsha Amarasekera ⁴	12	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Rajiv Nandlal Dvivedi ⁵	11	12	6	8	-	-	2	3	5	5	-	-	4	4
Mr. P. Dilshan R. Hettiaratchi ⁵	12	12	-	-	7	8	3	3	-	-	2	2	4	4
Mr. Aaron Russell-Davison ⁵	11	12	6	8	-	-	-	-	-	-	2	2	1	4
Mr. Mohammed Ataur Rahman Chowdhury ⁴	12	12	7	8	-	-	2	2	4	5	2	2	-	-
Mr. Adeeb Ahmad ⁴ (resigned w.e.f. 29 March 2019)	2	3	-	-	-	-	1	1	0	1	-	-	-	-
Mr. Syed Muhammed Asim Raza ⁴	8	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah ⁴	12	12	-	-	-	-	-	-	-	-	-	-	-	-
Dr. Mostafa Hassan Mohamed Hassan Al Sabban ⁴ (appointed w.e.f. 24 August 2019)	4	5	-	-	-	-	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 20 to 25 for additional details.

- 1 - Chairman, Non-Executive, Non-Independent Director
- 2 - Deputy Chairman, Non-Executive, Non-Independent Director
- 3 - Non-Executive, Independent Senior Director
- 4 - Non-Executive, Non-Independent Director
- 5 - Non-Executive, Independent Director

Bank's Compliance with Prudential Requirements

Amāna Bank places the highest importance in its endeavour to ensure optimum management of compliance risk and prudential requirements. In this regard, the Board of Directors has formulated a Compliance Policy that sets out the Terms of Reference of the Chief Compliance Officer (CCO) and the framework for Compliance function.

The functions and activities of Compliance are critical to the overall health of the Bank's business and as such the department's key performance benchmarks are independent of direct business profitability targets. The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC).

The department's responsibilities include the facilitation of the day-to-day challenges in interpretation and understanding of regulations; proactively take initiatives to highlight common industry wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the banking standards.

The Compliance Department, additionally addresses effective Compliance management across the Bank with the support and coordination of the CEO and senior management in order to adhere to the Policies and Processes of the Bank. In this context the Department continuously engages with the Management Committee and the executive management to oversee and assess the level of Compliance by obtaining management confirmations and where necessary initiating corrective action. Additionally, the department also reviews the level of Compliance with statutory requirements and the internal procedures at branches and other departments based on periodic reviews conducted by Compliance staff. All exceptions that were

identified during the reviews are escalated to either the Executive Risk Management Committee, BIRMC or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

MONITORING OF COMPLIANCE

The Compliance Department carried out annual Bank-wide risk assessment function focusing on adherence to laws, regulations and regulatory guidelines. The Department is entrusted with the responsibility of monitoring these requirements on an ongoing basis. The Compliance function takes an overview approach in this and monitors the Compliance with statutory requirements through process assurances obtained from relevant department heads, based on the sign-off given by the heads of business departments on quarterly Compliance reports, and focuses on exception reports to follow-up on non-Compliance issues. In addition, the Compliance department also carries out regular reviews depending on the severity of the potential impact of the risk event. A quarterly Compliance report is submitted to the Board of Directors and BIRMC in this respect, which covers:

- ✿ Compliance with Statutory/mandatory reporting requirements
- ✿ Status of Compliance with the key Compliance requirements under the Directions issued by Central Bank of Sri Lanka
- ✿ Significant non-Compliance events, if any
- ✿ Regulatory/potential breaches, if any

ANTI-MONEY LAUNDERING (AML) COMPLIANCE

The Compliance Department has taken steps from the inception of the Bank to address the Bank's Compliance with regulations such as Know Your Customer (KYC) and Anti-Money Laundering (AML) functions going beyond mere regulatory Compliance.

Appropriate mechanisms have been devised by the Department to identify and assess the regulatory Compliance requirements which are then disseminated to the business/operations departments on a regular basis. Further, during the year the Compliance function introduced a fresh module as part of the Layup e-Learning Management System.

The Bank has established a sound framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated Compass Anti Money Laundering system to manage AML/CFT risks. The Compliance Department pays special attention to any suspected money laundering transactions reported by the business units and carries out investigation to ensure adherence.

PRODUCT RESPONSIBILITY

The Product Development Committee, comprising representatives from various disciplines of the Bank, ensures that all new products and services introduced and any changes to our current products conform to the applicable laws and regulations and reflect ethical practices.

The Compliance Department plays a key role in product development to ensure legal and regulatory Compliance. Therefore, Compliance Department along with the Legal Department ensures that the new product structures are cleared for regulatory and legal Compliance within the normal regulatory and legal framework of the country.

CUSTOMER CHARTER

The corporate website publishes expected deposit rates, financing rates, exchange rates and tariffs and charges. The procedure for Comments, Complaints and Suggestions is also set out on the website. The same has been displayed at branches including contact details of officials of the Bank and the Financial Ombudsman who can also be informed in the event, efforts made by the Bank prove unsatisfactory to the client.

CAPACITY BUILDING ON COMPLIANCE

Capacity building on Compliance through various internal and external training forms a critical building block of the Bank's Compliance plan, to instil an organisation wide compliance culture. Internal training and orientation for new recruits include training modules on Compliance. Existing and new staff are provided training throughout the year to ensure that well-trained staff members are present in all branches and departments.

Some of the key training programmes that were conducted during the year included:

- ✿ A Compliance Forum which was held for all staff as refresher training on the AML/ CFT system with the Ultimate Beneficial Ownership Declaration being introduced.
- ✿ Compass AML system refresher programme for branches and selected key departments to familiarise themselves with AML system and respond to alerts in timely and accurate manner.
- ✿ Forums on Financial Crime Compliance by Industry practitioner with vast expertise from International Bank.
- ✿ A brief for the Board of Directors on the latest developments in the Regulatory Environment.
- ✿ Three induction programmes conducted by the Compliance team for Bank's staff on AML KYC throughout the year.

TECHNOLOGY DRIVEN COMPLIANCE

While most initiatives are taken to comply with various regulations, the Banking Act and subsequent Directions issued by CBSL in this regard, the Bank constantly seeks to ensure that measures taken go well beyond mere compliance to meet the foreseeable threats in this rapidly evolving aspect. During the year under review, the Bank introduced a revamped Online Learning Management system geared towards learning the latest changes in the AML, Financial Crime areas with five essential modules. This system is used by a leading International Bank and was procured to further strengthen the compliance mechanism and create the right awareness and broaden the knowledge base of the staff who are now better equipped to handle the myriad of complexities faced in today's environment.

CORPORATE GOVERNANCE COMPLIANCE

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Bank in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors is fully committed to ensure that good governance is practiced and responsible for developing an effective framework. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above directions.

Directors' Statement on Internal Control over Financial Reporting

RESPONSIBILITY

In line with the Banking Act Direction No 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability

of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

KEY FEATURES OF THE PROCESS ADOPTED IN APPLYING AND REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is

reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at its periodic meetings.

- The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management; and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 149 to 151.
- In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.
- The Bank adopted SLFRS 9 – "Financial Instruments" in 2018 which became applicable for financial reporting periods beginning on or after 1 January 2018. During the year the Bank continued to refine the statistical models used in the computations and the data extraction procedures pertaining to the calculations performed in respect of SLFRS 9. Since adoption of this standard, progressive improvements on processes to comply

with new requirements of classification, estimation of expected credit losses and disclosure were made whilst, further strengthening of processes will continue to take place pertaining to expected credit loss estimation and financial statement disclosures.

- ✿ The Bank adopted Sri Lanka Accounting Standard – SLFRS 16 “Leases” which became effective for financial reporting periods beginning on or after 1 January 2019.
- ✿ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

CONFIRMATION

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2019 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by

the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on pages 141 and 142 of this Annual Report.

By Order of the Board,



Osman Kassim
Chairman – Board of Directors



Mohamed Jazri Magdon Ismail
Chairman – Board Audit Committee

15 February 2020
Colombo

Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting



Ernst & Young
Chartered Accountants
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Colombo 10
Sri Lanka

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eysl@lk.ey.com
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APAG/UM/TW

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Report on the Director's Statement on Internal Control

We were engaged by the Board of Directors of Amāna Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2019.

Management's responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8) (ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibilities and compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudan ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited



SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

A handwritten signature in black ink, consisting of a stylized 'E' followed by a series of loops and a final horizontal stroke.

15 February 2020
Colombo

Annual Report of the Board of Directors on the Affairs of the Bank

Contents of this report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities for listed companies in the financial services industry and best accounting practices. This Report was approved by the Directors.

GENERAL

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2019. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014. Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto.

PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) has established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on Know Your Customer (KYC) and Anti Money

Laundering (AML). The Compliance Department monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

The Bank also complies with the Banking Act Direction No.11 of 2007 on Corporate Governance issued by CBSL and is compliant with the provisions of the said Direction. The Corporate Governance Report is disclosed on pages 110 to 136.

In addition, the Bank is currently a listed entity and is in compliance with the Directions of the Securities and Exchange Commission of Sri Lanka, Continuing Listing Rules of the Colombo Stock Exchange and all other relevant authorities. The Board of Directors also hereby confirms that the Bank is compliant with section 9 of the Listing Rules of Colombo Stock Exchange pertaining to Related Party Transactions.

FINANCIAL RESULTS

	2019 LKR	2018 LKR
Net Operating Income	3,967,689,719	3,627,889,737
Total Operating Expenses	(2,591,015,720)	(2,305,652,485)
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax & DRL	1,376,673,999	1,322,237,252
Value Added Tax on Financial Services, Nation Building Tax & DRL	(531,825,986)	(420,038,265)
Profit Before Tax	844,848,013	902,198,987
Tax Expenses	(383,916,616)	(345,753,279)
Profit for the Year	460,931,397	556,445,708
Other Comprehensive Loss for the Year Net of Tax	(32,214,047)	(21,382,884)
Total Comprehensive Income for the Year	428,717,350	535,062,824

PROPERTY, PLANT AND EQUIPMENT AND DEPRECIATION

Details of the property, plant and equipment of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

DONATIONS

During the year under review, the Bank made donations amounting to LKR 1,323,284/50 (2018 - LKR 1,220,716/78)

EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 47 to the Financial Statements.

ACCOUNTING AND VALUATION METHODS

For the year under review, the financial statements were prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

STATED CAPITAL AND SHAREHOLDERS

The Stated Capital of the Bank is LKR 10,619,450,156/- (2,501,390,534 shares)

FINANCIAL STATEMENTS

The Financial Statements of the Bank are given on pages 176 to 239.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of Financial Statements are given on pages 181 to 192.

BOARD OF DIRECTORS

The Board is the highest decision making authority of the Bank and is responsible for leadership and strategic direction, whilst the Corporate Management is responsible for daily operations and implementing effective internal controls.

The Board and Management work with mutual trust, respect and understanding of their respective roles, thus bringing a productive and harmonious environment conducive to effective Corporate Governance.

The Board comprises of 11 Directors, as at 31 December 2019, with the desired Board Balance and consist of eminent professionals in their respective fields with skills and expertise to constructively deliberate on matters presented to the Board. Collectively they combine expertise in accounting, banking and finance, business and entrepreneurial

management, investor and regulatory perspective and law and also bring in independent judgement to bear on matters reserved for the Board.

Board Process

Based on a schedule of meeting dates agreed at the beginning of the year, the Board meets at least every calendar month in addition to other meetings convened for specific purposes.

The Chairman is responsible for determining the Agenda which is prepared with the assistance of the Company Secretary and circulated with relevant Board Papers via 'Board Pac' to the Directors. Minutes of deliberations and decisions are maintained in sufficient detail.

The Board plays an active role in strategy formulation by providing direction to the Management on the preparation of the Bank's five year Strategic Plan. This process was further enhanced at a Brainstorming Session held by the Management Committee in co-ordination with the Board of Directors and its outcome incorporated into the Plan which was then presented to the Board for approval.

The following were Directors of Amāna Bank PLC during the year ended 31 December 2019:

- 1) Mr. Osman Kassim (Chairman, Non-Executive, Non-Independent Director)
- 2) Mr. Tyeab Akbarally (Deputy Chairman, Non-Executive, Non-Independent Director)
- 3) Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director)
- 4) Mr. Harsha Amarasekera, PC (Non-Executive, Non-Independent Director)
- 5) Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)
- 6) Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director)

- 7) Mr. Aaron Russell-Davison (Non-Executive, Independent Director)
- 8) Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)
- 9) Mr. Adeeb Ahmad (Non-Executive, Non-Independent Director resigned w.e.f. 29 March 2019)
- 10) Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director)
- 11) Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non-Independent Director)
- 12) Dr. Mostafa Hassan Mohamed Hassan Al Sabban (Non-Executive, Non Independent Director - appointed on 24 August 2019)

ALTERNATE DIRECTORS

The following were Alternate Directors of Amāna Bank PLC during the year ended 31 December 2019:

- 1) Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)
- 2) Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)

ROTATION OF DIRECTORS

In terms of Article 29 (6) of the Articles of Association of the Company one-third of the Directors shall retire from office at each Annual General Meeting. The following Directors retire by rotation and stand for re-appointment at the Annual General Meeting of Amāna Bank.

- a) Mr. Syed Muhammed Asim Raza
- b) Mr. Khairul Muzamel Perera Bin Abdullah
- c) Mr. Aaron Russell-Davison
- d) Mr. Pradeep Dilshan Rajeeva Hettiaratchi

INTEREST REGISTER

The Directors' interest in shares has been disclosed in the Interest Register.

DIRECTORS' REMUNERATION AND OTHER BENEFITS

Directors' remuneration in respect of the Bank for the financial year ended 31 December 2019 is given in Note 13 to the Financial Statements.

DIRECTORS' INTEREST IN CONTRACTS

As at 31 December 2019, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 46 to the Financial Statements.

As required by the Section 168 (1) (e) of the Companies Act No. 07 of 2007, the Bank maintains an Interests Register. We wish to confirm that all Directors have made declarations as required by the Sections 192 (1) and (2) of the Companies Act aforesaid and all related entries were made in the Interests Register during the year under review. The share ownership of Directors is disclosed below. The Interest Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

DIRECTORS' INVESTMENTS IN SHARES

The shareholdings of Directors who held office as at 31 December 2019 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Osman Kassim	67,474,160	2.70
Mr. Tyeab Akbarally	52	0.00
Mr. Mohamed Jazri Magdon Ismail	127,000	0.01
Mr. Harsha Amarasekera, PC	Nil	Nil
Mr. Rajiv Nandlal Dvivedi	Nil	Nil
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	Nil	Nil
Mr. Aaron Russell-Davison	Nil	Nil
Mr. Mohammed Ataur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Dr. Mostafa Hassan Mohamed Hassan Al Sabban	Nil	Nil
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	01	0.00
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	0.00

BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by the Monetary Board of the Central Bank of Sri Lanka. Accordingly the following committees have been constituted by the Board:

Board Audit Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Aaron Russell-Davison - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member

The report of the Board Audit Committee is given on pages 149 to 151 which forms part of the Annual Report of the Board of Directors.

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Adeeb Ahmad - Member (resigned w.e.f. 29 March 2019)
4. Mr. Mohammed Ataur Rahman Chowdhury (appointed w.e.f. 23 May 2019)
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. Ajmal Naleer - (CRO) - Member

The report of the Board Integrated Risk Management Committee is given on pages 152 and 153 which forms part of the Annual Report of the Board of Directors.

Board Nomination Committee

1. Mr. Pradeep Dilshan Rajeeva Hettiarachchi - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Tyeab Akbarally - Member
4. Mr. Rajiv Nandlal Dvivedi - Member
5. Mr. Adeeb Ahmad - Member (Resigned w.e.f. 29 March 2019)
6. Mr. Mohammed Ataur Rahman Chowdhury (Appointed w.e.f. 20 April 2019)

The report of the Board Nomination Committee is given on pages 155 and 156 which forms part of the Annual report of the Board of Directors.

Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Aaron Russell-Davison - Member

The report of the Board Human Resources & Remuneration Committee is given on page 154 which forms part of the Annual Report of the Board of Directors.

Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member
4. Mr. Aaron Russell-Davison - Member

The report of the Related Party Transactions Review Committee is given on pages 157 and 158 which forms part of the Annual Report of the Board of Directors.

In addition to the above mandatory Board appointed Committees, the Board of Directors has also appointed a Board Credit Committee which oversees the Credit approval functions of the Bank.

Board Credit Committee

1. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Chairman
2. Mr. Tyeab Akbarally - Member
3. Mr. Osman Kassim - Member

AUDITORS

The Financial Statements for the year ended 31 December 2019 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid/provided with LKR 4,076,568/- as Audit fees by the Bank.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

ANNUAL REPORT

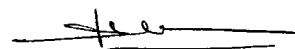
The Directors approved the Financial Statements together with the reviews which forms part of the Annual Report. The appropriate number of copies has been submitted to the Central Bank of Sri Lanka, Sri Lanka Accounting and Auditing Standard Monitoring Board, the Registrar of Companies and the Colombo Stock Exchange.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 27 March 2020 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7.

The Notice of the Annual General Meeting is given on page 282.

By Order of the Board



Mrs. Samitha Dayani de Silva
Company Secretary

15 February 2020
Colombo

Directors' Interest in Contracts

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Existing Limit 2019 LKR	Amount 2019 LKR	Amount 2018 LKR
Mr. Osman Kassim	Amāna Takaful PLC	Chairman	Financing and Receivables to Other Customers	115,217,000	102,684,902	36,989,383
			Financial Assets Measured at FVPL/FVOCI		143,946,055	184,685,504
			Due to Depositors		265,669,723	298,561,489
			Personnel and Other Operating Expenses		46,997,970	48,197,574
			Net Fees & Commission Income		19,280,387	15,385,294
Mr. Harsha Amarasekera	Expolanka Holdings PLC and Group	Director	Financing and Receivables to Other Customers	1,350,000,000	994,349,676	925,911,703
			Financial Assets Measured at FVPL/FVOCI		-	18,160,392
			Due to Depositors		43,305,563	42,911,893
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		41,504,624	28,925,000
Mr. Osman Kassim	A.P.I.I.T. Lanka (Pvt) Limited	Chairman *	Due to Depositors		N/A	151,728,178
Mr. Osman Kassim	Aberdeen Holdings Limited and Group	Chairman	Financing and Receivables to Other Customers	201,800,000	174,816,990	522,360,045
			Due to Depositors		205,298,623	379,612,960
Mr. Osman Kassim	Alhasan Foundation	Chairman	Due to Depositors		3,968,346	3,469,198
Mr. Osman Kassim	Amāna Takaful (Maldives) PLC	Director	Due to Depositors		2,979,754	13,093,010
Mr. Osman Kassim	Vidullanka PLC	Chairman	Due to Depositors		1,630,670	13,413,293
Mr. Osman Kassim, Chairman of the Bank is the Chairman of Amāna Takaful Life PLC, CrescentRating (Pvt) Limited (Singapore), Rokfam (Pvt) Limited and also a Director of Expack Corrugated Cartons (Pvt) Limited and Maldives Islamic Bank (Pvt) Limited.						
* Mr. Osman Kassim has resigned from the Board of A.P.I.I.T. Lanka (Pvt) Limited						
Mr. Harsha Amarasekera	Delmege Forsyth & Company Limited	Director	Financing and Receivables to Other Customers	550,000,000	472,517,683	468,747,727
			Due to Depositors		1,514,372	220,775
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		39,778,464	69,292,205

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Existing Limit 2019 LKR	Amount 2019 LKR	Amount 2018 LKR
Mr. Harsha Amarasekera	Chevron Lubricants Lanka PLC	Director	Financial Assets Measured at FVPL/FVOCI		-	8,379,280
Mr. Harsha Amarasekera	Vallibel Power Erathna PLC	Director	Financial Assets Measured at FVPL/FVOCI		-	5,750,963
Mr. Harsha Amarasekera, a Director of the Bank is the Chairman of CIC Holdings PLC and CIC Agri Business (Pvt) Limited and a Director of Amaya Leisure PLC, Vallibel One PLC, Royal Ceramic PLC, Ambeon Capital PLC, Ceylon Hotel Holdings (Pvt) Limited, Galle Face Management Company (Pvt) Limited, Millennium Airlines (Pvt) Limited, Millennium Investments Lanka (Pvt) Limited, The Hill Club Company Limited, Swisstek (Ceylon) PLC, Swisstek Aluminium Limited, Handhuvaru Ocean Holidays (Pvt) Limited, Silver Aisle (Pvt) Limited and Link Natural Products (Pvt) Limited.						
Mr. Tyeab Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors		970,451,386	651,562
Mr. Huzeefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally	Akbar Pharmaceuticals (Pvt) Limited	Director	Due to Depositors		99,160	95,918
Mr. Huzeefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally, a Director of the Bank is the Chairman of Amāna Takaful (Maldives) PLC and is a Director of A B Properties (Pvt) Limited, A B Development (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Zahra Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Developments (Pvt) Limited, Quick Tea (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Lina Cardiac (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Flexi Print (Pvt) Limited and Flinth Commercial Park (Pvt) Limited.						
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, GTPL (Pvt) Limited, Faber Capital Lanka (Pvt) Limited, Southern Gammiris Lanka (Pvt) Limited and Sagasolar Power (Pvt) Limited.						
Mr. Rajiv Dvivedi, a Director of the Bank is also a Director of Candor Securities Limited, Candor Asset Management (Pvt) Limited, Candor Capital (Pvt) Limited, Candor Shared Services (Pvt) Limited and Accordion Partners (USA).						
Mr. Aaron Russell-Davison, a Director of the Bank is the Chairman of Softlogic Finance PLC and also a Director of Softlogic Holdings PLC, Softlogic Capital PLC, Korcula Holdings (Pvt) Limited, Breaking Waves (Pvt) Limited, Ceylon Cinnamon Corporation (Pvt) Limited, Gradeley Estates (Pvt) Limited, Kugan Capital (Pvt) Limited and Silk Road Partners (Pvt) Limited.						
Mr. Khairul Muzamel Perera Bin Abdullah, a Director of the Bank is also a Director of Raeed Holdings SDN BHD and IAP Integrated SDN BHD.						
Mr. Huzeefa Akbarally, an Alternate Director of the Bank is a Director of A B Properties (Pvt) Limited, A B Developments (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Developments (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Quick Tea (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Terraqua International (Pvt) Limited, Daily Life Renewable Energy Limited, Diyaviduli (Pvt) Limited, Seguwanthivu Windpower (Pvt) Limited, Vidatamuni Windpower (Pvt) Limited, Terraqua Kokavita (Pvt) Limited, Flinth Commercial Park (Pvt) Limited, Cleanco Lanka (Pvt) Limited, Greensands (Pvt) Limited, Lina Cardiac (Pvt) Limited, Buluthota Energy (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Akbar Pharmaceuticals Holdings (Pvt) Limited and Windforce (Pvt) Limited.						
Mr. M. F. M. Hadad, an Alternate Director of the Bank is a Director of Paragon Management Services (Pvt) Limited, Serendib Grand (Pvt) Limited and Acer Events Management Services Limited.						

Board Audit Committee Report

COMPOSITION

The Board Audit Committee (BAC) conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of 2019 comprised of four Non-Executive Directors, three of them being Independent. The Chairman of the Committee, Mr. Mohamed Jazri Magdon Ismail, is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the BAC during the year under review and their attendance at Committee meetings held during the year:

Member	Participated / Eligibility
Mr. Mohamed Jazri Magdon Ismail (Chairman) (Non-Executive, Independent Senior Director)	8/8
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	6/8
Mr. Aaron Russell-Davison (Non-Executive, Independent Director)	6/8
Mr. Mohammed Aatur Rahman Chowdhury (Non-Executive, Non-Independent Director)	7/8

The Chief Internal Auditor functions as the Secretary to BAC.

ROLE OF THE BOARD AUDIT COMMITTEE

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks;

- Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with the Sri Lanka Accounting Standards.
- Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- Recommending appointment or re-appointment of the External Auditor for audit services in compliance with the relevant statutes.
- Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- Ensuring that an Internal Audit Charter and a comprehensive Internal Audit Manual comprising of relevant Guidelines are in place.
- Reviewing the adequacy of the scope, functions and resources of the Internal Audit Department and ensuring that appropriate actions are taken on the findings and recommendations of the Department.

- Monitoring the effectiveness of the Bank's Internal Audit Function.

REGULATORY COMPLIANCE

The role and functions of the BAC are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

MEETINGS

The Committee met eight times during the year under review. The regular attendees on invitation to the BAC meetings are the Chief Executive Officer and the Chief Financial Officer. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended two (2) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support departments of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such departments. Such invitations were extended to ensure that the Committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

FINANCIAL REPORTING

The BAC as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2019, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No. 07 of 2007, the Banking Act No. 30 of 1988 and amendments thereto.

RISKS AND INTERNAL CONTROLS

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2019, as required by the Banking Act Direction No. 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 139 and 140 of the Annual Report, titled "Directors' Statement on Internal Control over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Control over Financial Reporting. This report is given on pages 141 and 142 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2019 that the Bank's Internal Control over financial reporting is effective.

EXTERNAL AUDIT

The BAC reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the External Audit process and having satisfied itself of the same, assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2019. The role played by the BAC with regard to the External Audit and also to ensure the independence of External Auditors is as follows:

- ✿ Monitoring and evaluating the independence, objectivity and effectiveness of the External Audit at the planning, execution, completion and reporting phases of the External Audit Assignment.
- ✿ BAC discussed the approach and procedures followed by the External Auditors, including matters relating to the audit plan, key risk areas, scope and the methodology proposed to be adopted in conducting the audit, prior to commencement of the annual audit.
- ✿ Discussion of the time frame allocated for the External Audit and approving remuneration to be paid to the External Auditors.
- ✿ Reviewing the existing non-audit services provided by the External Auditors and also approving any new services to the external auditors by ensuring that such functions do not fall within the restricted services which will impair the External Auditors' independence and objectivity.
- ✿ BAC met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any

other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern.

- ✿ Moreover, the Committee also reviewed the External Auditor's Management Letter – 2018 and the management's responses thereto.

INTERNAL AUDIT

During the year, the BAC reviewed the independence, objectivity and performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Department's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Department's resource requirements.

'Management Audit Committee' (MAC) which is an Executive level Management Committee headed by the CEO discusses the Internal Audit reports submitted to the BAC in order to optimise the remedial actions taken to resolve the audit findings therein and to follow-up on actions taken by the auditees to resolve previously agreed audit findings.

OTHER KEY ACTIVITIES/INITIATIVES TAKEN DURING THE YEAR 2019 BY THE BAC

- Discussion and monitoring the progress on the implementation of the SLFRS 16 - Leases and its impact to the Bank's financial statements
- Review of the Policy for Engagement of the External Auditors for Non –Audit Services
- Review of the Methodology used by Internal Audit for Control Risk Assessment of the Branch Network.
- Reviewing the Bank's Whistleblowing Policy
- Review of the Terms of Reference of the Board Audit Committee
- Providing guidance and monitoring the work performed by the Internal Audit Department using the Audit Analytical Software acquired during the latter part of 2018.
- Setting up a dedicated Investigation Unit within the Internal Audit Department

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

WHISTLE BLOWING

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review and investigate the complaints received via this scheme and appropriate directions are provided by the Committee where applicable in relation to the conclusions arrived at, based on such investigations.

COMMITTEE EVALUATION

The annual evaluation of the BAC was carried out by the other members of the Board of Directors and the Committee has taken note of the feedback received.



Mohamed Jazri Magdon Ismail
Chairman – Board Audit Committee

14 February 2020
Colombo

Board Integrated Risk Management Committee Report

COMPOSITION OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was appointed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met five times during the year 2019 and the attendance is as follows:

Member	Participated / Eligibility
Mr. Rajiv Nandlal Dvivedi (Chairman) (Non-Executive, Independent Director)	5/5
Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director)	5/5
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director) appointed w.e.f. 23 May 2019	4/5
Mr. Adeeb Ahmad (Non-Executive, Non-Independent Director) resigned w.e.f. 29 March 2019	0/1
Mr. Mohamed Azmeer (Chief Executive Officer)	3/5
Mr. Ajmal Naleer (Chief Risk Officer)	5/5

REGULATORY COMPLIANCE

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

MEETINGS

Vice President – Operations and Manager - Risk Middle Office attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank including Chief Compliance Officer (CCO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its role and responsibilities. After every BIRMC meeting, a report from the BIRMC Chairman along with the confirmed BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

ROLE AND RESPONSIBILITIES OF THE BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request different kinds of information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. Its main responsibilities include the following:

- Ensure that the Bank has comprehensive risk management policies and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- Review and recommend the risk appetite/ tolerance for the Bank at all levels of business, to the Board for adoption.
- Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- Review the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk control and mitigation processes.
- Oversee management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC 1) and the Asset and Liability Committee (ALCO).
- Ensure that there are clear and independent reporting lines and responsibilities for risk management functions.

- vii. Apprise the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.
- viii. Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- ix. Take appropriate actions against officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- x. Submit an update on key matters discussed and resolved at the next Board meeting, prior to the issuance of the BIRMC minutes.
- xi. Establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

RISK MANAGEMENT AND INTERNAL CONTROLS

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of

the Bank's risk management controls for the financial year ended 31 December 2019. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Department (RMD) with the objective of effectively managing the core functions of risk: credit, market, liquidity and operational risks.

BIRMC has emphasised the importance of strengthening self-assessment on regulatory aspects and provided a clear direction which will be strictly adhered to.

COMMITTEE EVALUATION

The Risk Management Department has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. The results of such exercises were also escalated to the relevant levels of management and taken up for discussions at BIRMC meetings for creating awareness and appropriate action. It is our aim to continue to strengthen the RCSA process.

Impact of complying with Basel III and IFRS 9 requirements were discussed at BIRMC meetings. Such requirements were applied in the ICAAP report for 2018, prepared in 2019 and the assessment was done based on the capital buffer as required in the said regulations.

Risk Management Department has successfully conducted a Business Continuity Plan (BCP) drill with a negligible number of issues. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee. BCP/DR test results were recommended by the BIRMC which was tabled for approval of the Board of Directors and submitted to CBSL.

BIRMC has also reviewed major policies during the year 2019 and recommended same for onward submission to Board of Directors for

approval. BIRMC also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded such policies to Board of Directors with its recommendation.

BIRMC evaluated its management committees and ensured that they are functioning adequately and effectively according to their Terms of Reference.

In 2019, the Bank continued to grow its balance sheet despite an overall slowdown in economic activity. The Bank managed the overall risk profile successfully, whilst ensuring sustained portfolio growth and income generation which are key ingredients to increasing stakeholder value. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with Basel regulations in line with the CBSL requirements of effective risk management practices.



Rajiv Nandlal Dvivedi
Chairman - Board Integrated Risk Management Committee

14 February 2020
Colombo

Board Human Resources and Remuneration Committee Report

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Tyeab Akbarally - Chairman (Non-Executive, Non-Independent Director)
2. Mr. Mohamed Jazri Magdon Ismail - Member (Non-Executive, Independent Senior Director)
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member (Non-Executive, Independent Director)
4. Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)
5. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director)

All five (5) Directors in the Committee are Non-Executive Directors with three (3) being Independent Directors.

AUTHORITY AND RESPONSIBILITIES

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving and updating the Human Resource Policies as per recommendation from CEO.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.
- (iv) Approving periodic Human Resource Policy and Procedure revisions.

MEETINGS

Meetings are held as and when necessary after providing sufficient notice to all members. The Committee held two meetings during the year under review.

Name	Participated / Eligibility
Mr. Tyeab Akbarally	2/2
Mr. Mohamed Jazri Magdon Ismail	2/2
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	2/2
Mr. Aaron Russell-Davison	2/2
Mr. Mohammed Ataur Rahman Chowdhury	2/2



Tyeab Akbarally
Chairman - Board Human Resources and Remuneration Committee

14 February 2020
Colombo

Board Nomination Committee Report

COMPOSITION OF THE COMMITTEE

Amāna Bank's Board Nomination Committee (BNC) constitutes of (5) Non-Executive Directors, majority of whom are Independent Directors as named below:

1. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Chairman (Non-Executive, Independent Director)
2. Mr. Mohamed Jazri Magdon Ismail - Member (Non-Executive, Independent Senior Director)
3. Mr. Tyeab Akbarally - Member (Non-Executive, Non-Independent Director)
4. Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
5. Mr. Adeeb Ahmad - Member (Non-Executive, Non-Independent Director) resigned w.e.f. 29 March 2019.
6. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director) (appointed w.e.f. 20 April 2019)

Brief profiles of the Members of the Committee are given on pages 20 to 25 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

AUTHORITY OF THE COMMITTEE

- The Committee has the authority to discuss issues under its purview and report back to the Board with recommendations, enabling the Board to take a final decision on the matter.
- The Members of the Committee have the authority to express their independent views when making decisions.
- The Committee regularly reviews the structure, size, composition including gender representation and competencies of the Board and makes recommendations to the Board with regard to any changes.

- The Committee recommends to the Board on insurance covers to be taken in respect of all Directors and KMP including indemnity insurance covers.
- If a need arises, professionals from outside may be invited for advice on specific issues.
- Bank staff may be present at Committee meeting for advice or special assignments, on invitation.

RESPONSIBILITIES OF THE BOARD NOMINATION COMMITTEE

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- (ii) Considering and recommending (or not recommending) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- (iv) Ensuring that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

FREQUENCY OF MEETINGS

The Committee is required to meet as and when necessary and at least twice during a financial year.

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BNC Meetings regularly by invitation.

MEETINGS

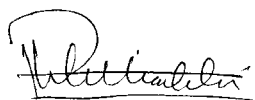
Name	Participated / Eligibility
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	3/3
Mr. Mohamed Jazri Magdon Ismail	2/3
Mr. Tyeab Akbarally	3/3
Mr. Rajiv Nandlal Dvivedi	2/3
Mr. Adeeb Ahmad (Resigned w.e.f. 29 March 2019)	1/1
Mr. Mohammed Ataur Rahman Chowdhury (appointed w.e.f. 20 April 2019)	2/2
Mr. Mohamed Azmeer (By Invitation)	3/3

PERFORMANCE DURING THE YEAR

During the year 2019, the BNC held 3 Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

BNC is actively involved in the selection and appointments of Directors and KMP to ensure that they are fit and proper persons to hold their offices.



Pradeep Dilshan Rajeeva Hettiaratchi
Chairman - Board Nomination Committee

15 February 2020
Colombo

Related Party Transactions Review Committee Report

COMPOSITION OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Board Related Party Transaction Review Committee (BRPTRC) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the "Code") and Section 9 of the Listing Rules of the Colombo Stock Exchange (the "Rules").

The Committee comprises of the following four Independent, Non-Executive Directors.

- ✿ Mr. Mohamed Jazri Magdon Ismail - Chairman (Non-Executive, Independent Senior Director)
- ✿ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
- ✿ Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member (Non-Executive, Independent Director)
- ✿ Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BRPTRC Meetings regularly by invitation.

The Committee is assisted by the following staff members:

Mr. M. Ali Wahid (Chief Financial Officer)
 Mr. Irshad Iqbal (Chief Compliance Officer)
 Mr. Ajmal Naleer (Chief Risk Officer)
 Mr. M. M. S. Quvylidh (Senior VP Corporate and SME Banking)
 Mr. Numair Cassim (Chief Internal Auditor)
 Mr. Fazly Marikar (VP Strategy Management & Product Innovation)

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

MEETINGS

The committee meets quarterly as stipulated by the regulations. During 2019, the Committee held four meetings.

Name	Participated / Eligibility
Mr. Mr. Mohamed Jazri Magdon Ismail	4/4
Mr. Rajiv Nandlal Dvivedi	4/4
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	4/4
Mr. Aaron Russell-Davison	1/4
Mr. Mohamed Azmeer (By Invitation)	2/4

The Company Secretary functions as the Secretary to the Committee.

TERMS OF REFERENCE AND SCOPE OF OPERATIONS

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the "Code" and the "Rules" with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

In discharging the obligations arising out of the Terms of Reference, the Committee adheres to the Bank's Policy and Procedures on Related Party Transactions when reviewing such transactions.

The Mandate of the Committee includes the following:

- ✿ Developing, updating and recommending for adoption by the Board of Directors of the Bank, a Related Party Transactions Policy consistent with that proposed by the SEC.
- ✿ Updating the Board of Directors on Related Party Transactions on a quarterly basis.
- ✿ Advising the Board in making immediate market disclosures on applicable Related Party Transactions as required by Section 9 of the Continuing Listing Requirements of the CSE.
- ✿ Advising the Board in making appropriate disclosures on RPT in the Annual Report as required by Section 9 of the Continuing Listing Requirements of the CSE.

The Committee relies on the integrity of periodically reportable related party transactions of Board Members, Key Management Personnel and other relevant individuals and entities based on the following:

- ✿ An updated and detailed list of all Related Parties.
- ✿ Confirmations from Business Heads on transactions entered into with Related Parties during each quarter.
- ✿ Analysis of terms to ensure that transactions have been at arms-length and no favourable treatment has been offered to the Related Party.

Related Party Transactions during the year were reviewed by the Committee and relevant observations were communicated to the Board of Directors.

REPORTING TO THE BOARD

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Mohamed Jazri Magdon Ismail
Chairman - Related Party Transactions Review Committee

15 February 2020
Colombo

Statement of Directors' Responsibility

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on pages 172 to 175.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2019, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act. In addition, the Financial Statements of the Bank have been signed by two Directors and

the Company Secretary of the Bank on 15 February 2020 as required by the Sections 150 and 152 of the Companies Act and other regulatory requirements. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2019, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 149 to 151.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 176 to 239 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgements have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 139 and 140 of this Annual Report.

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders a soft copy each in a CD containing the Annual Report within the stipulated period of time. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 172 to 175.

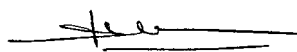
COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

15 February 2020
Colombo

Independent Sharia Supervisory Council Report

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2019.

The Management is responsible for ensuring that the Bank conducts its business in accordance with the rules and principles of Sharia and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to produce this report.

We had two (02) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with the rules and principles of Sharia and also with the specific rulings and guidelines issued by us. We conducted our review which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank. We planned and performed our review so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the Bank has not violated the rules and principles of Sharia.

Based on the above, in our opinion:

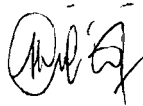
1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2019, that we have reviewed are in compliance with the rules and principles of Sharia.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with the rules and principles of Sharia.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mohd. Nazri Chik
Vice-Chairman



Ash-Sheikh M. M. A. Mubarak
Member



Ash-Sheikh Mufti M.I.M. Rizwe
Member



Ash-Sheikh Mufti Muhammad Hassaan Kaleem
Member

ස්වාධීන ශීර්ශ අධීක්ෂණ සභා වාර්තාව

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ශීර්ශ අධීක්ෂණ සභාවේ කාර්යභාරයන් සහ වගකීම් ඉටුකරමින්, 2019 දෙසැම්බර් 31 දිනෙන් අවසන් මූල්‍ය වර්ෂය සඳහා වන අපගේ වාර්තාව මෙමගින් ඉදිරිපත් කරමු.

ශීර්ශා නීතිරීති සහ මූලධර්ම අනුව බැංකුව විසින් එහි ව්‍යාපාර කටයුතු මෙහෙයවනු ලබන බව සහතික කිරීමේ වගකීම කළමනාකාරිත්වය සතු වන අතර, බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධයෙන් අපගේ සමාලෝචනය මත පදනම්ව ස්වාධීන මතයක් ගොඩනැගීම සහ මෙම වාර්තාව ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

මූල්‍ය වර්ෂය ඇතුළත අප විසින් රැස්වීම් දෙකක් (02)ක් පවත්වන ලද අතර, එහිදී අනෙකුත් දෑ අතර, ගනුදෙනු ආශ්‍රිත ගිවිසුම් සහ බැංකුව විසින් හඳුන්වා දෙන ලද යෙදුම් ද අප විසින් සමාලෝචනය කරන ලදී.

ශීර්ශා නීතිරීති සහ මූලධර්ම වලට සහ අප විසින් නිකුත් කරන ලද විශේෂිත නියමයන් සහ මගපෙන්වුම් වලට අනුකූලව බැංකුව කටයුතු කර තිබේදැයි යන්න පිළිබඳව අපගේ මතය ගොඩනැගීම සඳහා ද අපගේ සමාලෝචනය අප විසින් සිදුකරන ලදී. බැංකුව විසින් යොදා ගන්නා ලද එක හා සමාන වර්ගයේ ගනුදෙනු කාණ්ඩයක්, අදාළ ලේඛන සහ ක්‍රියාපටිපාටි පරීක්ෂණ පදනමක් මත විභාගකිරීමක්ද ද සමාලෝචනයේ දී අප විසින් සිදුකරන ලදී. ශීර්ශා නීතිරීති සහ ප්‍රතිපත්ති බැංකුව විසින් උල්ලංඝනය කර නොමැති බවට සාධාරණ සහතිකයක් ලබාදීම පිණිස ප්‍රමාණවත් සාක්ෂි අප වෙත රැස්කරගැනීම උදෙසා අපට අවශ්‍ය යැයි අප විසින් සලකන ලද සියලු තොරතුරු සහ විස්තර කිරීම් ලබාගැනීමට හැකිවන ආකාරයෙන් අප විසින් අපගේ සමාලෝචනය සැලසුම් කර, ක්‍රියාවට නංවන ලදී.

ඉහත කරුණු මත පදනම් වූ අපගේ මතය වන්නේ:

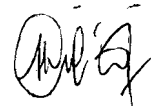
1. අප විසින් සමාලෝචනය කරන ලද, 2019 දෙසැම්බර් 31 දිනෙන් අවසන් වූ මූල්‍ය වර්ෂය තුළ බැංකුව විසින් ඇතිකරගත් ගිවිසුම්, ගනුදෙනු සහ ව්‍යාපාර කටයුතු, ශීර්ශා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදුකර ඇත.
2. ආයෝජන ගිණුම් ආශ්‍රිත ලාභාංශ වෙන්කිරීම් සහ අලාභ සඳහා අයකිරීම්, ශීර්ශා නීතිරීති සහ මූලධර්ම වලට අනුව අප විසින් අනුමත කරන ලද පදනමට අනුකූල වේ.
3. ශීර්ශා නීතිය මගින් තහනම් කර ඇති ප්‍රභවයන් සහ මාර්ග වෙතින් උපලබ්ධි වූ සියලු උපයෝගීතීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

وعليكم السلام ورحمة الله وبركاته

අල්ලාහ් දෙවියන් සියල්ල දන්නේ ය.



අෂ්-ෂෙයික් ආචාර්ය මුර්ති මුහම්මද් ඉම්රාන් අෂ්-රෆ් උස්මානි සභාපති



අෂ්-ෂෙයික් මොහමඩ් නස්(Z)ර් වික් උප-සභාපති



අෂ්-ෂෙයික් එම්.එම්.ඒ මුබාරක් සාමාජික



අෂ්-ෂෙයික් මුර්ති එම්.අයි.එම්. රිස්(Z)වි සාමාජික



අෂ්-ෂෙයික් මුර්ති මුහම්මද් හස්සාන් කලීම් සාමාජික

சுயாதீன ஷரிஆ மேற்பார்வைச் சபையின் அறிக்கை

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ஷரிஆ மேற்பார்வைச் சபையின் பொறுப்புக்கள் மற்றும் பணிகளை நிறைவேற்றும் பொருட்டு, 2019 டிசம்பர் 31 இல் முடிவடைந்த நிதியாண்டிற்கான எமது அறிக்கையை இத்தால் சமர்ப்பிக்கின்றோம்.

வங்கியின் வியாபார நடவடிக்கைகள் அனைத்தும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக மேற்கொள்ளப்படுவதை உறுதிப்படுத்துவது வங்கி முகாமைத்துவத்தின் பொறுப்பாகும். வங்கியின் செயற்பாடுகளை மீளாய்வு செய்து அதன் அடிப்படையில் ஒரு சுயாதீன அபிப்பிராயத்தை உருவாக்கி இந்த அறிக்கையை வெளியிடுவது எமது பொறுப்பாகும்.

நிதியாண்டில் நாம் இரண்டு (02) கூட்டங்களை நடாத்தினோம். வங்கியினால் மேற்கொள்ளப்பட்ட கொடுக்கல் வாங்கல்கள் மற்றும் அறிமுகப்படுத்தப்பட்ட செயற்பாடுகள் தொடர்பான ஒப்பந்தங்கள் இக் கூட்டங்களில் எம்மால் மீளாய்வு செய்யப்பட்டன.

வங்கியானது ஷரிஆ விதிகள், கோட்பாடுகள், எம்மால் வழங்கப்பட்ட தீர்ப்புகள் மற்றும் வழிகாட்டுதல்களுக்கும் அமைவாகச் செயற்பட்டதா என்பதைக் குறித்து எமது சுயாதீன அபிப்பிராயத்தை உருவாக்குவதற்காகவும் நாம் மீளாய்வை மேற்கொண்டோம். வங்கியினால் மேற்கொள்ளப்பட்ட ஒவ்வொரு வகையான கொடுக்கல் வாங்கல்கள் தொடர்பாகவும் ஏற்புடைய ஆவணப்படுத்தல்கள் மற்றும் நடைமுறைகள் தொடர்பாகவும் பரிசீலனை அடிப்படையிலான பரிசீலனையும் எமது மீளாய்வில் உள்ளடக்கியிருந்தது. வங்கியானது ஷரிஆ விதிகளையும் கோட்பாடுகளையும் மீறவில்லை என்று நியாயமான உத்தரவாதத்தை வழங்குவதற்குப் போதுமான சான்றுகள் எமக்குக் கிடைக்க வேண்டும் என்பதற்காக, நாம் அவசியமெனக் கருதிய சகல தகவல்களையும் விளக்கவுரைகளையும் பெற்றுக்கொள்ளும் முறையில் நாம் எமது மீளாய்வைத் திட்டமிட்டு மேற்கொண்டோம்.

மேற்குறிப்பிட்ட மீளாய்வின் அடிப்படையில் எமது அபிப்பிராயம் பின்வருமாறு:

1. 2019 டிசம்பர் 31 இல் முடிவடைந்த நிதியாண்டில் வங்கியினால் மேற்கொள்ளப்பட்டு மீளாய்வு செய்யப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வியாபாரச் செயற்பாடுகள் யாவும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாகவே இருந்தன.
2. முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடு மற்றும் இழப்புகளின் அறவீடு, ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக எம்மால் அங்கீகரிக்கப்பட்ட அடிப்படையிலேயே அமைந்திருந்தன.
3. ஷரிஆவினால் தடை செய்யப்பட்ட மூலங்கள் அல்லது வழிகளில் இருந்து பெறப்பட்ட வருவாய்கள் அனைத்தும் எமது அனுமதியின்பேரில் தரும் காரியங்களுக்காக வழங்கப்பட்டன.

وعليكم السلام ورحمة الله وبركاته

அல்லாஹ் அனைத்தையும் நன்கறிவான்.

அஷ்-ஷெய்க் கலாநிதி முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மான்
தலைவர்

அஷ்-ஷெய்க் மொஹமட் நஸ்ரி சிக்
உப தலைவர்

அஷ்-ஷெய்க் எம்.எம்.ஏ. முபாரக்
அங்கத்தவர்

அஷ்-ஷெய்க் முப்தி எம்.ஐ.எம். ரிஸ்வி
அங்கத்தவர்

அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸ்ஸான் கலீம்
அங்கத்தவர்

Sharia Governance

The cornerstone of the unique business model of Amāna Bank rests on the rules and principles of Sharia which is the foundation for the practice of Islamic Banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the rules and principles of Sharia.

In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) functioning as the apex body. The standards issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed report on the compliance status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

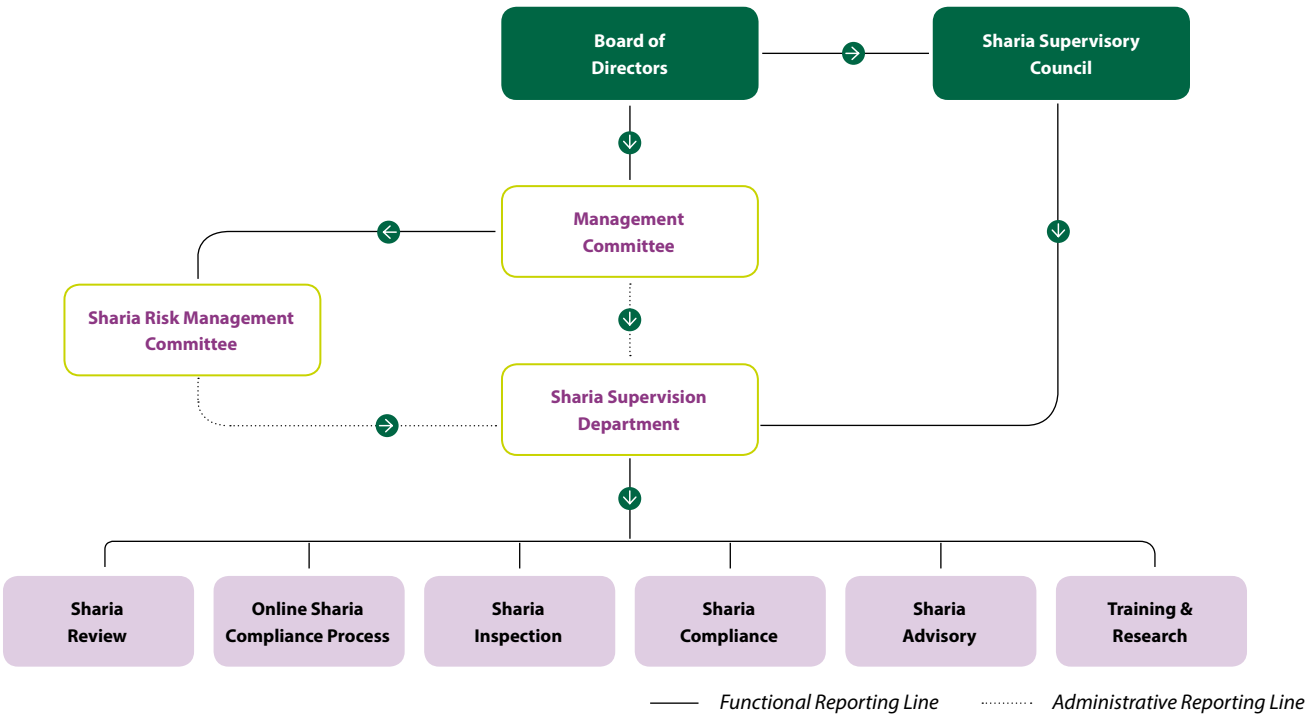
SHARIA SUPERVISORY COUNCIL

The SSC functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC.

The SSC is assisted by the Sharia Supervision Department that performs six (6) compliance functions, namely Sharia Review, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research. At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the In-House Sharia Advisor and its membership

comprises of several management members. The SRMC met three times during the year in order to deliberate issues relating to Sharia Review, Compliance and Risk.

The diagram below describes the framework:



COMPOSITION OF THE SSC

The composition of the SSC would be a minimum of three (3) members. As at 31 December 2019, the SSC has five (5) members comprising of two (2) local scholars and three (3) foreign scholars.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experience in the academia as well as in the industry, definitely support the depth and breadth of the Sharia deliberations.

RESPONSIBILITIES OF THE BANK TOWARDS SSC AND SHARIA COMPLIANCE

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the rules and principles of Sharia, the responsibility for compliance therewith rests with the management of the Bank.

Therefore, it is crucial that the Management works hand-in-hand with the SSC to ensure that all business activities, products, services and operations are in compliance with Sharia. As such, it is the responsibility of the Management to perform the following:

- (i) to refer all Sharia issues in its business operations to the SSC for decisions;
- (ii) to adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;

- (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;
- (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities; and
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

AUTHORITY OF THE SSC

The SSC assumes the following authority based on its TOR:

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it;
- (ii) the SSC has the right to check the Assets and Liabilities of the Bank;
- (iii) the SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary;
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened; and
- (v) the SSC has the right to accept or reject any activity carried out by the Bank based on the rules and principles of Sharia.

SSC MEETINGS

Two (2) SSC meetings were held during the financial year ended 31 December 2019, as follows:

Date of Meeting	Percentage of Members' Attendance (%)
2 April 2019	100
10 September 2019	100

Following the completion of the Bank's annual audit, a further SSC meeting was held in February 2020, in which amongst other matters, the performance of the Bank was reviewed.

In between meetings, the Bank refers the Sharia-related issues in its daily operations to the Executive Committee of the SSC that comprises of two (2) appointed members for guidance and decision-making. The decisions taken by the Executive Committee are subsequently tabled at SSC meetings for concurrence.

APPOINTMENT AND RE-APPOINTMENT OF SSC MEMBERS

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institution (AAOIFI).
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

IFSB - 10 (2009), GUIDING PRINCIPLES ON SHARIA GOVERNANCE SYSTEMS FOR IIFS

The IFSB-10 defined "Sharia Governance System" as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of non-compliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

The status of Amāna Bank's Sharia Governance to IFSB -10 is summarised as follows:

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC has also appointed an Executive Committee comprising of two (2) members of the SSC, ensuring timely adequate access to the Bank. (d) Sharia Supervision Department (SSD) is directly reporting to SSC and carries out the Sharia Governance structure at the Organisation level. (e) Sharia Risk Management Committee (SRMC) functions to ensure the Sharia Governance at the management level.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: • clear terms of reference regarding its mandate and responsibility; • well-defined operating procedures and lines of reporting; and • good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal SSD comprising of officers with appropriate qualifications and experience. The SSD is: • the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/consultancy role delegated by the SSC; • handle the processing and secretarial matters relating to issues to be raised to the SSC; and • provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and officers of the SSD have met the "Fit and Proper" criteria which covers: • good character - that is, honesty, integrity, fairness and reputation; and • competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	Though the Bank does not invest in training for members of the SSC, the Bank invests on continuous professional development of the staff at SSD.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	A formal assessment is carried out by the SSC.

Guiding Principle		Status
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the General Manager, Strategic Relations of Bank Islam Malaysia which has a shareholding of 7.22% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later re-joined Bank Islam as its Head of Sharia in 2011. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank other than compensation for service on the SSC. (e) None of the members of the SSC, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank made, or from which the Bank received, significant payments in the current or immediate past financial year.
Principle 3.2:	In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise of the Bank. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.

Guiding Principle		Status
Part IV:	Confidentiality	
Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members.
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	The SSC takes due care in the dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

Hand in hand, we are
engaged in a collective
vision, empowering a team of
professionals who are inspired
and passionate to serve



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Independent Auditors' Report



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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMĀNA BANK PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

We have audited the financial statements of Amāna Bank PLC ("The Bank"), which comprise the statement of financial position as at 31 December 2019, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Bank give a true and fair view of the financial position of the Bank as at 31 December 2019, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are

independent of the Bank in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed

to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key Audit Matters Specific to the Bank

Key Audit Matter	How Our Audit Addressed the Key Audit Matter
Impairment allowances for Financing and Receivables to Other Customers: We considered the Impairment allowance for financing and receivables to customers as a key audit matter. Significant judgments and assumptions were used by the management to determine the impairment allowance and complex manual calculations were involved in its estimation. The higher level of estimation uncertainty involved, materiality of the amounts reported in the Bank's financial statements, and impact of transition to Sri Lanka Financial Reporting Standard 9: Financial Instruments (SLFRS 9) underpinned our basis for considering it as a Key Audit Matter. As at 31 December 2019, financing and receivables to customers, net of impairment amounted to LKR. 57.7 Bn. These collectively contributed 67% to the Bank's total assets. The Note 23.4 of the financial statements describes the basis of impairment allowance for financing and receivables to customers and significant judgements and assumptions used by the management in its calculation.	We designed our audit procedures to obtain sufficient appropriate audit evidence on the reasonableness of the impairment allowance; that included the following procedures • Focusing on the oversight, review and approval of impairment policies by the board audit committee and management, we evaluated the design, implementation and operating effectiveness of controls over measurement of financing and receivables to customers and Impairment allowance for financing and receivables to customers thereof, in the light of the requirements in SLFRS 9. • We test – checked the underlying calculations and data used in such calculations of impairment allowance. • For impairment allowance for financing and receivables to customers individually assessed for impairment: • where impairment indicators existed, we evaluated the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held. We also compared the actual recoveries against previously estimated amounts of future recoveries. • where impairment allowance for financing and receivables to customers which were granted to customers with high risk of credit loss, we assessed the main criteria used by the management for determining whether an impairment event had occurred and reasonableness of management estimation of such additional impairment. • For impairment allowance for financing and receivables to customers collectively assessed for impairment: • we assessed the completeness and relevance of the underlying information in financing and receivables to customers used in the impairment calculations by agreeing details to the Bank's source documents and information in IT systems. • we also considered reasonableness of macro-economic and other factors used by management in their judgemental overlays for various types of loan portfolios, by comparing them with publicly available data and information sources. • We assessed the adequacy of the related financial statement disclosures as set out in note 23.4 of the financial statements.



Other Information Included in the 2019 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Bank.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examinations, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



15 February 2020
Colombo

Statement of Profit or Loss

Year ended 31 December 2019	Note	2019 Rs.	2018 Rs.
Financing Income	4	7,709,286,294	6,883,221,870
Financing Expenses	5	(4,544,370,605)	(3,522,889,356)
Net Financing Income		3,164,915,689	3,360,332,514
Net Fees and Commission Income	6	329,040,746	297,048,806
Net Trading Income	7	738,397,355	461,155,830
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	8	4,862,561	(22,436,152)
Net Gains / (Losses) from Derecognition of Financial Assets	9	11,150,575	1,892,185
Net Other Operating Income	10	8,251,376	6,662,241
Total Operating Income		4,256,618,302	4,104,655,424
Impairment on Financial Assets	11	(288,928,583)	(476,765,687)
Net Operating Income		3,967,689,719	3,627,889,737
Personnel Expenses	12	1,381,445,709	1,246,223,287
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	256,195,369	126,685,717
Amortisation of Intangible Assets	27	51,025,609	47,939,212
Other Operating Expenses	13	902,349,033	884,804,269
Total Operating Expenses		2,591,015,720	2,305,652,485
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy		1,376,673,999	1,322,237,252
Value Added Tax on Financial Services & Nation Building Tax & Debt Repayment Levy		(531,825,986)	(420,038,265)
Profit Before Tax		844,848,013	902,198,987
Tax Expenses	14	(383,916,616)	(345,753,279)
Profit for the Year		460,931,397	556,445,708
Earnings Per Share - Basic / Diluted	15	0.18	0.22

The Accounting Policies and Notes on pages 181 through 239 form an integral part of the Financial Statements.

Statement of Comprehensive Income

Year ended 31 December 2019	Note	2019 Rs.	2018 Rs.
Profit for the Year		460,931,397	556,445,708
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Loss on Financial Assets - Fair Value through Other Comprehensive Income		(40,513,770)	(32,411,016)
Re-measurement Gain/(Loss) on Defined Benefit Plans	34	11,527,393	15,316,850
Deferred Tax Effect on Defined Benefit Plans	33	(3,227,670)	(4,288,718)
Other Comprehensive Income for the Year Net of Tax		(32,214,047)	(21,382,884)
Total Comprehensive Income for the Year		428,717,350	535,062,824

The Accounting Policies and Notes on pages 181 through 239 form an integral part of the Financial Statements.

Statement of Financial Position

As at 31 December 2019	Note	2019 Rs.	2018 Rs.
Assets			
Cash and Cash Equivalents	17	10,067,003,265	5,338,090,636
Balance with Central Bank of Sri Lanka	18	3,448,797,331	3,543,444,781
Placements with Banks	19	10,625,183,324	9,264,699,249
Placements with Licensed Finance Companies	20	12,053,159	2,427,970,097
Derivative Financial Assets	21	226,091,973	445,732,740
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	22	72,789,000	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	57,716,960,999	52,853,663,356
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	146,141,654	186,655,424
Other Assets - Financial	25	888,380,624	585,704,833
Property, Plant, Equipment And Right-Of-Use Assets	26	2,505,901,129	1,890,194,155
Intangible Assets	27	237,074,723	238,311,385
Other Assets - Non Financial	28	633,193,251	382,051,706
Total Assets		86,579,570,432	77,269,767,470
Liabilities			
Due to Banks	29	1,103,040,822	1,210,204,847
Derivative Financial Liabilities	30	56,478,657	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	31	71,614,753,475	61,722,682,595
Other Liabilities - Financial	32	1,110,537,746	480,628,880
Current Tax Liabilities		402,511,650	330,606,614
Dividend Payable		6,891,441	3,562,069
Deferred Tax Liability	33	194,314,961	221,536,934
Retirement Benefit Liability	34	144,987,628	127,517,727
Other Liabilities - Non Financial	35	92,486,021	97,921,867
Total Liabilities		74,726,002,401	65,635,667,154
Shareholders' Funds			
Stated Capital	36	10,619,450,156	10,619,450,156
Statutory Reserve Fund	37	93,273,452	70,226,882
Other Reserves	38	(100,969,806)	(60,456,036)
Revaluation Reserve	39	818,543,863	819,630,323
Retained Earnings	40	423,270,366	185,248,990
Total Equity		11,853,568,031	11,634,100,315
Total Liabilities and Shareholders' Funds		86,579,570,432	77,269,767,470
Commitments and Contingencies	45	54,012,976,973	46,485,430,714

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Ali Wahid
Chief Financial Officer



Mohamed Azmeer
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Osman Kassim
Chairman



Jazri Magdon Ismail
Director



Mrs. Dayani De Silva
Company Secretary

The Accounting Policies and Notes on pages 181 through 239 form an integral part of the Financial Statements.

15 February 2020
Colombo

Statement of Changes in Equity

Year ended 31 December 2019		Stated Capital	Statutory Reserve Fund	Fair Value Reserve	Revaluation Reserve	Retained Earnings	Total
	Note	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2018		10,619,450,156	42,404,597	(28,031,817)	820,716,783	(140,737,324)	11,313,802,395
Impact of Adopting SLFRS 9		-	-	(13,204)	-	(39,654,363)	(39,667,567)
Restated Opening Balance under SLFRS 9		10,619,450,156	42,404,597	(28,045,020)	820,716,783	(180,391,687)	11,274,134,828
Profit for the Year		-	-	-	-	556,445,708	556,445,708
Other Comprehensive Income	38	-	-	(32,411,016)	-	11,028,132	(21,382,884)
Interim Dividend 2018		-	-	-	-	(175,097,337)	(175,097,337)
Transfers to Statutory Reserve Fund	37	-	27,822,285	-	-	(27,822,285)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2018		10,619,450,156	70,226,882	(60,456,036)	819,630,323	185,248,990	11,634,100,315
Impact of Adopting SLFRS 16		-	-	-	-	(9,138,391)	(9,138,391)
Restated Opening Balance		10,619,450,156	70,226,882	(60,456,036)	819,630,323	176,110,599	11,624,961,924
Profit for the Year		-	-	-	-	460,931,397	460,931,397
Other Comprehensive Income	38	-	-	(40,513,770)	-	8,299,723	(32,214,047)
Interim Dividend 2019		-	-	-	-	(200,111,243)	(200,111,243)
Transfers to Statutory Reserve Fund	37	-	23,046,570	-	-	(23,046,570)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2019		10,619,450,156	93,273,452	(100,969,806)	818,543,863	423,270,366	11,853,568,031

The Accounting Policies and Notes on pages 181 through 239 form an integral part of the Financial Statements.

Statement of Cash Flows

Year ended 31 December 2019	Note	2019 Rs.	2018 Rs.
Cash Flow from Operating Activities			
Financing Income Received		7,160,433,762	6,416,841,127
Fees and Commission Received		329,040,746	339,789,092
Financing Expenses Paid		(4,499,462,313)	(3,429,654,751)
Foreign Exchange Income Received		737,305,876	418,175,709
Gratuity Payments Made	34	(14,709,868)	(9,948,748)
Payments to Employees and Suppliers		(2,732,597,013)	(2,470,080,200)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		980,011,190	1,265,122,230
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(4,813,177,353)	(10,037,289,447)
Other Financial Assets		(204,658,087)	(496,773,924)
Other Non Financial Assets		(251,141,545)	(171,564,085)
Balance with Central Bank of Sri Lanka		94,647,450	584,366,791
Increase / (Decrease) in Operating Liabilities			
Due to Other Customers		9,804,054,143	10,709,291,756
Due to Banks		(107,800,000)	1,207,800,000
Other Liabilities		(1,316,928,160)	1,236,090,598
Net Cash Flow from Operating Activities before Income Tax		4,185,007,638	4,297,043,919
Income Tax Paid		(345,688,902)	(63,107,752)
Net Cash Flow from Operating Activities		3,839,318,736	4,233,936,167
Cash Flows From / (Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(156,047,880)	(247,972,369)
Proceeds from Sale of Property, Plant and Equipment		964,652	8,500
Acquisition of Intangible Assets		(49,788,947)	(47,748,557)
Investments in Placements with Licensed Finance Companies		2,403,218,172	(314,535,285)
Investments in Placements with Banks		(1,177,298,188)	(3,991,415,246)
Dividend Received from Financial Assets		7,431,422	6,654,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value		57,564,723	12,290,376
Net Cash Flows Used in Investing Activities		1,086,043,954	(4,582,717,731)
Cash Flows From / (Used In) Financing Activities			
Dividend Paid		(196,781,871)	(171,535,268)
Net Cash Flows From Financing Activities		(196,781,871)	(171,535,268)
Net Increase / (Decrease) in Cash and Cash Equivalents		4,728,580,819	(520,316,832)
Cash and Cash Equivalents at the Beginning of the Year		5,339,450,118	5,859,766,950
Cash and Cash Equivalents at the End of the Year	17	10,068,030,937	5,339,450,118
A. Reconciliation of Operating Profit			
Profit before Taxation		844,848,013	902,198,987
Depreciation of Property, Plant and Equipment	26	256,195,369	126,685,717
Amortisation of Intangible Assets	27	51,025,609	47,939,212
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	(819,954)	(7,391)
Impairment for Financing and Receivables to Other Customers and Financial Assets	11	288,928,583	476,765,687
Provision for Gratuity	34	43,707,162	33,542,300
(Increase) / Decrease in Placement Income Receivable		(170,487,106)	9,598,766
Increase / (Decrease) in Profit Payable		88,652,712	93,234,605
Other Non Cash Items		(399,897,909)	(408,232,055)
Dividend Income (Net)		(7,431,422)	(6,654,850)
Gratuity Payments	34	(14,709,868)	(9,948,748)
		980,011,190	1,265,122,230

The Accounting Policies and Notes on pages 181 through 239 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 ('Banking Act') and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange.

The Bank's network comprised of 31 (2018 - 29) branches whilst its staff strength was 901 (2018 - 911).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2019 were authorised for issue in accordance with a resolution of the Board of Directors on 15 February 2020.

2.1 BASIS OF PREPARATION

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss,

Financial Assets recognised through Other Comprehensive Income, Freehold Land and Building and Retirement Benefit Liability, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Changes in Accounting Policies and Disclosures

The Bank has adopted SLFRS16 - Leases, effective for annual periods beginning on or after 1 January 2019, for the first time. The nature and effect of the changes as a result of adoption of this new accounting standard are described below.

SLFRS 16 -Leases

SLFRS 16 supersedes LKAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the Statement of Financial Position.

Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17. Lessors will continue to classify leases as either operating or finance leases using similar principles as in LKAS 17. Therefore, SLFRS 16 did not have an impact for leases where the Bank is the lessor.

The Bank adopted SLFRS 16 using the modified retrospective method of adoption with the date of initial application of 1 January 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard recognised at the date of initial application. The Bank elected to use the transition practical expedient to not reassess whether a contract is or contains a lease as at 1 January 2019. Instead, the Bank

applied the standard only to contracts that were previously identified as leases applying LKAS 17 and IFRIC 4 at the date of initial application.

The Bank has lease contracts for various branches. Before the adoption of SLFRS 16, the Bank classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease.

Upon adoption of SLFRS 16, the Bank applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The standard provides specific transition requirements and practical expedients, which have been applied by the Bank.

Leases Previously Accounted for as Operating Leases

The Bank recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. In some leases, the right-of-use assets were recognised based on the amount equal to the lease liabilities, adjusted for any related prepaid and accrued lease payments, discounted using the incremental borrowing rate at the date of initial application.

The Bank also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application

- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease

Based on the above, as at 1 January 2019:

- Right-of-use assets of Rs.715.85 million were recognised and presented in the Statement of Financial Position within "Right-of-use assets".
- Additional lease liabilities of Rs.641.72 million (included in "Other liabilities") were recognised.
- The adoption of SLFRS 16 had an impact of Rs. 9.14 million on the Bank's retained earnings and no material impact on its Capital Adequacy ratio.

The lease liabilities as at 1 January 2019 can be reconciled to the operating lease commitments as of 31 December 2018, as follows:

Operating lease commitments as at 31 December 2018	750,786,799
Weighted average incremental borrowing rate as at 1 January 2019	9%
Discounted operating lease commitments as at 1 January 2019	641,715,164
Less:	
Commitments relating to short-term leases	-
Commitments relating to leases of low-value assets	-
Add:	
Lease payments relating to renewal periods not included in operating lease commitments as at 31 December 2018	-
Lease liabilities as at 1 January 2019 recognised under SLFRS 16	641,715,164

2.1.3 IFRIC Interpretation 23 "Uncertainty over Income Tax Treatment"

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Bank determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Bank applies significant judgement in identifying uncertainties over income tax treatments. Since the Bank operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Bank considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The Bank determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Bank.

Except for the changes mentioned above, the Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.1.4 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.5 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 43.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.6 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation,

uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 42.

c. Impairment losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results

may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL - applicable from 1 January 2018 onwards), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Note 11 and Note 23.4

The Bank's recognition of default correspond with Banking Act Direction No 3 of 2008 issued by Central Bank of Sri Lanka, governing Classification of Loans and Advances, Income recognition and Provisioning.

Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

d. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that

taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 33.

f. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

g. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and relevant details are disclosed in Note. 45.2

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange, at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward exchange transactions as at the reporting date.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments (Policies Applicable after 1 January 2018)

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and

Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows. The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (v) Impairment of Financial Assets.

(iii) Financial Assets Measured at Fair Value Through other Comprehensive Income Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised

by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit and Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

Financial Investments - For Trading; and Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 30 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value through Profit or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or host contract contains one or more embedded derivatives; or Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- Financing and Receivables commitments; and
- Financial Guarantee Contracts

ECL is not recognised on equity instruments.

Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-Months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised.

Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due)

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective

Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to

maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.
- Financial Assets that are credit-impaired at the reporting date is calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.
- Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit and Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD : The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued financing income from missed payments.

LGD : The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing and Receivables are recognised when cash is advanced (or settled) to the borrowers.

Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in

a transaction in which substantially all the risks and rewards of ownership are transferred. Any income in transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Statement of Financial Position when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Statement of Financial Position when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair Value Measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset

or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day 1).

(ii) Impairment Charges on Financing and Receivables

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows, the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios etc.), and concentrations of risk and economic data (including levels of unemployment, Inflation, GDP Growth Rate, country risk and the performance of different individual groups). The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

2.3.4 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.5 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.6 Property, Plant and Equipment

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on

buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2019	2018
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

2.3.7 Intangible Assets

The Bank's Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2019	2018
Computer Software	10 years	10 years

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.8 Leasing (Where the Bank functions as the Lessor)

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

2.3.9 Retirement Benefit Liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2019 by a qualified actuary using projected unit credit method.

The principle assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the date of Statement of Financial Position that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the

Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.10 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.11 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the Statement of Financial Position date.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and

computed in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected

to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax on Financial Services

The Bank's total value addition is subjected to a 15% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

(d) Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act, No. 9 of 2009 and subsequent amendments thereto with effect from 1 January 2014. NBT on Financial Services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services. However, with effect from 1 December 2019 NBT was abolished.

2.3.12 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter

period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a

present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.13 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss in Impairment for Financing and Receivables to Other Customers. The premium received is recognised in the Statement of Profit or Loss in 'Net Fees and Commission Income' on a straight line basis over the life of the guarantee.

2.3.14 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- Consumer Banking: Individual and SME customers' deposits and consumer financing including overdrafts, asset financing, lease financing, gold facilities, home and property financing.
- Business Banking: Deposits of corporate customers, trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities.
- Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.15 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.16 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - "Statement of Cash Flows" whereby gross cash receipts and gross cash payments of operating

activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand and balances with banks.

2.3.17 New Accounting Standards

The following new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka (CASL) are not effective as at 31st December 2019.

2.3.17.1 Standards Issued but not yet Effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of financial statements are disclosed below. The Banks intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

(a) SLFRS 17 Insurance Contracts

SLFRS 17 Insurance Contracts, is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosures. Once effective, SLFRS 17 replaces existing SLFRS 4 Insurance contracts. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers.

SLFRS 17 is effective for reporting periods beginning on or after 1st January 2021. Early application permitted, if the entity is applying SLFRS 16 and SLFRS 15 on or before the date in which it first applies SLFRS 17.

(b) Amendments to LKAS 1 and LKAS 8: Definition of Material

Amendments to LKAS 1 Presentation of Financial Statements and LKAS 8 Accounting policies, Changes in accounting Estimates and Errors are made to align the definition of "material" across the standard and to clarify certain aspects of the definition. The new definition states that, "information is material if omitting or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The amendments are applied prospectively for the annual periods beginning on or after 1st January 2020 with early application permitted.

(c) Amendments to SLFRS 3: Definition of a Business

Amendments to the definition of a business in SLFRS 3 Business Combinations are made to help the entities determine whether an acquired set of activities and assets is a business or not. They clarify the minimum requirements for a business, remove the assessment of whether market participants are capable of replacing any missing elements, add guidance to help entities assess whether an acquired process is substantive, narrow the definition of a business and of outputs, and introduce an optional fair value concentration test.

The amendments are applied prospectively to all business combinations and asset acquisitions for which the acquisition date is on or after the first annual reporting period beginning on or after 1st January 2020, with early application permitted.

(d) Amendments to references to the conceptual framework in SLFRS standards

Revisions to the Conceptual Framework were made because some important issues were not covered and some guidance was unclear or out of date. The revised Conceptual Framework includes:

- ✿ a new chapter on measurement;
- ✿ guidance on reporting financial performance;
- ✿ improved definitions of an asset and a liability, and guidance supporting these definitions; and
- ✿ clarifications in important areas, such as the roles of stewardship, prudence and measurement uncertainty in financial reporting

The amendments are effective for annual periods beginning on or after 1 January 2020, with early application is permitted.

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2019 Rs.	Business Banking 2019 Rs.	Total Banking 2019 Rs.	Treasury 2019 Rs.	Unallocated / Elimination 2019 Rs.	Total 2019 Rs.
Income						
Financing Income	2,245,667,216	4,844,791,937	7,090,459,153	579,510,588	39,316,553	7,709,286,294
Net Fees and Commission Income	169,496,563	150,607,401	320,103,964	6,688,517	2,248,266	329,040,746
Net Trading Gain	-	-	-	738,397,355	-	738,397,355
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	16,415,553	-	16,415,553
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(402,417)	-	(402,417)
Other Operating Income	-	-	-	7,431,422	819,954	8,251,376
Total Income	2,415,163,779	4,995,399,337	7,410,563,117	1,348,041,019	42,384,773	8,800,988,907
Less						
Financing Expenses			(4,512,866,551)	(31,504,054)	-	(4,544,370,605)
Impairment On Financial Assets			(288,928,583)	-	-	(288,928,583)
Operating Expenses			(1,814,612,680)	(746,541,368)	(29,861,671)	(2,591,015,720)
Operating Profit Before VAT on Financial Services, NBT & DRL			794,155,302	569,995,596	12,523,101	1,376,673,999
Value Added Tax on Financial Services, NBT & DRL						(531,825,986)
Profit Before Tax						844,848,013
Tax Expenses						(383,916,616)
Profit/(Loss) After Tax						460,931,397
Total Assets	16,601,515,416	41,115,445,583	57,716,960,999	21,149,262,375	7,713,347,058	86,579,570,432
Total Liabilities	63,056,531,180	8,558,222,295	71,614,753,475	1,103,040,822	2,008,208,104	74,726,002,401

3. SEGMENT INFORMATION CONTD.

	Consumer Banking 2018 Rs.	Business Banking 2018 Rs.	Total Banking 2018 Rs.	Treasury 2018 Rs.	Unallocated / Elimination 2018 Rs.	Total 2018 Rs.
Income						
Financing Income	1,804,400,654	4,329,232,771	6,133,633,425	706,623,642	42,964,803	6,883,221,870
Net Fee and Commission Income	136,774,298	131,216,200	267,990,498	27,599,951	1,458,357	297,048,806
Net Trading Gain	-	-	-	461,155,830	-	461,155,830
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	(22,436,152)	-	(22,436,152)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	1,892,185	-	1,892,185
Other Operating Income	-	-	-	6,654,850	7,391	6,662,241
Total Income	1,941,174,952	4,460,448,972	6,401,623,924	1,181,490,305	44,430,552	7,627,544,780
Less						
Financing Expenses			(3,501,947,180)	(20,942,176)	-	(3,522,889,356)
Impairment On Financial Assets			(476,765,687)	-	-	(476,765,687)
Operating Expenses			(1,511,903,077)	(787,912,402)	(5,837,006)	(2,305,652,485)
Operating Profit Before VAT on Financial Services, NBT & DRL			911,007,980	372,635,728	38,593,546	1,322,237,252
Value Added Tax on Financial Services, NBT & DRL						(420,038,265)
Profit Before Tax						902,198,987
Tax Expenses						(345,753,279)
Profit/(Loss) After Tax						556,445,708
Total Assets	14,594,253,966	38,259,409,391	52,853,663,356	16,946,546,239	7,469,557,874	77,269,767,470
Total Liabilities	58,002,974,955	3,719,707,640	61,722,682,595	1,212,749,796	2,700,234,764	65,635,667,154

4. FINANCING INCOME

	2019 Rs.	2018 Rs.
Financing Income	7,129,775,706	6,176,598,228
Placement Income	579,510,588	706,623,642
Total	7,709,286,294	6,883,221,870

Accrued Income from Impaired Financial Assets amounting to Rs. 83,288,497 (2018 - Rs. 60,260,082) has been deducted from financing income.

5. FINANCING EXPENSES

	2019 Rs.	2018 Rs.
Expenses on Due to Other Customers	4,469,122,131	3,501,947,180
Expenses on Due to Banks	31,504,054	20,942,176
Finance Expense on Lease Liability	43,744,420	-
Total	4,544,370,605	3,522,889,356

6. NET FEES AND COMMISSION INCOME

	2019 Rs.	2018 Rs.
Trade Related Services	126,337,113	117,149,710
Other Banking & Financial Services	202,703,633	179,899,096
Total	329,040,746	297,048,806

7. NET TRADING INCOME

	2019 Rs.	2018 Rs.
Foreign Exchange Income		
- From Banks	706,676,442	429,434,917
- From Customers	31,720,913	31,720,913
Total	738,397,355	461,155,830

Foreign Exchange Income includes gains and losses from spot and promissory forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2019 Rs.	2018 Rs.
Equity Securities	4,862,561	(22,436,152)
Total	4,862,561	(22,436,152)

The above consists of unrealised gains and losses from changes in the fair value of equity securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

	2019 Rs.	2018 Rs.
Equity Securities	11,150,575	1,892,185
Total	11,150,575	1,892,185

The above consists of derecognition of equity securities classified at fair value through Profit or Loss.

10. NET OTHER OPERATING INCOME

	2019 Rs.	2018 Rs.
Income from Dividends	7,431,422	6,654,850
Gain/(Loss) on Disposal of Property, Plant and Equipment	819,954	7,391
Total	8,251,376	6,662,241

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the Year 2019

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	(331,810)	-	-	(331,810)
Placements with Banks (Note 19.1)	265,796	-	-	265,796
Placements with Licensed Finance Companies (Note 20.1)	(165,369)	-	-	(165,369)
Commitments and Contingencies (Note 45.2.1)	1,476,203	178,400	71,384	1,725,987
Financing and Receivables to Other Customers (Note 23.4)	4,959,141	141,964,691	140,510,146	287,433,978
	6,203,961	142,143,091	140,581,530	288,928,583

The table below shows the ECL charges on Financial Instruments for the Year 2018

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	933,725	-	-	933,725
Placements with Banks (Note 19.1)	787,604	-	-	787,604
Placements with Licensed Finance Companies (Note 20.1)	96,535	-	-	96,535
Commitments and Contingencies (Note 45.2.1)	1,790,702	105,331	411	1,896,444
Financing and Receivables to Other Customers (Note 23.4)	66,734,629	190,695,567	215,621,183	473,051,379
	70,343,195	190,800,898	215,621,594	476,765,687

12. PERSONNEL EXPENSES

	2019 Rs.	2018 Rs.
Salaries and Bonus	949,103,675	877,092,455
Defined Contribution Plan - EPF/ETF	121,427,353	111,618,072
Defined Benefit Plan - Gratuity (Note 34)	43,707,162	33,542,300
Other Staff Related Expenses	267,207,519	223,970,460
Total	1,381,445,709	1,246,223,287

13. OTHER OPERATING EXPENSES

	2019 Rs.	2018 Rs.
Directors' Emoluments	11,985,423	12,597,920
Auditors' Remuneration		
- Audit Fee and Expenses	4,076,568	4,206,524
- Non Audit Service	2,428,412	1,922,947
Professional and Legal Fees	34,881,639	32,554,841
Office Administration and Establishment Expenses	513,151,311	537,515,961
Advertising and Promotion	83,756,259	75,380,557
Deposit Insurance Premium	67,287,528	57,066,936
System Support Fee	91,859,853	80,462,839
Others	92,922,040	83,095,743
Total	902,349,033	884,804,268

14. INCOME TAX EXPENSES

	2019 Rs.	2018 Rs.
Current Tax:		
Current Tax Expense	393,788,942	330,606,612
(Over)/Under Provisions in respect of Previous Year	20,577,325	(1,285,909)
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 33)	(30,449,657)	16,432,575
Income Tax expense reported in the Statement of Profit or Loss	383,916,611	345,753,278

14.1 Reconciliation of Accounting Profit to Income Tax Expense

	2019 Rs.	2018 Rs.
Accounting Profit before Income Tax	844,848,013	902,198,987
Statutory Tax Rate	28%	28%
At the Statutory Income Tax Rate	236,557,444	252,615,716
Income Exempt from Tax	(2,310,385)	(4,775,862)
Non Deductible Expenses	625,418,140	1,122,052,708
Deductible Expenses	(465,876,256)	(1,039,285,950)
Adjustment for Tax Losses Arisen / (Utilised)	-	-
Income Tax Expense / (Reversals)	393,788,942	330,606,613

The effective income tax rate for 2019 is 45.44% (2018 - 38.32%).

15. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and share data used in the Earnings Per Share computations.

	2019 Rs.	2018 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	460,931,397	556,445,708
Number of Ordinary Shares used as Denominator:		
Weighted Average number of Ordinary Shares in Issue (Note 15.1)	2,501,390,534	2,501,390,534
Earnings Per Share - Basic	0.18	0.22

15.1 Weighted Average Number of Ordinary Shares for Basic and Diluted Earnings per Share

	2019	Outstanding No. of Shares 2018	2019	Weighted average No. of Shares 2018
Number of shares in issue as at January 01	2,501,390,534	2,501,390,534	2,501,390,534	2,501,390,534
Add				
Rights Share Issue	-	-	-	-
Weighted average number of ordinary shares for diluted earnings per ordinary share calculation	2,501,390,534	2,501,390,534	2,501,390,534	2,501,390,534

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

16.1 Analysis of Financial Instruments by Measurement - as at 31.12.2019

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total As at 31.12.2019 Rs.
Financial Assets				
Cash and Cash Equivalents	-	10,067,003,265	-	10,067,003,265
Balance with Central Bank of Sri Lanka	-	3,448,797,331	-	3,448,797,331
Placements with Banks	-	10,625,183,324	-	10,625,183,324
Placements with Licensed Finance Companies	-	12,053,159	-	12,053,159
Derivative Financial Assets	226,091,973	-	-	226,091,973
Financial Assets recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	57,716,960,999	-	57,716,960,999
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	146,141,654	146,141,654
Other Assets - Financial	-	888,380,624	-	888,380,624
Total Financial Assets	298,880,973	82,758,378,702	146,141,654	83,203,401,329
Financial Liabilities				
Due to Banks	-	1,103,040,822	-	1,103,040,822
Derivative Financial Liabilities	56,478,657	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	-	71,614,753,475	-	71,614,753,475
Other Liabilities - Financial	-	1,110,537,746	-	1,110,537,746
Total Financial Liabilities	56,478,657	73,828,332,043	-	73,884,810,700

16.2 Analysis of Financial Instruments by Measurement - as at 31.12.2018

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total As at 31.12.2018 Rs.
Financial Assets				
Cash and Cash Equivalents	-	5,338,090,636	-	5,338,090,636
Balance with Central Bank of Sri Lanka	-	3,543,444,781	-	3,543,444,781
Placements with Banks	-	9,264,699,249	-	9,264,699,249
Placements with Licensed Finance Companies	-	2,427,970,097	-	2,427,970,097
Derivative Financial Assets	445,732,740	-	-	445,732,740
Financial Assets recognised through Profit or Loss - Measured at Fair Value	113,249,108	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	52,853,663,356	-	52,853,663,356
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	186,655,424	186,655,424
Other Assets - Financial	-	585,704,833	-	585,704,833
Total Financial Assets	558,981,848	74,013,572,952	186,655,424	74,759,210,224
Financial Liabilities				
Due to Banks	-	1,210,204,847	-	1,210,204,847
Derivative Financial Liabilities	1,441,005,622	-	-	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	-	61,722,682,595	-	61,722,682,595
Other Liabilities - Financial	-	480,628,881	-	480,628,881
Total Financial Liabilities	1,441,005,622	63,413,516,323	-	64,854,521,945

17. CASH AND CASH EQUIVALENTS

	Note	2019 Rs.	2018 Rs.
Cash in Hand		2,378,960,082	2,008,360,284
Balances with Banks		7,689,070,855	3,331,089,834
Cash and Cash Equivalents before Allowance for Impairment Losses		10,068,030,937	5,339,450,117
Less: Allowance for Impairment Losses			
- Stage 1	17.1	(1,027,672)	(1,359,482)
Total		10,067,003,265	5,338,090,636

17.1 Impairment Allowance for Balances with Banks

	2019 Rs.	2018 Rs.
ECL allowance as at 1 January	1,359,482	425,757
Charge/(Write Back) for the year	(331,810)	933,725
Amounts written off	-	-
As at 31 December	1,027,672	1,359,482

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2019 Rs.	2018 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	3,448,797,331	3,543,444,781
	3,448,797,331	3,543,444,781

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2019, the minimum cash reserve requirement was 5.0% (2018 - 6.0%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

19. PLACEMENTS WITH BANKS

	Note	2019 Rs.	2018 Rs.
Saving Deposits		152,995	148,810
Term Deposits		10,626,774,801	9,266,029,115
Less: Allowance for Impairment Losses			
- Stage 1	19.1	(1,744,472)	(1,478,676)
Total		10,625,183,324	9,264,699,249

19.1 Impairment Allowance for Placements with Banks

	2019 Rs.	2018 Rs.
ECL allowance as at 1 January	1,478,676	691,072
Charge/(Write Back) for the year	265,796	787,604
Amounts written off	-	-
As at 31 December	1,744,472	1,478,676

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

	Note	2019 Rs.	2018 Rs.
Saving Deposits		12,054,267	437,615
Term Deposits		-	2,427,698,959
Less: Allowance for Impairment Losses			
- Stage 1	20.1	(1,108)	(166,477)
Total		12,053,159	2,427,970,097

20.1 Impairment Allowance for Licensed Finance Companies

	2019 Rs.	2018 Rs.
ECL allowance as at 1 January	166,477	69,942
Charge/(Write Back) for the year	(165,369)	96,535
Amounts written off	-	-
As at 31 December	1,108	166,477

21. DERIVATIVE FINANCIAL ASSETS

	2019 Rs.	2018 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	226,091,973	445,732,740
Total	226,091,973	445,732,740

22. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

SLFRS 9 requires Financial Assets to be classified based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics. Majority of the equity securities previously held under Available for Sale category have been reclassified as Financial Assets Fair Value through Profit or Loss (FVPL) upon adoption of SLFRS 9.

	2019 Rs.	2018 Rs.
Investment in Equity Securities - Quoted (22.1)	72,789,000	113,249,108
	72,789,000	113,249,108

22.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2019	2018	2019 Rs.	2018 Rs.
Access Engineering PLC	400,000	732,000	8,720,000	10,321,200
Amāna Takaful PLC	150,453	150,453	797,401	1,023,080
Bairaha Farms PLC	-	37,343	-	4,656,672
C.W. Mackie PLC	852,949	919,990	38,382,705	40,479,560
Chevron Lubricants Lanka PLC	-	115,100	-	8,379,280
Dialog Axiata PLC	1,616,745	-	19,885,964	-
Expolanka Holdings PLC	-	4,540,098	-	18,160,392
Nestle Lanka PLC	3,849	3,849	5,002,930	6,543,300
Renuka Agri Foods PLC	-	554,600	-	1,164,660
Teejay Lanka PLC	-	516,000	-	16,770,000
Vallibel Power Erathna PLC	-	898,588	-	5,750,963
Total Carrying Value			72,789,000	113,249,107

23. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

Summary	2019 Rs.	2018 Rs.
Gross Financing and Receivables to Other Customers		
Stage 1	48,685,702,850	44,353,581,150
Stage 2	8,059,899,089	7,844,184,428
Stage 3	2,267,683,578	1,708,501,097
	59,013,285,517	53,906,266,675
Less: Accumulated Impairment		
Stage 1	(259,251,777)	(254,292,636)
Stage 2	(441,748,265)	(299,783,574)
Stage 3	(595,324,476)	(498,527,109)
Total	57,716,960,999	52,853,663,356

23. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS CONTD.**23.1 By Product**

	2019 Rs.	2018 Rs.
Overdraft	5,490,122,787	4,854,634,325
Trade Finance	1,657,610,885	2,843,435,798
Lease Receivables	6,517,988,514	6,430,001,609
Staff Facilities	627,745,816	571,828,825
Term Financing:		
- Short Term	14,077,073,972	14,374,101,901
- Long Term	25,652,224,799	21,647,893,766
Gold Facilities	4,023,755,811	2,402,267,026
Others	966,762,930	782,103,425
	59,013,285,514	53,906,266,675
Less: Accumulated Impairment		
Stage 1	(259,251,777)	(254,292,636)
Stage 2	(441,748,265)	(299,783,574)
Stage 3	(595,324,476)	(498,527,109)
Total	57,716,960,995	52,853,663,356

23.2 By Currency

	2019 Rs.	2018 Rs.
Sri Lanka Rupees	53,393,041,436	48,978,136,508
United States Dollars	5,620,244,077	4,928,130,167
	59,013,285,514	53,906,266,675
Less: Accumulated Impairment		
Stage 1	(259,251,777)	(254,292,636)
Stage 2	(441,748,265)	(299,783,574)
Stage 3	(595,324,476)	(498,527,109)
Total	57,716,960,996	52,853,663,356

23.3 By Industry

	2019 Rs.	2018 Rs.
Agriculture and Fishing	9,399,617,922	8,667,254,030
Manufacturing	11,838,807,661	6,917,364,736
Tourism	747,721,539	674,881,931
Transportation & Storage	608,970,386	2,017,543,808
Construction	7,630,043,590	8,169,038,748
Wholesale & Retail Trade	14,986,296,999	15,521,433,465
Information Technology And Communication Services	218,983,449	207,724,073
Financial and Business Services	701,860,263	690,778,673
Infrastructure	543,615,375	603,693,240
Services	794,005,170	689,935,720
Consumers	11,543,363,159	9,746,618,251
	59,013,285,514	53,906,266,675
Less: Accumulated Impairment		
Stage 1	(259,251,777)	(254,292,636)
Stage 2	(441,748,265)	(299,783,574)
Stage 3	(595,324,476)	(498,527,109)
Total	57,716,960,996	52,853,663,356

23.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31.12.2019 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
ECL allowance as at 1 January 2019 under SLFRS 9	254,292,636	299,783,574	498,527,109	1,052,603,319
Charge/(Write Back) for the year	4,959,141	141,964,691	140,510,146	287,433,978
Amounts written off	-	-	(43,712,779)	(43,712,779)
As at 31 December 2019	259,251,777	441,748,265	595,324,476	1,296,324,518

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31.12.2018 is as follows:

	Stage 1	Stage 2	Stage 3	Total Impairment
	Rs.	Rs.	Rs.	Rs.
ECL allowance as at 1 January 2018 under SLFRS 9	187,558,007	109,088,007	282,905,926	579,551,940
Charge/(Write Back) for the year	66,734,629	190,695,567	215,621,183	473,051,379
Amounts written off	-	-	-	-
As at 31 December 2018	254,292,636	299,783,574	498,527,109	1,052,603,319

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9). Capital is the fair value of the instrument at initial recognition.

Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial Assets held under the category of Fair Value through other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss in 'Net Other Operating Income' when the right to receive the dividend is established.

	2019 Rs.	2018 Rs.
Investments in Securities		
Equities - Quoted (24.1)	143,148,654	183,662,424
Equities - Unquoted (24.2)	2,993,000	2,993,000
	146,141,654	186,655,424

24.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2019	2018	2019 Rs.	2018 Rs.
Amāna Takaful PLC	27,009,180	27,009,180	143,148,654	183,662,424
Total			143,148,654	183,662,424

24.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2019	2018	2019 Rs.	2018 Rs.
Lanka Clear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

25. OTHER ASSETS - FINANCIAL

	2019 Rs.	2018 Rs.
Prepayments and Advances	160,542,512	111,830,047
Pre-paid Staff Costs	222,681,629	180,861,207
Other Receivables	505,156,483	293,013,579
Total	888,380,624	585,704,833

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Right of-Use Assets Rs.	Total Rs.
Cost or Valuation:									
As at 31 December 2017	1,501,282,850	237,494,638	175,754,792	383,688,394	220,637,328	23,546,845	104,196,026	-	2,646,600,872
Additions	4,718,245	55,441,322	24,958,482	27,967,529	49,347,239	496,830	58,814,708	-	221,744,355
Revaluation	-	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-	-
Disposals	-	(28,923,982)	-	(432,760)	-	-	-	-	(29,356,742)
As at 31 December 2018	1,506,001,095	264,011,978	200,713,273	411,223,163	269,984,567	24,043,675	163,010,734	-	2,838,988,485
Effect of adoption of SLFRS 16 as at 1 January 2019	-	-	-	-	-	-	-	715,854,463	715,854,463
Additions	-	41,959,787	16,833,240	24,404,262	61,297,235	281,230	11,280,437	-	156,056,191
Revaluation	-	-	-	-	-	-	-	-	-
Transfer	-	(1,653,372)	1,653,372	-	-	-	-	-	-
Disposals	-	-	(171,427)	(1,251,110)	(12,732)	(8,333)	-	-	(1,443,602)
As at 31 December 2019	1,506,001,095	304,318,394	219,028,457	434,376,315	331,269,070	24,316,572	174,291,171	715,854,463	3,709,455,537
Depreciation									
As at 1 January 2018	1,203,246	165,090,829	114,588,088	300,460,831	168,966,557	9,557,661	91,598,144	-	851,465,356
Disposals	-	(28,923,982)	-	(432,760)	-	-	-	-	(29,356,742)
Transfer*	-	-	-	-	-	-	-	-	-
Depreciation charge for the year	2,754,241	23,979,421	24,783,245	35,338,386	25,475,294	1,185,561	13,169,569	-	126,685,717
As at 31 December 2018	3,957,487	160,146,268	139,371,333	335,366,457	194,441,851	10,743,222	104,767,713	-	948,794,331
Disposals	-	-	(171,427)	(1,242,800)	(12,732)	(8,333)	-	-	(1,435,292)
Depreciation charge for the year	2,823,727	31,022,234	23,413,539	29,882,996	29,865,100	1,094,819	16,469,891	121,623,063	256,195,369
Transfer	-	(78,154)	78,154	-	-	-	-	-	-
As at 31 December 2019	6,781,214	191,090,348	162,691,599	364,006,653	224,294,219	11,829,708	121,237,604	121,623,063	1,203,554,408
Net Book Value:									
As at 31 December 2019	1,499,219,881	113,228,046	56,336,858	70,369,663	106,974,851	12,486,864	53,053,567	594,231,400	2,505,901,129
As at 31 December 2018	1,502,043,608	103,865,710	61,341,940	75,856,706	75,542,716	13,300,454	58,243,021	-	1,890,194,155

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

26.1 During the year, the Bank acquired Property Plant and Equipment to the aggregate value of Rs.156,056,191/- (2018 - Rs.221,744,355/-). Cash payments amounting to Rs. 156,047,880/- (2018 - Rs.247,972,369/-) were made during the year for purchase of Property Plant and Equipment.

26.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs. 825,434,838/- (2018 - Rs. 685,919,389/-) which are still in use at the date of the Statement of Financial Position.

26.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

26.4 No assets have been pledged by the Bank.

26.5 The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 01 July 2017 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consists of a land comprising three office buildings located in 486, Galle Road, Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation methods, assumptions and measurement hierarchy

Fair value of the land and building is determined at Rs. 1,499,000,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building during the year.

Key valuation assumptions used are:

Significant unobservable valuation input:

Landing : Price per perch Rs. 20,000,000

Building : Price per square foot Rs. 3,150 - Rs. 3,850

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of fair value of revalued land and buildings:	2019 Rs.	2018 Rs.
As at 1 January	1,141,877,030	1,141,877,030
Level 3 revaluation recognised due to revaluation model	-	-
As at 31 December	1,141,877,030	1,141,877,030

If Freehold Land and Buildings were measured using the cost model, the carrying amounts would be as follows:

	Cost Rs.	2019 Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	2018 Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	67,390,603	(11,120,947)	56,269,657	67,390,603	(9,383,680)	58,006,923
Net Carrying Amount	367,690,305	(11,120,947)	356,569,358	367,690,305	(9,383,680)	358,306,625

26.6 The details of the Land and Building owned by the Bank are as follows;

	Extent		2019 Valuation		2018 Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road, Colombo 3	70.80	22,718	1,499,000,000	83,269,200	1,499,000,000	83,269,200

26.7 Cash payments amounting to Rs. 121,558,143/- was paid relating to lease liabilities recognised under SLFRS 16 - Leases.

27. INTANGIBLE ASSETS

	Computer Software Rs.	Total Rs.
Cost:		
As at 1 January 2019	503,582,044	503,582,044
Additions	49,788,947	49,788,947
Disposal	-	-
As at 31 December 2019	553,370,991	553,370,991
Amortisation		
As at 1 January 2019	265,270,659	265,270,659
Amortisation charge for the year	51,025,609	51,025,609
Disposal	-	-
As at 31 December 2019	316,296,268	316,296,268
Net Book Value:		
As At 31 December 2019	237,074,723	237,074,723
As at 31 December 2018	238,311,385	238,311,385

28. OTHER ASSETS - NON FINANCIAL

	2019 Rs.	2018 Rs.
Stationery Stock	4,742,872	3,551,303
Prepayments & Advances	301,204,201	267,036,750
Tax Receivables	327,246,178	111,463,653
Total	633,193,251	382,051,706

29. DUE TO BANKS

	2019 Rs.	2018 Rs.
Balances Due to Banks	1,103,040,822	1,210,204,847
Total	1,103,040,822	1,210,204,847

30. DERIVATIVE FINANCIAL LIABILITIES

	2019 Rs.	2018 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	56,478,657	1,441,005,622
Total	56,478,657	1,441,005,622

31. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

	2019 Rs.	2018 Rs.
31.1 Total Amount Due to Other Customers	71,614,753,475	61,722,682,595
31.2 By Product		
Demand Deposits	3,780,911,461	3,285,704,847
Savings Deposits	24,300,940,024	21,754,687,565
Time Deposits	43,532,901,990	36,489,446,409
Other Deposits	-	192,843,774
Total	71,614,753,475	61,722,682,595

31.3 By Currency

	2019 Rs.	2018 Rs.
Sri Lanka Rupees	63,733,425,854	53,662,952,267
United States Dollars	7,516,024,856	7,480,960,924
Great Britain Pounds	313,360,379	436,323,203
Others	51,942,386	142,446,201
Total	71,614,753,475	61,722,682,595

32. OTHER LIABILITIES - FINANCIAL

	2019 Rs.	2018 Rs.
Accrued Expenses	225,205,346	174,531,861
Balances Held in Margin	112,417,976	87,040,839
Cheques Pending Realisation	116,144,545	114,559,388
Impairment Provision for Expected Credit Loss - Credit related Commitment and Contingencies (Note 45)	4,275,029	2,549,043
Other Liabilities	82,406,662	96,239,126
Lease Liability	563,901,441	-
Sundry Creditors	6,186,747	5,708,624
Total	1,110,537,746	480,628,880

33. DEFERRED TAX

	Deferred Tax Liability / (Asset) Rs.	2019 Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.	Deferred Tax Liability / (Asset) Rs.	2018 Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.
Deferred Tax Liability						
Capital allowances for tax purposes	193,570,224	10,331,868	-	183,238,343	(13,427,160)	-
Capital Gain for tax purposes	314,184,209	-	-	314,184,209	-	-
Impact of Adopting SLFRS 16	5,738,557	5,738,557	-	-	-	-
Deferred Tax Assets						
Defined Benefit Plans	(40,596,536)	(8,119,242)	3,227,670	(35,704,964)	(6,606,196)	4,288,718
Provision for Impairment Losses	(278,581,493)	(38,400,840)	-	(224,754,377)	(224,754,377)	-
Impact of Adopting SLFRS 9	-	-	-	(15,426,276)	-	-
Unused tax losses	-	-	-	-	261,220,308	-
Total	194,314,961	(30,449,657)	3,227,670	221,536,934	16,432,575	4,288,718

Deferred tax assets have been recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

34. RETIREMENT BENEFIT LIABILITY - GRATUITY

	Note	2019 Rs.	2018 Rs.
At 1 January		127,517,727	119,241,024
Expenses recognised in the Statement of Profit or Loss	34.1	43,707,162	33,542,300
Actuarial Gain	34.2	(11,527,393)	(15,316,850)
Benefits paid		(14,709,868)	(9,948,748)
At 31 December		144,987,628	127,517,727

34.1 Expenses Recognised in the Statement of Profit or Loss

Current Service Cost	25,016,468	21,236,627
Finance Cost	18,690,694	12,305,673
Components Recognised in the Statement of Profit or Loss	43,707,162	33,542,300

34.2 Expenses Recognised in the Statement of Comprehensive Income

Recognition of Actuarial (Gain)/Loss	(11,527,393)	(15,316,850)
Components Recognised in Statement of Comprehensive Income	(11,527,393)	(15,316,850)
Total	32,179,769	18,225,450

34. RETIREMENT BENEFIT LIABILITY - GRATUITY CONTD

As at 31 December 2019 the gratuity liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs. Piyal S Goonetilleke & Associates a firm of professional actuaries.

	2019	2018
Discount Rate	10.25%	12.00%
Salary Increment Rate	6.00%	9.00%
Age of Retirement	55	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

34.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Statement Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (decrease) in discount rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn.)		Sensitivity Effect on Employment Benefit obligation Increase/(Decrease) in the Liability (Rs. Mn.)	
		2019	2018	2019	2018
1%	-	8.29	8.63	(8.29)	(8.63)
(1%)	-	(9.95)	(9.94)	9.95	9.94
	1%	(9.48)	(12.21)	9.48	12.21
	(1%)	8.46	10.75	(8.46)	(10.75)

34.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2019 Rs.	2018 Rs.
Less than 1 year	9,596,481	10,407,589
Between 1 and 2 years	39,108,526	34,186,151
Between 3 and 5 years	35,864,962	57,825,483
Beyond 5 years	148,972,085	124,659,590
Total expected payments	233,542,054	227,078,813

35. OTHER LIABILITIES - NON FINANCIAL

	2019 Rs.	2018 Rs.
Statutory Payable	92,486,021	97,921,867
Total	92,486,021	97,921,867

The above balances consists of statutory taxes payable.

36. STATED CAPITAL

	2019 Number	2019 Rs.	2018 Number	2018 Rs.
Fully Paid Ordinary Shares	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156
Total	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156

36.1 Fully Paid Ordinary Shares

	2019 Number	2019 Rs.	2018 Number	2018 Rs.
Balance as at 1 January	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156
Issue of Shares for cash	-	-	-	-
Balance as at 31 December	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156

37. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

37.1 Statutory Reserve Fund

	2019 Rs.	2018 Rs.
Balance as at 1 January	70,226,882	42,404,597
Transfers during the Year	23,046,570	27,822,285
Balance as at 31 December	93,273,451	70,226,882

38. OTHER RESERVES

	Fair Value Reserve Rs.	Total Rs.
As at 1 January 2018	(28,031,817)	(28,031,817)
SLFRS 9 impact	(13,204)	(13,204)
Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(32,411,016)	(32,411,016)
Transferred to Retained Earnings	-	-
As at 31 December 2018	(60,456,036)	(60,456,036)
Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(40,513,770)	(40,513,770)
Transferred to Retained Earnings	-	-
As at 31 December 2019	(100,969,806)	(100,969,806)

38.1 Revenue Reserve

Revenue Reserve included expenses incurred on issuance of Ordinary Shares. During the year, balances in the Bank's Revenue Reserve was transferred to Retained Earnings.

38.2 Fair Value Reserve

The Fair Value Reserve comprises of the cumulative changes in fair value of Financial Assets measured at Fair Value through Other Comprehensive Income.

39. REVALUATION RESERVE

	Note	2019 Rs.	2018 Rs.
As at 1 January		819,630,323	820,716,783
Revaluation of Freehold Land and Building	26.5	-	-
Deferred Tax effect on Revaluation Surplus		-	-
Transferred to Retained Earnings		(1,086,460)	(1,086,460)
As at 31 December		818,543,863	819,630,323

40. RETAINED EARNINGS

	2019 Rs.	2018 Rs.
As at 1 January	185,248,991	(140,737,324)
SLFRS 9 impact	-	(39,654,363)
SLFRS 16 Impact	(9,138,391)	-
Profit for the Year	460,931,397	556,445,708
Transfers to Statutory Reserve Fund	(23,046,570)	(27,822,285)
Transfer to Other Reserves	9,386,183	12,114,592
Dividend	(200,111,243)	(175,097,337)
As at 31 December	423,270,366	185,248,991

41. NET ASSETS VALUE PER SHARE

	2019 Rs.	2018 Rs.
Amount used as the Numerator:		
Total Equity attributable to Equity holders of the Bank	11,853,568,031	11,634,100,315
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	2,501,390,534	2,501,390,534
Net Assets Value Per Share	4.74	4.65

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivatives financial instruments and off-balance sheet instruments. 'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

42.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- Level 1 : Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- Level 2 : Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 : Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2019	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	226,091,973	-	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	72,789,000
Financial Assets Measured at Fair Value through Other Comprehensive Income	143,148,654	-	2,993,000	146,141,654
	215,937,654	226,091,973	2,993,000	445,022,627
Non Financial Assets				
Freehold Land - Revalued	-	-	-	-
Building - Revalued	-	-	-	-
	-	-	-	-
Financial Liabilities				
Derivative Financial Liabilities	-	56,478,657	-	56,478,657
	-	56,478,657	-	56,478,657

31 December 2018	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	445,732,740	-	445,732,740
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	113,249,108	-	-	113,249,108
Financial Assets Measured at Fair Value through Other Comprehensive Income	186,655,424	-	2,993,000	189,648,424
	299,904,532	445,732,740	2,993,000	748,630,272
Financial Liabilities				
Derivative Financial Liabilities	-	1,441,005,622	-	1,441,005,622
	-	1,441,005,622	-	1,441,005,622

42.2 Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

		2019		2018
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Cash and Cash Equivalents	10,067,003,265	10,067,003,265	5,859,766,950	5,859,766,950
Balance with Central Bank of Sri Lanka	3,448,797,331	3,448,797,331	4,127,811,572	4,127,811,572
Placements with Banks	10,625,183,324	10,819,667,079	5,285,796,238	5,405,601,269
Placements with Licensed Finance Companies	12,053,159	25,853,036	2,112,166,496	2,473,257,270
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	57,716,960,999	52,864,701,310	42,914,143,571	41,687,070,066
Other Assets - Financial	888,380,624	888,380,624	388,890,295	388,890,295
	82,758,378,703	78,114,402,646	60,688,575,122	59,942,397,422
Financial Liabilities				
Due to Banks	1,103,040,822	1,103,040,822	-	-
Financial Liabilities at Amortised Cost - Due to Depositors	71,614,753,475	71,614,753,475	50,922,561,081	50,922,561,081
Other Liabilities - Financial	1,110,537,746	1,110,537,746	680,470,646	680,470,646
	73,828,332,043	73,828,332,043	51,603,031,727	51,603,031,727

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates of financing as of the reporting date with similar credit risks and maturities (Level 3).

Due to Other Customers

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

43. RISK MANAGEMENT

43.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

43.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee (BIRMC)

The Board Integrated Risk Management Committee (BIRMC) is a subcommittee of the Board meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner. The BIRMC is commissioned and officiated by the Board of Directors. BIRMC functions as an overall supervisory body comprising of 3 Directors.

Assets and Liabilities Committee (ALCO)

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

43.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3)

b) Credit related commitment risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amount under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and other credit enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment losses.

d) Credit Quality by class of financial assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

43. RISK MANAGEMENT CONTD.**Financial Assets as at 31 December 2019**

	Neither Past Due Nor Impaired				Past Due But Not Individually Impaired*	Individually Impaired	Total
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated			
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	-	10,067,003,265
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-	-	3,448,797,331
Placements with Banks	10,625,183,324	-	-	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	-	12,053,159
Derivative Financial Assets	225,748,192	343,781	-	-	-	-	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	19,885,964	52,903,037	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	26,483,698,572	30,121,916,190	25,960,501	-	899,410,151	1,482,300,100	59,013,285,514
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	143,148,654	-	2,993,000	-	-	146,141,654
Other Assets - Financial	10,015,774	-	-	878,364,850	-	-	888,380,624
Total	50,892,385,581	30,318,311,661	25,960,501	881,357,850	899,410,151	1,482,300,100	84,499,725,844

Financial Assets as at 31 December 2018

	Neither Past Due Nor Impaired				Past Due But Not Individually Impaired*	Individually Impaired	Total
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated			
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	-	5,338,090,636
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-	-	3,543,444,781
Placements with Banks	9,264,699,249	-	-	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	-	2,427,970,097
Derivative Financial Assets	445,709,529	23,211	-	-	-	-	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	10,321,200	102,927,908	-	-	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	25,014,181,007	27,174,059,894	67,009,029	-	696,026,769	954,989,976	53,906,266,675
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	183,662,424	-	2,993,000	-	-	186,655,424
Other Assets - Financial	338,550	-	-	585,366,283	-	-	585,704,833
Total	46,044,755,049	27,460,673,437	67,009,029	588,359,283	696,026,769	954,989,976	75,811,813,541

* Age Analysis of Past due but not Individually impaired financing by class of Financial Assets

Past Due But Not Individually Impaired

	Past Due But Not Individually Impaired				Total Rs.
	Less than 30 days Rs.	30 to 59 days Rs.	60 to 89 days Rs.	More than 89 days Rs.	
Financing and Receivables to Other Customers - 31 December 2019	37,057,626	42,314,965	55,365,797	764,671,762	899,410,151
Financing and Receivables to Other Customers - 31 December 2018	65,011,175	33,528,165	73,536,537	523,950,892	696,026,769

43. RISK MANAGEMENT CONTD.**e) Analysis of Risk Concentration**

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The Concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2019	Government	Banks, Financial and Services	Agriculture and Fishing	Manufacturing	Tourism
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	10,067,003,265	-	-	-
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-
Placements with Banks	-	10,625,183,324	-	-	-
Placements with Licensed Finance Companies	-	12,053,159	-	-	-
Derivative Financial Assets	-	225,748,192	-	258,839	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	797,401	-	5,002,930	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	701,860,263	9,399,617,922	11,838,807,661	747,721,539
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	146,141,654	-	-	-
Other Assets - Financial	487,048,853	138,751,653	-	-	-
Total	3,935,846,184	21,917,538,911	9,399,617,922	11,844,069,430	747,721,539

Financial Assets as at 31 December 2018	Government	Banks, Financial and Services	Agriculture and Fishing	Manufacturing	Tourism
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	5,338,090,636	-	-	-
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-
Placements with Banks	-	9,264,699,249	-	-	-
Placements with Licensed Finance Companies	-	2,427,970,097	-	-	-
Derivative Financial Assets	-	445,709,528	-	23,212	-
Financial Assets Measured at Fair Value through Profit or Loss	-	1,023,080	-	61,425,268	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	690,778,673	8,667,254,030	6,917,364,736	674,881,931
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	186,655,424	-	-	-
Other Assets - Financial	341,087,396	21,251,987	-	-	-
Total	3,884,532,177	18,376,178,674	8,667,254,030	6,978,813,216	674,881,931

Transportation & Storage	Construction	Wholesale & Retail Trade	Information Technology and Communication Services	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	10,067,003,265
-	-	-	-	-	-	-	3,448,797,331
-	-	-	-	-	-	-	10,625,183,324
-	-	-	-	-	-	-	12,053,159
-	-	84,942	-	-	-	-	226,091,973
-	-	38,382,705	19,885,964	8,720,000	-	-	72,789,000
608,970,386	7,630,043,590	14,986,296,999	218,983,449	543,615,375	794,005,170	11,543,363,159	59,013,285,514
-	-	-	-	-	-	-	146,141,654
-	-	-	-	-	39,898,489	222,681,629	888,380,624
608,970,386	7,630,043,590	15,024,764,646	238,869,412	552,335,375	833,903,659	11,766,044,787	84,499,725,844

Transportation & Storage	Construction	Wholesale & Retail Trade	Information Technology and Communication Services	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	5,338,090,636
-	-	-	-	-	-	-	3,543,444,781
-	-	-	-	-	-	-	9,264,699,249
-	-	-	-	-	-	-	2,427,970,097
-	-	-	-	-	-	-	445,732,740
-	10,321,200	40,479,560	-	-	-	-	113,249,109
2,017,543,808	8,169,038,748	15,521,433,465	207,724,073	603,693,240	689,935,720	9,746,618,251	53,906,266,675
-	-	-	-	-	-	-	186,655,424
-	-	-	-	-	37,833,223	185,532,227	585,704,833
2,017,543,808	8,179,359,948	15,561,913,025	207,724,073	603,693,241	727,768,943	9,932,150,478	75,811,813,544

43. RISK MANAGEMENT CONTD.**f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements**

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Financial Assets as at 31 December	Maximum Exposure to Credit Risk Rs.	2019 Net Exposure Rs.	Maximum Exposure to Credit Risk Rs.	2018 Net Exposure Rs.
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	59,013,285,514	8,729,871,968	53,906,266,675	13,852,880,492
Total	59,013,285,514	8,729,871,968	53,906,266,675	13,852,880,492

43.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Assets and Liabilities Management policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2019, the minimum cash reserve requirement was 5.0% (2018 - 6.0%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly cash and cash equivalents and placements with banks. Adequate liquid assets are maintained due to the Bank's operational business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity ratios**Financing and Receivables to Other Customers to Due to Other Customers ratio (Net)**

	2019	2018
Year end	80.59%	85.63%

Statutory Liquid Assets ratio (DBU)

	2019	2018
Year end	27.74%	22.98%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2019

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-	3,448,797,331
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	29,825,577,929	17,405,962,286	17,018,881,162	8,630,427,964	4,715,114,245	77,595,963,586
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,624
Total Undiscounted Financial Assets	50,586,633,730	21,951,066,883	17,053,019,440	8,630,427,964	4,861,255,899	103,082,403,917
Financial Liabilities						
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	33,207,893,316	27,388,756,219	6,881,806,819	2,614,043,012	1,522,254,109	71,614,753,475
Other Liabilities - Financial	543,115,237	21,189	25,298,535	-	542,102,784	1,110,537,746
Total Undiscounted Financial Liabilities	34,886,759,570	27,412,545,872	6,907,105,354	2,614,043,011	2,064,356,893	73,884,810,700
Total Net Financial Assets/(Liabilities)	15,699,874,160	(5,461,478,989)	10,145,914,087	6,016,384,953	2,796,899,005	29,197,593,217

43. RISK MANAGEMENT CONTD.*Statement of Financial Position as at 31 December 2018*

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740
Financial Investments - Held for Trading	113,249,108	-	-	-	-	113,249,108
Financing and Receivables to Other Customers	15,164,774,338	18,210,651,963	20,740,117,935	3,941,891,127	2,622,488,144	60,679,923,507
Financial Investments - Available for Sale	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	264,732,482	286,798,209	34,174,142	-	-	585,704,833
Total Undiscounted Financial Assets	33,851,439,403	21,208,704,199	20,774,292,077	3,941,891,127	2,809,143,568	82,585,470,374
Financial Liabilities						
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622
Financial Liabilities at Amortised						
Cost - Due to Depositors	37,572,864,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	61,722,682,595
Other Liabilities - Financial	467,598,759	4,994,467	6,000,000	2,035,655	-	480,628,881
Total Undiscounted Financial Liabilities	39,722,447,374	22,514,151,454	706,289,874	579,022,140	1,332,611,103	64,854,521,945
Total Net Financial Assets/(Liabilities)	(5,871,007,970)	(1,305,447,255)	20,068,002,203	3,362,868,987	1,476,532,465	17,730,948,429

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2019	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,598,651,787	63,854,940	-	-	-	1,662,506,727
Letters of Credit	2,334,674,145	121,233,157	-	-	-	2,455,907,302
Guarantees, Bonds	873,177,191	1,493,123,101	460,974,354	3,481,573	-	2,830,756,218
Outward Clearing Receivable	370,848,745	-	-	-	-	370,848,745
Promissory Forward Sales	4,839,102,214	18,050,175,000	1,361,250,000	-	-	24,250,527,214
Promissory Forward Purchases	12,534,102,805	-	-	-	-	12,534,102,805
Commitments for Unutilised Facilities	2,391,220,775	3,586,831,162	-	-	-	5,978,051,937
Bills for Collection & Other	3,934,551,055	-	-	-	-	3,934,551,055
Total	28,876,328,716	23,315,217,360	1,822,224,354	3,481,573	-	54,017,252,004

As at 31 December 2018	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	801,225,525	477,510,340	-	-	-	1,278,735,865
Letters of Credit	364,276,279	919,178,964	-	-	-	1,283,455,243
Guarantees, Bonds	778,675,641	1,897,911,998	221,092,790	5,907,573	-	2,903,588,002
Outward Clearing Receivable	781,957,461	-	-	-	-	781,957,461
Promissory Forward Sales	8,325,939,738	12,139,234,637	-	-	-	20,465,174,375
Promissory Forward Purchases	12,583,451,113	2,013,000,000	-	-	-	14,596,451,113
Commitments for Unutilised Facilities	1,578,949,498	2,368,424,247	-	-	-	3,947,373,745
Bills for Collection & Other	1,231,243,953	-	-	-	-	1,231,243,952
Total	26,445,719,208	19,815,260,185	221,092,790	5,907,573	-	46,487,979,755

43.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at the ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of Due to Other Customers (customer deposits) have been accepted on the Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2019

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	10,067,003,265	10,067,003,265
Balance with Central Bank of Sri Lanka	-	-	-	-	-	3,448,797,331	3,448,797,331
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	-	12,053,159
Derivative Financial Assets	-	-	-	-	-	226,091,973	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	72,789,000	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,324,596,976	19,355,688,572	12,493,835,619	6,245,612,310	3,297,227,522	-	57,716,960,999
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	146,141,654	146,141,654
Other Assets - Financial	-	-	-	-	-	888,380,624	888,380,624
Total Assets	23,015,103,048	23,302,418,983	12,493,835,619	6,245,612,310	3,297,227,522	14,849,203,847	83,203,401,330
Due to Banks	1,103,040,822	-	-	-	-	-	1,103,040,822
Derivative Financial Liabilities	-	-	-	-	-	56,478,657	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	29,426,981,855	27,388,756,219	6,881,806,819	2,614,043,012	1,522,254,109	3,780,911,461	71,614,753,475
Other Liabilities - Financial	-	-	-	-	-	1,110,537,746	1,110,537,746
Total Liabilities	30,530,022,677	27,388,756,219	6,881,806,819	2,614,043,012	1,522,254,109	4,947,927,864	73,884,810,700
Rate Sensitivity Gap	(7,514,919,629)	(4,086,337,236)	5,612,028,800	3,631,569,299	1,774,973,413	9,901,275,983	

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2018

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,338,090,636	5,338,090,636
Balance with Central Bank of Sri Lanka	-	-	-	-	-	3,543,444,781	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	-	2,427,970,097
Derivative Financial Assets	-	-	-	-	-	445,732,740	445,732,740
Financial Investments - Held for Trading	-	-	-	-	-	113,249,108	113,249,108
Financing and Receivables to Other Customers	16,641,745,655	15,874,253,408	12,085,437,671	5,420,460,641	2,831,765,981	-	52,853,663,356
Financial Investments - Available for Sale	-	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	-	-	-	-	-	585,704,833	585,704,833
Total Assets	25,662,770,207	18,545,898,203	12,085,437,671	5,420,460,641	2,831,765,981	10,212,877,522	74,759,210,225
Due to Banks	1,210,204,847	-	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	-	-	-	-	-	1,441,005,622	1,441,005,622
Due to Depositors	34,287,159,867	21,539,930,419	700,289,874	576,986,485	1,332,611,103	3,285,704,847	61,722,682,595
Other Liabilities - Financial	-	-	-	-	-	480,628,881	480,628,881
Total Liabilities	35,497,364,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	5,207,339,350	64,854,521,945
Rate Sensitivity Gap	(9,834,594,507)	(2,994,032,217)	11,385,147,797	4,843,474,156	1,499,154,878	5,005,538,172	

43.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

43.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the risk management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2019. and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2019		2018	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	1,207,508	(1,207,508)	213,002	(213,002)
Great Britain Pounds	953,889	(953,889)	99,328	(99,328)
Japanese Yen	143,946	(143,946)	(229,104)	229,104
United States Dollars	518,836	(518,836)	10,937,969	(10,937,969)
Other Currencies	6,008,607	(6,008,607)	2,887,864	(2,887,864)
Total	8,832,787	(8,832,787)	13,909,057	(13,909,057)

43.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the BIRMC, ALCO and the Equity Investment Committee (EIC). The Bank engages in transactions only in Sharia compliant equities which are listed in the published "White List" of stocks.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

44. MATURITY ANALYSIS

	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total As at 31.12.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265
Balance with Central Bank of Sri Lanka	1,285,843,004	1,532,895,926	393,534,316	149,378,965	87,145,120	3,448,797,331
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973
Financial Assets Measured at Fair Value through Profit or Loss	72,789,000	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,324,596,976	19,355,688,572	12,493,835,619	6,245,612,310	3,297,227,522	57,716,960,999
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,624
Property, Plant and Equipment	-	-	-	-	2,505,901,129	2,505,901,129
Intangible Assets	-	-	-	-	237,074,723	237,074,723
Deferred Tax Assets	-	-	-	-	-	-
Other Assets - Non Financial	542,433,384	63,006,686	27,753,182	-	-	633,193,251
Total Assets	35,465,131,832	25,496,695,782	12,949,261,395	6,394,991,276	6,273,490,148	86,579,570,432
Liabilities						
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	19,240,120,594	34,324,196,140	9,163,750,229	4,818,657,403	4,068,029,109	71,614,753,475
Other Liabilities - Financial	543,115,237	21,190	25,298,535	-	542,102,784	1,110,537,746
Current Tax Liabilities	-	402,511,650	-	-	-	402,511,650
Dividend Payable	6,891,441	-	-	-	-	6,891,441
Deferred Tax Liability	-	-	-	-	194,314,961	194,314,961
Retirement Benefit Liability	-	-	-	-	144,987,628	144,987,628
Other Liabilities - Non Financial	92,486,021	-	-	-	-	92,486,021
Total Liabilities	21,018,364,310	34,750,497,442	9,189,048,764	4,818,657,403	4,949,434,482	74,726,002,401
Maturity Gap	14,446,767,522	(9,253,801,660)	3,760,212,631	1,576,333,872	1,324,055,666	11,853,568,032

44. MATURITY ANALYSIS CONTD.

	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total As at 31.12.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636
Balances with Central Bank of Sri Lanka	1,878,378,578	1,261,604,938	121,516,016	115,924,612	166,020,637	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	9,264,699,249
Balances with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740
Financial Investments - Held for Trading	113,249,108	-	-	-	-	113,249,108
Financing and Receivables to						
Other Customers	16,641,745,655	15,874,253,408	12,085,437,671	5,420,460,641	2,831,765,981	52,853,663,356
Financial Investments - Available for Sale	-	-	-	-	186,655,424	186,655,424
Other Financial Assets	264,732,482	286,798,209	34,174,142	-	-	585,704,833
Property, Plant and Equipment	-	-	-	-	1,890,194,155	1,890,194,155
Intangible Assets	-	-	-	-	238,311,383	238,311,383
Other Non Financial Assets	276,415,773	97,680,763	7,955,170	-	-	382,051,706
Total Assets	33,939,760,289	20,231,591,347	12,249,082,999	5,536,385,253	5,312,947,580	77,269,767,467
Liabilities						
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622
Financial Liabilities at Amortised						
Cost - Due to Depositors	25,098,524,136	27,844,024,686	2,647,515,150	2,524,211,761	3,608,406,862	61,722,682,595
Other Financial Liabilities	467,598,759	4,994,467	6,000,000	2,035,655	-	480,628,881
Current tax liabilities	-	330,606,614	-	-	-	330,606,614
Dividend Payable	3,562,069	-	-	-	-	3,562,069
Other Non Financial Liabilities	97,921,864	-	-	-	-	97,921,864
Deferred Tax Liability	-	-	-	-	221,536,935	221,536,935
Retirement Benefit Liability	-	-	-	-	127,517,726	127,517,726
Total Liabilities	27,349,590,729	29,148,852,335	2,653,515,150	2,526,247,416	3,957,461,523	65,635,667,152
Maturity Gap	6,590,169,560	(8,917,260,988)	9,595,567,850	3,010,137,837	1,355,486,057	11,634,100,315

45. COMMITMENTS AND CONTINGENCIES

45.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

45.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

	Note	Stage 1	Stage 2	Stage 3	Total
Commitments on Direct Advances and Indirect Advances:					
Commitments for unutilised facilities		5,287,746,944	505,952,887	184,352,106	5,978,051,937
		5,287,746,944	505,952,887	184,352,106	5,978,051,937
Contingent Liabilities:					
Letters of Credit		2,383,595,009	72,312,293	-	2,455,907,302
Guarantees, Bonds		2,737,734,731	91,271,486	1,750,001	2,830,756,218
Outward Clearing Cheques	45.2.2	370,848,745	-	-	370,848,745
Acceptances		1,534,451,898	128,054,829	-	1,662,506,727
Bills for Collection & Other		3,925,145,271	8,407,534	998,250	3,934,551,055
		10,951,775,654	300,046,143	2,748,251	11,254,570,048
Gross credit related Commitments and Contingencies					
Impairment for Expected Credit Losses	45.2.1	(4,275,030)	-	-	(4,275,030)
Net credit related Commitments and Contingencies		16,235,247,568	805,999,030	187,100,357	17,228,346,955
Promissory Forward Foreign Exchange Transactions					
Promissory Forward sales					24,250,527,214
Promissory Forward purchases					12,534,102,805
					36,784,630,018
Total Commitment and Contingencies					
					54,012,976,973

45.2.1 Impairment Allowance for Commitment and Contingencies

	2019 Rs.	2018 Rs.
ECL allowance as at 1 January 2018 under SLFRS9	2,549,043	652,599
Charge/(Write Back) for the year	1,725,987	1,896,444
Amounts written off	-	-
As at 31 December	4,275,030	2,549,043

The Table below the total Commitment and Contingencies as at 31 December 2018

	Stage 1	Stage 2	Stage 3	Total
Commitments on Direct Advances and Indirect Advances:				
Commitments for unutilised facilities	3,688,172,548	209,319,757	49,881,440	3,947,373,745
	3,688,172,548	209,319,757	49,881,440	3,947,373,745
Contingent Liabilities:				
Letters of Credit	1,197,095,029	86,360,214	-	1,283,455,243
Guarantees, Bonds	2,711,693,473	189,194,529	2,700,000	2,903,588,002
Outward Clearing Cheques	781,957,461	-	-	781,957,461
Acceptances	1,146,762,006	131,973,859	-	1,278,735,865
Bills for Collection & Other	1,200,739,787	30,504,166	-	1,231,243,953
	7,038,247,756	438,032,768	2,700,000	7,478,980,524
Gross credit related Commitments and Contingencies	10,726,420,304	647,352,525	52,581,440	11,426,354,269
Impairment for Expected Credit Losses	(2,443,301)	(105,331)	(411)	(2,549,043)
Net credit related Commitments and Contingencies	10,723,977,003	647,247,194	52,581,029	11,423,805,226
Promissory Forward Foreign Exchange Transactions				
Promissory Forward sales				20,465,174,375
Promissory Forward purchases				14,596,451,113
				35,061,625,488
Total Commitment and Contingencies				46,485,430,714

45.2.2 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing house as at the reporting date.

45.3 Lease Receivables

As at 31 December 2019	Total Future Minimum Payments Rs.	Unearned Income Finance Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,376,194,467	722,009,223	2,654,185,244
1 - 5 Years	4,579,272,941	750,103,955	3,829,168,986
More than 5 Years	38,721,630	4,087,346	34,634,284
	7,994,189,037	1,476,200,523	6,517,988,514

As at 31 December 2018	Total Future Minimum Payments Rs.	Unearned Income Finance Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,331,360,905	685,140,138	2,646,220,767
1 - 5 Years	4,471,102,918	693,327,983	3,777,774,935
More than 5 Years	6,792,266	786,359	6,005,907
	7,809,256,089	1,379,254,480	6,430,001,609

46. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

46.1 Parent and Ultimate controlling party

The Bank does not have an identifiable parent of its own.

46.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Key Management Personnel Compensation	2019 Rs.	2018 Rs.
Short-term Employee Benefits including Director's Emoluments	60,981,175	58,143,768
Total	60,981,175	58,143,768

No other benefits have been paid to KMPs other than those which are statutory in nature.

46.3 Transactions, arrangements and Agreements involving KMPs & their Close family members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

	2019 Rs.	2018 Rs.
Statement of Financial Position		
Financing and Receivables to Other Customers	55,058,272	67,009,920
Due to Other Customers	84,071,815	84,717,386
Statement of Profit or Loss		
Financing Income	4,669,839	5,158,019
Financing Expenses	7,046,581	5,927,160
Net Fees And Commission Income	-	43,329
Cash Dividend Paid	5,511,590	3,445,910

Terms and Conditions of Transactions with Related Parties

The above-mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

46.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

	2019 Rs.	2018 Rs.
Statement of Financial Position		
Due to Other Customers	11,210,153	10,591,113
Statement of Profit or Loss		
Financing Expenses	1,179,496	178,496

47. EVENTS AFTER REPORTING DATE

As instructed by the Ministry of Finance, the Department of Inland Revenue has informed that Income Tax rate of 28% will reduce to 24% with effect from 1 January 2020. Since legislation in this regard is still to be enacted, no changes have been made to the Deferred Tax Liability as at 31 December 2019, which was computed at 28%.

Other than the above, there were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

48. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

The Bank's capital management objectives can be summarised as follows:

- 1 Maintain sufficient capital to meet minimum regulatory capital requirements.
- 2 Hold sufficient capital to support the Bank's risk appetite.
- 3 Allocate capital to businesses to support the Bank's strategic objectives.
- 4 Ensure that the Bank maintains capital in order to achieve debt rating objectives and to withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Common Equity Tier 1 Capital Ratio of 7.00% (2018 - 6.375%) and minimum Total Capital Ratio of 12.50% (2018 - 11.875%) for the year 2019. The Bank has maintained its Capital Ratios well above the regulatory minimum.

Enhancement of Minimum Capital Requirement

In accordance with Central Bank of Sri Lanka's Direction issued regarding enhancement of minimum capital requirement, all locally incorporated licensed commercial banks should raise their capital funds to Rs. 20 billion by 31 December 2020. In this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the stipulated deadline.

49. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains processional advise and adjustments are made to the Financial Statements, if required.

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

50. DIVIDENDS

	2019 Rs.	2018 Rs.
Dividends declared	200,111,243	175,097,337
Dividend per Ordinary Share	0.08	0.07

Financial Summary

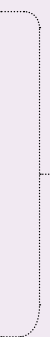
For the Year ended 31 December	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Operating Results									
Financing Income	7,709,286,294	6,883,221,870	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090	352,037,757
Financing Expenses	4,544,370,605	3,522,889,356	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273	205,127,217
Net Financing Income	3,164,915,689	3,360,332,514	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524	718,053,837	568,546,817	146,910,540
Net Fees and Commission Income	329,040,746	297,048,806	236,134,326	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319	14,951,675
Net Trading Income	738,397,355	461,155,830	388,699,264	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009	(91,633,252)
Net Gains/(Losses) from Financial Assets at Fair Value Through Profit or Loss	4,862,561	(22,436,152)	-	-	-	-	-	-	-
Net Gains/(Losses) from Derecognition of Financial Assets	11,150,575	1,892,185	-	-	-	-	-	-	-
Net Other Operating Income/(Loss)	8,251,376	6,662,241	9,467,520	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)	3,133,721
Total Operating Income	4,256,618,302	4,104,655,424	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245	1,059,576,004	1,253,890,058	73,362,684
Impairment on Financial Assets	288,928,583	476,765,687	289,782,674	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890	27,062,702
Net Operating Income	3,967,689,719	3,627,889,737	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219	958,755,463	1,237,796,168	46,299,982
Personnel Expenses	1,381,445,709	1,246,223,287	1,095,792,424	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212	140,504,480
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	256,195,369	126,685,717	148,879,193	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539	20,621,964
Amortisation of Intangible Assets	51,025,609	47,939,212	48,967,708	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863	4,704,727
Other Operating Expenses	902,349,033	884,804,269	745,933,727	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577	250,085,709
Total Operating Expenses	2,591,015,720	2,305,652,485	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,308	986,051,191	415,916,880
Operating Profit/(Loss) Before Value Added Tax on Financial Services, NBT & DRL	1,376,673,999	1,322,237,252	1,058,564,588	271,078,156	370,964,125	(980,260)	(424,820,845)	251,744,977	(369,616,898)
Value Added Tax on Financial Services, NBT & DRL	531,825,986	420,038,265	319,245,989	168,266,306	152,248,222	79,288,996	13,184,143	45,941,033	-
Profit/(Loss) Before Tax	844,848,013	902,198,987	739,318,599	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944	(369,616,898)
Tax Expenses/(Reversal)	383,916,616	345,753,279	236,490,936	62,171,499	60,086,657	-	(120,971,087)	59,809,292	(87,583,329)
Profit/(Loss) for the Year	460,931,397	556,445,708	502,827,663	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652	(282,033,569)

As at 31 December	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Assets									
Cash and Cash Equivalents	10,067,003,265	5,338,090,636	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015	1,053,061,115
Balance with Central Bank of Sri Lanka	3,448,797,331	3,543,444,781	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214	717,763,029
Placements with Banks	10,625,183,324	9,264,699,249	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383	1,518,571,708
Placements with Licensed Finance Companies	12,053,159	2,427,970,097	2,112,166,496	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754	3,113,721,106
Derivative Financial Assets	226,091,973	445,732,740	127,616,662	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576	1,394,227
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789,000	113,249,108	-	-	-	-	-	-	-
Financial Investments - Held for Trading	-	-	41,645,557	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906	404,170,143
Investment in Gold Bullion	-	-	-	-	-	-	-	-	799,582,509
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	57,716,960,999	52,853,663,356	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019	4,974,971,905
Financial Assets Measured at Fair Value through Other Comprehensive Income	146,141,654	186,655,424	-	-	-	-	-	-	-
Financial Investments - Available for Sale	-	-	323,264,501	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612	545,349,490
Other Assets - Financial	888,380,624	585,704,833	388,890,295	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038	390,688,206
Property, Plant, Equipment and Right-of-Use Assets	2,505,901,129	1,890,194,155	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910	481,382,002
Intangible Assets	237,074,723	238,311,383	230,675,871	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174	135,470,343
Deferred Tax Assets	-	-	-	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739	87,583,329
Other Assets - Non Financial	633,193,251	382,051,706	333,169,325	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744	272,468,185
Total Assets	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Liabilities									
Due to Banks	1,103,040,822	1,210,204,847	-	751,963,513	2,955,277,882	-	-	-	-
Derivative Financial Liabilities	56,478,657	1,441,005,622	29,924,292	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614	-
Financial Liabilities at Amortised Cost - Due to Depositors	71,614,753,475	61,722,682,595	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452	11,362,868,664
Other Liabilities - Financial	1,110,537,746	480,628,881	680,470,646	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288	111,725,486
Current Tax Liabilities	402,511,650	330,606,614	187,075,365	80,814,263	58,684,717	-	-	-	-
Dividend Payable	6,891,441	3,562,069	-	-	-	-	-	-	-
Deferred Tax Liability	194,314,961	221,536,935	216,241,918	-	-	-	-	-	-
Retirement Benefit Liability	144,987,628	127,517,726	119,241,024	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680	13,051,361
Other Liabilities - Non Financial	92,486,021	97,921,864	70,765,834	31,360,761	54,378,732	23,607,873	13,688,807	13,843,550	7,080,883
Total Liabilities	74,726,002,401	65,635,667,153	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,311	13,646,208,584	11,494,726,394
Shareholders' Funds									
Stated Capital	10,619,450,156	10,619,450,156	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720	3,431,611,720
Reserves	1,234,117,875	1,014,650,159	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)	(430,160,817)
Total Equity	11,853,568,031	11,634,100,315	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500	3,001,450,903
Total Liabilities and Shareholders' Funds	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Commitments and Contingencies	54,012,976,973	46,485,430,714	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724	4,167,021,073
Share Information									
Earnings/(Loss) per Share - Basic/Diluted	0.18	0.22	0.29	0.03	0.13	(0.06)	(0.33)	0.16	(0.35)
Net Assets Value per Share	4.74	4.65	4.52	4.63	4.58	4.02	4.99	3.4	3.7

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

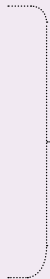
The following explains the Disclosure Requirements under the prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1. INFORMATION ABOUT THE SIGNIFICANCE OF FINANCIAL INSTRUMENTS FOR FINANCIAL POSITION AND PERFORMANCE		
1.1 Statement of Financial Position		
1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable.
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
	(iv) Reconciliation of the allowance account for credit losses by class of financial assets.	Note 17.1 to the Financial Statements - Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements - Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements - Impairment Allowance for Licensed Finance Companies and Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
	(vi) Breaches of terms of financing agreements.	None.
1.2 Statement of Comprehensive Income		
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fees and Commission Income.
	(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.

1.3 Other Disclosures		
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies.
1.3.2	Financial liabilities designated as at FVTPL	
	(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI):	
	- any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; - if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; - detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and	 Not Applicable.
	(ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	
1.3.3	Investments in equity instruments designated as at FVOCI	
	(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii) and 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income and Financial Assets Measured at Fair Value Through Other Comprehensive Income respectively.
	(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
	(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
	(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	
	- reasons for disposing of the investments; - fair value of the investments at the date of derecognition; and - the cumulative gain or loss on disposal.	 Not Applicable.

1.3.4	Reclassifications of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period:	
	- date of reclassification; - detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and - the amount reclassified into and out of each category.	Not Applicable.
	(ii) For reclassifications from FVTPL to amortised cost or FVOCI:	
	- the effective profit rate (EPR) determined on the date of reclassification; and - the financing income recognised.	Not Applicable.
	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI:	
	- the fair value of the financial assets at the reporting date; and - the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	Not Applicable.
1.3.5	Information on hedge accounting	Not Applicable.
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts.	
	(ii) Description of how fair value was determined.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(iii) The level of inputs used in determining fair value.	
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements - Investment in Equity – Unquoted and Note 42.2 to the Financial Statements - Financial Instruments Not Carried at Fair Value.

2. INFORMATION ABOUT THE NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS		
2.1 Qualitative Disclosures		
2.1.1	Risk exposures for each type of financial instrument.	Note 43 to the Financial Statements - Risk Management.
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 43 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3	Changes from the prior period.	Not Applicable.
2.2 Quantitative Disclosures		
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 43 to the Financial Statements - Risk Management.
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(i) Credit Risk	
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 43.3 to the Financial Statements - Credit Risk.
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 43.3 to the Financial Statements - Credit Risk.
	(c) Information about collateral or other credit enhancements obtained or called.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(d) Credit risk management practices:	
	✿ Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
	✿ Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets and Note 11 to the Financial Statements - Impairment of Financial Assets

	- How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted; - The Bank's definitions of default for different financial instruments, including the reasons for selecting those definitions; - How instruments are grouped if ECL are measured on a collective basis; - How the Bank determines that financial assets are credit-impaired; - The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and - How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
	(e) ECL calculations	
	Basis of the inputs, assumptions and the estimation techniques used when,	
	- estimating 12-month and lifetime ECL; - determining whether the credit risk of financial instruments has increased significantly since initial recognition; and - determining whether financial assets are credit-impaired.	 Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
	How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and	
	changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.	Not Applicable.

	(f) Amounts arising from ECL	
	Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc...] of the opening balance to the closing balance of the impairment loss allowance.	Note 17.1 to the Financial Statements – Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies, Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers, and Note 45.2.1 to the Financial Statements - Impairment Allowance for Commitment & Contingencies.
	Explain the reasons for changes in the loss allowances in the reconciliation.	Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.
	(g) Collaterals	
	Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;	Note 43.3.3 (f) to the Financial Statements – Analysis of Maximum Exposure to Credit Risk and Collateral and Other Credit Enhancements
	Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including:	
	discussion on the nature and quality of the collaterals held;	Please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;	
	information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;	None.
	quantitative information about the collateral held as security and other credit enhancements;	Note 43.3.3 (f) to the Financial Statements - Analysis of Maximum Exposure to Credit Risk and Collateral and Other Credit Enhancements
	information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.	Please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(h) Written-off assets	
	Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	None.
	(i) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 250 to 264 and section relating to 'Risk Management' in the Annual Report for additional information.
	(ii) Liquidity Risk	
	(a) A maturity analysis of financial assets and liabilities.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report.

	(b) Description of approach to risk management.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
	(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 250 to 264 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iii) Market Risk	
	(a) A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 43.5 to the Financial Statements - Market Risk and please refer section relating to 'Risk Management' in the Annual Report for additional information.
	(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
	(c) Refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 250 to 264 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iv) Operational Risk	
	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 250 to 264 and section relating to 'Risk Management' in the Annual Report for additional information.
	(v) Equity Risk in the Banking Book	
	(a) Qualitative Disclosures	
	✿ Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 43.8 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
	✿ Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies and Note 24.2 to the Financial Statements - Investment in Equity – Unquoted.
	(b) Quantitative Disclosures	
	Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 22 and 24 to the Financial Statements - Financial Assets measured at Fair Value Through Profit or Loss and Financial Assets measured at Fair Value Through Other Comprehensive Income, respectively. Also please refer Notes 8 and 9 to the Financial Statements - Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss and Net Gains / (Losses) from Derecognition of Financial Assets, respectively.
	(vi) Rate Risk in the Banking Book	
	(a) Qualitative Disclosures	Notes 43.5, 43.6, 43.7 and 43.8 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively. You may also refer the section relating to 'Risk Management' in the Annual Report for additional information.
	Nature of Rate Risk in the Banking Book and key assumptions.	
	(b) Quantitative Disclosures	
	The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	

2.2.3	Information on concentrations of risk	Notes 43.2 and 43.3 to the Financial Statements - Risk Management Structure and Credit Risk respectively. Also please refer section relating to 'Risk Management' in the Annual Report for additional information.
3. PILLAR III - MARKET DISCLOSURES		
3.1 Regulatory Requirements on Capital and Liquidity		
	(i) Key Regulatory Ratios - Capital and Liquidity	Please refer page 250
	(ii) Basel III Computation of Capital Ratios	Please refer pages 250 and 251
	(iii) Computation of Leverage Ratio	Please refer page 252
	(iv) Basel III Computation of Liquidity Coverage Ratio	Please refer page 252
	(v) Main Features of Regulatory Capital Instruments	Please refer page 253
3.2 Risk Weighted Assets (RWA)		
	(i) Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements	Please refer page 253 including Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report for additional information
	(ii) Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects	Please refer page 254
	(iii) Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights	Please refer page 255
	(iv) Market Risk under Standardised Measurement Method	Please refer page 255
	(v) Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 256
3.3 Linkages Between Financial Statements & Regulatory Exposures		
	(i) Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer pages 257 and 258
	(ii) Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer pages 258 to 260 and also section relating to 'Risk Management' in the Annual Report for additional information
3.4 Risk Management		
	(i) Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management
	(ii) Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management

Pillar III Market Disclosures

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

Item	As at 31 Dec 2019	As at 31 Dec 2018
Regulatory Capital (LKR '000)		
Common Equity Tier 1	11,054,858	10,844,221
Tier 1 Capital	10,782,015	10,527,283
Total Capital	11,833,327	11,347,154
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7%/6.375%)	15.4%	17.6%
Tier 1 Capital Ratio (Minimum Requirement - 8.5%/7.875%)	15.4%	17.6%
Total Capital Ratio (Minimum Requirement - 12.5%/11.875%)	16.9%	19.0%
Leverage Ratio (Minimum Requirement - 3%)	9.66%	N/A
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	19,817,531	14,348,253
Statutory Liquid Assets (USD '000) - Off-Shore Banking Unit	1,310	2,885
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Domestic Banking Unit (%)	27.74%	22.98%
Off-Shore Banking Unit (%)	38.03%	35.11%
Liquidity Coverage Ratio (%) – Rupee (Min Requirement - 100%/90%)	142.92%	141.83%
Liquidity Coverage Ratio (%) – All Currency (Min Requirement - 100%/90%)	110.04%	117.54%

BASEL III COMPUTATION OF CAPITAL RATIOS

Item	Amount As at 31 Dec 2019 LKR '000
Common Equity Tier 1 (CET1) Capital after Adjustments	10,782,015
Common Equity Tier 1 (CET1) Capital	11,054,858
Equity Capital (Stated Capital)/Assigned Capital	10,619,450
Reserve Fund	93,273
Published Retained Earnings/(Accumulated Retained Losses)	443,105
Published Accumulated Other Comprehensive Income (OCI)	(100,970)
General and other Disclosed Reserves	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to CET1 Capital	272,843
Goodwill (net)	-
Intangible Assets (net)	237,075
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	35,768

Item	Amount As at 31 Dec 2019 LKR '000
Additional Tier 1 (AT1) Capital after Adjustments	-
Additional Tier 1 (AT1) Capital	-
Qualifying Additional Tier 1 Capital Instruments	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to AT1 Capital	-
Investment in Own Shares	-
Others (specify)	-
Tier 2 Capital after Adjustments	1,051,312
Tier 2 Capital	1,051,312
Qualifying Tier 2 Capital Instruments	-
Revaluation Gains	570,270
Provisions on Financing and Advances	481,042
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to Tier 2	-
Investment in Own Shares	-
Others (specify)	-
CET1 Capital	11,054,858
Total Tier 1 Capital	10,782,015
Total Capital	11,833,327
Total Risk Weighted Assets (RWA)	70,073,499
RWAs for Credit Risk	65,063,221
RWAs for Market Risk	313,662
RWAs for Operational Risk	4,696,616
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	15.39%
of which: Capital Conservation Buffer (%)	2.500%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-
Total Tier 1 Capital Ratio (%)	15.39%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	16.89%
of which: Capital Conservation Buffer (%)	2.500%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-

COMPUTATION OF LEVERAGE RATIO

Item	Amount As at 31 Dec 2019 (LKR '000)	Amount As at 31 Dec 2018 (LKR '000)
Tier 1 Capital	10,782,015	N/A
Total Exposures	111,623,305	
On-Balance Sheet Items		
(excluding Derivatives and Securities Financing Transactions, but including Collateral)	87,232,972	
Derivative Exposures	19,527,081	
Securities Financing Transaction Exposures	-	
Other Off-Balance Sheet Exposures	4,863,252	
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	9.66%	

Note:

Leverage Ratio came into effect from 1 January 2019

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

Item	Amount (LKR '000)			
	As at 31 Dec 2019		As at 31 Dec 2018	
	Total Un-weighted Value	Total Weighted Value	Total Un-weighted Value	Total Weighted Value
Total Stock of High-Quality Liquid Assets (HQLA)	3,303,771	3,267,776	2,689,901	2,633,788
Total Adjusted Level 1A Assets				
Level 1 Assets	3,231,780	3,231,780	2,577,675	2,577,675
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	71,992	35,996	112,226	56,113
Total Cash Outflows	82,553,281	10,787,603	71,136,700	8,963,188
Deposits	66,793,722	6,679,372	56,580,609	5,658,061
Unsecured Wholesale Funding	4,521,405	2,590,488	4,907,383	2,959,147
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable)	5,978,052	487,807	-	-
Facilities and Other Contingent Funding Obligations	5,252,806	1,022,640	9,584,589	281,861
Additional Requirements	7,295	7,295	64,119	64,119
Total Cash Inflows	16,344,272	7,817,918	21,558,895	17,404,346
Maturing Secured Lending Transactions Backed by Collateral	6,739,118	6,739,118	6,554,170	6,554,170
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	2,046,308	1,078,800	11,814,869	10,850,176
Operational Deposits	7,558,846	3,189,856	-	-
Other Cash Inflows	-	-	-	-
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100	-	110.04	-	117.54

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR'000 as at 31 Dec 2019)	10,619,451
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR'000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	Discretionary, subject to fulfilling applicable Regulatory requirements
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	Non Cumulative
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	Non Convertible
If Convertible, Fully or Partially	
If Convertible, Mandatory or Optional	
If Convertible, Conversion Rate	

Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements

Please refer Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report on pages 76 to 108.

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Amount (LKR '000) as at 31 Dec 2019					
	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density (%)	
	On-Balance Sheet Amount	Off-Balance Sheet Amount	On-Balance Sheet Amount	Off-Balance Sheet Amount	RWA	RWA Density (ii)
Claims on Central Government and CBSL	3,935,846	-	3,935,846	-	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	21,196	-	21,196	-	21,196	100%
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	18,329,458	36,377,939	18,329,458	1,388,369	9,599,654	49%
Claims on Financial Institutions	8,607	-	8,607	-	4,303	50%
Claims on Corporates	17,846,810	7,575,418	17,673,850	2,247,794	20,029,890	101%
Retail Claims	34,474,500	5,512,555	34,228,617	2,133,513	26,291,360	72%
Claims Secured by Residential Property	3,984,917	-	3,984,917	-	2,587,847	65%
Claims Secured by Commercial Real Estate	1,459	-	1,459	-	1,459	100%
Non-Performing Assets (NPAs) (i)	1,975,431	126,168	1,975,431	26,634	2,316,443	116%
Higher-risk Categories	108,178	-	108,178	-	270,447	250%
Cash Items and Other Assets	5,948,735	370,849	5,948,735	370,849	3,940,621	62%
Total	86,635,137	49,962,930	86,216,293	6,167,160	65,063,220	70%

Notes:

- (i) As per Banking Act Directions on Classification of Financing and Receivables to Other Customers, Income Recognition and Provisioning
(ii) RWA Density - Total RWA/Exposures Post CCF and CRM.

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Description	Amount (LKR '000) as at 31 Dec 2019 (Post CCF & CRM)								
	Risk Weight	0%	20%	50%	60%	75%	100%	150%	>150%
Asset Classes									Total Credit Exposures Amount
Claims on Central Government and Central Bank of Sri Lanka	3,935,846	-	-	-	-	-	-	-	3,935,846
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-	21,196	-	21,196
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	2,059,756	16,940,739	-	-	-	717,334	-	19,717,828
Claims on Financial Institutions	-	-	8,607	-	-	-	-	-	8,607
Claims on Corporates	-	-	-	-	-	-	19,921,644	-	19,921,644
Retail Claims	1,354,964	2,683,423	-	8,974,356	11,917,303	11,432,084	-	-	36,362,130
Claims Secured by Residential Property	-	-	2,794,139	-	-	1,190,778	-	-	3,984,917
Claims Secured by Commercial Real Estate	-	-	-	-	-	1,459	-	-	1,459
Non-Performing Assets (NPAs)	-	-	121,784	-	-	1,129,741	750,540	-	2,002,065
Higher-risk Categories	-	-	-	-	-	-	-	108,178	108,178
Cash Items and Other Assets	2,378,960	-	-	-	-	3,940,624	-	-	6,319,584
Total	7,669,770	4,743,179	19,865,268	8,974,356	11,917,303	38,354,858	750,540	108,178	92,383,453

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

Item	RWA Amount as at 31 Dec 2019 (LKR '000)
(a) RWA for Rate Risk	39,208
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	16,854
(i) General Equity Risk	8,999
(ii) Specific Equity Risk	7,855
(c) RWA for Foreign Exchange & Gold	22,354
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	313,662

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH

Business Lines	Capital Charge Factor	Fixed Factor	Gross Income (LKR '000) as at 31 Dec 2019		
			1st Year	2nd Year	3rd Year
The Basic Indicator Approach	15%		3,386,874	4,124,602	4,230,068
The Standardised Approach					
Corporate Finance	18%		N/A	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%		N/A	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR '000)					
The Basic Indicator Approach					587,077
The Standardised Approach			N/A	N/A	
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR '000)					
The Basic Indicator Approach					4,696,616
The Standardised Approach			N/A	N/A	
The Alternative Standardised Approach					

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

Item	Explanation Reference #	Amount (LKR '000) as at 31 Dec 2019				
		a Carrying Values as Reported in Published Financial Statements	b Carrying Values as under Scope of Regulatory Reporting	c Subject to Credit Risk Framework	d Subject to Market Risk Framework	e Not Subject to Capital Requirements or Subject to Deduction From Capital
Assets		86,579,570	87,096,710	86,680,480	71,992	490,380
Cash and Cash Equivalents	1	10,067,003	2,378,960	2,378,960	-	-
Balances with Central Bank		3,448,797	3,448,797	3,448,797	-	-
Placements with Banks	1	10,637,236	18,131,826	18,131,826	-	-
Derivative Financial Instruments	2	226,092	-	-	-	-
Other Financial Assets Held-For-Trading	3	-	215,938	108,178	71,992	35,768
Financial Assets Designated at Fair Value through Profit or Loss	3	72,789	-	-	-	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers	4	57,716,961	58,418,058	57,999,215	-	418,843
Financial Investments - Available-For-Sale	3	146,142	-	110,373	-	35,769
Financial Investments - Held-To-Maturity	3	2,993	2,993	-	-	-
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		2,505,901	2,505,901	2,505,901	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		237,075	-	-	-	-
Deferred Tax Assets		-	-	-	-	-
Other Assets		1,521,574	1,994,237	1,994,237	-	-
Liabilities		74,726,002	73,630,676	-	-	-
Due to Banks	5	1,103,041	-	-	-	-
Derivative Financial Instruments	2	56,479	-	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss	-	-	-	-	-	-
Due to Other Customers	5	71,614,753	70,916,687	-	-	-
Other Borrowings		-	-	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	5	402,512	479,301	-	-	-
Deferred Tax Liabilities		194,315	194,315	-	-	-
Other Provisions	5	144,988	-	-	-	-
Other Liabilities	5	1,209,914	2,040,373	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-

Item	Amount (LKR '000) as at 31 Dec 2019				
Explanation Reference #	a Carrying Values as Reported in Published Financial Statements	b Carrying Values as under Scope of Regulatory Reporting	c Subject to Credit Risk Framework	d Subject to Market Risk Framework	e Not Subject to Capital Requirements or Subject to Deduction From Capital
Off-Balance Sheet Liabilities	54,012,978	54,017,253	49,962,929	-	4,054,324
Guarantees	2,157,920	2,157,920	2,157,920	-	-
Performance Bonds	672,836	672,836	672,836	-	-
Letters of Credit	2,455,907	2,455,907	2,455,907	-	-
Other Contingent Items	41,348,242	41,352,517	38,698,214	-	2,654,303
Undrawn Financing Commitments	5,978,052	5,978,052	5,978,052	-	-
Other Commitments	1,400,021	1,400,021	-	-	1,400,021
Shareholders' Equity					
Equity Capital (Stated Capital)/Assigned Capital	10,619,450	10,619,450	-	-	-
of which Amount Eligible for CET1	10,619,450	-	-	-	-
of which Amount Eligible for AT1	-	-	-	-	-
Retained Earnings	423,270	307,440	-	-	-
Accumulated Other Comprehensive Income	(100,970)	-	-	-	-
Other Reserves	911,818	1,439,144	-	-	571,607
Total Shareholders' Equity	11,853,568	12,366,034	-	-	571,607

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements and Regulatory Reporting

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 1 : Cash and Cash Equivalents and Placements with Banks				
Cash and Cash Equivalents	10,067,003	2,378,960		
Placements with Banks and Financial Institutions	10,637,236	18,131,826		
	20,704,239	20,510,786	193,453	
Accrued Profits Receivable on Placements		A	196,226	
Expected Credit Losses - Provisions on Cash and Cash Equivalents and Placements with Banks and Financial Institutions		B	(2,773)	
		C = (A+B)	193,453	

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 2 : Derivative Financial Instruments - Assets and Liabilities				
Derivative Financial Instruments - Assets	226,092	-		
Derivative Financial Instruments - Liabilities	(56,479)	-		
Other Assets		169,613		
	169,613	169,613	-	Net Unrealised Revaluation Gains on Forex Contracts has been reported under Other Liabilities in regulatory reporting
Explanation Reference # 3 : Financial Assets Recognised through Profit or Loss - Measured at Fair Value & Financial Assets Measured at Fair Value through Other Comprehensive Income				
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789	-		
Financial Assets Measured at Fair Value through Other Comprehensive Income	146,142	-		
Investments Trading Account		215,938		
Investments Held-to- Maturity		2,993		
	218,931	218,931	-	
Explanation Reference # 4 : Financing and Receivables to Other Customers				
Financing and Receivables to Other Customers	57,716,961	58,418,058	(701,097)	Difference between Provision requirements of Sri Lanka Accounting Standards and CBSL
Impairment Provisions as per Sri Lanka Accounting Standards		D	(1,519,006)	
Central Bank of Sri Lanka Regulatory Provisions		E	(817,909)	
		F = (D-E)	(701,097)	

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 5 : Due to Banks, Due to other customers, Tax Liabilities & Other Liabilities				
Due to Banks	1,103,041	1,100,000		
Financial Liabilities at Amortised Cost - Due to Depositors	71,614,753	70,916,687		
Profits Payable	-	813,525		
	72,717,794	72,830,212	(112,418)	Margin Deposits have been Grouped under Deposits for CBSL reporting purposes
Derivative Financial Liabilities	56,479	-	56,479	Derivative Financial Instruments - Liabilities reported in Published Financial Statements
Current Tax Liabilities	402,512	479,301	(76,789)	Other tax payables included under other liabilities - taxes payables for CBSL reporting purposes
Liabilities - Other	1,549,217	1,421,163	128,054	
Total Liabilities	74,726,002	74,730,676	(4,674)	Relates to Differences between Accounting Standards and CBSL reporting requirements

NET STABLE FUNDING RATIO UNDER BASEL III - LIQUIDITY STANDARDS AS AT 31 DECEMBER 2019

1. Calculation of Net Stable Funding Ratio (NSFR)

Code	Item	Amount As at 31 Dec 2019 LKR '000	Amount as at 31 Dec 2018 LKR '000
32.1.1.0.0.0	Total Available Stable Funding	73,138,938	N/A
32.1.2.0.0.0	Required Stable Funding - On Balance Sheet Assets	39,141,042	
32.1.3.0.0.0	Required Stable Funding - Off Balance Sheet Items	658,675	
32.1.4.0.0.0	Total Required Stable Funding	39,799,718	
32.1.5.0.0.0	NSFR (Minimum Requirement 100%)	184%	

* NSFR came into effect from 1 January 2019

2. Total Available Stable Funding

Code	Item	Unweighted Amount as at 31 Dec 2019 LKR '000	ASF Factor	Weighted Amount as at 31 Dec 2019 LKR '000
32.2.0.0.0.0	Total Available Stable Funding			73,138,938
32.2.1.0.0.0	Liabilities and Capital Assigned a 100% ASF Factor			14,931,075
32.2.1.1.0.0	Total Regulatory Capital Before Capital Deductions (Excluding Tier 2 Instruments With Residual Maturity of less than One Year)	10,593,679	100%	10,593,679
32.2.1.2.0.0	Any Other Capital Instrument with Effective Residual Maturity of One Year or More	-	100%	-
32.2.1.3.0.0	Secured And Unsecured Borrowings and Liabilities with Effective Residual Maturities of One Year or More	4,337,397		4,337,397
32.2.1.3.1.0	Net Deferred Tax Liabilities	194,315	100%	194,315
32.2.1.3.2.0	Minority Interest	-	100%	-
32.2.1.3.3.0	Other Liabilities	4,143,082	100%	4,143,082
32.2.2.0.0.0	Liabilities Assigned a 90% ASF Factor	62,335,482		56,101,934
32.2.2.1.0.0	Non-Maturity Deposits and Term Deposits With Residual Maturity of less than One Year Provided by Retail Customers and SME	62,335,482	90%	56,101,934
32.2.3.0.0.0	Liabilities Assigned a 50% ASF Factor	4,211,857		2,105,929
32.2.3.1.0.0	Funding with Residual Maturity of less than One Year Provided by Non-Financial Corporate Customers	38,297	50%	19,148
32.2.3.2.0.0	Operational Deposits	3,285,361	50%	1,642,680
32.2.3.3.0.0	Funding with Residual Maturity of less than One Year From Sovereigns, Public Sector Entities (PSEs), and Multilateral Development Banks (MDBs)	-	50%	-
32.2.3.4.0.0	Other Funding with Residual Maturity Between Six Months and less than One Year Not Included in the Above Categories, Including Funding Provided by Central Banks and Financial Institutions	888,200	0%	444,100
32.2.3.4.1.0	Net Deferred Tax Liabilities	-	50%	-
32.2.3.4.2.0	Minority Interest	-	50%	-
32.2.3.4.3.0	Other Liabilities	888,200	50%	444,100
32.2.4.0.0.0	Liabilities Assigned a 0% ASF Factor	14,350,686		-
32.2.4.1.0.0	All Other Liabilities and Equity not Included in the Above Categories Including Other Funding with Residual Maturity of less than Six Months From Central Banks and Financial Institutions	113,847	0%	-
32.2.4.2.0.0	Other Liabilities without a Stated Maturity	2,783,596	-	-
32.2.4.2.1.0	Net Deferred Tax Liabilities	-	-	-
32.2.4.2.2.0	Minority Interest	-	-	-
32.2.4.2.3.0	Other Liabilities	2,783,596	0%	-
32.2.4.3.0.0	NSFR Derivative Liabilities Net of Derivative Assets (If NSFR Derivative Liabilities are greater than NSFR Derivative Assets)	11,453,243	0%	-
32.2.4.4.0.0	"Trade Date" Payables Arising from Purchases of Financial Instruments, Foreign Currencies and Commodities	-	-	-

3. Required Stable Funding – On Balance Sheet Assets

Code	Item	Unweighted Amount as at 31 Dec 2019 LKR '000	ASF Factor	Weighted Amount as at 31 Dec 2019 LKR '000
32.3.0.0.0.0	Required Stable Funding - On Balance Sheet Assets			39,141,042
32.3.1.0.0.0	Assets Assigned a 0% RSF factor			-
32.3.1.1.0.0	Cash in Hand	2,378,960	0%	-
32.3.1.2.0.0	Central Bank Reserves (Statutory Reserve Ratio (SRR) including Excess SRR)	3,448,797	0%	-
32.3.1.3.0.0	All Claims on Central Banks with Residual Maturities of less than Six Months	-	0%	-
32.3.1.4.0.0	"Trade Date" Receivables arising from Sales of Financial Instruments, Foreign Currencies and Commodities	-	0%	-
32.3.2.0.0.0	Assets assigned a 5% RSF factor			-
32.3.2.1.0.0	Unencumbered Level 1 Assets	-	-	-
32.3.2.1.1.0	Qualifying Marketable Securities	-	-	-
32.3.2.1.1.1	Issued by Sovereigns	-	5%	-
32.3.2.1.1.2	Guaranteed by Sovereigns	-	5%	-
32.3.2.1.1.3	Issued or Guaranteed by Central Banks	-	5%	-
32.3.2.1.1.4	Issued or Guaranteed by BIS, IMF, ECB and European Community or Eligible MDBs	-	5%	-
32.3.2.2.0.0	20% of Derivative Liabilities	-	5%	-
32.3.3.0.0.0	Assets Assigned a 10% RSF Factor			-
32.3.3.1.0.0	Unencumbered Advances to Financial Institutions with Residual Maturities of less than Six Months	-	10%	-
32.3.4.0.0.0	Assets Assigned a 15% RSF Factor			-
32.3.4.1.0.0	Unencumbered Level 2A Assets	-	-	-
32.3.4.1.1.0	Qualifying Marketable Securities	-	-	-
32.3.4.1.1.1	Issued or Guaranteed by Sovereigns	-	15%	-
32.3.4.1.1.2	Issued or Guaranteed by Central Banks	-	15%	-
32.3.4.1.1.3	Issued or Guaranteed by PSEs	-	15%	-
32.3.4.1.1.4	Issued or Guaranteed by MDBs	-	15%	-
32.3.4.1.2.0	Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper And Promissory Notes) and Covered Bonds	-	15%	-
32.3.4.1.3.0	Qualifying Investments in Gilt Unit Trust backed by Government of Sri Lanka (GOSL) Securities	-	15%	-
32.3.4.2.0.0	All Other Unencumbered Advances to Financial Institutions with Residual Maturities of less than Six Months	-	15%	-

Code	Item	Unweighted Amount as at 31 Dec 2019 LKR '000	ASF Factor	Weighted Amount as at 31 Dec 2019 LKR '000
32.3.5.0.0.0	Assets Assigned a 50% RSF Factor			9,123,982
32.3.5.1.0.0	Unencumbered Level 2B Assets			58,069
32.3.5.1.1.0	Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper and Promissory Notes)	-	50%	-
32.3.5.1.2.0	Qualifying Non-Financial Common Equity Shares	116,138	50%	58,069
32.3.5.1.3.0	Residential Mortgage backed Securities (RMBs) with a Credit Rating of at least AA	-	50%	-
32.3.5.2.0.0	HQLA Encumbered for a period of Six Months or more and less than One Year	50%	-	-
32.3.5.3.0.0	Unencumbered Advances to Financial Institutions and Central Banks with Residual Maturity between Six Months and less than One Year	-	50%	-
32.3.5.4.0.0	Deposits held at Other Financial Institutions for Operational Purposes	-	50%	-
32.3.5.5.0.0	All Other Non HQLA not included in the above categories with Residual Maturity of less than One Year	18,131,826	50%	9,065,913
32.3.6.0.0.0	Assets Assigned a 65% RSF Factor			1,898,108
32.3.6.1.0.0	Qualifying Unencumbered Residential Mortgages with a Residual Maturity of One Year or more	2,920,166	65%	1,898,108
32.3.6.2.0.0	Other Qualifying Unencumbered Advances not included in the above categories, excluding Advances to Financial Institutions, with a Residual Maturity of One Year or More	-	65%	-
32.3.7.0.0.0	Assets Assigned a 85% RSF Factor			23,638,652
32.3.7.1.0.0	Cash, Securities or Other Assets posted as Initial Margin for Derivative Contracts	-	85%	-
32.3.7.2.0.0	Other Unencumbered Performing Advances	27,786,841	85%	23,618,815
32.3.7.3.0.0	Unencumbered Securities that are not in Default and do not Qualify as HQLA	85%	-	-
32.3.7.4.0.0	Physical Traded Commodities, including Gold	-	85%	-
32.3.8.0.0.0	Assets Assigned a 100% RSF Factor			4,500,138
32.3.8.1.0.0	All Assets that are Encumbered for a period of One Year or more	-	100%	-
32.3.8.2.0.0	NSFR Derivative Assets Net of NSFR Derivative Liabilities if NSFR Derivative Assets are greater than NSFR Derivative Liabilities	-	100%	-
32.3.8.3.0.0	All Other Assets not included in Above	4,500,138	100%	4,500,138

4. Required Stable Funding – Off Balance Sheet Items

Code	Item	Unweighted Amount as at 31 Dec 2019 LKR '000	ASF Factor	Weighted Amount as at 31 Dec 2019 LKR '000
32.4.0.0.0.0	Required Stable Funding - Off Balance Sheet Items			296,112
32.4.1.0.0.0	Irrevocable and Conditionally Revocable Credit and Liquidity Facilities to any Client	5,168,799	5%	258,440
32.4.2.0.0.0	Other Contingent Funding Obligations, including Products and Instruments			37,672
32.4.2.1.0.0	Unconditionally Revocable Credit and Liquidity Facilities	-	0%	-
32.4.2.2.0.0	Trade Finance-related Obligations (including Guarantees and Letters of Credit)	753,436	5%	37,672
32.4.2.3.0.0	Guarantees Unrelated to Trade Finance Obligations	-	0%	-
32.4.3.0.0.0	Non-Contractual Obligations			-
32.4.3.1.0.0	Potential Requests for Debt Repurchases of the Bank's Own Debt or that of Related Conduits, Securities Investment Vehicles and Other such Financing Facilities	-	5%	-
32.4.3.2.0.0	Structured Products where Customers Anticipate Ready Marketability, such as Adjustable Rate Notes and Variable Rate Demand Notes (VRDNs)	-	5%	-
32.4.3.3.0.0	Managed Funds that are Marketed with the Objective of Maintaining a Stable Value	-	5%	-
32.4.4.0.0.0	Any Other Obligations	-	5%	-

Investor Relations

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board Directors on the Affairs of the Bank.	143-146
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities.	181
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations.	268
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Item 4 of Investor Relations.	269
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Item 5 of Investor Relations.	269
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 43 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report.	220 - 232 and 76 - 108
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 6 of Investor Relations.	269
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	208 - 210
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital.	215
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations.	266
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debenture Information Credit Rating	Item 1 of Investor Relations. Item 1 of Investor Relations. Not Applicable. Corporate Information.	266 266 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	208 - 210
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable.	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable.	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Continuing Listing Requirements since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance.	
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Item 7 of Investor Relations.	269
9.3.2 (b)	Disclosure of recurrent Related Party transactions exceeding 10% of the gross revenue/income of the Entity as per the latest Audited Financial Statements.	Item 8 of Investor Relations.	269
9.3.2 (c)	Report of the Related Party Transactions Review Committee setting out the specified disclosures.	Please refer report on Related Party Transactions Review Committee.	157 - 158
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions.	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank.	143 - 146

The Ordinary Shares of the Bank are listed on the Main Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2019	2018
Dividend Per Share (LKR)	0.08	0.07
Dividend Pay Out Ratio (%)	43.41	31.47
Net Asset Value Per Share (LKR)	4.74	4.65

1.2 Market Value Per Share

	2019 LKR	2018 LKR
As at 31 December	2.30	3.10
Highest	3.10	3.70
Lowest	2.00	3.00

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2019			As at 31 December 2018		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,997	1,089,464	0.04	1,938	1,084,469	0.04
1,001 To 10,000 Shares	3,112	14,598,126	0.59	3,021	14,212,357	0.57
10,001 To 100,000 Shares	1,589	57,231,462	2.29	1,553	55,984,608	2.24
100,001 To 1,000,000 Shares	283	87,607,811	3.50	278	89,475,304	3.58
Over 1,000,000 Shares	48	2,340,863,671	93.58	44	2,340,633,796	93.57
	7,029	2,501,390,534	100.00	6,834	2,501,390,534	100.00

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2019			As at 31 December 2018		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	6,978	952,065,974	38.06	6,781	922,072,686	36.86
Non-Resident	51	1,549,324,560	61.94	53	1,579,317,848	63.14
	7,029	2,501,390,534	100.00	6,834	2,501,390,534	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2019			As at 31 December 2018		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	6,926	1,059,937,177	42.37	6,734	1,030,059,824	41.18
Institutional	103	1,441,453,357	57.63	100	1,471,330,710	58.82
	7,029	2,501,390,534	100.00	6,834	2,501,390,534	100.00

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No	Name of Shareholder	2019		Name of Shareholder	2018	
		No. of Shares	%		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65
2	Mr. Hossain Ahmed Ismail	249,888,800	9.99	Mr. Hossain Ahmed Ismail	249,888,800	9.99
3	Mr. Mohamed Haji Omar	206,691,690	8.26	Mr. Mohamed Haji Omar	200,909,977	8.03
4	Bank Islam Malaysia Berhad	180,562,011	7.22	Bank Islam Malaysia Berhad	180,562,011	7.22
5	AB Bank Limited	180,562,010	7.22	AB Bank Limited	180,562,010	7.22
6	Islamic Development Bank	158,061,757	6.32	Islamic Development Bank	158,061,757	6.32
7	Akbar Brothers (Pvt) Limited	157,744,249	6.31	Akbar Brothers (Pvt) Limited	157,744,249	6.31
8	Mr. Farook Kassim	94,220,411	3.77	Mr. Farook Kassim	94,220,411	3.77
9	Millenium Capital Investment Pte. Limited	70,140,503	2.80	Millenium Capital Investment Pte. Limited	70,140,503	2.80
10	Mr. Osman Kassim jointly with Mrs. K. Kassim	67,474,160	2.70	Mr. Osman Kassim jointly with Mrs. K. Kassim	57,541,157	2.30
11	Mr. Shafik Kassim	62,263,418	2.49	Mr. Shafik Kassim	52,554,117	2.10
12	Mr. Sattar Kassim	60,221,203	2.41	Mr. Sattar Kassim	50,511,902	2.02
13	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49
14	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20
15	Almas Organisation (Pvt) Limited	27,426,100	1.10	Almas Organisation (Pvt) Limited	27,426,100	1.10
16	Mr. Abdul Majeed Mohamedu Risvi	26,270,421	1.05	Mr. Abdul Majeed Mohamedu Risvi	26,270,421	1.05
17	Mr. Riyaz Mohamed Sangani	15,450,000	0.62	Mr. Riyaz Mohamed Sangani	24,296,832	0.97
18	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	14,284,200	0.57	Trans Asia Trading Company	19,899,727	0.80
19	ABC International Limited	11,920,000	0.47	Al Bogari IGL DMCC	17,678,178	0.71
20	Amāna Takaful Life Limited	10,937,500	0.43	Mr. Ahamed Mihlar Mohamed Fazal Jiffry	14,284,200	0.57
	Sub Total	2,253,081,894	90.07	Sub total	2,241,515,813	89.61
	Other Shareholders (Number of Shareholders - 7,009)	248,308,640	9.93	Other Shareholders (Number of Shareholders - 6,814)	259,874,721	10.39
	Total	2,501,390,534	100.00	Total	2,501,390,534	100.00

4. PUBLIC HOLDING AND MARKET CAPITALISATION AS AT 31 DECEMBER

	2019	2018
Market Capitalisation (LKR)	5,753,198,228	7,754,310,655
Percentage of Public Holding (%)	42.88	43.28
Float Adjusted Market Capitalisation (LKR)	2,467,221,604	3,356,177,949
Number of Public Shareholders	6,997	6,804

The Bank complies with the minimum public holding requirement under option 5 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

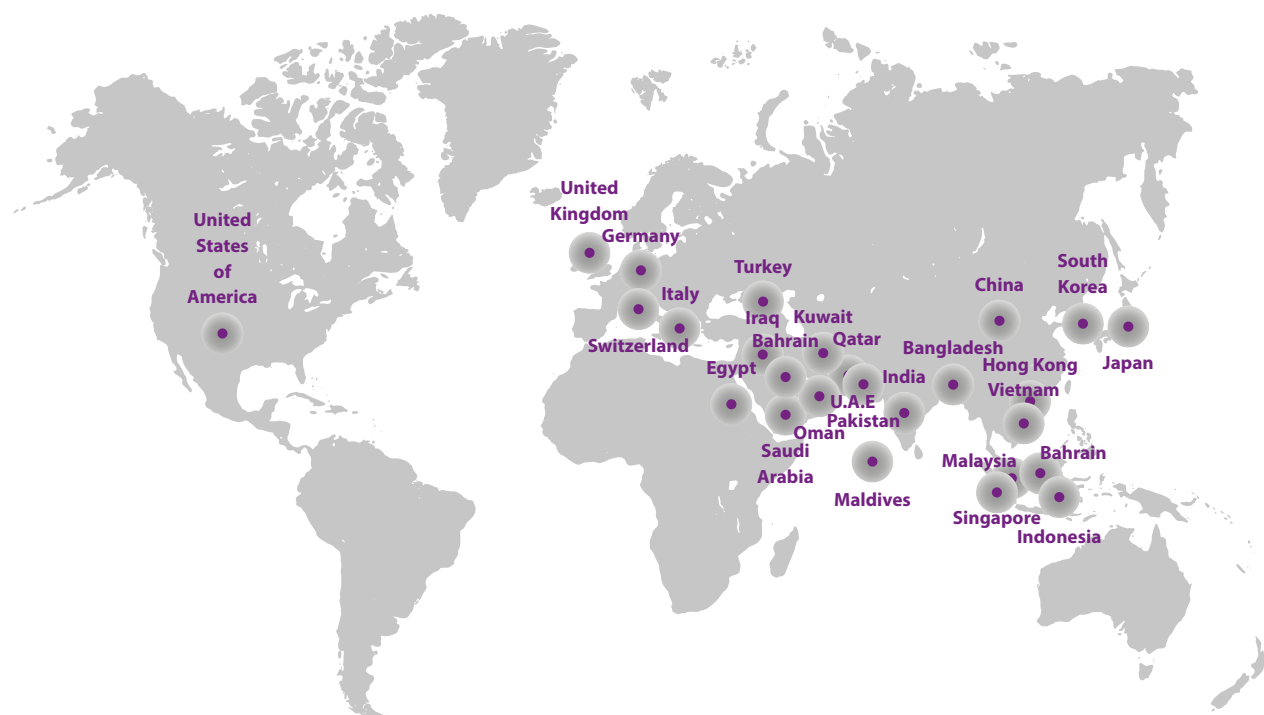
5. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER

Name of Director	2019 No. of Shares	2018 No. of Shares
Mr. Osman Kassim	67,474,160	57,541,157
Mr. Tyeab Akbarally	52	52
Mr. Mohamed Jazri Magdon Ismail	127,000	127,000
Mr. Harsha Amarasekera, PC	-	-
Mr. Rajiv Nandlal Dvivedi	-	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-	-
Mr. Aaron Russell-Davison	-	-
Mr. Mohammed Ataur Rahman Chowdhury	-	-
Mr. Syed Muhammed Asim Raza	-	-
Mr. Khairul Muzamel Perera Bin Abdullah	-	-
Dr. Mostafa Hassan Mohamed Hassan Al Sabban	-	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	40,000

Mr. Mohamed Azmeer, Chief Executive Officer's holding in shares as at 31 December 2019 amounted to 500,000 (31 December 2018 - 500,000)

6. There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2019.
7. The aggregate value of non-recurrent related party transactions carried out during 2019 has not exceeded 10% of Equity or 5% of Total Assets of the Bank.
8. The aggregate value of recurrent related party transactions carried out during 2019 has not exceeded 10% of Gross Income of the Bank.

Correspondent Banks



Bangladesh

- 1 AB Bank Limited - Dhaka, Bangladesh
SWIFT Code : ABBLBDDH

Bahrain

- 1 Mashreq Bank PSC - Manama, Bahrain
SWIFT Code : BOMLBHBM
- 2 Khaleeji Commercial Bank B.S.C. (C), Bahrain
SWIFT Code : KHCBBHBM

Brunei

- 1 Bank Islam Brunei Darussalam Berhad, Brunei
SWIFT Code : BIBDBNBB

China

- 1 Standard Chartered Bank - Shanghai ,China
SWIFT Code : SCBLCNSXSHA
- 2 Axis Bank Limited Shanghai Branch, China
SWIFT Code : AXISCNSH

Egypt

- 1 Mashreq Bank - Cairo, Egypt
SWIFT Code : MSHQEGCA

Germany

- 1 Standard Chartered Bank AG - Frankfurt, Germany
SWIFT Code : SCBLDEFX

Hong Kong

- 1 Axis Bank Limited, Hong Kong
SWIFT Code : AXISHKHH
- 2 Standard Chartered Bank, Hong Kong
SWIFT Code : SCBLHKHH

Indonesia

- 1 Standard Chartered Bank - Jakarta, Indonesia
SWIFT Code : SCBLIDJX

Italy

- 1 Banca UBAE S.p.A. - Roma, Italy
SWIFT Code : UBAIITRR

India

- 1 AB Bank Limited - Mumbai, India
SWIFT Code : ABBLINBB
- 2 Standard Chartered Bank - Mumbai, India
SWIFT Code : SCBLINBB
- 3 Mashreq Bank - Mumbai, India
SWIFT Code : MSHQINBB
- 4 Axis Bank Limited - Mumbai, India
SWIFT Code : AXISINBB
- 5 HDFC Bank, India
SWIFT Code : HDFCINBB

Iraq

- 1 Cihan Bank For Islamic Investment and Finance, Iraq
SWIFT Code : CIHQIQA

Japan

- 1 Standard Chartered Bank - Tokyo, Japan
SWIFT Code : SCBLJPJT

Kuwait

- 1 Mashreq Bank PSC - Kuwait, Kuwait
SWIFT Code : MSHQKWKW

Maldives

- 1 Bank of Ceylon - Male, Maldives
SWIFT Code : BCEYMMV

Malaysia

- 1 Bank Islam Malaysia Berhad - Kuala Lumpur, Malaysia
SWIFT Code : BIMBMYKL
- 2 Malayan Banking Berhad (Maybank) - Kuala Lumpur, Malaysia
SWIFT Code : MBBEMYKL
- 3 Standard Chartered Bank Malaysia Berhad, Malaysia
SWIFT Code : SCBLMYKX
- 4 Alkhair International Islamic Bank Berhad, Malaysia
SWIFT Code : UIIBMYKL

Oman

- 1 Bank Nizwa, Oman
SWIFT Code : BNZWOMRX

Pakistan

- 1 Meezan Bank Limited - Karachi, Pakistan
SWIFT Code : MEZNPCKA
- 2 Standard Chartered Bank - Karachi, Pakistan
SWIFT Code : SCBLPKKX
- 3 Faysal Bank Limited - Karachi, Pakistan
SWIFT Code : FAYSPKKA

Qatar

- 1 Mashreq Bank - Doha, Qatar
SWIFT Code : MSHQQAQA
- 2 Al Khalij Commercial Bank - Doha, Qatar
SWIFT Code : KLJIQAQA
- 3 Abu Dhabi Islamic Bank - Doha-Qatar
SWIFT Code : ABDIQAQA
- 4 Doha Bank - Doha, Qatar
SWIFT Code : DOHBQAQA

Singapore

- 1 Standard Chartered Bank Singapore, Singapore
SWIFT Code : SCBLSG22
- 2 Standard Chartered Bank Singapore, Singapore (AUD)
SWIFT Code : SCBLSG22
- 3 Axis Bank Ltd, Singapore
SWIFT Code : AXISSGSG

Saudi Arabia

- 1 Bank Al-Jazira - Jeddah, Saudi Arabia
SWIFT Code : BJAZSAJE

South Korea

- 1 Kookmin Bank- Seoul, South Korea
SWIFT Code : CZNBRKRE

Switzerland

- 1 Habib Bank AG Zurich - Zurich, Switzerland
SWIFT Code : HBZUCHZZ

Turkey

- 1 Türkiye Garanti Bankası A.S. - Istanbul, Turkey
SWIFT Code : TGBATRIS
- 2 Türkiye Finans Katılım Bankası A.S. - Istanbul, Turkey
SWIFT Code : AFKBTRIS
- 3 Aktif Yatırım Bankası A.S. - Istanbul, Turkey
SWIFT Code : CAYTTRIS

United Arab Emirates

- 1 Dubai Islamic Bank - Dubai, UAE
SWIFT Code : DUIBAEAD
- 2 Standard Chartered Bank - Dubai, UAE
SWIFT Code : SCBLAEAD
- 3 Mashreq Bank PSC - Dubai, UAE
SWIFT Code : BOMLAEAD
- 4 Noor Islamic Bank - Dubai, UAE
SWIFT Code : NISLAEAD
- 5 Abu Dhabi Islamic Bank - Abu Dhabi, UAE
SWIFT Code : ABDIAEAD

- 6 Abu Dhabi Commercial Bank, UAE
SWIFT Code : ADCBAEAA

- 7 United Arab Bank, UAE
SWIFT Code : UARBAEAA

- 8 MCB Bank Limited - Dubai, UAE
SWIFT Code : MUCBAEAD

- 9 Axis Bank Limited, UAE
SWIFT Code : AXISAEAD

- 10 Sharjah Islamic Bank, UAE
SWIFT Code : NBSHAEAS

United Kingdom

- 1 Bank of Ceylon - London, UK
SWIFT Code : BCEYGB2L
- 2 Standard Chartered Bank - London, UK
SWIFT Code : SCBLGB2L
- 3 QIB (UK) PLC, UK
SWIFT Code : EFHLGB2L

United States of America

- 1 Habib American Bank, USA
SWIFT Code : HANYUS33
- 2 Mashreq Bank PSC - New York Branch, USA
SWIFT Code : MSHQUS33
- 3 International Finance Corporation, USA
SWIFT Code : IFCWUS33
- 4 Standard Chartered Bank - New York, USA
SWIFT Code : SCBLUS33

Vietnam

- 1 Standard Chartered Bank, Vietnam
SWIFT Code : SCBLNVX

Glossary of Banking and Financial Terms

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment. or un-collectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

Available for Sale

Available for Sale investments are non-derivative financial assets that are not designated as financing and receivables, held to maturity or fair value through profit or loss. It does not necessarily mean that the Bank is holding the investments for disposal in the short term.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Operating expenses compared to total operating income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D

Dealing Securities

Securities acquired and held with the intention of reselling them in the short term.

Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Dividend Cover

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

Dividend Yield

Dividend earned per share as a percentage of its market value.

E

Earnings Per Share (EPS)

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Credit Losses

The weighted average of credit losses with the respective risks of a default occurring as the weights

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

F

Fair Value

Fair value is the amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction.

Fair Value Adjustment

An adjustment to the fair value of a financial instrument which is determined using a valuation technique to include additional factors that would be considered by a market participant that are not incorporated within the valuation model.

Fair Value Through Profit or Loss

A financial asset/liability: Acquired/incurred principally for the purpose of selling or repurchasing it in the near term, part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of a short-term profit-taking, or a derivative (except for a derivative that is a financial guarantee contract).

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Asset or Financial Liability at Fair Value Through Profit or Loss

Financial asset or financial liability that is held for trading or upon initial recognition designated by the entity as at 'Fair Value through Profit or Loss'.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Financing and Receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

General Provisions

General provisions are established for financing and receivables for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H

Held for Trading

Investments that are purchased with the intent of selling them within a short period of time.

Held to Maturity Financial Assets

Held to maturity investments are non-derivative financial assets with fixed or determinable payments and a fixed maturity that an entity has the positive intention and ability to hold to maturity.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

Investment Securities

Securities acquired and held for yield and/or capital growth.

K

Key Management Personnel

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L

Lease Liability

A lease liability is a lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis. Under the new lease accounting standard, the lease liability is calculated as the present value of the lease payments over the lease term discounted, typically, using the lessee's incremental cost of funds.

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Coverage Ratio (LCR)

Ratio of stock of high quality liquid assets available to Total net cash outflows over next 30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default ('LGD')

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Net Financing Margins (NIM)

Net Financing income expressed as a percentage of average income earning assets.

Net Stable Funding Ratio (NSFR)

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity capital, preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

Non-Performing Advances Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

Off Balance Sheet Transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Past Due

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

Related Parties

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Return on Average Assets (ROA)

Profit for the year divided by Average Assets.

Return on Equity (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves

Reserves set aside for future distribution and investment.

Right-of-Use Asset

The right-of-use asset, or ROU asset, is an asset that represents a lessee's right to to operate, hold, or occupy a leased property, item, or piece of equipment for the lease term. It is calculated as the initial amount of the lease liability, plus lease payments made before lease commencement, plus initial direct costs, less any lease incentives.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S

Segment Reporting

Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds

Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T

Tier I Capital

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II Capital

Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

Total Capital

Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

Transaction Costs

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U

Undrawn Credit Lines

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

V

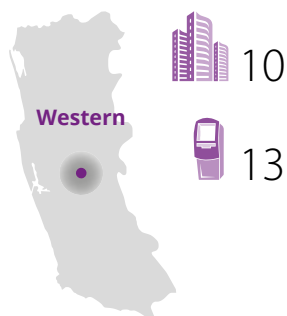
Value Added

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

Value Added Taxes on Financial Services

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

Branch Network Information



BRANCHES

Main Branch - Colombo 3

No. 365, Galle Road, Colombo - 03.
T : 011-7756001
F : 011-4718148
E : mainbranch@amana.lk

Ladies Branch - Colombo 3

No. 365, Galle Road, Colombo - 03.
T : 011-7756381
F : 011-7756389
E : ladiesbranch@amana.lk

Beruwala

No. 5, China Fort Road,
Beruwala.
T : 034-7756250
F : 034-7756259
E : beruwala@amana.lk

Dehiwala

No. 28, Galle Road, Dehiwala.
T : 011-7756016
F : 011-2722505
E : dehiwala@amana.lk

Dematagoda

No. 7, Kent Road, Dematagoda,
Colombo 9
T : 011-7756028
F : 011-7756889
E : dematagoda@amana.lk

Kirulapone

No. 124, Maya Avenue,
Colombo 6.
T : 011-7756029
F : 011-7756899
E : kirulapone@amana.lk

Negombo

No.97, Colombo Road, Negombo.
T : 031-7756020
F : 031-2231765
E : negombo@amana.lk

Old Moor Street

No. 330, Old Moor Street,
Colombo 12.
T : 011-7756027
F : 011-7756879
E : oms@amana.lk

Panadura

No. 145, Galle Road, Pallimulla,
Keselwatte, Panadura.
T : 038-7756032
F : 038-7756259
E : panadura@amana.lk

Pettah

No. 129, Main Street,
Colombo - 11.
T : 011-7756002
F : 011-2380688
E : pettah@amana.lk

SELF BANKING CENTRES

Dharga Town

No. 241, Mathugama Road,
Dharga Town

Hill Street

No. 160 A, D.B. Jayathilake
Mawatha, Hill Street, Dehiwala

Kalubowila

No. 9 B, S.De.S Jayasinghe
Manwatha, Kalubowila

Kaluthara

No. 437, Galle Road, Kalutara

Kolonnawa

No. 529, Kolonnawa Road,
Wellampitiya

Maligawatte

No. 132/1 A, Jumma Masjid Road,
Maligawatte

Malwana

No. 114/1, Main Street, Malwana

Mattakkuliya

No. 74, Mutuwella Road,
Colombo 15

Rajagiriya

No. 1576/19, Cotta Road,
Rajagiriya

Ratmalana

No. 360, Galle Road, Ratmalana

Slave Island

No. 113, Justice Akbar Mawatha,
Slave Island, Colombo 02

Thihariya

No. 124, Kandy Road, Thihariya

Wattala

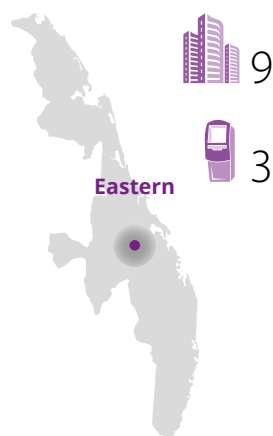
No. 697A, Negombo Road,
Mabola, Wattala



Branches



Self Banking
Centres



BRANCHES

Akkaraipattu

No. 102, Main Street, Akkaraipattu
T : 067-7756015
F : 067-2279319
E : akkaraipattu@amana.lk

Eravur

No. 108/5, Punnakuda Road,
Eravur.
T : 065-7756019
F : 065-2241410
E : eravur@amana.lk

Kalmunai

No. 32, Main Street, Kalmunai.
T : 067-7756006
F : 067-2223599
E : kalmunai@amana.lk

Kalmunai Unity Square

Kalmunai Unity Square Shopping
Complex, Main Street, Kalmunai.
T : 067-7756026
F : 067-2059779
E : kalmunaimi@amana.lk

Kattankudy

No. 237, Main Street, Kattankudy
T : 065-7756004
F : 065-2247399
E : kattankudy@amana.lk

Kinniya

No. 264, Main Street, Kinniya.
T : 026-7756025
F : 026-2236656
E : kinniya@amana.lk

Nintavur

No. 40/5, Main Street, Nintavur 24.
T : 067-7756017
F : 067-2251591
E : nintavur@amana.lk

Oddamavadi

Main Street, Oddamavadi-01.
T : 065-7756225
F : 065-2258099
E : oddamavadi@amana.lk

Sammanthurai

Hajiyar Palace, Hijra Junction,
Viliniyadi-03, Ampara Road,
Sammanthurai.
T : 067-7756012
F : 067-2261299
E : sammanthurai@amana.lk

SELF BANKING CENTRES

Batticaloa

No. 111, Main Street, Batticaloa

Mutur

No. 146, Main Street, Mutur

Trincomalee

No. 255, Central Road, Trincomalee

BRANCHES

Kuliyapitiya

No. 215 1/1, Main Street,
Kuliyapitiya.
T : 037-7756018
F : 037-2282280
E : kuliyapitiya@amana.lk

Kurunegala

No. 137, Puttalam Road,
Kurunegala.
T : 037-7756014
F : 037-2221925
E : kurunegala@amana.lk

Puttalam

No. 23, Colombo Road, Puttalam.
T : 032-7756024
F : 032-2267188
E : puttalam@amana.lk

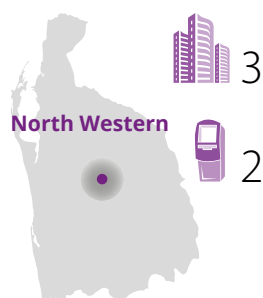
SELF BANKING CENTRES

Pulichchakulam

No. 5931, Colombo Road,
Pulichchakulam,
Bathulu Oya

Siyambalagaskotuwa

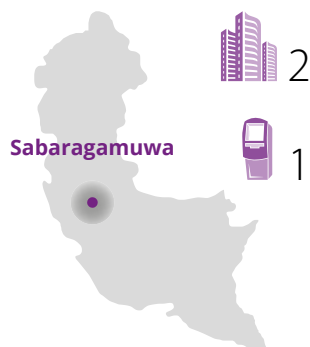
No. 326, Kahatagahamada,
Siyambalagaskotuwa



Branches



Self Banking
Centres



BRANCHES

Mawanella

No. 22B, New Kandy Road,
Mawanella.

T : 035-7756013

F : 035-2248181

E : mawanella@amana.lk

Ratnapura

No. 131-133, Main Street,
Ratnapura.

T : 045-7756023

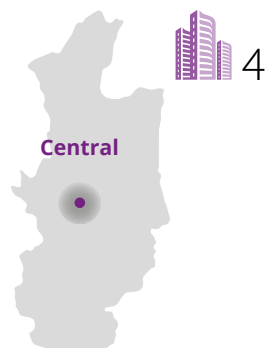
F : 045-2230245

E : ratnapura@amana.lk

SELF BANKING CENTRES

Hemmathagama

No. 2122/A, Mawanella Road,
Hemmathagama



BRANCHES

Akurana

No. 204/1, Matale Road, Akurana.

T : 081-7756010

F : 081-2304761

E : akurana@amana.lk

Gampola

No. 119, Kandy Road, Gampola.

T : 081-7756011

F : 081-2350786

E : gampola@amana.lk

Kandy

No. 105, Kotugodella Veediya,
Kandy.

T : 081-7756003

F : 081-2200238

E : kandy@amana.lk

Katugastota

No. 93, Kurunegala Road,
Katugastota.

T : 081-7756030

F : 081-7756289

E : katugastota@amana.lk



BRANCHES

Kaduruwela

No. 379, Main Street, Kaduruwela.

T : 027-7756022

F : 027-2227009

E : kaduruwela@amana.lk



Branches



Self Banking
Centres



BRANCHES

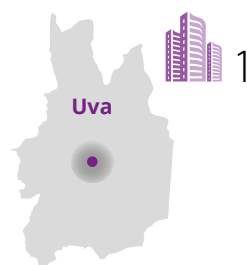
Galle

No. 24, Old Matara Road, Galle

T : 091-7756008

F : 091-2226610

E : galle@amana.lk



BRANCHES

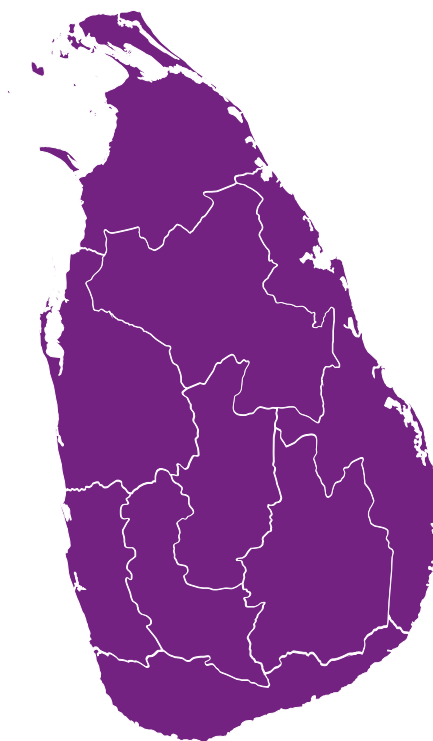
Badulla

No. 18/1, Lower Kings Street,
Badulla.

T : 055-7756021

F : 055-2228280

E : badulla@amana.lk



Branches



Self Banking
Centres

Notice of Annual General Meeting

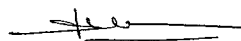
NOTICE IS HEREBY GIVEN THAT the Eleventh Annual General Meeting of Amāna Bank PLC will be held on Friday, 27 March 2020 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7.

AGENDA

- 1) To receive and consider the Annual Report of the Board and the Financial Statements of the Bank for the financial year ended 31 December 2019 together with the Report of the Auditors thereon.
- 2) To re-elect the following Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non-Independent Director who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (c) To re-elect Mr. Aaron Russell-Davison (Non-Executive, Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (d) To re-elect Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
- 3) To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.
- 4) To re-appoint the Sharia Supervisory Council consisting of:
 - a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - b) Ash-Sheikh Mohd. Nazri Chik
 - c) Ash-Sheikh M. M. A. Mubarak
 - d) Ash-Sheikh Mufti M. I. M. Rizwe
 - e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

- 5) Any other business.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

15 February 2020
Colombo.

NOTE:

Shareholders/proxy holders are requested to bring with them their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

Form of Proxy

I/We of
.....being a Shareholder/s* of
Amāna Bank PLC, hereby appoint.....of
.....or

- | | |
|---|----------------|
| 1. Mr. Osman Kassim | or failing him |
| 2. Mr. Tyeab Akbarally | or failing him |
| 3. Mr. Mohamed Jazri Magdon Ismail | or failing him |
| 4. Mr. Pradeep Dilshan Rajeeva Hettiaratchi | or failing him |
| 5. Mr. Aaron Russell-Davison | or failing him |
| 6. Mr. Rajiv Nandlal Divedi | or failing him |
| 7. Mr. Mohammed Ataur Rahman Chowdhury | or failing him |
| 8. Mr. Syed Muhammed Asim Raza | or failing him |
| 9. Mr. Khairul Muzamel Perera Bin Abdullah | |

as my/our* Proxy to represent me/us* and vote for me/us* on my/our* behalf at the Annual General Meeting of the Company to be held on Friday 27 March 2020 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7, Sri Lanka and at any adjournment thereof.

Signed this.....day of.....2020.

.....
Signature

Please provide the following details:

Shareholders' N.I.C. No. / Company Registration No. :

Number of Shares held :

Proxy Holder's N.I.C. No. :

*Please delete the inappropriate words.

NOTES:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his/her place.
2. A proxy need not be a member of the Company.

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, 6th Floor, No. 403, Galle Road, Colombo 3 not less than 24 hours before the time appointed for the holding of the meeting. (by 3.00 pm on Thursday 26 March 2020)
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.
5. In case of joint shareholders the first named shareholder only can sign the Form of Proxy.

Corporate Information

NAME OF THE INSTITUTION

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Main Board of the Colombo Stock Exchange and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

COMPANY REGISTRATION NUMBER

PB 3618 PQ

ACCOUNTING YEAR END

31 December

BUSINESS

Commercial banking and related services

EXTERNAL CREDIT RATING

The Bank is rated by Fitch Ratings Lanka Limited as BB(ika) with a Positive Outlook

INDUSTRY MEMBERSHIPS

- The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)
- The Islamic Financial Services Board (IFSB)
- The Association of Alternate Financial Institutions (AAFI)

REGISTERED OFFICE

486, Galle Road, Colombo 3, Sri Lanka
Tel : (94) - (11) - 7756000
Fax : (94) - (11) - 2574419

SWIFT

AMNALKLX

WEB

www.amanabank.lk

TAX PAYER IDENTIFICATION NUMBER (TIN)

134036184

BOARD OF DIRECTORS (AS AT 31 DECEMBER 2019)

1. Mr. Osman Kassim (*Chairman, Non-Executive, Non-Independent Director*)
2. Mr. Tyeab Akbarally (*Deputy Chairman, Non-Executive, Non-Independent Director*)

3. Mr. Mohamed Jazri Magdon Ismail (*Non-Executive, Independent Senior Director*)
4. Mr. Harsha Amarasekera, PC (*Non-Executive, Non-Independent Director*)
5. Mr. Rajiv Nandlal Dvivedi (*Non-Executive, Independent Director*)
6. Mr. Pradeep Dilshan Rajeeva Hettiaratchi (*Non-Executive, Independent Director*)
7. Mr. Aaron Russell-Davison (*Non-Executive, Independent Director*)
8. Mr. Mohammed Ataur Rahman Chowdhury (*Non-Executive, Non-Independent Director*)
9. Mr. Syed Muhammed Asim Raza (*Non-Executive, Non-Independent Director*)
10. Mr. Khairul Muzamel Perera Bin Abdullah (*Non-Executive, Non-Independent Director*)
11. Dr. Mostafa Hassan Mohamed Hassan Al Sabban (*Non-Executive, Non-Independent Director*) - appointed w.e.f. 24th August 2019

ALTERNATE DIRECTORS (AS AT 31 DECEMBER 2019)

1. Mr. Huzefa Inayetally Akbarally - *Alternate Director to Mr. Tyeab Akbarally*
2. Mr. Mohamed Faizel Mohamed Haddad - *Alternate Director to Mr. Osman Kassim*

SHARIA SUPERVISORY COUNCIL

- a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
- b) Ash-Sheikh Mohd. Nazri Chik
- c) Ash-Sheikh M. M. A. Mubarak
- d) Ash-Sheikh Mufti M. I. M. Rizwe
- e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

BOARD COMMITTEES (AS AT 31 DECEMBER 2019)

Board Audit Committee

1. Mr. Mohamed Jazri Magdon Ismail - *Chairman*
2. Mr. Rajiv Nandlal Dvivedi - *Member*
3. Mr. Aaron Russell-Davison - *Member*
4. Mr. Mohammed Ataur Rahman Chowdhury - *Member*

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - *Chairman*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Adeeb Ahmad - *Member (resigned w.e.f. 29 March 2019)*
4. Mr. Mohammed Ataur Rahman Chowdhury - *Member (appointed w.e.f. 23 May 2019)*

5. Mr. Mohamed Azmeer (CEO) - *Member*
6. Mr. Ajmal Naleer (CRO) - *Member*

Board Nomination Committee

1. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - *Chairman*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Tyeab Akbarally - *Member*
4. Mr. Rajiv Nandlal Dvivedi - *Member*
5. Mr. Adeeb Ahmad - *Member (resigned w.e.f. 29 March 2019)*
6. Mr. Mohammed Ataur Rahman Chowdhury - *Member (appointed w.e.f. 20 April 2019)*

Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - *Chairman*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - *Member*
4. Mr. Aaron Russell-Davison - *Member*
5. Mr. Mohammed Ataur Rahman Chowdhury - *Member*

Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - *Chairman*
2. Mr. Rajiv Nandlal Dvivedi - *Member*
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - *Member*
4. Mr. Aaron Russell-Davison - *Member*

COMPANY SECRETARY

Mrs. Samitha Dayani de Silva, FCG

AUDITORS

Messrs Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10, Sri Lanka

LAWYERS

Messrs F J & G de Saram
Attorneys-at-Law & Notaries Public
No. 216, De Saram Place,
Colombo 10, Sri Lanka

For investor relations and clarifications on the report, please contact:
Company Secretarial Division
6th Floor
403, Galle Road, Colombo 3, Sri Lanka
Tel : +94 11 7757511



Amāna Bank PLC

486, Galle Road, Colombo 3, Sri Lanka

Tel: +94 117 756 000 | Fax: +94 112 574 419

Email: feedback@amana.lk | Web: www.amanabank.lk